

Financing SMEs and Entrepreneurs 2026

An OECD Scoreboard



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AN OECD SCOREBOARD

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Foreword

Financing SMEs and Entrepreneurs 2026: An OECD Scoreboard provides a comprehensive framework for policymakers and other stakeholders to monitor access to finance by SMEs and entrepreneurs. It brings together indicators on debt, equity, and asset-based finance, as well as indicators on financing framework conditions, complemented by national policy snapshots of public and private initiatives to support SME access to finance. The report serves as a valuable tool for supporting the design and evaluation of policy measures and for monitoring the implications of financial reforms on access to finance and financing conditions for SMEs more generally.

This 2026 edition marks 15 years of the OECD Scoreboard on Financing SMEs and Entrepreneurs. It provides information on SME and entrepreneurship financing trends and policy developments in the context of recent reductions in interest rates, which nevertheless remain high compared to the pre-Covid period, and of heightened uncertainty reflecting geopolitical and trade tensions. The Scoreboard seeks to strengthen SME access to finance by documenting emerging good practices and data for governments to enable a diversified offer of financial instruments and sources. This edition includes a deep dive on how governments can better leverage venture capital to support innovative SMEs and start-ups.

Since the Scoreboard exercise began 15 years ago, the publication has become an international reference for information on trends and policies in SME and entrepreneurship finance. It presents data and policy developments for 48 countries including Australia, Austria, Belgium, Brazil, Canada, Chile, the People's Republic of China, Colombia, Croatia, the Czech Republic (Czechia), Denmark, Estonia, Finland, France, Georgia, Germany, Greece, Hungary, Indonesia, Ireland, Israel, Italy, Japan, Kazakhstan, Korea, Latvia, Lithuania, Luxembourg, Malaysia, Mexico, the Netherlands, New Zealand, Norway, Peru, Poland, Portugal, Serbia, the Slovak Republic, Slovenia, South Africa, Spain, Sweden, Switzerland, Thailand, Türkiye, Ukraine, the United Kingdom and the United States.

Chapter 1 reviews recent developments in SME finance and financing conditions based on official data through to 2024, complemented by available information for 2025, and discusses policy measures and private sector initiatives drawing on input from participating countries and external sources. Chapter 2 provides an overview of global VC market trends over the last decade and explores recent venture capital policy initiatives, including government-backed VC programmes, to support the design of VC initiatives to drive SME growth.

This publication was prepared by the SMEs and Entrepreneurship Division of the OECD Centre for Entrepreneurship, SMEs, Regions and Cities (CFE/SMEE) under the guidance of the OECD Committee on SMEs and Entrepreneurs (CSMEE) and its Informal Steering Group on SME and Entrepreneurship Financing. The final draft of the report was reviewed by the Committee on 6 March 2026 [CFE/SME(2025)16/CHAP1/REV1], [CFE/SME(2025)16/CHAP2/REV1] and [CFE/SME(2025)16/CHAP3/ADD].

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The development of the Scoreboard also benefited from the inputs of Delegates of the OECD Committee on SMEs and Entrepreneurship (CSMEE), chaired by Angelina Cannizzaro (UK Department of Business and Trade), and members of its Informal Steering Group on SME and Entrepreneurship Financing, chaired by Professor Salvatore Zecchini (Italy).

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The publication was coordinated and prepared by María Camila Jiménez, under the supervision of Miriam Koreen and Lucia Cusmano (Head of the SME and Entrepreneurship Division of CFE). Jonathan Ferdinand-Dreyfus provided statistical analysis for Chapter 1 and technical support for the Country Profiles. Carla Munoz Antolin provided support in restructuring the Scoreboard database and data framework. Valuable guidance and comments from Nadim Ahmad, Deputy Director of CFE, are gratefully acknowledged. Heather Mortimer-Charoy provided technical support.

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Reader's guide

Indicators

The SME and entrepreneurship financing trends are monitored through a set of core indicators, listed in Table 1. These indicators are selected based on the criteria of usefulness, availability, feasibility and timeliness (see Annex A on the Methodology for producing national Scoreboards for a detailed description). In detail, the core indicators describe and monitor the following key dimensions:

Table 1. Core indicators in Financing SMEs and entrepreneurs

Core indicators	Unit	What they show
The allocation and structure of bank credit to SMEs		
Outstanding business loans, SMEs	Volumes in national currency	SME demand for and access to bank credit. A stock indicator measuring the value of an asset at a given point in time, and thus reflecting both new lending and bank loans that have accumulated over time, along with loan repayments.
Outstanding business loans, total	Volumes in national currency	
Share of SME outstanding loans	% of total outstanding loans	
New business lending, total	Volumes in national currency	SME demand for and access to bank credit. A flow indicator, measured over one year. It tends to capture short-term developments more strongly than the stock indicator and is therefore more volatile.
New business lending, SMEs	Volumes in national currency	
Share of new SME lending	% of total new lending	
Short-term loans, SMEs	Volumes in national currency	The structure of SME debt, i.e. the share of outstanding credit with an initial maturity of less than one year and more than one year, respectively. This could be considered as a proxy to gauge the purpose of SME bank loans, i.e. for operational and investment needs.
Long-term loans, SMEs	Volumes in national currency	
Extent of public support for SME finance		
Government loan guarantees, SMEs	Volumes in national currency	These indicators illustrate the extent and uptake of government programmes and instruments supporting SMEs' access to finance.
Government guaranteed loans, SMEs	Volumes in national currency	
Direct government loans, SMEs	Volumes in national currency	
Credit costs and conditions		
Interest rate, SMEs	%	The cost of SME loans and how it compares to large firms.
Interest rate, large firms	%	
Interest rate spread	Percentage points	
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending	Proxy the conditions SMEs face when applying for bank credit.

Percentage of SME loan applications	SME loan applications/ total number of SMEs, in %	The (unmet) demand for and utilisation of credit by SMEs, and banks' willingness to lend to SMEs.
Rejection rate	1-(SME loans authorised/ requested), in %	
Utilisation rate	SME loans used/ authorised, in %	
Non-bank sources of finance		
Venture and growth capital investments	Volumes in national currency and year-on-year growth rate in %	Measure the access to alternative sources of finance, including external equity for start-up, early development and expansion stages, as well as asset-based finance, such as leasing, hire purchases, factoring and invoice discounting.
Leasing and hire purchases	Volumes in national currency	
Factoring and invoice discounting	Volumes in national currency	
Financial health		
Non-performing loans, total	% of total business loans	The incidence of late or non-payments for SME loans, compared to the overall corporate sector. This proxies the (relative) riskiness of lending to SMEs.
Non-performing loans, SMEs	% of total SME loans	
Payment delays, B2B	Number of days	The occurrence of payment delays in the B2B sector, i.e. the difficulty in paying and being paid. This indicator captures the extent of cash flow problems.
Bankruptcies, SMEs	Number and year-on-year growth rate in %	A proxy for the overall business environment in which SMEs operate and the ability of small firms to survive economic downturns and credit crunches.

Data collection

The Scoreboard data are provided by experts designated by participating countries. Most indicators are derived from supply-side data provided by financial institutions, statistical offices, and other government agencies. Indicators cover access to finance for employer firms, that is, SMEs with at least one employee operating a non-financial business. The data in the present edition cover the period 2007 to 2024. They are complemented by more recent available information. In addition, national demand-side surveys up to 2025 to provide a more comprehensive view of financing trends and needs. In addition, information on government policies to ease SMEs' access to finance is collected on a systematic basis.

The published print version includes a chapter on emerging trends in SME and entrepreneurship finance, drawing on information provided by participating countries, and a thematic chapter, focusing in this edition on the venture capital landscape for SMEs and the approaches governments are taking to leverage this instrument for a broader set of SMEs in line with the agenda to foster innovation and competitiveness. The print version also includes an annex and a two-page snapshot for every participating country. This snapshot summarises the state of play regarding SME access to finance in each country, while the full country profiles will be available online.

Cross-country comparability

At the country level, the Scoreboard provides a coherent picture of SMEs' access to finance over time and monitors changes in financing conditions for SMEs, as well as the impact of policies. However, there are limits to cross-country comparisons. First, the statistical definition of an SME differs among participating countries; while the European Union (EU) definition is the most commonly used, participating countries outside of the EU usually define an SME differently, which complicates cross-country comparisons (see Annex A for detailed definitions of SMEs across participating countries).

In addition, differences in indicator definitions and coverage impact comparability, with a number of countries not able to adhere to the “preferred definition” of the core indicators. In these instances, a proxy

has been adopted. For this reason, all country profiles include a table which provides the definition adopted for each indicator and a reference to the data source. Despite these limitations, it is possible to compare general trends across countries, as the differences in the exact composition of the single indicator are muted when evaluating rates of change. Country profiles in the print edition of this publication are abbreviated to two pages with key facts and the table with core indicators, while the full profiles are available online.

Data adjustments for analysis

Differences in inflation levels across countries affect the comparability of trends over time. Considering this, indicators in the trends chapter have been adjusted for inflation. This adjustment converts nominal (current-price) values into real (constant-price) values, helping to distinguish changes in underlying volumes from those driven by price changes, and improving comparability across countries with divergent inflation paths. For this purpose, the GDP deflator from the OECD Economic Outlook publication is used. The base year used is 2007, as most of time-series graphs in Chapter 1 compare the median growth rate since 2008. For the evolution of the aggregate long term outstanding stock of SME loans, data presented is in nominal terms, given the stock nature of the indicator, and to avoid altering the recorded level through inflation adjustments.

Monetary values reported in national currencies are converted into a common currency for the purpose of aggregating country data and analysing cross-country totals. All available series are converted into US dollars (USD) using the annual exchange rate for each reference year in each country, as provided in the OECD Data Explorer exchange rate database, and from the World Bank's World Development Indicators for non-OECD countries whose data were not available.

Methodological advances and recommendations for data improvements

There have been important methodological and structural improvements in recent editions of this report. More detailed information regarding the sources and definitions of core indicators has been provided for participating countries. Since June 2016, the Scoreboard data have been available on the OECD.Stat. In 2024, the OECD migrated to the [OECD Data Explorer](#), and significant enhancements were made to improve the user experience. Previously, the database allowed users to filter data only by country and year. The new version now offers additional filtering options, differentiating between company size (e.g. large, small or total), stock and flow data, and unit of measure (e.g., volumes in local currency, percentage, percentage points). Data on core indicators can be consulted, downloaded and put to further use, thereby addressing a longstanding demand to improve access to the data and exposure of the publication to a wider audience.

Furthermore, the Scoreboard now seeks to collect disaggregated data on SME and entrepreneurship finance and financing conditions. Data collection has started by geographical location and by gender of the principal owner, and efforts to improve country and time coverage are being pursued. In particular, more efforts are needed on the collection of gender disaggregated data, as few countries appear to be collecting this information, despite its high policy relevance. In this context, the OECD is partnering with the Women Entrepreneurs Finance Initiative (We-Fi) and its Women Entrepreneurs Finance Code, as part of its efforts to strengthen information on access to finance by women-owned businesses within the Scoreboard.

The collection of additional dimensions (e.g. sector of operation and firm size) is foreseen to be incorporated in the future. Overall, the incorporation of these dimensions will provide a better understanding of SME and entrepreneurship finance trends, would significantly continue to strengthen the usefulness of the Scoreboard, contribute to a better understanding of the heterogeneity of SME segments, enrich the evidence base and support policy efforts focused on SME and entrepreneurship financing.

Finally, efforts are ongoing to increase the coverage of participating countries and to harmonise the data from participating countries.

A summary of recommendations to further improve data collection and reporting of core indicators are outlined in Box 1 (see the Annex for a more detailed discussion). Actions in these areas can enable countries to progress in the harmonisation of definitions and facilitate inter-temporal and cross-country analysis of trends in SME and entrepreneurship finance.

Box 1. Recommendations for improving the reporting of core indicators

1. Improve reporting of SME loan variables by:

- Systematically separating reporting of financial information for non-employer and employer-firms;
- Providing both stock and flow data for SME loans;
- Detailing the loan composition, indicating the different underlying products (e.g. overdrafts / lines of credit / leases / business mortgages or credit cards / securitised loans), and disclose such elements in the loan definition.

2. Fill gaps in available data and work towards more comprehensive information for other core indicators in the Scoreboard, including:

- Offer more comprehensive information on government programmes that ease SME access to finance:
 - Systematically distinguishing between stock and flow data for indicators such as government loan guarantees, government-guaranteed loans, and direct government loans
 - In the context of specific measures to foster innovation or digitalization, provide information on new or expanded government schemes, including information on eligibility criteria and duration, and if possible, amount of total funding allocated to those schemes.
- Provide more comprehensive data on venture capital investments, including trends by stage and sector;
- Compile SME-specific information on the uptake and use of asset-based finance (versus other beneficiaries);
- Collect information on SME loan fees, in addition to interest applied on the loans;
- Detail the definition of collateral and improve reporting, using demand-side surveys to compensate for lack of supply-side data;
- Advance efforts to compile more disaggregated data on the Scoreboard core indicators, notably by gender of principal owner and geographical location.
 - On the collection of gender-disaggregated data, provide figures distinguishing between firms that are primarily owned (not managed) by women (e.g. 51% owned by women), firms primarily owned by men, and “dual-owned”.
 - On the collection of subnational level data, provide figures at the TL2 level.

3. Work to improve data collection on online alternative finance to capture its growing role in the SME financing mix. For example, indicators for future consideration in the Scoreboard may include digital lending (e.g. loans issued by Fintech balance-sheet lending platforms, P2P/Market place lending, invoice trading) and digital capital raised by SMEs (e.g. crowdfunding).

Abbreviations and acronyms

Acronym	Full name
AEC	Alberta Enterprise Corporation
AI	Artificial Intelligence
API	Application programming interfaces
AUM	Assets Under Management
B2B	Business-to-Business
BBB	British Business Bank
BBi	British Business Investments
BBLS	Bounce Back Loan Scheme
BCI	Business Confidence Index
BDC	Business Development Bank of Canada
BCRCF	British Columbia Renaissance Capital Fund
BPC	British Patient Capital
CAD	Canadian dollar
CBILS	Coronavirus Business Interruption Loan Scheme
CLBILS	Coronavirus Large Business Interruption Loan Scheme
COVID-19	Coronavirus disease 2019
DEI	Diversity, equity, and inclusion
DTCF	Deep-Tech & Climate Fund
ECB	European Central Bank
EIB	European Investment Bank
EIF	European Investment Fund
EIFO	Export and Investment Fund of Denmark
ELFA	Equipment and Leasing Finance Association
ELTIF	European Long-Term Investment Fund
EMF	Emerging Manager Facility
EPU	Economic Policy Uncertainty Index
ERISA	Employment Retirement Income Security Act

ERP	European Recovery Programme
EU	European Union
EUR	Euro
FCI	Factors Chain International
GBP	British pound
GDP	Gross domestic product
GFF	German Future Fund
GGS	Growth Guarantee Scheme
HTGF	High-Tech Gründerfonds
ICO	Instituto de Crédito Oficial
ICT	Information and communication technology
IPO	Initial Public Offering
IQ	Investissement Québec
IWC	Investing in Women Code
KfW	Kreditanstalt für Wiederaufbau
KRR	Kasvurahastojen Rahasto (Finnish name of Tesi's fund-of-funds programme)
KRW	South Korean won
LTAfs	Long-term assets funds
MLETR	(UNCITRAL) Model Law on Electronic Transferable Records
MSS	Ministry of SMEs and Startups
MSME	Micro, Small and Medium Enterprises
NAFIN	Nacional Financiera de Mexico
NATO	North Atlantic Treaty Organization
NBIF	New Brunswick Innovation Foundation
NPLs	Non-performing loans
NSSIF	National Security Strategic Investment Fund
NURS	Non-UCITS Retail Schemes
PDB	Public development banks
PE	Private equity
PGE	Prêt garanti par l'État
PPP	Purchasing power parities
SAFE	Survey on the access to finance of enterprises
SBA	Small Business Administration
SBIC	Small Business Investment Company
SBIR	Small Business Innovation Research
SME	Small and medium-sized enterprises

STEM	Science, Technology, Engineering, Mathematics
TESI	Finnish Industry Investment Ltd
TPU	Trade Policy Uncertainty Index
UAE	United Arab Emirates
UCITS	Undertakings for Collective Investment in Transferable Securities
UF	Unidad de Fomento
UNCITRAL	United Nations Commission on International Trade Law
VC	Venture capital
VCAP	Venture Capital Action Plan
VCCI	Venture Capital Catalyst Initiative
WIN	Growth and Innovation Capital for Germany Initiative

ISO Country Abbreviations			
AUS	Australia	JPN	Japan
AUT	Austria	KAZ	Kazakhstan
BEL	Belgium	KOR	Korea
BRA	Brazil	LTU	Lithuania
CAN	Canada	LUX	Luxembourg
CHE	Switzerland	LVA	Latvia
CHN	People's Republic of China	MYS	Malaysia
CHL	Chile	MEX	Mexico
COL	Colombia	NLD	Netherlands
CZE	Czech Republic (Czechia)	NZL	New Zealand
DNK	Denmark	NOR	Norway
ESP	Spain	PER	Peru
EST	Estonia	POL	Poland
FIN	Finland	PRT	Portugal
FRA	France	SRB	Serbia
GBR	United Kingdom	SVK	Slovak Republic
GEO	Georgia	SVN	Slovenia
GRC	Greece	SWE	Sweden
HUN	Hungary	THA	Thailand
IDN	Indonesia	TUR	Türkiye
IRL	Ireland	UKR	Ukraine
ISR	Israel	USA	United States
ITA	Italy	ZAF	South Africa

Executive summary

Financing SMEs and Entrepreneurs 2026: An OECD Scoreboard offers valuable international evidence to help governments and financial institutions monitor access to finance, financing conditions and policies for small and medium-sized enterprises (SMEs) and entrepreneurs. The 2026 Scoreboard provides official data on SME financing for 48 countries across the OECD and beyond. It covers indicators on debt, equity, asset-based finance and financing framework conditions from 2007-2024, complemented by the latest available data for 2025. It also provides recent information on public policies and private initiatives to support SME finance, along with evidence on the demand for finance.

While this 2026 edition comes at a time when borrowing costs were beginning to ease, they remain historically high, with 34 out of 39 countries having higher SME rates compared to the pre-pandemic, and heightened geopolitical tensions are creating upward pressures. At the same time, bank lending terms and conditions have tightened, with 10 out of 17 countries showing higher shares of SMEs requiring collateral, reflecting persistent economic uncertainty on the part of financial institutions. In the context of the evolving conflict in the Middle East, a prolonged period of higher energy prices would add markedly to business costs and raise consumer price inflation, with adverse economic consequences.

Against this backdrop, while there are tentative signs of recovery in new lending to SMEs, with the Scoreboard median increasing by 5.7% in 2024, it remains fragile. Indeed, lending in 2024 was still 4% down on 2022 and the stock of SME loans as a share of GDP fell in 25 out of 41 countries, driven in part by repayments of COVID-19-era loans and declining maturities of new loans. In fact, long-term loans, often used to finance investments, edged down. Taken together, these developments suggest that economic uncertainty and relatively high borrowing costs continue to contribute to sluggish SME credit growth, holding back investments at a time when it is urgent to boost SME competitiveness.

Finance through other instruments, such as factoring and leasing, also remains subdued with the Scoreboard median growth rate of factoring activities falling by 3% in 2024, and leasing increasing modestly by 1.6% over the same period. Equity financing shows signs of recovery, with 18 countries out of 30 increasing venture capital volumes, but the rebound is uneven and concentrated in few large investments in artificial intelligence.

On the other hand, Fintech-driven finance is playing a growing role in SME access to capital, with an increasing number of Fintech firms indicating SMEs as their primary customers. In addition, non-bank lenders are playing an increasing role.

Governments are working to enable the implementation of tech models in asset-based financing by enacting laws to enable these models to scale and to reach SMEs with limited credit history. This includes digital infrastructures for factoring transactions and centralised invoice registries to allow parties to verify the status of receivables, accurately assess credit risk, and enable AI-driven decision tools to assess financing applications more comprehensively.

In addition, as highlighted in the Scoreboard's thematic chapter, governments are making significant efforts to support start-ups and innovative SMEs through venture capital (VC) schemes, in line with the OECD Recommendation on SME Financing. Indirect public participation is growing rapidly, with significant public

capital invested in fund-of-funds, although direct investments remain widespread. Many of these investments are channelled through public development banks. The VC industry has expanded significantly in the last 15 years, supported by accommodative monetary conditions and greater participation of institutional investors and governments, alongside rising demand from intangible-asset start-ups, particularly in information and technology-intensive sectors.

In recent years, many national (and in some cases regional) governments have been increasingly leveraging some of their VC activities to steer investments toward strategic sectors and technologies, such as green-tech, deep-tech and defence. They are also seeking to address regional concentration and promote better access to VC for women-owned firms. Additionally, public development banks and other government investors are stepping up efforts to mobilise a broad set of investors, including institutional investors, retail investors and family offices, to increase the pool of patient capital much needed for these emerging strategic technologies.

Governments are also increasingly prioritising targeted support for SMEs exposed to international trade tensions, while continuing to work towards promoting SME sustainability investments through both financial and non-financial support.

Looking ahead, SME finance policy should seek to foster SME long-term investments alongside working capital, to boost competitiveness, resilience and growth in a context of continued economic uncertainty. Efforts to strengthen diversification of financing instruments and sources should also continue, including asset-based finance and equity, as well as responsible digital and AI-enabled finance. The Scoreboard will continue to monitor developments in the SME financing and policy landscape in future editions.

Part I Recent developments in SME and entrepreneurship finance

1

Recent trends in SME and entrepreneurship finance

The chapter reports on trends and conditions in SME access to finance for 48 countries across the OECD and beyond. It first provides a brief overview of developments in macroeconomic conditions and the business environment amid heightened uncertainty from evolving geopolitical tensions. It then analyses the provision of SME bank financing and credit conditions in 2024, complemented by the latest available data for 2025, as well as developments on asset-based finance, equity and Fintech. Trends in bankruptcies and non-performing loans, and recent developments in government policies are also assessed.

Macroeconomic context

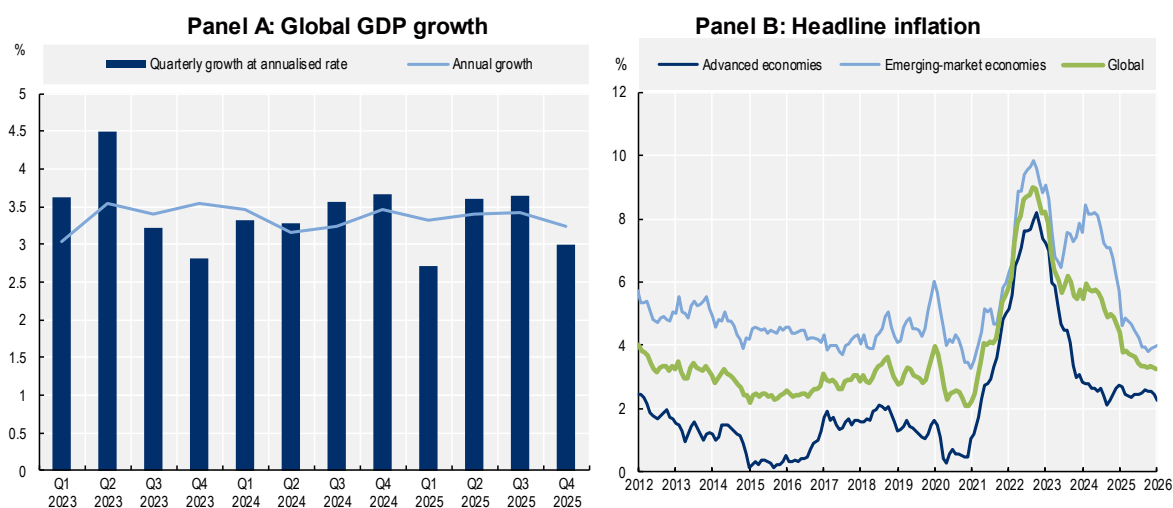
Global economic growth has demonstrated resilience in the face of a challenging economic and geopolitical environment in recent years. It remained solid in 2025, with the world economy expanding at an annual pace of 3.3% in 2025 (Figure 1.1, Panel A) (OECD, 2026^[1]). Furthermore, indicators for the early months of 2026 suggest that global growth remained solid in both services and manufacturing sectors, with technology-related industrial production continuing to grow rapidly, especially in Asia and the United States. In light of the evolving conflict in the Middle East, the OECD's March 2026 forecasts project global growth at 2.9% in 2026, before edging up to 3.0% in 2027 (OECD, 2026^[1]).

In 2025, the increase in goods production and trade in anticipation of higher tariffs helped to boost economic growth rates. As a result, industrial production in the first half of 2025 grew faster than the average pace for 2024 in most economies. In the second half of 2025, global growth expanded, with activity boosted by strong AI-related investment and production, and supportive financial and fiscal conditions.

Inflation declined in most economies in 2024 (Figure 1.1, Panel B), and developments as of the end of 2025 indicated a return to target expected in almost all major economies by mid-2027. However, in the context of the energy price shocks due to the evolving conflict in the Middle East, inflation is expected to increase in 2026, before easing in 2027 with an assumed fading of energy price pressures. Nonetheless, inflation developments differ across countries. Inflation remains above central bank targets in Brazil, Mexico, Türkiye, the United Kingdom and the United States. There were also signs of a resurgence in inflation prior to the escalation of the Middle East conflict in Australia, and a pickup from moderate rates in India, Indonesia, Italy and South Africa. In contrast, inflation had returned to target and remained largely benign in the euro area as a whole, as well as in Korea and Canada (OECD, 2026^[1]).

Figure 1.1. Global GDP growth and inflation developments

In percentages



Note: In Panel A, annual growth denotes the change over the year to the quarter shown. The global aggregates are PPP-weighted measures. The series shown in Panel B are PPP-weighted aggregates covering 36 advanced economies and 36 emerging-market economies.

Source: Panel A, OECD Interim Economic Outlook 119 database; OECD Consumer Price database; Eurostat; US Bureau of Economic Analysis; national sources; LSEG; and OECD calculations (OECD, 2026^[1]).

Trade and business investment

Global trade remained heavily shaped by the implementation of tariffs throughout 2025. While US bilateral tariff rates have declined since November 2025, the overall US effective tariff rate remains well above that prevailing prior to 2025. Nevertheless, global merchandise trade continued to expand at a steady pace through the second half of 2025 (OECD, 2026^[1]). However, the evolving conflict in the Middle East poses risks to global supply chains, with implications for trade.

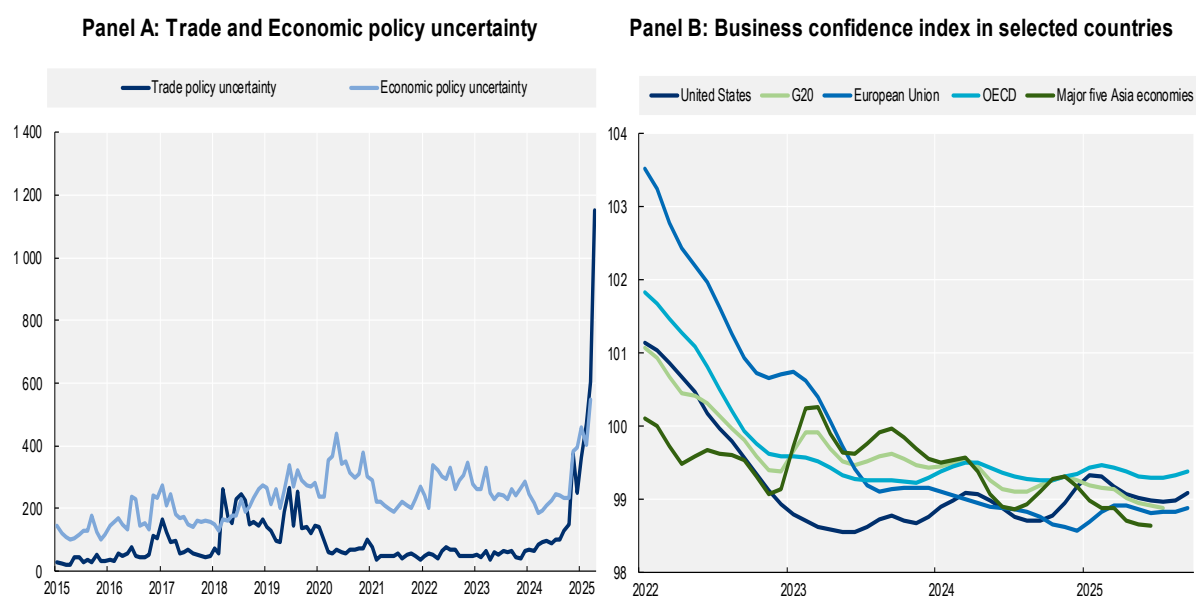
In a context of high levels of uncertainty in trade and economic policy (Figure 1.2, Panel A), many economies have been intensifying efforts to diversify their export markets. This includes the EU-Mexico Global Agreement, signed in September 2025 and the Interim Trade Agreement between the EU and Mercosur, signed in January 2026, as well as the announcement of the conclusion of negotiations for an EU-Australia trade agreement in March 2026 (OECD, 2025^[2]) (European Commission, 2026^[3]) (European Commission, 2026^[4]). In 2025, Canada also signed a new trade agreement with Indonesia, relaunched trade agreement negotiations with India, and launched trade negotiations with the UAE (Fasken, 2026^[5]).

The impacts of higher tariff rates on businesses continue to evolve. Initially, firms relied on inventories and profit margins to cushion the impact of rising tariffs. However, there are signs that tariffs are being passed through to consumer prices, notably in durable goods with a high import content (OECD, 2025^[6]). This can be particularly detrimental for countries with high shares of SMEs involved in international trade, as they are less able to absorb changes in prices compared to large firms.

Higher trade barriers and elevated policy uncertainty are weighing on business confidence and corporate investment decisions (OECD, 2025^[6]). The OECD Business Confidence Index shows that in early 2025, businesses were less pessimistic compared to the previous quarter, explained by the front-loading effect, but confidence faded towards the second half of the year (Figure 1.2, Panel B). The effects of trade frictions on business investment have begun to materialise¹. Businesses in Canada, the People's Republic of China (China), and Germany² have begun to show a decline in capital expenditure plans, particularly in exporter firms, due to trade tensions (Bank of Canada, 2025^[7]) (Reuters, 2025^[8]) (Reuters, 2025^[9]). A survey of US businesses in April 2025 revealed that 45% anticipated reducing capital investment in the next six months due to policy uncertainty³ (Federal Reserve Bank of Atlanta, 2025^[10]).

Figure 1.2. Uncertainty and Business Confidence Index

Amplitude adjusted index, long-term average = 100



Note: For Panel A, the Economic Policy Uncertainty (EPU) is based on Baker, Bloom and Davis (2016) and the Trade Policy Uncertainty (TPU) index is from Caldara et al (2019). The EPU index is a nominal GDP-weighted average of national EPU for 21 countries: AUS, BRA, CAN, CHL, CHN, COL, FRA, DEU, GRC, IND, IRL, ITA, JPN, KOR, MEX, NDL, RUS, SPA, SWE, GBR, USA. The TPU index is based on automated text searches of the electronic archives of seven newspapers. Panel B shows the OECD business confidence index (BCI), a standardised confidence indicator providing an indication of future developments in business, based upon opinion surveys on developments in production, orders and stocks of finished goods in the manufacturing sector. Other sectors (construction, retail trade and services) are not included due to poor data availability among non-EU OECD member countries and among the OECD Non-member Economies. Numbers above 100 suggest an increased confidence in near-future business performance, and numbers below 100 indicate pessimism towards future performance. The major five Asia economies include China, India, Indonesia, Japan, Korea.

Source: (Economic Policy Uncertainty, 2025^[11]); Business Confidence Index (OECD, 2025^[12]).

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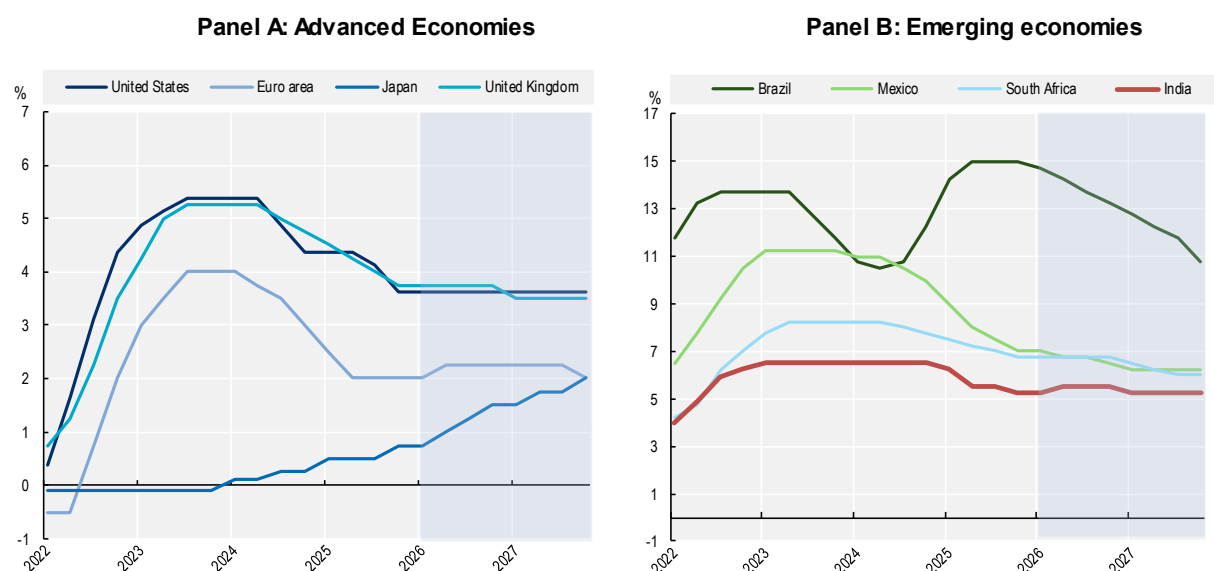
Financial conditions

The recent increase in global energy prices and threats to supply chains are occurring at a time of above target inflation in some major economies and relatively tight labour markets. Aggregate consumer price inflation for the G20 countries will be markedly higher than previously expected in 2026, largely owing to the increase in global energy prices. The projection for headline inflation in the G20 has been revised upwards, with inflation now projected to rise from 3.4% in 2025 to 4.0% in 2026, before easing to 2.7% in 2027. Core inflation in the G20 advanced economies is anticipated to weaken from 2.6% in 2026 to 2.3% in 2027 (OECD, 2026^[11]). In this context, monetary policy rate developments are becoming increasingly varied across countries. Rates remain at restrictive levels in the United States, the United Kingdom, Brazil, Mexico and Türkiye, and have recently been raised in Australia, reflecting stronger than expected inflation pressures, and Japan. In contrast, policy rates have remained unchanged in the euro area, Canada and Korea with inflation close to target and policy rates close to neutral levels. Policy rates are also at moderate levels in many other emerging-market economies, including India and South Africa, with policy decisions remaining finely balanced to minimise risks of currency volatility and keep inflation expectations well anchored (OECD, 2026^[11]).

Prior to these recent developments, headline inflation had remained broadly stable in both advanced and emerging-market economies in 2024 and throughout 2025, and policy interest rates had eased in most advanced and emerging market economies (Figure 1.3). In September 2025, both the United States and Canada lowered their policy rates (Board Governors Federal Reserve System, 2025^[13]) (Bank of Canada, 2025^[14]), with further cuts in October and December in the US. In contrast, monetary policy in Japan led to policy rate increases in 2025. Policy rates were reduced in many emerging market economies in 2025, given contained inflation pressures, except for Brazil.

Figure 1.3. Policy interest rates in selected countries

As a percent



Note: Policy interest rates in the baseline projection. Panel A shows the midpoint of the federal funds target range for the United States and the deposit facility rate for the euro area.

Source: OECD Interim Economic Outlook 119 database (OECD, 2026^[11]).

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As a result of lower policy rates, bank credit growth began to recover in 2025 following the decline in 2024 in the context of tight credit conditions. In Europe, financing of non-financial corporations picked up in 2025 by 0.9% in Q1 and 1.3% in Q2, after declines in 2024. Financing by loans and trade credits mainly drove corporate credit growth (ECB, 2025^[15]). In the UK, total corporate bank credit⁴ growth strengthened in 2025, rising from 2% in January to 6% by August (Bank of England, 2025^[16]) (Bank of England, 2025^[17]). In Canada, the demand for credit from private non-financial corporations registered a sharp increase, reaching CAD 43.9 billion in Q2 2025, the fastest pace of borrowing since Q4 2021 (Statistics Canada, 2025^[18]). Furthermore, the US dollar depreciated in 2025, contributing to easier global financial conditions in the United States and in emerging-market economies with a high share of US dollar-denominated debt. However, since the escalation of hostilities in the Middle East, volatility in financial markets has increased markedly, financial conditions have tightened, and equity prices have decreased across countries (OECD, 2026^[11]).

Lending to SMEs

While lending to SMEs started to recover in 2024, outstanding stocks of SME loans broadly stagnated, signaling a reluctance by SMEs to take on external finance for investment at a time of heightened economic uncertainty. Box 1.1 explains how the Scoreboard calculates these two important indicators.

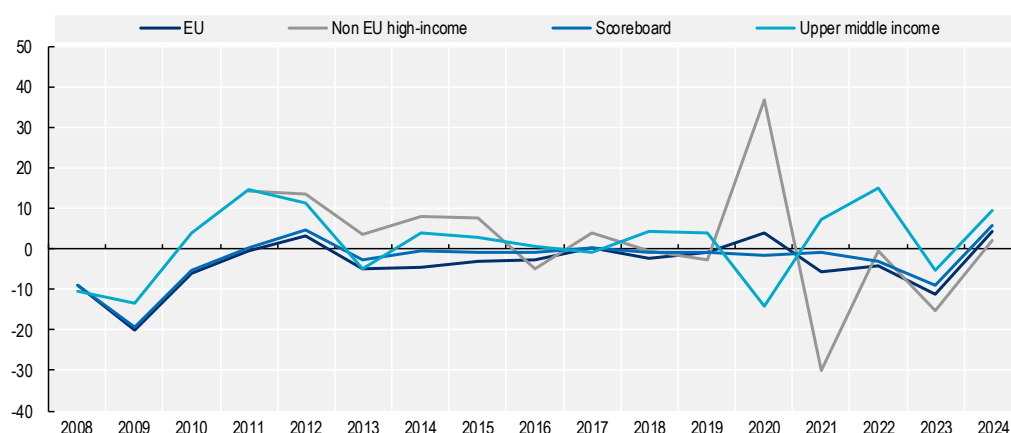
New SME lending grew in 2024, but not enough to offset previous declines

In the context of declining policy interest rates and overall corporate credit growth, the flow of loans to SMEs also increased in 2024, with the Scoreboard median increasing by 5.7%, following a 9% decline in 2023. All country groups exhibit the same trend, with the most significant increase in upper-middle-income countries, which generally exhibit more volatility in SME loan flows. The EU and non-EU high-income countries registered a more moderate increase in the flows of loans to SMEs, 5% and 2% respectively. Data on loans up to EUR 1 million (a proxy for SME loans) from the European Central Bank show that in 2024, new loans in the Eurozone amounted to approximately EUR 187 billion per annum (up from EUR 167 billion in 2023) of which more than half was made available for financing transactions of up to EUR 250 000⁵ (European Central Bank, 2025^[19]) (European Commission, 2025^[20]). When looking at the flow of loans, the countries with the highest year-on-year increases include Chile (61%), Luxembourg (27%) and Ukraine (23%). The increase in the flow of SME loans in Chile can partly be attributed to a jump from a low base. In 2022 and 2023, new lending declined by 40% and 18%, respectively, as a result of the tight financial environment (Chile country profile).

Despite a recovery in new SME lending in 2024, volumes remained lower in most countries relative to the pre-pandemic period. Box 1.2. shows SME lending flows and SME interest rates in 2019 and 2024 in Scoreboard countries, with most countries characterised by lower flows and higher rates, with some exceptions. The aggregate of new SME lending in real terms in a selected group of countries shows that volumes are 20% lower in 2024 relative to 2019⁶.

Figure 1.4. New SME loans

Median year-on-year growth rate, as a percentage



Note: All data are adjusted for inflation using the GDP deflator of each country published in the OECD Economic Outlook database using base year 2007. GDP deflators for non-OECD countries were extracted from the World Development Indicators from the World Bank. Upper-middle-income countries include BRA, COL, GEO, KAZ, MEX, MYS, PER, SRB, TUR, UKR. Non-EU high-income countries include AUS, CAN, CHL, GBR and USA. EU countries include AUT, BEL, CZE, DEU, DNK, ESP, EST, FIN, GRC, HRV, HUN, IRL, LTU, LUX, LVA, NLD, PRT, SVK, SVN.

Source: Data compiled from individual country profiles.

Box 1.1. Understanding the Scoreboard data on SME finance

Adjustments to control for variations in inflation

Differences in inflation levels across countries hamper the comparability of trends over time. To address this issue, most Scoreboard data presented in this chapter are adjusted for inflation when appropriate. This adjustment converts nominal (current-price) values into real (constant-price) values, helping to distinguish changes in underlying volumes from those driven by price changes, and improving comparability across countries with divergent inflation paths. For this purpose, the GDP deflator from the OECD Economic Outlook publication is used. The base year is 2007, as the time-series graphs compare median growth rates since 2008.

For the evolution of the aggregate long-term outstanding stock of SME loans, data presented is in nominal terms, given the stock nature of the indicator, and to avoid altering the recorded level through inflation adjustments.

Currency adjustments

Monetary values reported in national currencies are converted into a common currency for the purpose of aggregating country data and analysing cross-country totals. All available series are converted into US dollars (USD) using the annual exchange rate for each reference year in each country, as provided in the OECD Data Explorer exchange rate database, and from the World Bank's World Development Indicators for non-OECD countries whose data were not available.

Box 1.2. Patterns in new lending to SMEs in the context of higher interest rates

In recent years, higher interest rates can help explain weak growth in SME new lending in most countries, influencing the demand for financing. However, in some countries, new lending has grown even with high interest rates, suggesting a combination of factors driving SME lending patterns, including policy-driven credit mechanisms, such as credit guarantees, subsidised rates and direct lending, as well as lending maturity structures (higher shares of short-term lending).

Figure 1.5 shows SME new lending volumes against SME interest rates in 2019 and 2024 for Scoreboard countries with available data. Compared to the pre-pandemic period, most Scoreboard countries had higher interest rates (rightward) and more modest lending flows in 2024. This is the case of the majority of countries, including 12 out of 21 European countries, and other economies such as Brazil, Canada, Peru, UK and Ukraine. However, in some countries, including Greece, Kazakhstan, Latvia, Lithuania, Portugal and the Slovak Republic, new SME lending flows in 2024 were higher than in 2019 despite the rise in interest rates.

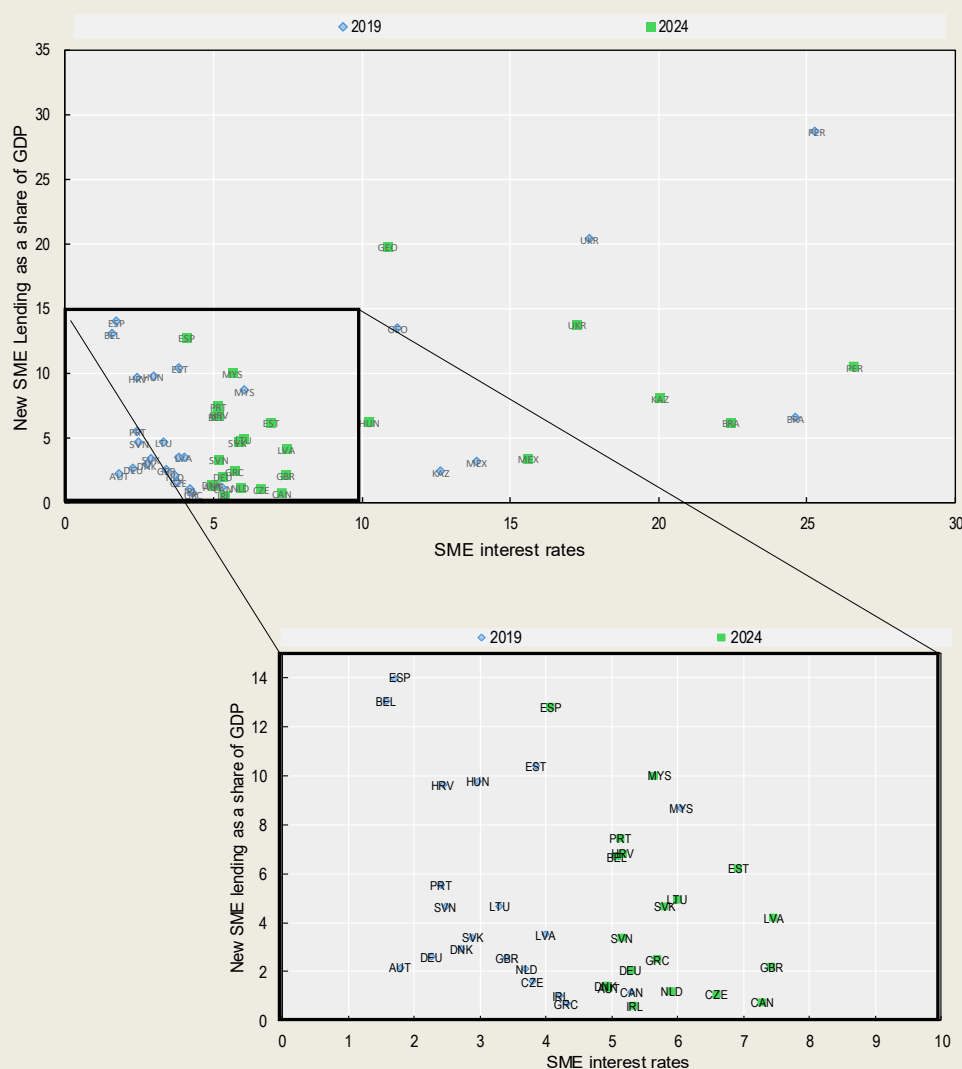
Kazakhstan experienced a substantial increase (5.7 p.p.) in new SME lending amid higher rates, with substantial public interventions sustaining SME financing through the Damu Fund, which provides partial credit guarantees, direct lending and interest rate subsidies. Data on government-guaranteed loans confirms increased levels of guarantee activity (80% increase in government-guaranteed loans between 2019 and 2024). In Greece, SME lending flows increased by 1.8 p.p. over the period, explained in part by the significant guarantee activity backed by the EIF and EIB (in 2024, guarantees amounted to EUR 152 million by EIF and EUR 550 million by EIB) (EIB, 2025^[21]). The growth in lending flows in Latvia and Lithuania is smaller (less than 1 p.p.), with new guarantee initiatives contributing to the flow of lending,

including EIF-backed guarantee programmes through Invest-EU (European Commission, 2023^[22]) (EIF, 2023^[23]).

For other countries, growth in new lending in a context of high interest rates is explained by a reduction in the average maturity (i.e. higher shares of short-term loans). These loans lead to more frequent loan renewals and originations throughout the year and thus contribute to higher lending flows. For example, in the Slovak Republic, short-term SME loans increased by 0.6 p.p. to reach 39% of all SME loans, which is high by international comparison.

Figure 1.5. New SME lending versus SME interest rates

As a share of GDP (y-axis), nominal rates as a percent (x-axis)



Source: Data on GDP was extracted from OECD Data Explorer national accounts database. GDP data was also extracted from the International Monetary Fund, World Economic Outlook Database, for countries with no available GDP data in the OECD database for 2024. Data on interest rates and new lending was compiled from information received from individual country Scoreboards.

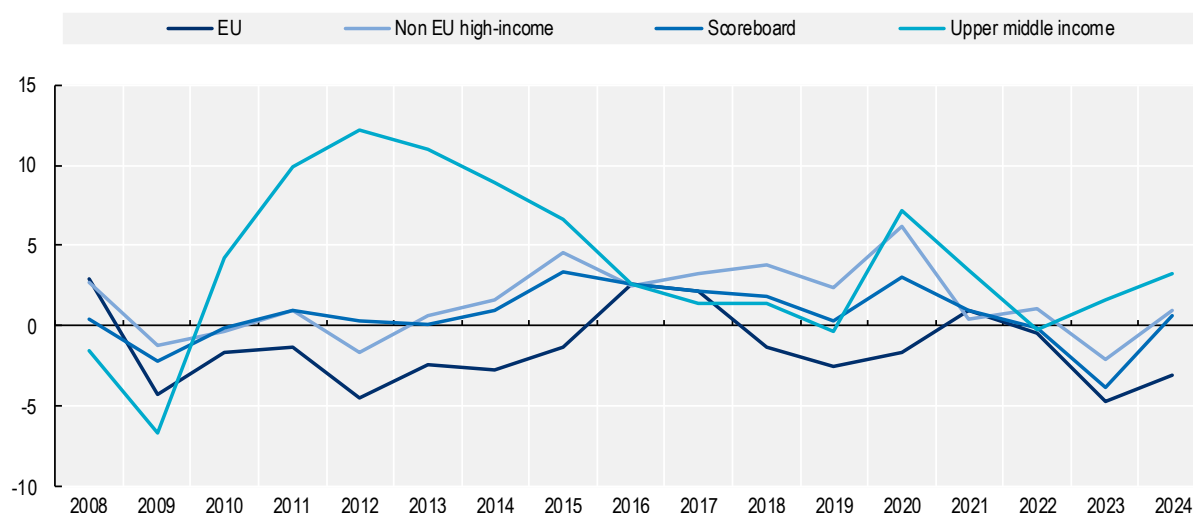
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However, the stock of SME loans was broadly stagnant

On the other hand, despite increases in new SME loans in 2024, the outstanding stock of SME loans in real terms remained relatively stable⁷ due to repayments of short-term loans in particular (OECD, 2025^[24]). Figure 1.6 provides information on the evolution of SME loan stocks.

Figure 1.6. Outstanding stock of SME loans

Median year-on-year growth rate, as a percentage



Note: All data are adjusted for inflation using the GDP deflator of each country published in the OECD Economic Outlook database using base year 2007. GDP deflators for non-OECD countries were extracted from the World Development Indicators from the World Bank. Upper-middle income countries exclude European countries.

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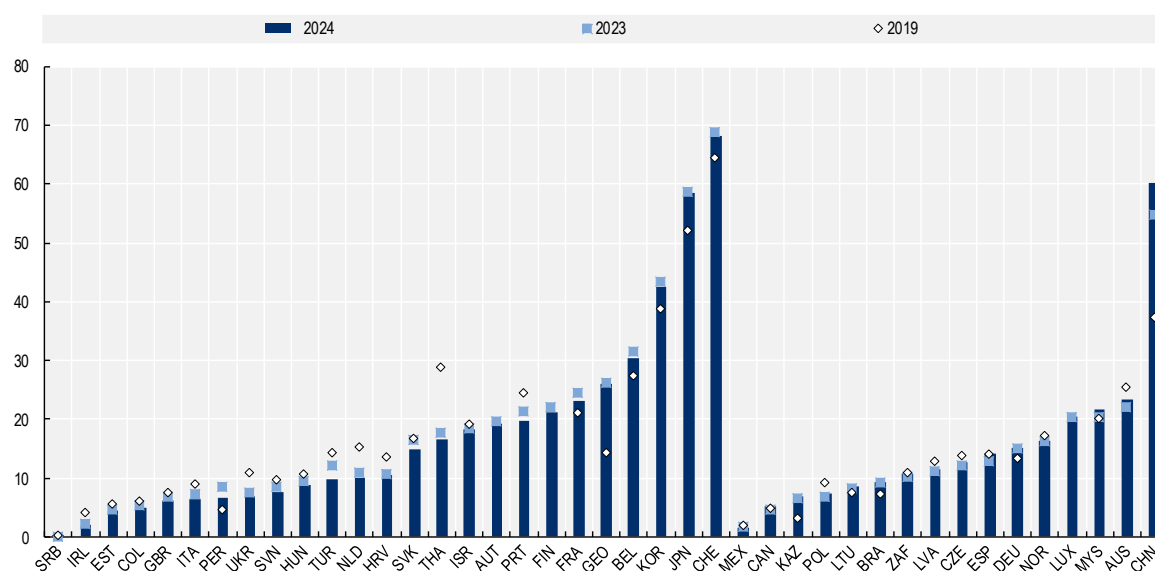
While the median outstanding stock growth was slightly positive in 2024, the stock of SME loans as a share of GDP decreased for most countries (25 out of 41) in 2024 compared to 2023. The countries with the largest declines were Türkiye (-2.2 p.p.), Peru (-1.7 p.p.) and Portugal (-1.6 p.p.) (Figure 1.7). COVID-19 loan repayments and gradual deleveraging explain in part the lower loan stocks. In the UK, despite a 13% y-o-y increase in new lending in 2024, net lending remained negative as firms continued to repay pandemic loans (UK Finance, 2025^[25]). Furthermore, transparency data from the UK Department for Business and Trade also confirm ongoing repayments and the progressive removal of state guarantees under the BBLS, CBILS and CLBILS schemes (Department for Business and Trade, 2025^[26]). The Bank of England agents reported in Q2 2024 that, based on discussions with at least 700 firms across the UK, firms were generally deleveraging and keen to reduce debt (UK country profile) (Bank of England Agents, 2024^[27]). In Spain, the stock of loans backed by ICO COVID-19 guarantees fell 30.8% in 2024, showing a rapid wind-down of the COVID-19 guaranteed loans (Autoridad Macroeconómica Consejo de Estabilidad Financiera, 2024^[28]). Similarly, in France, evidence from the “*Prêt garanti par l’État* (PGE)” scheme shows that 73% of firms opted for the maximum maturity, which means that amortisation will continue up to 2026 (Banque de France, 2024^[29]).

In addition to the repayment of COVID-19 loans, tighter credit supply in 2022 and 2023 also weighed on SME loan stocks, via a decline in new loans amid tight credit conditions (OECD, 2024^[30]) (OECD, 2025^[24]). A decline in loan maturities in some countries also explains the decline in the stock of loans. In 2024, 16 out of 30 countries exhibited a higher proportion of short-term loans compared to 2023.

In addition to declining maturities and repayments of COVID-19 era loans, the growth of non-bank finance⁸ may also explain the stagnation of SME loan volumes. There is evidence that a growing share of SMEs is turning to non-bank financial institutions⁹ for their borrowing needs, and financial authorities face challenges in capturing these transactions comprehensively¹⁰.

Figure 1.7. Outstanding stock of SME loans

Volumes as a share of GDP



Note: The graph shows the list of countries for which data of the outstanding stock of loans are available for the three referenced years, except for Chile. In Chile, SME loans refer to loans of up to UF 18 000, making up a very small share of total corporate loans. The countries on the left-hand side of the figure registered a decline in the share of SME outstanding stock of loans over GDP between 2023 and 2024.

Source: Data on GDP was extracted from OECD Data Explorer national accounts database. GDP data was also extracted from the International Monetary Fund, World Economic Outlook Database, for countries with no available GDP data in the OECD database for 2024.

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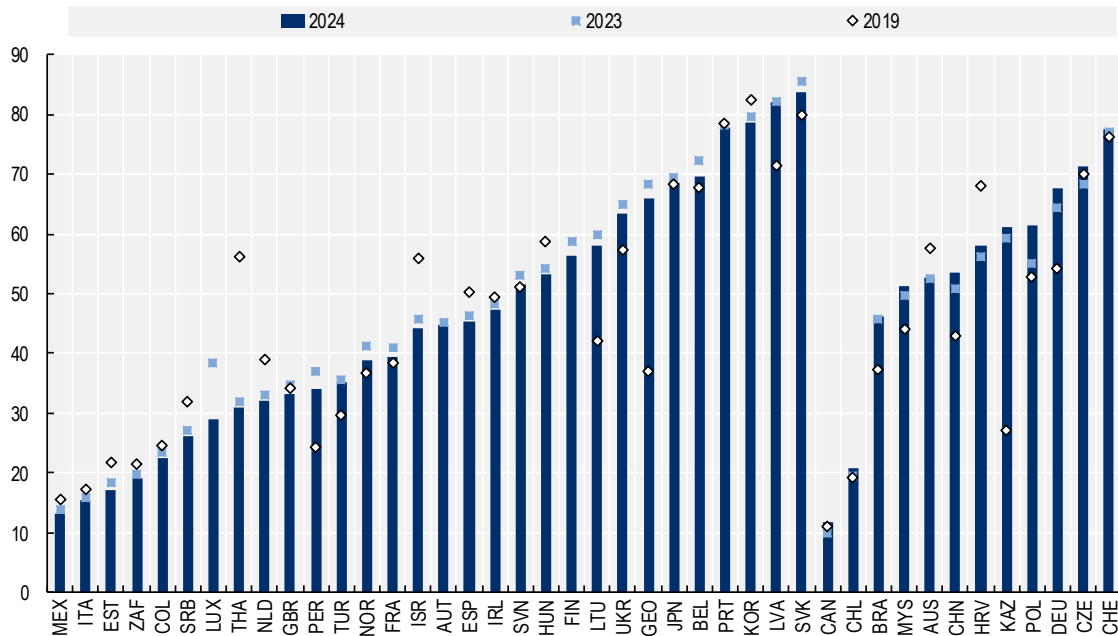
The SME loan share fell in a majority of Scoreboard countries

In 30 Scoreboard countries, the SME share of the total outstanding stock of loans declined in 2024, although in most cases this decline was small (1.6 p.p. on average) (Figure 1.8 – countries on the left-hand side of the figure). This decline reflects the trend observed in the Scoreboard median of the stock of SME loans, with deleveraging of COVID-19 era loans and tighter lending conditions in previous years.

Compared to the shares seen pre-pandemic, in 2024, 17 countries have SME loan shares below 2019 levels, with Thailand registering the highest decline in SME loan share since 2019 (25 p.p.) followed by Israel (12 p.p.) and Croatia (10 p.p.). Four countries SME loan shares on par with the pre-pandemic period, namely Canada, France, Japan, and Slovenia, while 20 countries registered higher shares in 2024 compared to the pandemic.

Figure 1.8. Share of SME outstanding stock of loans

As a percent of total outstanding business loans



Note: The countries on the left-hand side of the figure registered a decline in the share of SME outstanding stock of loans over total stock of loans between 2023 and 2024.

Source: Data compiled from information received from individual country Scoreboards.

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Long-term SME loans have declined in real terms, which may signal a weakening in SME investment

Scoreboard data from a selected group of countries indicates that long-term loans have edged down since 2021. The share of long-term SME loans in the total outstanding stock declined by 1.5 p.p. since 2021. In real terms, the aggregate of SME long-term loan volumes has fallen by 11% over the same period¹¹. This trend is significant, as long-term loans are a critical source of financing for fixed investment, innovation and expansion.

Survey data indicate that the decline in long-term loans is partly explained by the uncertain economic environment, which is weighing on SME long-term planning and investment. For example, in New Zealand, supply-side survey data from Q3 2024 showed weaker SME demand for credit for capital expenditure, with banks indicating SMEs were waiting for more accommodative credit conditions and improvements in economic conditions before increasing long-term investments (capital expenditure) (Reserve Bank of New Zealand, 2024^[31]). The Eurochambres Economic Survey 2025 also revealed lower investment expectations from SMEs in 2025 due to tight financing conditions. In addition, lower firm profits and liquidity, usually critical drivers of private business investment, were reportedly low in the last quarters of 2024, contributing to the weak expectations for investments in 2025 (Eurochambres, 2025^[32]).

In addition, business statistics suggest that SME investments are declining. In Ireland, 59% of SMEs invested in capital assets in 2023, well below the pre-pandemic level of 64% (Kren et al., 2025^[33]). In the UK, the SME¹² share of net private sector investment fell from 48% to 38% between 2023 Q1 and 2025 Q1¹³ (Office for National Statistics, 2025^[34]).

Credit conditions

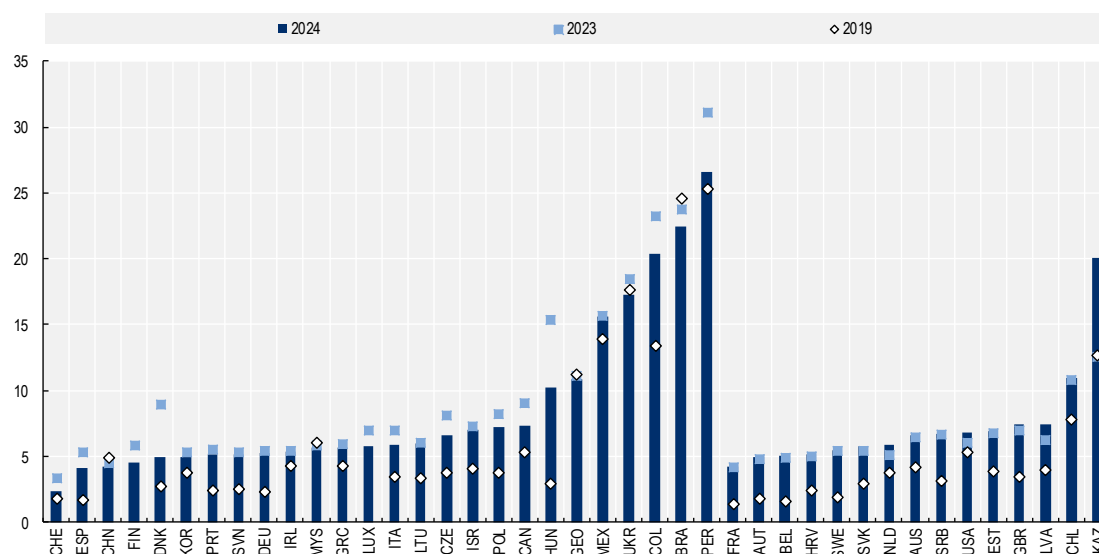
The decline in policy interest rates in most economies helped reduce the cost of credit to SMEs, but rates remain higher compared to before the pandemic

Following the decline in policy interest rates in 2024, borrowing costs for SMEs also fell in most economies, suggesting that the easing of monetary policy has begun to trickle down to SMEs. Between 2023 and 2024, 26 countries experienced a decline in SME interest rates (Figure 1.9, countries in the left-hand side). This reduction is, however, from a relatively high base (OECD, 2024^[30]) (OECD, 2025^[24]). In fact, most countries with the biggest declines were those with the highest SME interest rates in 2023. This includes Hungary (down 5 p.p.) Peru (down 4 p.p.), Colombia (down 3 p.p.).

When comparing 2024 levels with the pre-COVID (2019), however, SME interest rates remain higher across the board, 2.6 p.p. higher on average across Scoreboard countries. This suggests that, while monetary easing has begun to alleviate financing costs for SMEs, the credit environment is still more restrictive than in the pre-pandemic period. This is reflected in the European Investment Bank (EIB) Investment Survey 2024, where the share of EU firms dissatisfied with the cost of finance increased from 5% in 2022 to more than 23% in 2024. The share of financially constrained firms increased from 4.7% in 2021 to 6.8% in 2024, with the share of finance-constrained SMEs at 7.6% (European Commission, 2025^[20]). In Korea, the share of firms finding it more difficult to obtain bank loans rose 12.7 percentage points, to 41% in 2024, the highest since the survey began (Industrial Bank of Korea, 2025^[35]).

Figure 1.9. SME interest rates

Nominal rates, as a percent



Note: The countries on the left-hand side of the figure registered a decline in SME interest rates between 2023 and 2024. For Kazakhstan in 2023, levels are almost the same as 2019.

Source: Data compiled from individual country Scoreboards.

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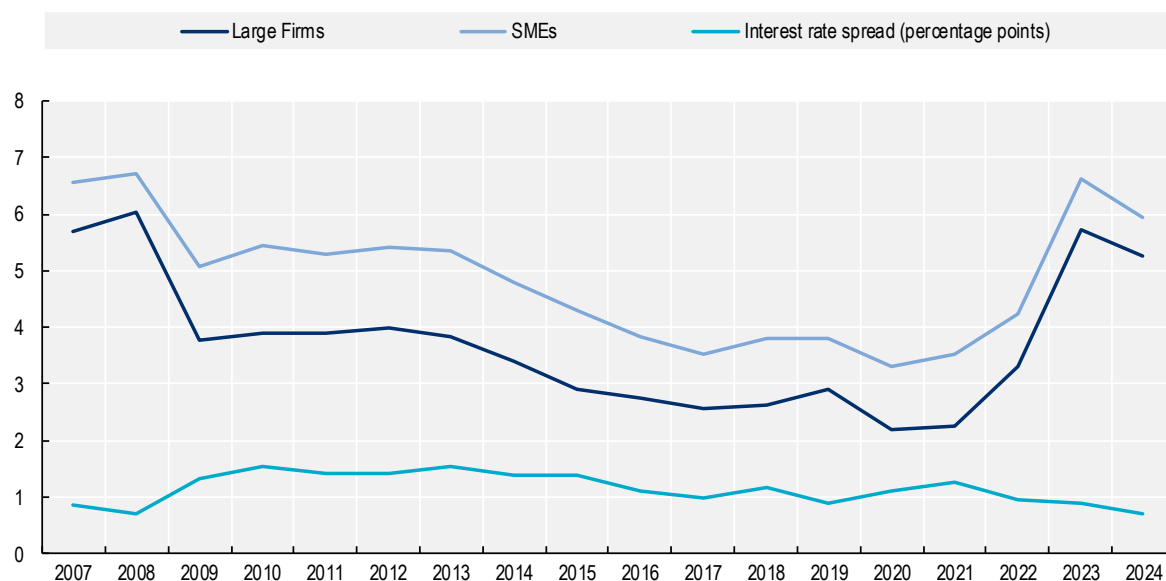
Interest rate spreads narrowed slightly, mainly driven by lower rates for medium-sized firms

In 2024, the median decline in SME interest rates was accompanied by a slight narrowing of the interest rate spread between SME and large firms, suggesting that the monetary policy changes affected most firms proportionately (Figure 1.10). However, there is heterogeneity among SME size classes. In Q2 2024, the credit conditions survey of the UK pointed to a slight widening in spreads for small businesses, while the spread remained unchanged for medium-sized firms (Bank of England, 2024^[36]). In the EU, the decline in interest rates for loans up to EUR 250 000 (proxy of loans for smaller SMEs) in 2024 was significantly less pronounced than for loans above EUR 250 000 (European Commission, 2025^[20]). In the US, in Q3 2024, only lending standards to small businesses tightened (The Board of Governors of the Federal Reserve System, 2024^[37]). In Japan, the Bank of Japan's Tankan demand side survey showed that, between Q3 and Q4 2024, small firms reported more restrictive lending attitudes, while medium-sized firms reported unchanged lending attitudes. In the survey between Q1 and Q4 2024, small firm respondents reported a rise in interest rates throughout the year compared to medium-sized firm respondents (Bank of Japan, 2025^[38]).

As credit costs continue to ease, the spread may be expected to widen. In Europe, the SAFE survey in Q1 2025 showed that while a net 12% of all firms reported a decline in bank interest rates, only a net 1% of SMEs reported such a decrease (ECB, 2025^[39]). In Japan SMEs reported higher interest rates compared to large firms in September 2025 (Bank of Japan, 2025^[38]).

Figure 1.10. Scoreboard median SME and large firm interest rates and interest rate spreads

Median nominal rates



Note: The median Interest rate spread is the difference between the median of SME interest rates and the median of interest rates for large firms.

Source: Data compiled from individual country Scoreboards. JPN, NOR, NZL, MYS, SVK, TUR, THA, ZAF, USA are omitted from the median calculation due to missing data in some years.

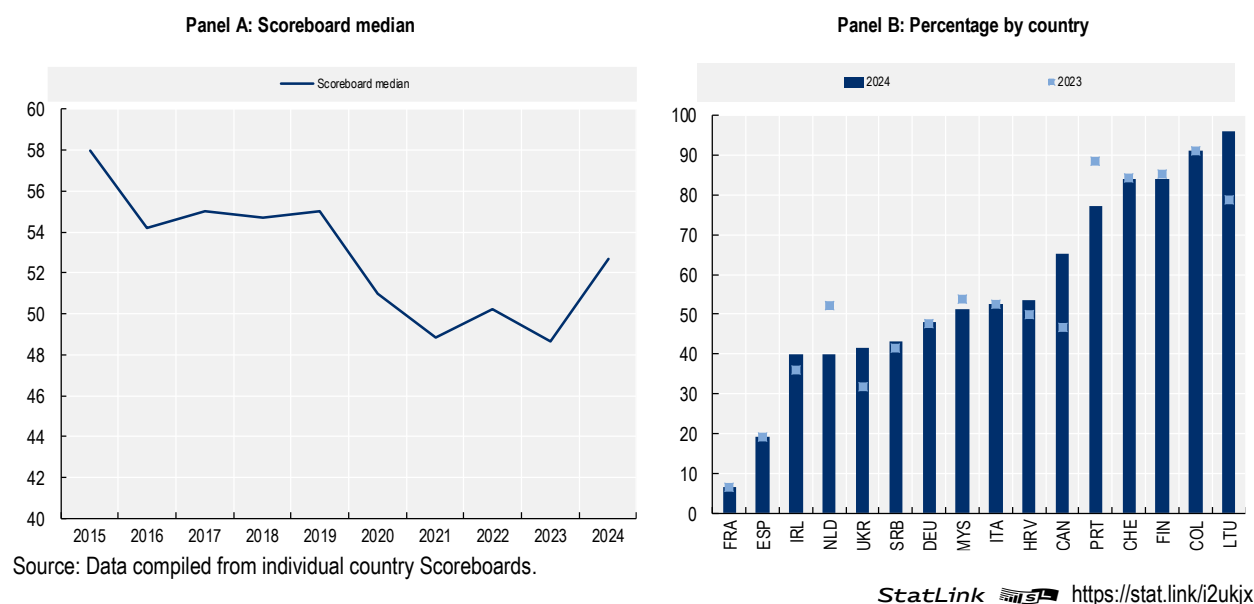
Collateral requirements have increased in the context of tighter credit terms and conditions

In 2024, the Scoreboard median of SMEs required to provide collateral to access loans increased to 53%, up 5 percentage points. Ten out of 17 countries showed higher shares of SMEs requiring collateral, with the highest increases seen in Canada (18 p.p.) and Lithuania (17 p.p.). The increase in collateral requirements is partly explained by banks seeking to offset falling interest rates with stricter terms and conditions, as a way to price risk in a context of economic uncertainty.

Demand- and supply-side survey data confirm this trend. In the EU, the Q1 2025 SAFE survey shows that while a net 12% of all firms reported lower interest rates, a net 13% of firms reported stricter collateral requirements (with a higher share among SMEs than large firms) (ECB, 2025^[39]). Similarly, the Bank Lending Survey (April 2025) noted that easing price margins were partially offset by tighter collateral requirements (ECB, 2025^[40]). In the US, according to the Small Business Lending Survey, credit standards had been tightening for 14 consecutive quarters, suggesting that banks remained cautious in approving riskier small business loans (Federal Reserve Bank of Kansas City, 2025^[41]).

High collateral requirements can be particularly challenging for innovative SMEs and other firms whose balance sheets include a high share of intangible assets, or those seeking to invest in intangibles. In this context, the development of financing instruments that recognize intangible assets as collateral, such as patents, trademarks, copyrights, trade secrets and proprietary designs, can mitigate tight credit supply by widening the collateral base for firms with high shares of intangible assets or that are seeking to invest in intangibles, improving credit access for innovative SMEs.

Figure 1.11. Share of SMEs requiring collateral



Rejection rates declined, while the demand for credit remained broadly stable

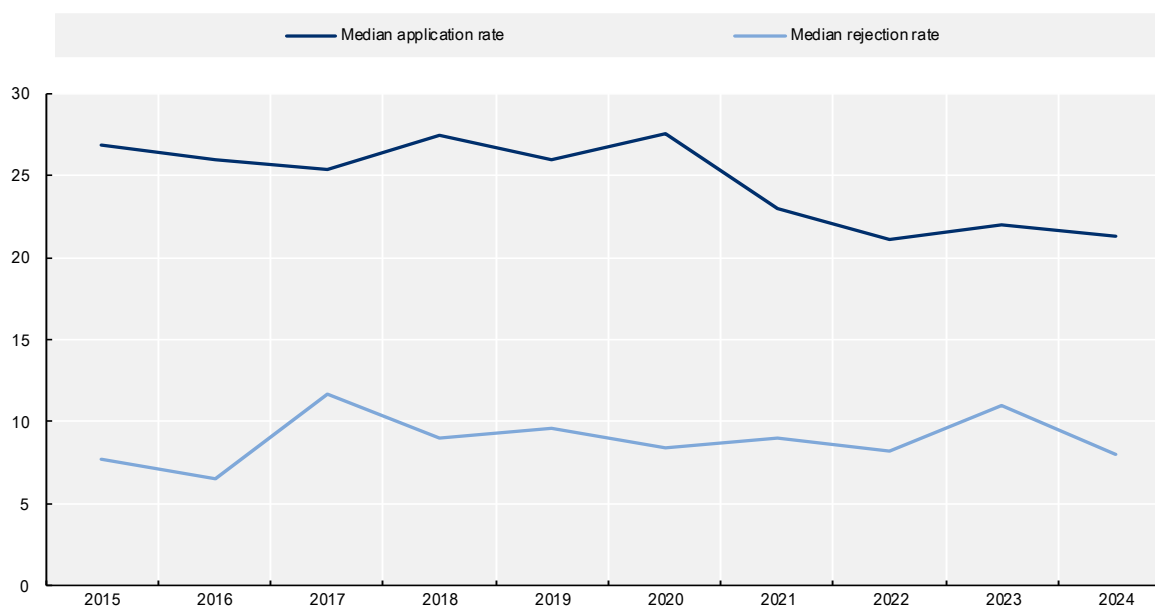
Against the backdrop of tighter terms and conditions and still a restrictive credit environment relative to pre-pandemic, the Scoreboard median application rates remained historically weak. This aligns with survey data showing that application rates remain low compared to pre-pandemic. The SAFE survey in Q2 and Q3 2024 reported 14% and 13% of SMEs that applied for loans (compared to 17% in 2022 and 25% before the pandemic) (ECB, 2024^[42]) (ECB, 2024^[43]) (ECB, 2022^[44]) (ECB, 2019^[45]; ECB, 2019^[46]).

Rejection rates also edged down in 2024, remaining at low levels. SAFE data confirm that only 6% of SMEs that considered bank loans reported facing obstacles in obtaining them (ECB, 2024^[43]). This suggests that, while fewer SMEs applied, those that did were more likely to be creditworthy and able to meet stricter lending conditions. As such, the discouraged borrower effect can explain low rejection rates amid tighter credit conditions.

Data for 2025 may be expected to show an increase, due in part to higher risk perceptions on the supply side. In the Q1 2025 ECB's Bank Lending Survey, euro area banks reported further net tightening of overall terms and conditions driven by lower risk tolerance of banks and higher perceived risks related to the economic outlook (ECB, 2025^[47]). In Q1 2025 in the Euro Area, the net share of rejected loan applications increased since the second half of 2024, with the net increase being larger for SMEs than for large firms (net percentages of 10%) (European Commission, 2025^[20]).

Figure 1.12. Share of SME application and rejections

As a percent



Source: Data compiled from individual country Scoreboards.

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Alternative sources of finance

Asset-based finance continues to demonstrate weak performance

Asset-based finance allows firms to obtain funding based on the value of specific assets, such as accounts receivable, inventory, machinery, equipment, and real estate, rather than on the basis of their credit standing. Common instruments include asset-based lending, factoring, purchase-order finance, warehouse receipts, and leasing (OECD, 2015^[48]). In 2024, asset-based finance showed a mixed trend, but overall performance continues to be weak. While factoring activities continued their downward trend,

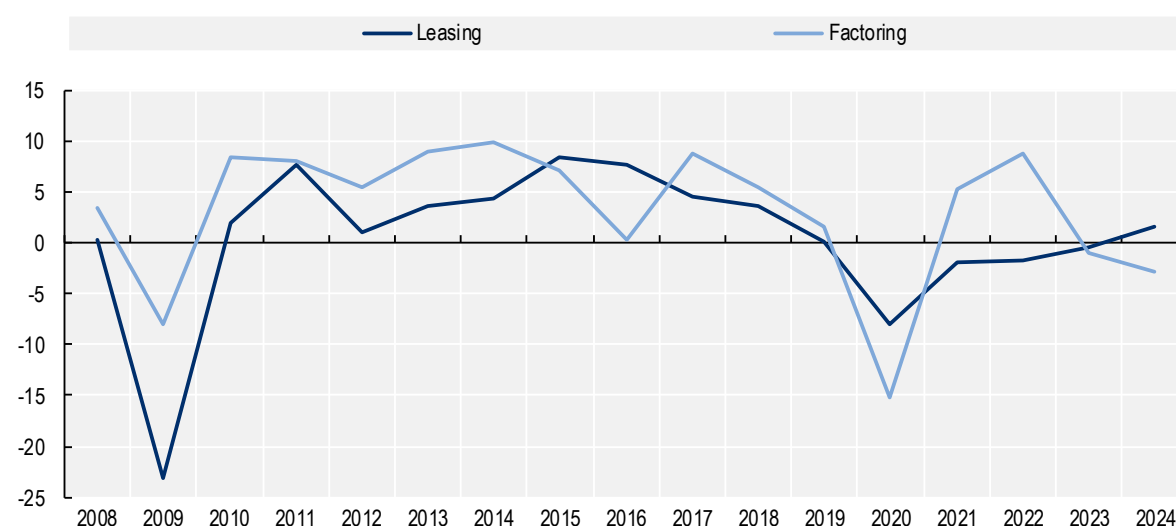
declining by 3% in 2024 (compared to a drop of 1% in 2023), leasing recovered slightly, increasing by 1.6% (reversing its four-year negative trend).

In 2024, factoring activities declined in 13 out of 21 countries that reported data for this indicator, and the Scoreboard median growth rate fell. Factors Chain International (FCI), the global association of factoring, receivables and supply chain finance, documents weak but positive growth in factoring volumes in 2024, by 2.7%, based on partial information from the sector. In addition, compared to previous survey rounds, growth in factoring activities among surveyed members has slowed significantly, rising by just 3.6% in 2023 compared to 18.3% in 2022, indicating a more subdued performance relative to earlier years. Main aspects affecting the industry include higher transaction costs compared to 2023 and lack of liquidity (FCI, 2025^[49]).

Leasing activities increased in 15 out of 24 reporting countries. Information from industry associations confirms positive but moderate growth in 2024, in part explained by increased uncertainty. In Europe, Leaseurope's biannual survey reported a 5.6% year-on-year increase in new leasing activities in H1 2024. However, this growth was relatively modest compared to previous years, constrained by weaker leasing activity in some areas: real estate leasing declined by 7.2%, while equipment leasing fell by 0.5%. (Leaseurope, 2024^[50]). Also, in 2024, profitability declined due in part to increased uncertainty¹⁴. In the US, the Equipment and Leasing Finance Association (ELFA) showed modest growth in leasing activities in 2024, and its 2025 Survey indicated that just over half of companies reported higher volumes in 2024, with approval rates falling due to more cautious underwriting (ELFA, 2025^[51]).

Figure 1.13. Evolution of leasing and factoring activities

Median year-on-year growth rate, as a percentage



Source: Data compiled from individual country Scoreboards.

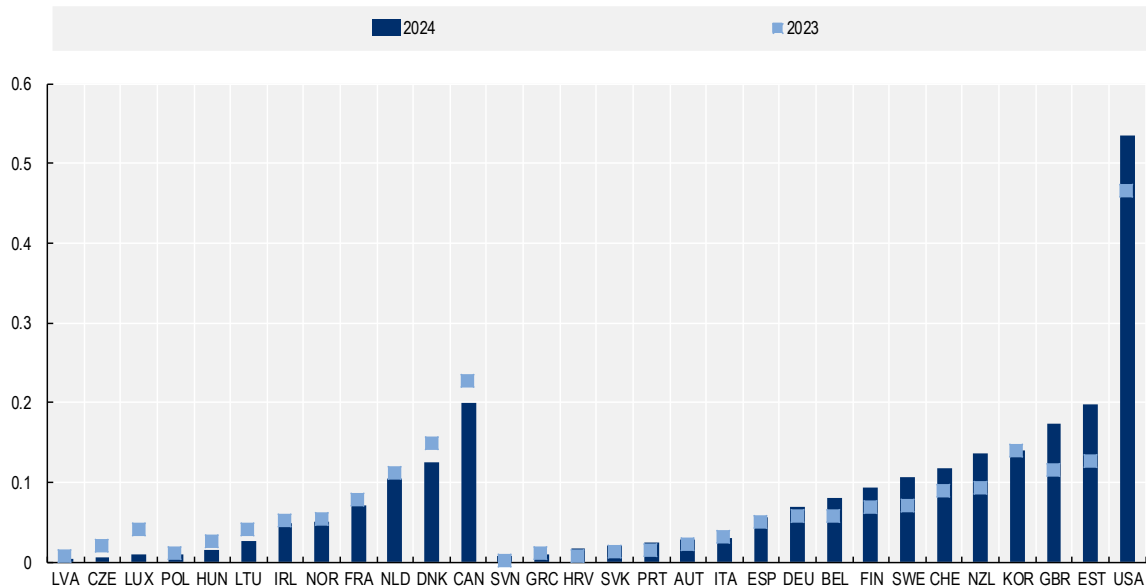
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Equity financing grew modestly, driven by an increase in VC investments in AI

In 2024, with the continuation of a restrictive monetary policy environment and a cautious investment environment, VC investments did not grow in the first three quarters of the year but picked up in the last quarter. Eighteen out of 30 Scoreboard countries show an increase in VC investment volumes as a share of GDP, with the highest increases seen in the US, Estonia, and the UK (Figure 1.14).

Figure 1.14. Venture capital investments

As a share of GDP



Note: The countries on the left-hand side of the figure registered a decline in the share of VC investments as a share of GDP in 2024.

Source: Venture Capital (market statistics) database, OECD Data explorer.

StatLink  <https://stat.link/zj5mkg>

However, the increase in VC investments in 2024 was driven principally by a surge of investments towards AI (OECD, 2025^[24]). In fact, the general decline of VC investments experienced in non-AI firms left many companies at a crossroads, with many of them eager to avoid the negative consequences of down rounds¹⁵, such as dilutions for unprotected employees and investors, yet still in urgent need of additional funding.

Notably, the number of deals did not grow in proportion to volumes, with capital being concentrated into large deals for a few companies. This trend suggests a reset in start-up valuations, with smaller average deal sizes being used to fund the majority of start-ups. In the US, nearly 25% of deals in 2024 were down or flat rounds, which is the largest percentage in a decade (Pitchbook, 2025^[52]). Declining valuations also impacted the exit environment, with fewer firms deciding to go public.

2025 started with similar VC investment levels to those in late 2024. Following volatility in Q2 in equity markets¹⁶, in Q3 financing conditions improved, as did investor confidence. Global venture funding rose 38% year on year, driven by megarounds (USD 500 million or more)¹⁷ in AI (Crunchbase, 2025^[53]). The 2025 EIF Equity Survey, released in Q3 2025, also found that valuations began to rise. Similarly, deal making activity began to recover with investments increasing compared to the first half of the year (European Investment Fund, 2025^[54]).

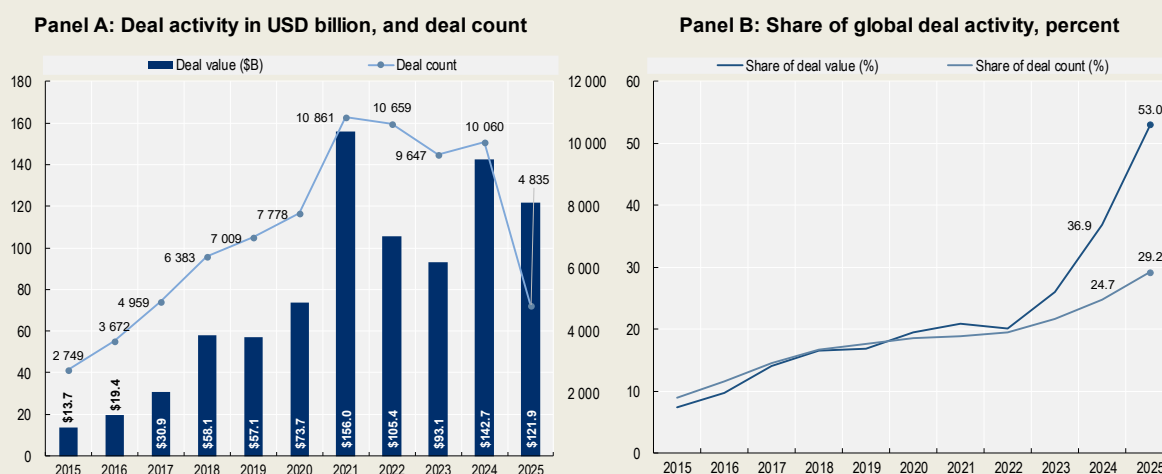
Despite the recent rise in valuations, the exit environment continues to be challenging (Pitchbook, 2025^[55]) (Crunchbase, 2025^[56]). In Europe, a difficult fundraising environment is also a contributing factor. Available information on market activity for 2025 shows that the capital raised by European VC funds is at its lowest in a decade, and less than half the amount for the same period last year. However, expectations for the exit environment going forward were more optimistic in 2025 (European Investment Fund, 2025^[54]).

Box 1.3. Artificial Intelligence is driving a significant share of VC activity

Despite the industry's volatility, artificial intelligence (AI) has seen remarkable growth in recent years. In 2021, VC investment in AI more than doubled to USD 156 million (Figure 1.16). In 2022 and 2023, AI VC volumes declined but less than in other sectors, which meant that the AI share of total VC investments increased (Figure 1.5). Since 2023, the share of VC investments in AI has increased exponentially. As of November 2025, 53% of all VC investments globally were directed towards AI and machine learning (ML) companies (Crunchbase, 2025^[57]). Investors fear that this growth is distorting the VC market, with investment flows driving the number of companies created in this sector. In 2024, nearly one in four new start-ups were AI companies, and there are concerns that many of these companies are overvalued, with inefficiencies in the allocation of capital. Going forward, some investors expect market corrections (Pitchbook, 2025^[58]).

The AI share of total investment grew at a higher rate than the share of deals. This suggests that VC investments are increasingly concentrated in fewer, larger deals, with more capital flowing to a smaller share of tech companies.

Figure 1.15. Global VC investments in Artificial Intelligence and Machine learning



Note: 2025 refers to data up to the first half of 2025. Data as of June 30, 2025.

Source: Q2 2025 Global VC first look, (Pitchbook, 2025^[59]).

StatLink  <https://stat.link/8dza74>

When examining AI investments across regions, North America (the US and Canada) attracted the most VC capital. As of the first half of 2025, it accounted for 63% of global VC volumes going to AI and ML companies. Europe followed with 35%, and Asia with 20% (Pitchbook, 2025^[59]).

The emergence of AI companies worldwide, along with their rapid traction among investors, and the positive effects of AI on productivity and economic growth, are resulting in many governments launching a series of initiatives to promote AI development and attract global investments. In the first quarter of 2025, the United States announced the Stargate Project, which aims to attract USD 500 billion in private capital for the development of next-generation AI infrastructure (Forbes, 2025^[60]). This announcement was followed by the European Commission's launch of its InvestAI program, a plan to channel EUR 200 billion into AI innovation, including a new European fund of EUR 20 billion for the establishment of AI gigafactories

(European Commission, 2025^[61]). Additionally, France committed EUR 109 billion in investments for infrastructure projects in AI (Élysée, 2025^[62]). During the same period, China announced a national venture capital guidance fund of USD 138 billion, aimed at investing in various priority sectors, including AI and quantum computing (Reuters, 2025^[63]). In July 2025, the US announced the establishment of the American AI Exports Program. The Programme aims to support US AI companies by promoting an integrated American-made AI ecosystem that could be exported, rather than just individual AI components that could be outcompeted (The White House, 2025^[64]) (KPMG, 2025^[65]).

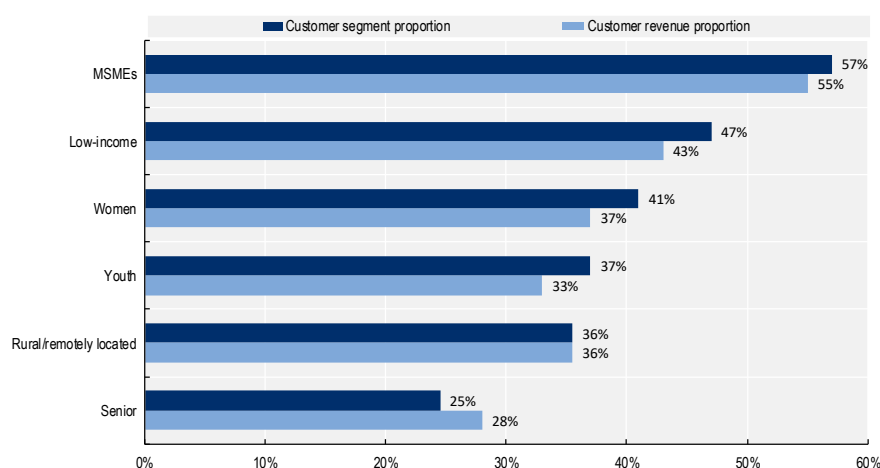
Fintech developments

Fintech-driven finance plays a growing role in SME access to capital, with an increasing number of Fintech firms indicating SMEs as their primary customers (Cambridge Centre for Alternative Finance, 2025^[66]). Fintech is defined as digital entities offering or facilitating financial services online¹⁸. These activities are not currently captured in the Scoreboard's standard indicators for alternative finance, which primarily monitor traditional instruments alternative to bank debt, such as leasing, factoring and venture capital. Challenges in capturing these data in the Scoreboard stem from the fact that much of Fintech activity sits outside official banking statistics. It is often fragmented across private providers and lacks consistent public reporting. To begin to address this gap, the present section draws on industry sources and surveys to shed light on recent developments in Fintech and their implications for SME access to finance.

In 2023 and 2024, the Fintech industry remained resilient despite macroeconomic volatility. In 2024, Fintech revenues (from both public and private companies) increased by 21% (up from a 13% increase in 2023). Growth has been driven mostly by private firms, with Fintech in public markets growing moderately by 3% (up from a decline of 31% in 2023) (BCG, 2025^[67]). Fintech firms continue to reach traditionally underserved groups, with SMEs making up the highest share both in terms of customer base and revenue in 2023, followed by low-income individuals and women (Figure 1.16) (Cambridge Centre for Alternative Finance, 2025^[68]). With adoption of AI by Fintech firms increasing markedly, implications for SME financing are likely to become significant going forward.

Figure 1.16. Fintech main customer segments by customer base and revenue in 2023

As a percentage



Source: (Cambridge Centre for Alternative Finance, 2025^[66]).

StatLink  <https://stat.link/5qgmt1>

Within Fintech, embedded finance¹⁹ has seen remarkable growth in recent years, as technological advancements enable more seamless customer journeys, greater system interoperability and simplification in the provision of financial products and services. In Europe, the embedded finance market generated an estimated EUR 20 billion to EUR 30 billion in 2023, about 3% of total banking revenues²⁰ and over the last ten years volumes grew three times as fast as directly distributed loans. From the demand side, SMEs are increasingly looking for convenience and effectively integrated finance²¹. From the supply side, the cost of providing embedded finance has decreased due to improvements in application programming interfaces (APIs), which facilitate system interoperability (Mckinsey, 2024^[69]). In addition, wider adoption of electronic identification and the use of alternative data²² have simplified credit assessments and underwriting. Furthermore, advancements in AI and its potential to mine large datasets can further automate the credit assessment process and credit scoring, increasing efficiency and reducing costs.

Enterprise distress indicators

In 2024, early signs of fragility were visible in SME non-performing loans (NPLs) and in bankruptcy developments. The Scoreboard median SME NPLs increased moderately by 0.4 p.p.; however, most countries (18 of 32 countries) reported declines, and the countries with higher SME NPLs reported only modest increases. In parallel, bankruptcies continued to increase and, in many cases, exceeded pre-pandemic levels. In 2024, 16 of 26 countries stood at or above their 2019 benchmark.

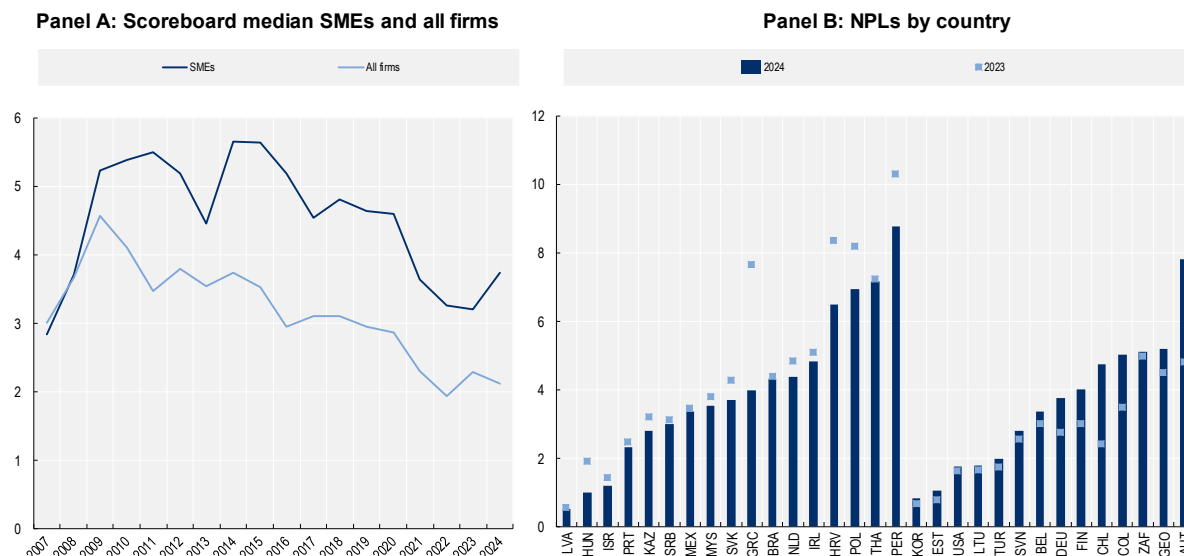
In contrast to larger firms, SME non-performing loans edged up in 2024

Despite a moderate increase in the Scoreboard median of SME NPLs (up 0.5 p.p.), most Scoreboard countries (18 out of 32) reported a decline in SME NPLs. The largest declines were registered in Ukraine (down 4 p.p.), although from a high base, Greece (down 4 p.p.) and Croatia (down 2 p.p.). Among the countries reporting an increase in SME NPLs, the rise has been relatively modest, ranging from a 0.17 percentage point increase in Korea, to a 3-percentage point increase in Austria (Figure 1.17).

A study from the ECB assessing credit exposure and quality of the SME portfolio across a sample of banks suggests that the SME NPL ratio remained stable at 4.78% as of Q1 2025, staying above the NPL ratio of the total non-financial corporate portfolio, which was 3.47%. The total coverage ratio for the SME portfolio in the same period was 3.02%. However, the SME exposure varies greatly across countries, with SME exposures as a share of total loans being the highest in Latvia (25%), Estonia (23%) and Portugal (22%) and lowest in Luxembourg (5%), Ireland (7%) and Slovak Republic (7%).

Figure 1.17. Non-performing loans

As a percent of total stock of SME loans



Note: The countries on the left-hand side of Panel B registered a decline in SME NPLs between 2023 and 2024. UKR is omitted from the graph for readability (NPL SME share reported at 48% in 2024 and 52% in 2023).

Source: Data compiled from individual country Scoreboards.

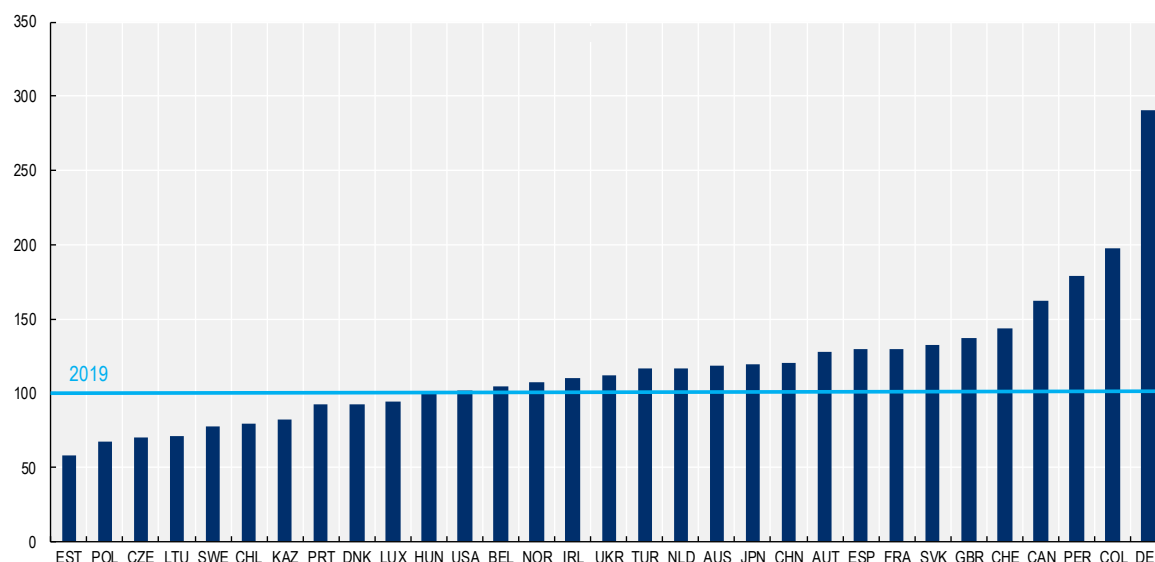
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Bankruptcies have risen above pre-pandemic levels in many countries

In the immediate aftermath of the COVID-19 pandemic, SME bankruptcies declined markedly as a result of government support. As those measures were unwound, bankruptcy filings began to gradually normalise from historically low levels. However, the continuation of the upward trend in 2023 and 2024 suggests that in many Scoreboard countries, volumes now exceed the pre-pandemic benchmark. Figure 1.18 shows bankruptcy volumes in 2024 in relation to bankruptcy volumes in 2019 (100 equals to 2019). It shows that most countries (21 out of 32) were at or above their pre-pandemic level in 2024. The highest levels in bankruptcies vis-à-vis 2019 were registered in Germany and Colombia. In Germany, the rise in interest rates and the elimination of short-time work benefits explain the marked increase in bankruptcies (Reuters, 2025^[70]). However, the broad definition of SME bankruptcy in Germany (defined as all SMEs entering bankruptcy or insolvency procedures) may have also contributed to the high index. In Colombia, the high increase in bankruptcies is in part explained by a new bankruptcy law introduced in 2024, which enhances the flexibility and efficiency of bankruptcy procedures, with a particular focus on SMEs²³.

Figure 1.18. Levels of SME bankruptcies in 2024 relative to 2019

Index 2019=100



Note: In AUS, AUT, CAN, CHE, ESP, GBR, HUN, KAZ, LTU, LUX, POL, SVK, TUR, UKR, and USA, total bankruptcies are reported as a proxy for SME bankruptcies. AUS includes all corporate and business-related personal insolvencies. CAN reports all business insolvencies. CHN reports the average of SME bankruptcy (including shut-off). DEU counts SMEs entering legal proceedings due to bankruptcy or insolvency. IRL reports company liquidations rather than bankruptcies. GBR reports total new company insolvencies.

Source: Data compiled from individual country Scoreboards.

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Evolution of government policy responses

Governments are responding to the evolving context and its impacts on SME finance. Alongside longstanding interventions through guarantees and direct lending, governments are continuing to support the development of venture capital markets through direct and indirect investments, which is the special focus of Chapter 2 of this report. Furthermore, recent trends show governments prioritising and targeting support to specific challenges and segments of SMEs. This includes SMEs exposed to international trade as well as innovative SMEs and start-ups. Public support also seeks to foster the diversification of SME financing instruments and sources by enabling the implementation of tech models in asset-based financing, through the development of regulatory frameworks that provide the basis for these models to scale. Across Scoreboard countries, governments continue to promote SME investments in sustainability. More information about the policy landscape in each country can be found in the individual country snapshots.

Governments are supporting SMEs in navigating trade disruptions

SMEs are particularly vulnerable when it comes to trade disruptions, as they often have limited resources, bargaining power, capacities and networks compared to large firms. Similarly, when they try to access finance to trade, they encounter additional barriers, including higher rejection rates and credit costs compared to large firms, with around half of SMEs' trade finance applications being rejected, compared to a 7% rejection rate for multinational companies (ADB et al., IFC, WTO, 2023^[71]) (WTO, 2024^[72]).

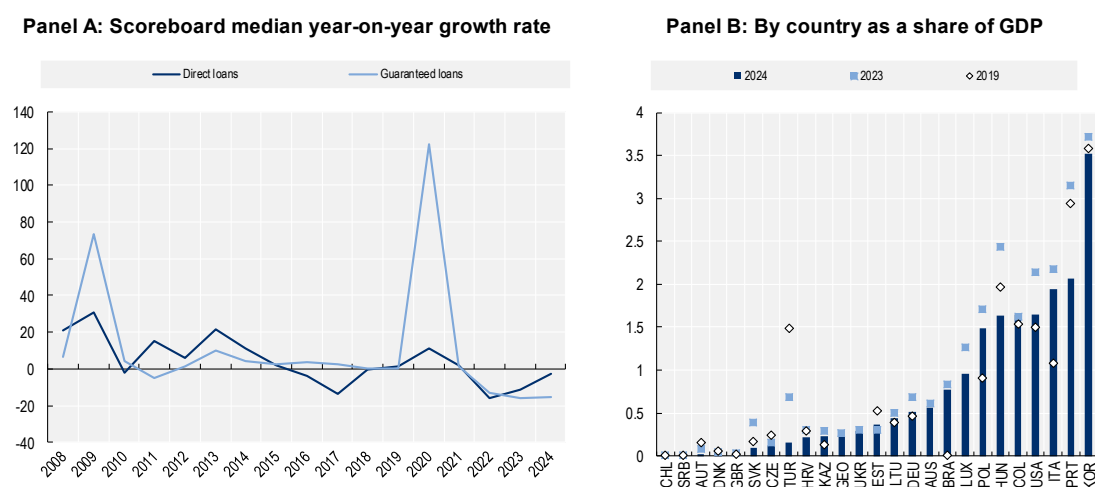
As such, governments have responded to trade disruptions affecting SMEs through a combination of financial and non-financial support. Financial support included credit guarantee schemes, direct lending and working capital loans offered at favourable interest rates, and in some cases, the reduction of compliance costs for businesses engaging in cross-border trade. Non-financial support included dedicated advisory centres offering consultancy services to SMEs facing emerging trade disruptions. For example, the Spanish public bank Instituto de Crédito Oficial (ICO) launched a package in April 2025 that includes a line of credit guarantees worth EUR 5 billion for both exporter and importer companies, including SMEs affected by trade disruptions (Spain's country profile). In Korea, the Ministry of SMEs and Startups (MSS) announced in February 2025 the Export Support Measures for SMEs and Startups to provide financial and non-financial support to help SMEs navigate the impacts of trade tensions. Non-financial support included the establishment of an Export Difficulties Reporting Center at 15 Export Support Centers to receive reports and provide consultations on emerging difficulties. Financial support included expansion of guarantees from KRW 10 billion in 2024 to KRW 30 billion in 2025. The programme also includes loans for SMEs in sectors more vulnerable to trade disruptions²⁴ (Korean Ministry SMEs and Start-ups, 2025^[73]).

In Canada, the Business Development Bank of Canada (BDC) is supporting Canadian entrepreneurs affected by new tariffs by making available up to CAD 500 million in financing. Working capital loans for up to CAD 2 million with favourable interest rates are provided to support commercially viable businesses (Canadian country profile). In the UK, as part of the Growth Guarantee Scheme, the government announced in April 2025 GBP 500 million of additional lending capacity for SMEs that may need support with cashflow issues due to changes in global tariff rates (British Business Bank, 2025^[74]). The Australian Government has also abolished around 1 000 nuisance tariffs over the course of two years to streamline trade and save Australian businesses around AUD 157 million in compliance costs annually (Australian Treasury, 2025^[75]). Going forward, to mitigate the negative impacts of trade disruptions on SMEs, the government considers that the policy mix will need to include policies that expand SME access to trade finance, increase awareness of benefits offered under various trade agreements and their dedicated SME chapters, and streamline cross-border procedures.

Credit guarantees and direct lending schemes are increasingly targeting start-ups and innovative SMEs

Governments are responding to emerging needs, prioritising targeted guarantees and direct lending schemes for start-ups and innovative SMEs. Support also includes match financing schemes targeting young and innovative businesses, in which loans and convertible loan notes are issued by matching private investments. In the case of guarantees, one example is the ERP-Promotional Loan for start-ups and succession program was launched in Germany in November 2024 by KfW and the German Guarantee Banks. The program includes 100% guarantees²⁵ for start-ups and business successors. Loans are financed by KfW and cover up to 35% of eligible costs and capped at EUR 500 000 per applicant (German country profile). In Denmark, in February 2025, the Match financing scheme under EIFO was extended and made permanent. Through the scheme, EIFO issues loans and convertible loan notes by matching investments of private investors. The loans specifically target young, innovative, highly scalable enterprises. The maximum loan amount is EUR 1.1 million, and the maximum maturity is 10 years (Danish country profile) (EIFO, 2025^[76]).

Alongside a trend towards targeted schemes, overall guaranteed volumes continued the three-year decline. In 2024, 20 out of 25 countries that provided data for the indicator showed declines in volumes of guaranteed loans. The Scoreboard median declined by 15% (Figure 1.19, Panel A), a similar magnitude to previous years. These declines reflect an adjustment after the large jump in pandemic era support. However, when looking at volumes as a share of GDP, many countries (14 out of 25) continue to have higher volumes compared to the pre-pandemic (2019). This shows that credit guarantees remain an important tool for governments to support SME financing across geographies, sectors, and stages of development, particularly those that may be vulnerable in periods of economic uncertainty and transition.

Figure 1.19. Guaranteed loans to SMEs

Source: Data compiled from the individual country Scoreboards.

StatLink  <https://stat.link/qauzm2>

Governments are introducing regulatory reforms to enable the use of technologies in the provision of asset-based finance

Multiple measures have been implemented recently by Scoreboard countries to improve SME access to factoring. This includes enabling digital infrastructures for factoring transactions and centralised invoice registries to allow parties to verify the status of receivables, reduce the risk of double financing, accurately assess credit risk, and enable AI-driven decision tools to assess financing applications more comprehensively and reach SMEs with limited credit history.

For the implementation of tech-enabled factoring models, Scoreboard countries are enacting laws to provide the basis for these models to flourish. For example, in June 2025, Ukraine adopted the Law of Ukraine On Factoring, which seeks to modernise Ukrainian factoring regulations and introduce digital tools like an electronic factoring system and electronic auctions. The Law also aims to align with international standards (Verkhovna Rada of Ukraine, 2025^[77]). France implemented a full legal framework for electronic transferable records aligning with UNCITRAL MLETR principles. The implementation is expected to provide benefits across shipping, logistics, supply chain finance, and insurance, and more, through unique electronic records and auditable transaction processes (Légifrance, 2025^[78]). In Georgia, a new factoring law is close to being enacted. The law addresses three challenges: legal recognition of factoring companies, the enforceability of factoring contracts regardless of clauses in underlying sales agreements, and the creation of a national invoice registry (Parliament of Georgia, 2025^[79]).

Promoting SME sustainable investments continues to be central in the policy mix

In recent years, governments have developed a wide range of financial and non-financial support measures to accelerate SME investments in sustainability, targeting SMEs across the entire green supply chain, from innovators to enablers and adopters. For these purposes, public institutions are redesigning or repurposing traditional instruments to serve the sustainability-related financing needs of SMEs, including through green loans, leases, guarantees and other instruments. At the same time, there is increasing recognition that more tailored and flexible instruments may be needed to encourage SMEs to invest in sustainability. Public institutions are, therefore, also developing novel instruments like sustainability-linked loans, revenue-based financing or property-linked financing that have been designed to address specific

supply- and demand-side constraints, such as high costs, cash flow pressures and collateral requirements. Through all of these interventions, financing is often paired with non-financial support to strengthen the uptake and impact of these instruments and programmes (OECD, 2025^[80]).

For example, in 2024 Bpifrance launched the Green Guarantee to support ecological and energy transition projects. The guarantee is up to 80% and prioritises businesses older than one year with transition projects (Bpifrance, 2024^[81]). In Mexico, NAFIN's Eco Sustainable Credit Programme launched in 2024 facilitates SME adoption of energy-efficient technologies by channeling green loans via participating banks (with repayment terms up to eight years) and de-risking supply through NAFIN guarantees of up to 80%. Financial support is paired with technical assistance, including external energy audits to identify the most effective investment opportunities (NAFIN, 2024^[82]).

The UK government launched the Growth Guarantee Scheme (GGS) in 2024 for SMEs looking to invest and grow. The scheme is the successor scheme to the Recovery Loan Scheme launched in 2021. The GGS provides the lender with a 70% government-backed guarantee against loans or other types of finance. At the time of writing, a pilot, known as Green GGS is being run to enhance the ability of the scheme to support businesses that are investing in sustainable assets (UK Country profile).

In Greece, the Hellenic Development Bank launched in 2024 the Green Co-financing Loan Fund. The programme provides favourable loan terms for SMEs to implement green transition investments, including green mobility, energy efficiency upgrades, emissions reduction, among others. Loan amounts range from EUR 80 000 to 8 million, 40% of the capital is interest free, and there is a two-year partial interest subsidy on the remaining 60% of the capital (Hellenic Development Bank, 2024^[83]).

In Hungary, the Demján Sándor Capital Programme provides capital financing between HUF 100 million and HUF 400 million, which can be used for green investments, equipment and machinery purchases, market expansion, and exports (Hungary country profile).

Looking ahead

Prior to the conflict in the Middle East, the cost of financing for SMEs had eased gradually, in response to the decline in policy interest rates, but it remains high compared to the pre-COVID period, while lending terms and conditions have tightened. Across the range of instruments, financing growth is sluggish: the recovery in new lending is tentative, asset-based finance continues to show subdued performance, and the recovery in equity financing largely reflects a focus on AI, with growth mainly driven by large deal sizes. Furthermore, the decline in long-term loans signals weaker SME investments in an uncertain economic environment. Looking ahead, SME finance policy could usefully seek to foster SME long-term investments for competitiveness, resilience and growth, including by strengthening diversification and enabling SMEs to leverage their intangible assets to access finance.

Governments will need to continue to respond to emerging developments impacting SMEs in a context of continued economic uncertainty, by providing targeted financial and non-financial support, and working to enable the development of Fintech-driven alternative finance. Across Scoreboard countries, fostering long-term SME investments, including in sustainability, digitalisation and skills, will be important to boost SME resilience, competitiveness and growth.

The Scoreboard will continue to monitor developments in the SME financing and policy landscape to support governments in developing policies that enable SMEs and entrepreneurs to navigate and thrive in a rapidly evolving landscape.

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Notes

¹ The experience from the US-China 2018-19 trade tensions suggests that companies exposed to higher tariffs have lower investment, employment and productivity growth (Chor and Li, 2021^[84]).

² In Germany, nearly 30% of companies with investment plans in the United States have postponed their projects, and 15% have cancelled them because of uncertainty surrounding U.S. tariff policy. Domestic investments are also being affected by this uncertainty. According to a survey of 1 500 companies, about 21% are delaying investments in Germany, while 8% have reported cancelled projects (Reuters, 2025^[91]).

³ The survey was conducted to nearly 1 000 business executives between 14-25 April 2025. The question was: "How has uncertainty about tariffs, taxes, government spending, monetary policy, or regulation affected your firm's plans for hiring [*investment*] over the next 6 months?" (Federal Reserve Bank of Atlanta, 2025^[10]).

⁴ Total corporate bank credit refers to loans to non-financial businesses, SMEs and large firms combined.

⁵ Loans other than revolving loans and overdrafts, convenience and extended credit card, new business volume to non-financial corporations with original maturity over 1 year (European Commission, 2025^[20]).

⁶ The aggregate volume of new SME lending includes the data from 28 Scoreboard countries for which data is available from 2019 to 2024. Countries covered are AUT, BEL, BRA, CAN, CHL, COL, CZE, DEU, DNK, ESP, EST, GBR, GEO, GRC, HRV, HUN, IRL, KAZ, LTU, LVA, MEX, MYS, NLD, PRT, SRB, SVK, SVN and UKR. For more information on how data is adjusted, please refer to Box 1.1 or Annex A on the Methodology for producing national Scoreboards.

⁷ The inflation adjustment to this indicator may have also contributed to the stability of the Scoreboard median of stocks.

⁸ Non-bank financial institutions include investment funds, insurance companies, pension funds and other financial institutions such as money market mutual funds, hedge funds and finance companies (Financial Stability Board, 2026^[91]) (Bank for International Settlements, 2025^[92]).

⁹ In the UK, in 2023 and 2024, 37% of asset finance was being provided by non-bank lenders (BBB, 2025^[94]). In the US, in 2022 non-bank lenders accounted for around half of new credit extended to small businesses and according to the Small Business Credit Survey, an increasing proportion of small businesses prefer non-bank finance because of the speed in decision and higher chances to being funded (Bipartisan Policy Center, 2022^[87]).

¹⁰ The Financial Stability Board identified several data challenges that hinder authorities' ability to effectively assess vulnerabilities in the nonbank sectors (FSB, 2025^[86]).

¹¹ Long-term outstanding stock of SME loans includes the data from 27 Scoreboard countries for which data is available from 2021 to 2024. Countries covered are AUT, BEL, BRA, CHL, COL, CZE, DEU, ESP, EST, GEO, HRV, HUN, ISR, IRL, ITA, KAZ, KOR, LVA, NLD, NOR, POL, PRT, SRB, SVK, SVN and UKR. For more information on how data is adjusted, please refer to Box 1.1 or the Methodological annex.

¹² The SME definition used by the UK Office of National Statistics in this survey is firms with less than 299 employees.

¹³ Net investment is calculated by the difference between acquisitions of capital assets and proceeds from the disposal of capital assets (Office for National Statistics, 2025^[34]).

¹⁴ Leaseurope index results in Q4 2024 showed that in the full year, European new leasing activities increased by 8% and the stock expanded by 4.3%. However, profits declined by 13.6%, explained by an increase in loan loss provisions in the first three quarters of 2024 (Leaseurope, 2025^[89]).

¹⁵ A downround is a situation where a company's valuation in a new financing round is lower than before (Pitchbook, 2025^[93]).

¹⁶ In part because of the potential need to provide additional funding to existing portfolio companies as they deal with challenging economic conditions, supply chain issues, and uncertain exit strategies (KPMG, 2025^[85]). In H1 2025, many investors remained cautious, funding only start-ups with strong performance and proven resilience (Crunchbase, 2025^[56]) (UK Country profile), leaving behind newer and potentially riskier projects.

¹⁷ More than 30% of funding each quarter is going to megarounds (Crunchbase, 2025^[53]).

¹⁸ This is the definition adopted by the Cambridge Centre for Online Alternative Finance, which is the main source for Fintech data for the Scoreboard.

¹⁹ Seamlessly integrating payments, lending, insurance and other financial products into non-financial platforms (World Economic Forum, 2025^[88]). For SMEs, this means faster access to financing at the point of need, lower onboarding frictions when accessing credit, and tighter links between sales, settlement and financing.

²⁰ Estimates by McKinsey are based on the size of the addressable embedded finance market as far as 2030. McKinsey has developed a market-sizing model that encompasses 23 countries, six industry verticals, and 25 financial services products in three core customer segments (McKinsey, 2024^[69]).

²¹ A study on B2B point-of-sale market found that in 2021, buyers would purchase four times as much directly from suppliers' websites if the option were available.

²² Alternative data for credit assessments include public data sources like tax records and private sources such as account transactions and balances.

²³ Law 2437 of 2024 introduces significant amendments to Law 1116 of 2006, which governs business insolvency and reorganization in Colombia. The amendments improve the regulatory system by offering more flexible mechanisms for debt restructuring, enhancing access to credit, and streamlining judicial processes (CMS Rodríguez Azuero, 2025^[90]).

²⁴ MSS will establish the K-Beauty Loan, worth KRW 20 billion, to support cosmetics production (Korean Ministry SMEs and Start-ups, 2025^[73]).

²⁵ The guarantee is counter-guaranteed by the Federal Government (typically at 80%).

2 Leveraging venture capital for SMEs

Venture capital (VC) plays a pivotal role in funding the growth of innovative start-ups and SMEs, which are important drivers of productivity growth and job creation. This chapter presents recent trends in VC markets and compares the approaches to government VC policies across a range of Scoreboard countries. The report shows that VC investment volumes have increased considerably over the last 15 years, driven by historically low interest rates and stronger demand from start-ups. Government interventions have also expanded and evolved, shifting towards indirect investments and more active support for business scale-ups. In recent years, many governments have used VC policies to steer investment towards strategic sectors and technologies, such as green-tech, deep-tech and defence. They are also seeking to address regional concentration and improve access to VC for women-owned firms. In parallel, public development banks and other government investors are stepping up efforts to mobilise a broader set of investors, including institutional investors, retail investors and family offices.

Introduction

Alternative sources of finance play a pivotal role in the funding mix for start-ups and SMEs. Venture capital (VC) in particular is especially important for innovative start-ups, whose business models are more likely to rely on intangible assets, which are difficult to use as collateral, and whose growth needs are ill-suited for bank financing. Beyond capital, VC investors also typically bring managerial expertise, industry networks and strategic guidance that help young businesses refine their business models, professionalise their operations, and scale¹. This combination of financing and non-financial support makes VC especially well-suited to firms pursuing disruptive innovations with uncertain returns, which are often ill-served by traditional debt markets. Although these firms are a small fraction of the business population, they are a major source of productivity growth and job creation, making VC a key enabler of economic growth. However, market failures such as information asymmetries, valuation challenges on intangible assets, geographic and demographic concentration in VC markets result in inefficiencies in the allocation of VC to innovative SMEs. In response, governments have taken actions to support the development of VC markets and access by SMEs, in line with the OECD Recommendation on SME Financing.

The VC industry has experienced remarkable growth over the past 15 years, propelled by expansive monetary policy and increased participation of institutional investors and governments in VC markets. On the demand side, the growing number of start-ups based on intangible assets, especially in information and technology sectors, has also been an important driver of VC growth.

However, in recent years, global VC markets have experienced notable volatility. VC edged up in 2024 after declining by 34% in 2023 and by 19% in 2022 (OECD, 2025^[1]). In early 2025, VC declined as a result of geopolitical and trade concerns; however, it rebounded mid-year as financing conditions improved, although the rebound is largely driven by AI (see Chapter 1). At the same time, the tightening of credit markets has made it more difficult for SMEs to secure the external financing they need to grow and remain competitive. As a result, VC funding has become even more critical for innovative SMEs, particularly those in emerging technologies or knowledge-intensive strategic sectors such as green tech and deep tech. Without adequate financing, these firms risk stalling or relocating their activities, weakening national and local innovation systems and limiting job creation.

In this context, governments have played an important role in market development and stabilisation. Because public VC investment programmes are mandated to generate returns for governments, they are often sector-neutral and tend to reflect market trends. This also results from government VC investments almost always being matched by private VC investments.

In recent years however, national governments have been increasingly leveraging some of their VC activities to steer investments toward underserved regions and entrepreneurial segments and new strategic sectors and technologies, such as green-tech, deep-tech and defence technologies. Additionally, public development banks and other government investors are stepping up efforts to mobilise a broad set of investors, including institutional investors, retail investors and family offices, to increase the pool of patient capital much needed for these emerging strategic technologies.

This chapter examines recent developments and trends in the VC industry and government-backed VC programmes. It first provides an overview of global market trends in VC markets in the last decade. Then, it explores recent venture capital policy initiatives, providing a better understanding of developments in the design of VC programmes and offering insights on how to develop robust VC markets.

The chapter builds on the 2025 OECD policy paper on *Benchmarking government support for venture capital: A comparative analysis*². It also complements the reports produced on venture capital by the OECD Committee on Industry, Innovation and Entrepreneurship.

Recent developments in the VC industry

After a period of consistent growth, in recent years the VC industry has experienced significant volatility

Venture capital (VC) has grown remarkably in the last fifteen years. In 2020, USD 336 billion were invested in 26 800 start-ups, compared with USD 31 billion in 3 500 start-ups in 2006. Year 2021 was a particularly exceptional year, with USD 669 billion invested in 30 500 start-ups (Crunchbase, 2022^[2]). On the supply side, expansive monetary policies, including historically low interest rates for a long period of time, led to an increased appetite for riskier investments such as VC investments. This resulted in large institutional investors such as pension funds, mutual funds and sovereign wealth funds entering the VC asset class, thereby increasing liquidity in VC markets (Bellavitis and Matanova, 2017^[3]) (Lerner and Nanda, 2020^[4]). Regulatory reforms allowing institutional investors to invest part of their capital in VC assets have been instrumental to this trend. On the demand side, the growing number of start-ups built on intangible assets has also been an important driver (Morgan Stanley, 2020^[5]) (Haskel and Westlake, 2018^[6]), as equity finance is particularly suited for this business model. In fact, over the past 25 years, the share of investments in intangible assets out of the total reached 29% in the United States and across 10 European countries (Mckinsey, 2021^[7])

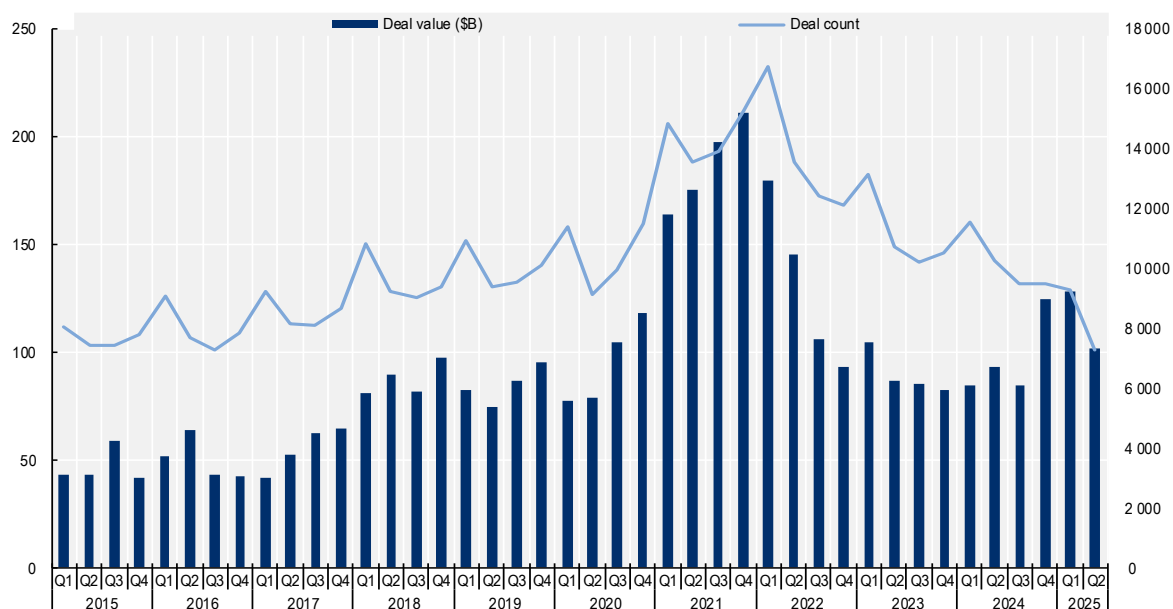
However, since the COVID-19 pandemic, the VC industry has experienced several fluctuations due to a series of macroeconomic disruptions. Figure 2.1 shows the evolution over 2015-25 of global VC deal activity and global deal count by quarter. Following the initial shock of the COVID-19 pandemic, VC investments experienced a sharp increase in 2021, with levels reaching a record high of USD 200 billion towards the last two quarters of the year. This expansion was fuelled by unprecedented liquidity from low interest rates, quantitative easing and government support, which increased risk appetite and drew in large investors such as pension and sovereign funds (OECD, 2023^[8]). The increase in liquidity in VC markets, along with a larger supply, contributed to marked increases in start-up valuations³.

However, 2022 marked a reversal of this trend. Inflationary pressures, followed by an increase in interest rates worldwide, redirected investors back into fixed-return assets (e.g. bonds) and, as a consequence, reduced liquidity in VC markets. In 2023, these new conditions affected start-up valuations and the returns of VC funds (EIF, 2023^[9]) (Crunchbase, 2024^[10]). Despite this volatility, the average fund size in major VC markets (the US and Europe) has increased steadily since 2015⁴ (EIF, 2024^[11]).

In 2024, with the continuation of a restrictive monetary policy environment and a cautious investment environment, VC investments grew only in the last quarter, mostly driven by a surge of investments towards AI (See equity financing section in Chapter 1). The decline of VC investments experienced in non-AI companies suggests a reset in start-up valuations, with smaller average deal sizes being used to fund start-ups⁵. Declining valuations also impacted the exit environment, with fewer firms deciding to go public. The year 2025 began with VC investment levels similar to Q4 2024, but Q2 saw renewed volatility due to geopolitical uncertainty and concerns about the effect of tariffs and trade tensions on firms.

Figure 2.1. Global VC investment volumes by quarter, 2015-2025

Deal value in USD billion (left axis), deal count (right axis)



Note: Data as of June 30, 2025

Source: Q2 2025 Global VC first look, (Pitchbook, 2025^[12])StatLink  <https://stat.link/g3ehrx>**VC markets have been largely focused on start-up and late-stage investments**

The surge experienced by VC markets over the last 15 years has been driven by growth in start-up and late-stage investments, with Series B⁶, C⁷ and mega rounds driving the surge. Between 2010 and 2020, Series B investment volumes quadrupled, Series C expanded more than eightfold, and mega rounds increased more than 28 times (Dealroom, 2024^[13]). The unprecedented liquidity of 2020-2021 accelerated this dynamic further, with late-stage companies becoming the primary recipients of investments⁸. As a result, start-up valuations soared, with 2021 seeing more than 10 new start-ups becoming unicorns (valuations above USD 1 billion) every week (Crunchbase, 2022^[14]) and closing sizable deals.

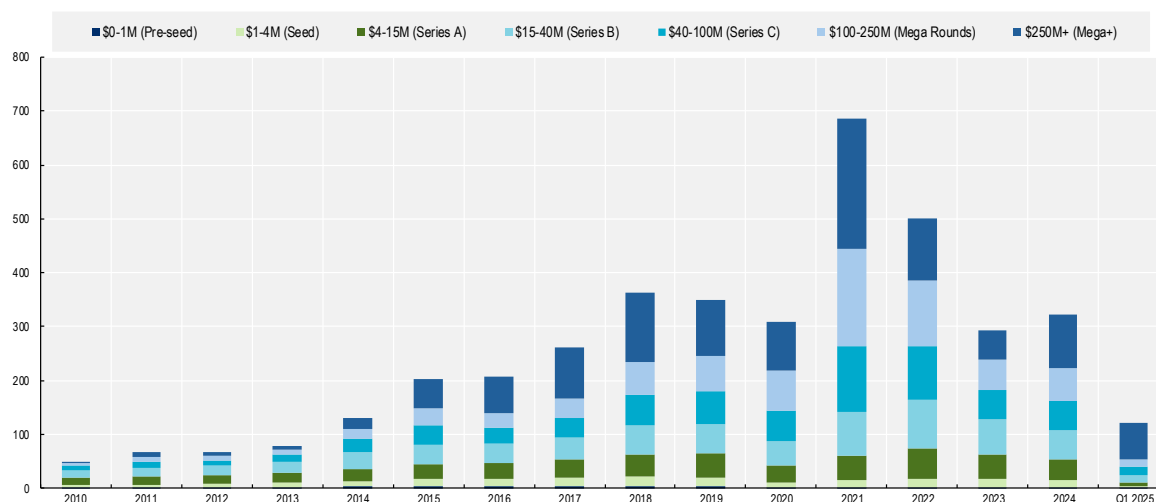
This sharp increase was reversed in 2022 and 2023 with total volumes in late-stage deals shrinking significantly, reflecting the change in macroeconomic conditions, a growing caution from investors and a general market correction. The significant decline in exits of these late-stage companies, especially through Initial Public Offerings (IPOs), also impacted investor confidence, as it resulted in fewer opportunities to generate gains from investments. This caution extended into 2024 with exit activity remaining subdued and resulting in an accumulation of start-ups in the private markets (Pitchbook, 2025^[15]). In Q1 2025, rounds exceeding USD 250 million gained momentum, but this was largely driven by substantial funding directed toward a handful of well-established AI companies.

Other early stages (seed and series A) have also grown in the last fifteen years, although not at the pace of late-stage investments. This is explained by smaller investment tickets allocated to this stage, as well as the higher risk associated with the seed stage. Early-stage investments also experienced a lagged increase after the high liquidity window in 2021. In mid-2022, when late-stage investment started to decline,

Series A reached the highest investment volumes. However, from the second half of 2022 onwards, investments have progressively declined. In 2024 and the first quarter of 2025, quarterly volumes remained below USD 9 million; nonetheless, they were still higher than before the pandemic.

Figure 2.2. Global VC investment by deal type, 2010 – Q1 2025

USD billion



Note: Dealroom collects venture capital data using AI algorithms that extract information from public sources such as news articles, company filings, registries, job boards, and analytics platforms. It classifies funding rounds in two ways: by the *Announced Round Type*, which reflects how companies publicly label their rounds, and by the *Amount-Based Funding Type*, which groups rounds based on their size for visualisation purposes. Seed rounds typically occur within two years of a startup's founding and range from USD 1–4 million. Series A marks the start of scaling operations, while Series B (USD 15–40 million) supports market expansion and revenue growth. Series C (USD 40–100 million) funds major growth initiatives. Mega and Mega+ rounds (Series D to I), which often exceed hundreds of millions, are used by mature companies for aggressive expansion, acquisitions, or preparing for an IPO (Dealroom, 2025^[16]) (Dealroom, 2025^[17]).

Source: (Dealroom, 2025^[18]).

StatLink  <https://stat.link/w0u5mq>

The ICT sector has been an important focus of VC activity, driven by significant investments in AI in recent years

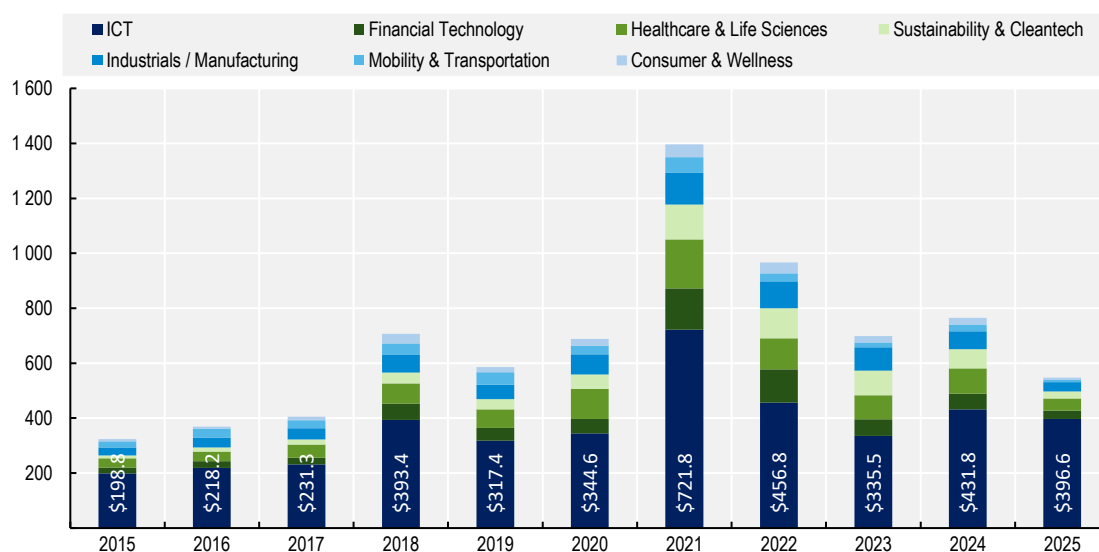
Since 2010, the ICT sector has consistently attracted the largest share of global VC investment. ICT volumes expanded from less than USD 200 billion in 2015 to a record USD 721 billion in 2021, accounting for the majority of global VC volume. The long-term focus of VC investments in ICT is explained by the important focus of VC funds on generating returns within fixed investment horizons for which they target fast-growing companies (35 to 40% internal rate of return), with large market potential (scalable) and sustainable competitive advantage (innovative or disruptive business plans) (Casson et al., 2009^[19]) (OECD, 2015^[20]) (Lerner and Nanda, 2020^[4]). Companies in the ICT sector exhibit these characteristics; for example, they are easier or faster to commercialize and have relatively low demand uncertainty, particularly in areas like software (Lerner and Nanda, 2020^[4]). In addition, VC funds operate by mimicry, preferring to reduce risk by replicating past successes, with a specific company profile/sector often being targeted (Asterion, 2025^[21]).

Financial technology as well as healthcare and life sciences have also grown significantly since 2010. Financial technology grew more than sevenfold while healthcare and life sciences expanded more than fivefold over the same period. From 2022 onwards, most sectors experienced a sharp decline as investor sentiment decreased and dealmaking adjusted to reflect tighter monetary conditions. ICT funding fell by over one-third in 2022, with a further decline in 2023 before partially recovering in 2024. A similar pattern was seen in financial technology and healthcare. In 2025, apart from ICT, only healthcare has recovered, while investment in sustainability, financial technology and manufacturing remain below 2021 volumes.

The share of ICT in total VC investments has increased since 2022. As of H2 2025, ICT has accounted for 72.5% of all VC investments (up from 47.3% in 2022). This concentration is mainly driven by significant investments in AI which, as of H2 2025, account for more than half of VC investment volumes.

Figure 2.3. Global VC investment by sector

USD billion



Note: Data as of June 30, 2025

Source: Q2 2025 Global VC first look, (Pitchbook, 2025^[12])

StatLink  <https://stat.link/apsrj0>

Developments in the venture capital policy landscape

The role of governments in VC markets has grown in the last fifteen years

VC is an important source of financing for young innovative firms, which are a major source of radical innovation and a driver of economic growth⁹, yet the allocation of VC is not often efficient because of well-documented market failures. This includes persistent information asymmetries, high transaction costs in the investment process and mismatches in the returns and timeframe expectations between investors and entrepreneurs in breakthrough technologies and models with high societal impact. The VC industry also tends to be spatially and demographically concentrated.

To mitigate market failures in the VC industry, governments have taken on an increasingly active role in fostering its development. The objectives of government participation vary significantly depending on the

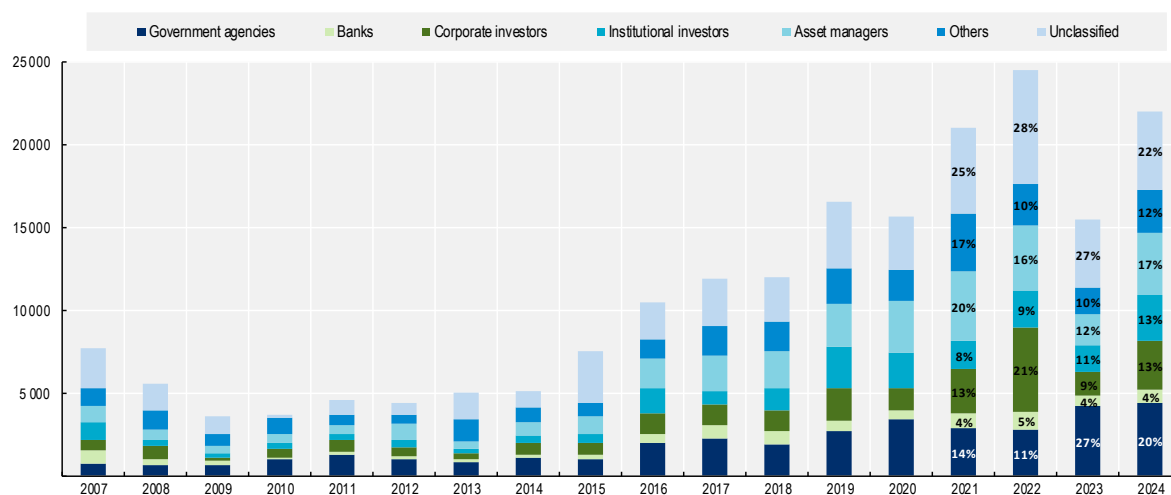
level of development of the VC market and the strategic priorities of the government. For example, government support in VC can have the objective to build or catalyse a market. Market catalysation occurs in countries where there is significant scope for increasing private sector involvement, and government participation becomes instrumental in “signalling” to investors where to invest, crowding-in private capital. For example, at the European level, VC investment commitments by government agencies grew sixfold between 2007 and 2024¹⁰, thus playing a crucial role as catalyst for the VC industry. In the case of smaller countries, which tend to have fewer private investors, the role of government is to enhance the market, and the weight of the public support in VC investment activity can be even larger. For example, in Finland, the public sector accounted for 30% of VC domestic fundraising in 2022, up from an average of 23% in the period 2019-2021 (Finnish Venture Capital Association, 2022^[22]). Government participation in VC can also have the objective of structuring the market and fostering best practices.

Government participation in the VC industry tends to increase during periods of high volatility. The VC industry tends to be cyclical, with macroeconomic disruptions generating fluctuations in the VC markets. Such volatility can affect innovation, as VC investors prefer to conserve capital or shift funding towards less innovative firms that are closer to profitability (Howell et al., 2020^[23]).

In this context, government involvement in VC can play a countercyclical role, contributing to market stabilisation and limiting the reduction in the availability of capital for innovation. In the United States, where government participation tends to be small, the share of deals with government participation increased to 8.1% in 2023 (from 4.8% in 2022) (Pitchbook, 2024^[24]). In Europe, government participation in VC increased in 2023 when private VC investment volumes declined substantially in response to high interest rates and investor caution¹¹. In 2024, as participation from private investors increased slightly, government participation declined.

Figure 2.4. European venture capital commitments by type of investor

EUR million



Note: Institutional investors category includes pension funds and insurance companies, asset managers include family offices, fund-of-funds and other asset managers including PE houses other than fund-of-funds, the “other” category includes capital markets, foundations, academic institutions, sovereign wealth funds and private individuals. Data labels represent the share of VC commitments by type of investor over the total annual VC commitments.

Source: (Invest Europe, 2024^[25])

Government VC investments are often channelled through public development banks

In many countries, public development banks (PDBs) are the primary vehicles for government participation in the VC market, often serving as the most active public investor. The growing role of PDB is evidenced by increasing investment commitments and assets under management (AUM). Many of these public financial institutions have set up specific subsidiaries to deal with the growing investment flow and to separate VC activities from debt financing programmes. Some examples include Kreditanstalt für Wiederaufbau (KfW) Capital in Germany (indirect fund-of-funds investor), the British Business Bank and its subsidiaries in the UK, Bpifrance Investissement in France, Export and Investment Fund (EIFO) in Denmark, and (Business Development Bank of Canada) BDC Capital in Canada.

Nonetheless, some countries rely on alternative institutional approaches to VC policies. In Finland, the main government investor is TESI (Finnish Industry Investment Ltd), which is a state-owned investment company specialised in equity investments. Sweden has two main state-owned investment/venture capital companies: Saminvest, mostly active in the support of private VC funds (indirect investment), and Almi Invest, mostly active in direct equity participations in Swedish start-ups. Germany also has more than one single main government VC institution. Indirect investments by KfW Capital are complemented by the High-Tech Grunderfonds (public-private investment company¹² investing directly in start-ups). In addition, the DeepTech & Climate Fund (DTCF) complements the HTGF and KfW Capital by co-investing directly in deep-tech companies. In the US, government-backed equity programmes remain relatively small, with the Small Business Administration managing the SBIC and SBIR programmes. In the Netherlands, Invest-NL, a state-owned development and investment institution under the Ministry of Finance, acts as the national promotional institution, providing both direct and indirect VC support.

Indirect investment has become increasingly prominent in VC policies

In recent years, government commitments into private VC funds or fund-of-funds have gained prominence across countries. This reflects a broader policy shift towards leveraging private sector expertise and capital. Germany provides a case in point. Through the EIF-ERP facility¹³, the German Government has invested in private VC funds since 2004. Over the years, the funding of this facility has progressively increased, reaching a total capacity of EUR 4.6 billion in 2023 (EIF, 2023^[26]). In addition, KfW Capital, established in 2018, only invests through participation in private VC funds, whereas the High-Tech Gründerfonds (HTGFs), which date back to 2005, invest directly in start-ups. While the AUM of the HTGFs are still larger than those of KfW Capital (EUR 2.3 billion vs. EUR 0.9 billion), the new Future Fund tilt further government VC policies towards indirect investments. In the UK, venture capital policies have traditionally been more inclined to indirect investments, since the creation of the Enterprise Capital Fund in 2006. The preference for indirect investments was further strengthened after the 2017 Patient Capital Review, which underscored the need to enhance scale-up finance in the United Kingdom (HM Treasury, 2017^[27]). The main programmes of the two subsidiaries of BBB, BPC and BBI, all adopt an indirect approach to government VC investment.

Nordic countries provide additional examples of this trend. In Finland, TESI's AUM from direct investment accounted for between 20-23% of the total between 2018 and 2022, with the rest coming from participation in private VC funds and fund-of-funds. In Denmark, the indirect-direct investment ratio of EIFO was 2:1 in 2024 (DNK 1.6 billion vs. DNK 0.8 billion) (EIFO, 2024^[28]). In the case of Sweden, in 2014, an evaluation of the National Audit Office concluded that government VC direct investment policies were not effective due to an excessive fragmentation of government VC funds (Tillvaxtanalys, 2013^[29]). As a result, the main direct government investment programmes were closed.

The rise in VC indirect investments has been accompanied by a rise in growth-stage investments

The rise in indirect investments has been accompanied by an increase of growth-stage investments by public VC funds, which reflects broader trends in VC markets and an effort to fill funding gaps at this stage. Growth-stage VC investments typically involve larger investment tickets than early-stage investments, which means that the size of the funding round is more easily reached when different investors partner together. In this respect, public VC funds can have an important leveraging effect, helping private VC funds to meet the required investment targets while reducing exposure to single large investments.

The rationale behind public intervention in growth-stage investments is slightly different from the one in early-stage. Early-stage public investment aims to facilitate the emergence and growth of newer, younger start-ups while also supporting their commercialization. These early investments come with longer time horizons and greater risks due to the uncertainty and lack of data regarding the financial performance of these companies. This is different from growth equity, which typically focuses on scaling companies that already have significant revenues.

This trend in VC policy has been identified more prominently in European countries. For example, in the UK, British Patient Capital (BPC)¹⁴, a subsidiary of BBB, allocates two-thirds of its commitments to growth-oriented VC funds and one-third to early-stage funds, with 26 out of 51 BPC-backed funds targeting venture growth (British Business Bank, 2023^[30]) (British Business Bank, 2021^[31]). In Germany, new VC programmes have also increasingly focused on the growth stage. While the High-Tech Gründerfonds (2007) targeted early-stage firms, newer programmes address later stages. The GFF-EIF Growth Facility, part of the EUR 10 billion Future Fund, started in 2021 with EUR 3.5 billion to support growth and late-stage firms. In addition, the ERP/Future Fund Growth Facility established by KfW contributes to facilitate more frequent and larger financing rounds for start-ups. Similarly, the Venture Tech Growth Financing Programme, which is also funded by the umbrella Future Fund, fosters the growth phase of innovative companies through bridge loans and post-IPO debt loans. In France, Bpifrance has expanded the growth capital segment (*capital croissance*) to accelerate start-up and scale-up. Between 2013 and 2022, Bpifrance subscribed to 33 growth funds, averaging EUR 375 million, more than twice the size of other VC funds in its portfolio (EUR 157 million). As a result, fundraising campaigns that exceeded EUR 20 million increased from 3 in 2013 to more than 100 in 2022.

Despite the increasing importance of indirect investments in VC, in some countries direct investments still play an important role

While many countries have increasingly shifted toward indirect investment approaches, direct investments continue to play a significant role in some. In France, Bpifrance's portfolio remains almost evenly split, with 45% in direct investments and 55% in fund-of-funds. Large direct funds, such as the Large Venture Fund (EUR 1.75 billion), focused on growth-stage firms, has been crucial to supporting 11 of France's 31 tech unicorns in 2022. At the same time, indirect investments have grown substantially, with commitments to new French VC funds rising 3.4 times between 2013 and 2022. In Canada, BDC Capital divides its VC activity between direct (CAD 2 billion) and indirect (CAD 1.2 billion) investments. Despite this balance, 62% of its AUM in 2025 stemmed from direct investments, which have consistently represented the majority since 2011. Alongside these activities, BDC also manages federal VC programmes that prioritise indirect investments.

In the United States, where government VC investments are limited, government-backed VC mostly takes the form of direct investment, possibly because the United States does not have a federal public development bank, and the few existing federal VC initiatives are often mixed with debt financing instruments. For example, the Small Business Investment Companies (SBICs), which are regulated by the federal SME agency (Small Business Administration, SBA), offer both debt and equity finance instruments;

in 2013, equity and semi-equity instruments (e.g. convertible debt) represented about 40% of SBIC financing (SBA, 2014^[32]). SBICs are privately-owned companies which act as investment funds. As of September 2024, there were 318 of them in the United States, with total regulatory capital of USD 25 billion (SBIA, 2025^[33])¹⁵.

Government VC policies seek to diversify the investor base

Mobilising institutional investors

Institutional investors (e.g. pension funds, insurance companies, sovereign funds, etc.) have contributed to growing volumes of VC investments over the last decade. Especially in the case of pension funds, changes in the regulatory framework have enabled a larger participation of these entities in VC markets. For example, in the US, changes in the Employment Retirement Income Security Act (ERISA) in the 1980s allowed fund managers to diversify their portfolio and allocate a small fraction of a corporate pension portfolio to risky investments. Although the allocations of corporate pension funds in VCs were initially small, even a modest allocation of such a large pool of investors led to a rapid growth of the VC industry (Lerner and Nanda, 2020^[4]).

In addition, through PDBs, governments have played an important signalling function, by providing capital and by attracting broader participation of other types of investors by being anchor investors (OECD, 2025^[34]). As a result, PDBs play a key role in expanding financing options for start-ups, particularly in underdeveloped VC markets where individual funds may be too small to attract institutional investors. By establishing fund-of-funds and managing due diligence, PDBs enable institutional investors to engage in VC at a larger scale. Over time, this helps institutional investors gain the experience and confidence needed to eventually invest directly in VC funds (Arnold, Claveres and Frie, 2024^[35]).

In recent years, several countries have implemented policy initiatives aimed at increasing the participation of pension funds in the VC market, most notably in Nordic countries. In Denmark, the fund-of-funds Danish Growth Capital (III) reached in 2023 DKK 3 billion in assets¹⁶ and invested in 12 VC funds, with the share of pension fund contributions rising from 25% in its first cycle to 33% in the second. In the case of the Danish Growth Capital, it has been reported that without government backing, it would have been unlikely for pension funds to undertake early-stage VC investments (Kimmo, 2023^[36]). In May 2025, the fourth iteration of the Danish Growth Capital was launched, with administration delegated from EIFO to a private commercial bank, and the fund-of-funds operating fully on commercial terms (Danske Bank, 2025^[37]). In Finland, the public investment company TESI launched the KRR fund-of-funds programme to encourage pension fund investment in Finnish scale-ups within a controlled-risk framework. Between 2008 and 2023, nearly EUR 600 million was invested through this mechanism. In Sweden, Almi Invest also partners with institutional investors, supporting around 200 new and follow-on investments annually, further integrating pension funds into the VC ecosystem.

Other European governments have recently launched comprehensive plans to encourage institutional investments in VC. In Germany, the WIN (Growth and Innovation Capital for Germany) Initiative launched in 2024 includes a 10-point action plan aimed at strengthening the ecosystem for growth and innovation capital. One key measure is the amendment of the Investment Ordinance, which raises the quota for risk capital investments from 35% to 40%, making it easier for small insurers and pension funds to invest in venture capital. The Investment Ordinance came into force in February 2025. Through the Insurance Supervision Act, the cover requirements for pension funds will be relaxed, which would enable flexible capital investment (KfW, 2024^[38]). In France, the Tibi Initiative, which is already in its second phase, aims to increase the financing capacity of technology companies (in early and late stage) by mobilizing the savings of institutional investors. The initiative was launched in 2019 and has increased from 21 investors initially to 30 at the launch of Phase 2 in June 2023 and to 35 investors in May 2024. As of H2 2024, more than 15 venture capital funds had applied to manage over EUR 1 billion each (Direction générale du Trésor,

2024^[39]). In the UK, in Q2 2025, the BBB received regulatory approval from the Financial Conduct Authority to deliver the British Growth Partnership, which aims to unlock capital from UK pension funds¹⁷ and other institutional investors to invest in UK VC with the support of government anchor investment (UK HM Treasury, 2025^[40]).

However, the effectiveness of the supply of private capital to the VC industry often depends on the broader institutional context. In particular, the role and size of private pension funds vary significantly across countries depending on the structure of the national pension system. In economies with largely public pension systems, freeing private pension funds to invest in VC may have a limited impact on the overall volume of funding available (Berger, Criscuolo and Dechezleprêtre, 2025^[41]). In such a context, governments often have a larger direct participation in VC markets through Government VC Funds. For example, in France, where the pension system is mainly public, Bpifrance's direct investments account for 45% of the total, the rest being fund-of-funds (55%) (OECD, 2025^[34]). In Germany, the WIN initiative has commissioned a study to explore options to increase investments from public institutional investors, which will include an inventory of relevant public funds and their VC investments as well as opportunities to mobilise more VC investments through public funds (KfW, 2024^[38]).

Mobilising a broader range of investors, including retail investors, family offices, and foundations

To develop dynamic venture capital ecosystems, governments are also working to broadening the investor base in the VC asset class in order to contribute to deeper, more liquid VC markets with varied funding sources. Depending on the design of the structures in which a broader set of investors participates, governments may align new pools of capital with strategic priorities or with current investment gaps (e.g. long-term patient capital).

For example, the revised European Long-Term Investment Fund (ELTIF) 2.0¹⁸, introduced in 2024, aims to “democratise” access to private markets, including venture capital, for retail investors. The revised ELTIF removes the previous minimum investment threshold of EUR 10 000 and the 10% limit on aggregate investment, with the objective of easing access for retail investors (Official Journal of the European Union, 2023^[42]). In the UK, the Long-Term Asset Funds (LTAFs) aim to increase liquidity in VC and growth equity. While the structure initially focused on professional investors, the Financial Conduct Authority has recently introduced rules to broaden distribution to certain retail and pension customers subject to specific protections. In 2024, wider access was put in place by allowing UK Non-UCITS Retail Schemes (NURS) to invest more easily in LTAFs, effectively creating another indirect channel for retail investors and savers to invest in illiquid assets including VC (KPMG, 2025^[43]).

In other countries, policies aim to broaden the investor base for venture capital by strengthening financial literacy, cultivating an investment culture and actively introducing new investor groups to growth and innovation finance. Recognising that meaningful participation in VC requires both expertise and confidence, the German federal government and KfW Capital are expanding programmes under the WIN Initiative that familiarise potential investors with the asset class and transfer practical know-how from experienced market participants. KfW Capital's VC Academy is an example of such initiatives, and a new training programme for Potential Limited Partners is being introduced in 2025. In addition, the “Family Office Initiative” and “Foundation Round Table” formats established by the federal government make a significant contribution to attracting further investor groups to start-up financing in Germany. Participants in the Family Office Initiative have been involved in the Wachstumsfonds and the Start-up Factories. The Foundation Round Table, with the participation of KfW Capital, regularly organises discussions on how to attract investments from foundations in the VC market (KfW, 2024^[38]).

Government VC policies are becoming increasingly targeted, aligning with specific policy goals

Government VC policies aim to bridge subnational disparities

VC tends to be geographically concentrated, given that the VC industry tends to thrive when its key players¹⁹ are clustered together (Arnold, Claveres and Frie, 2024^[35]). Moreover, VC investors prefer to locate in areas with a history of thriving entrepreneurial ecosystems and proximity to portfolio companies. As such, the location preference and patterns of successful entrepreneurs and investors tend to be mutually reinforced (Berger, Criscuolo and Dechezleprêtre, 2025^[41]). This results in subnational regions with developing entrepreneurial ecosystems but lacking a significant number of VC investors or other key actors in the VC industry, encountering deficiencies in VC availability. By way of example, in 61% of UK-based equity deals, investors had their office within a one-hour travel distance from the invested company, while in an additional 21% of deals the distance was two hours (British Business Bank, 2021^[44]). Similarly, at the EU level, more than 80% of VC investments are concentrated in 20 cities (EIF, 2016^[45]).

Governments and subnational agencies can address the geographical concentration of VC by boosting supply through the establishment of local investment funds and providing anchor investments to encourage local private investor participation. They can also foster demand by increasing awareness of VC availability and supporting regional business angels, whose involvement extends beyond the provision of finance.

Government VC policies have sought to address the concentration of VC activity by channelling risk capital to peripheral regions, with a view to diversifying the distribution of equity finance across the country. For example, in the United Kingdom, regional targeting has long been a key feature of VC policy. Prior to the establishment of the British Business Bank (BBB) in 2014, 60% of all public VC commitments were made to regionally constrained funds. The BBB launched targeted regional funds for Northern England, the Midlands, and other devolved nations, with new commitments reaching GBP 1.6 billion in the 2022 Spending Review to establish the next generation of regional funds. As of 2024, the BBB is actively rolling out these funds which have increased significantly their activity from two matched deals in 2023 to 48 deals in 2024 (British Business Bank, 2025^[46]).

In addition, the BBB also recognises the crucial role that Angel investors play in strengthening regional and local ecosystems. Beyond the finance they provide, they attract additional co-investors and grant funding, offer mentorship, connect entrepreneurs with talent and customers, and can significantly improve a start-up's chances of securing later VC rounds. Considering the high geographical concentration of Angels, the BBB created in 2018 the Regional Angels Programme to narrow geographic imbalances in early-stage VC finance and strengthen local start-up ecosystems. As of 2025, Angels' activities in the UK were less concentrated compared to the UK equity market (British Business Bank, 2025^[46]).

In France, Bpifrance manages regional and interregional funds, seeking to combine financial profitability with local economic development goals. These funds apply a generalist and, often, interregional approach to grow the market depth and quality of investment opportunities, which is inevitably restrained if a strict regional focus is used. More specifically, Bpifrance's indirect investments are organised around three clusters: regional funds, innovation funds and capital development funds. Most of the recent growth in indirect investments has come from the innovation and regional funds, with regional funds showing a 50% increase between the period 2015-2019 and 2020-2024 (Bpifrance, 2025^[47]).

In other countries where central VC policy is not primarily regionally oriented, subnational governments are increasingly launching their own regional VC initiatives. These subnational programmes often complement national schemes and reflect local innovation strengths and funding gaps. For example, in Germany, while federal institutions like KfW Capital and the HTGF do not apply a regional development lens in their VC policy, regional promotional banks, especially in the most developed Länder, sometimes operate VC programmes with a closely defined regional mandate. For example, in Bavaria, the state

parliament passed a resolution in July 2025 to enable public and private foundations to invest up to 5% of their assets in VC, with the objective to attract more investment into start-ups in the state (Partington, 2025^[48]).

In the Netherlands, the regional development agencies (i.e., ROMs for *Regionale Ontwikkelingsmaatschappijen*) are active in all provinces. They aim to improve access to financing for companies and address market failures in the venture capital market. The ROMs provide capital to startups and scale-ups, support companies in their international growth, attract foreign businesses, and contribute to strengthening regional innovation ecosystems. It has been estimated that as many as 60% of VC-backed Dutch companies receive equity finance from a regional development agency (Netherlands Chamber of Commerce, 2024^[49]) (Regionale Ontwikkelingsmaatschappijen, 2023^[50]).

Outside Europe, Canada follows a model similar to Germany's. BDC Capital's VC activities and the government mandate programmes that BDC delivers have a pan-Canadian approach with VC investments made across Canada. However, many provinces also have VC policies targeted at the regional level. For example, in British Columbia, the BC Renaissance Capital Fund (BCRCF), Alberta Enterprise Corporation (AEC), the Manitoba First Fund, Venture Ontario, Investissement Québec (IQ), New Brunswick Innovation Foundation (NBIF) and Invest Nova Scotia support VC investment in their respective jurisdictions.

Government VC is also focusing on supporting women entrepreneurs, who continue to be underrepresented in the VC industry

The VC industry tends to replicate biases in society, which prevent different segments of the population from participating in the market, either as investors or entrepreneurs. The literature has largely documented the gender imbalances in access to venture capital, which is due in part to the underrepresentation of women among investors and fund managers, as well as in the entrepreneurial ecosystems, with women entrepreneurs representing a low share of businesses operating in STEM sectors (which is the highest recipient of VC investment). Globally, women entrepreneurs are about 63% less likely to secure VC funding compared to men (Guzman and Kacperczyk, 2019^[51]), receiving only about 2% of total venture capitalist investments globally (Teare, 2020^[52]). Moreover, women who do receive VC investment, only receive about 70% of the funding that men receive on average (Lassébie et al., 2019^[53]). In Europe from 2011 to 2021, only one in ten founders and CEOs who received VC were women (EIF, 2022^[54]).

Government participation in VC can counteract these disparities by establishing gender or diversity-focused funds or including diversity criteria in fund-of-funds structures, where partner funds need to have a specific share of investments allocated to women or minority entrepreneurs. Specific programmes that support the professionalisation of women, minorities, young investors and the creation of investor networks that have diversity as their core principle can foster a varied base of investor profiles, thereby reducing biases in the industry.

In the UK, between 2022 and 2024, only 6–8% of equity deals went to all-female founding teams, compared to 70–74% for all-male teams. Mixed-gender teams accounted for the remaining 20–22% of deals (British Business Bank, 2025^[46]). In the US, in 2024 only USD 36.1 billion was invested in teams with a female founder, out of a total of USD 209 billion (Pitchbook, 2025^[55]).

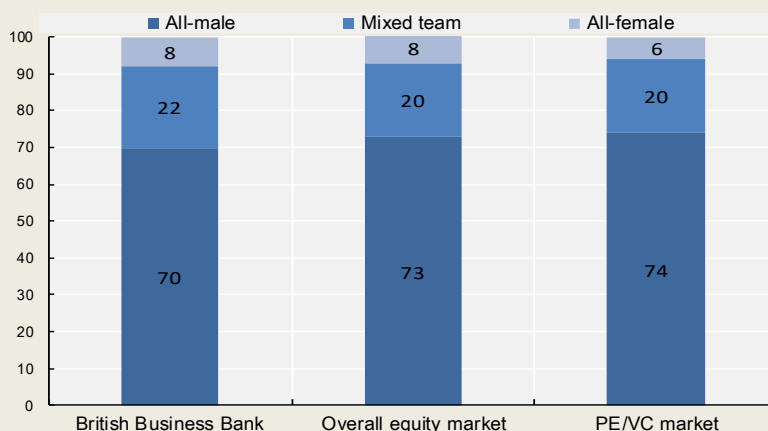
Governments have increased the number of initiatives to address persistent gender imbalances in access to venture capital, which are aimed at increasing the participation of women both as fund recipients and as investors. Box 2.1 shows examples of these initiatives in Canada, Colombia, Germany, Denmark, Sweden and United Kingdom.

Box 2.1. Examples of emerging funds focusing on women entrepreneurs

- **Canada:** BDC operates the Thrive Platform for Women, which has a budget of CAD 500 million to invest in women-led technology businesses and in women-led VC funds. In addition, the Venture Capital Catalyst Initiative (VCCI) and Renewed-VCCI programmes have also strived to enhance diversity in Canada's VC ecosystem. For example, the 2021 Renewed-VCCI included a CAD \$50 million inclusive growth stream and all recipient fund managers under the programme are required to collect gender and diversity metrics, and implement DEI policies and practices internally, in their portfolios, and across the broader VC ecosystem.
- **Colombia:** The Free and Productive Women Fund (Fondo Mujer Libre y Productiva) launched the She Invest programme (Ella Invierte) in September 2024 to promote female investment and entrepreneurship (Vicepresidencia de Colombia, 2024^[56]). The programme offers tools and valuable connections to women investors and entrepreneurs.
- **Denmark:** EIFO has signed a diversity commitment binding the Fund to measure, track and report progress in promoting gender equality through the Fund's activities (EIFO, 2023^[57]).
- **Germany:** KfW Capital also considers the female staffing of partner VC funds in its investment decisions. In addition, the Emerging Manager Facility (EMF) is a new KfW instrument conceived for new and young VC management teams with the aim of enhancing access to VC by underrepresented groups, especially women (KfW, 2023^[58]).
- **Sweden:** Saminvest requests that women's representation in the investment team of partner VC funds is at least 40%, with funds asked to show regular progress on this metric.
- **United Kingdom:** the BBB, through its commitment to the Investing in Women Code (IWC), has increased equity support to women entrepreneurs. Between 2022 and 2024, 30% of BBB's supported deals were allocated to companies with at least one female founder, a slightly higher share than both the overall equity market (27%) and the broader PE/VC market (26%) (British Business Bank, 2025^[46]). The UK example also showcases the importance of the collection of gender-disaggregated data on VC to inform the creation or evaluation of programmes, or identify ways to target existing programmes. The Women Entrepreneurs Finance Initiative, through its WE Finance Code, supports governments in this area (Women Entrepreneurs Finance Initiative, 2022^[59])

Figure 2.5. Gender composition of company founders receiving an equity deal in 2022-2024

As a percent



Source: Small Business Equity Tracker (British Business Bank, 2025^[46])

StatLink  <https://stat.link/kudwms>

Government VC is increasingly focused on strategic sectors

Because government VC investments must generate returns, they are often sector-neutral and tend to reflect broader VC market trends, which is also the consequence of government VC investments always matching private investments. In other words, because government investments tend to match private investments, they are mostly found in those sectors that have traditionally been preferred by private VC funds, such as information technology and life sciences.

There are many examples of sector-neutral government VC policies. The Danish Growth Fund, which was behind VC policies in Denmark before the recent establishment of the Export and Investment Fund (EIFO), has also been sector-blind, with the largest funding directed to IT, health tech, and industrial technologies, as a result of market trends. BDC's VC investment strategy aims to support undercapitalised innovative industries in Canada, helping Canadian technology innovators build world-class companies. Similarly, the fund-of-funds streams of Venture Capital Catalyst Initiative (VCCI), and its predecessor, Venture Capital Action Plan (VCAP), have had a sector neutral approach, with recipient fund managers investing predominantly in ICT, followed by life sciences and cleantech focussed VC funds, reflecting broader VC investment trends. In Germany, the top recipient sectors of the HTGFs have been healthcare, information technology, fintech, energy and marketing.

However, national governments are increasingly implementing VC programmes to steer investments towards strategic sectors that are not receiving enough risk capital from private VC funds. As VC typically concentrates in sectors with large market potential and relatively low demand uncertainty, innovations with significant positive externalities but long development cycles, such as deep-tech, energy and environmental sustainability, often face difficulties to attract capital. Deep-tech ventures, for example, take on average 25–40% longer between funding stages than other tech firms and face higher risks of failure at each stage (BCG, 2023^[60]). The extended timelines and high technological uncertainty discourage many investors seeking quicker returns, resulting in a sub-optimal allocation of capital.

In this context, governments play a crucial role in de-risking investments and mobilising patient capital²⁰. Public participation through long-term or evergreen funds, fund-of-funds, and targeted co-investment schemes can provide the initial anchor investment needed to crowd in private actors. Such interventions are particularly effective in mobilising institutional investors, which have both the capacity for large commitments and a higher tolerance for long investment horizons (Bearhurst, 2021^[61]). By absorbing part of the risk and signalling commitment, governments help channel resources into strategic sectors where private VC alone would be insufficient. Box 2.2 provides examples of emerging funds in these sectors.

Box 2.2. Examples of emerging Funds focusing on deep-tech and green-tech / cleantech sectors

Deep-Tech Funds

Canada - Deep-Tech Venture Fund (BDC Capital): Launched in 2021, it invests CAD 200 million directly in early-stage deep-tech start-ups (from seed to Series A).

Denmark - Quantum Technology Strategy Fund: Launched in October 2025 and with a target size of EUR 300 million, a dedicated fund with public-private co-investment established through EIFO along with private investors, with the aim of supporting commercialisation in quantum technologies.

France - Bpifrance Deep-Tech Plan: A EUR 2.5 billion plan focused on highly innovative companies, expanding the National Seed Fund and Ecotechnologies II Fund.

Germany - Deep Tech & Climate Fund (DTCF): Launched in 2022, with a EUR 1 billion commitment over 10 years, targeting deep-tech and climate-related innovations.

Spain - Next-Tech Fund: A joint initiative of the national public development bank (ICO) and the Secretary of State for Digitisation and Artificial Intelligence, operating as a fund-of-funds to mobilise EUR 4 billion in deep-tech start-ups and scale-ups.

Green-Tech / Clean-tech Funds

Australia - Clean Energy Innovation Fund: Managed by the Clean Energy Finance Corporation, this evergreen fund had AUD 200 million AUM in 2023, targeting early-stage clean energy technologies.

Canada - BDC Sustainability Venture Fund (CAD 150 million), Cleantech Practice (CAD 600 million), and Climate-tech Fund (CAD 500 million): All focused on clean and climate-friendly technologies.

Denmark - Danish Green Future Fund: Provides quasi-equity (convertible loans) and VC to promote the green transition, with DKK 3.5 billion invested in 2025.

Estonia - Smartcap Green Fund Direct Investment Programme: Launched in 2022 with EUR 20 million for green-tech companies, ranging from seed to Series B.

France - Bpifrance Green Venture Funds: Comprising Ecotechnologies I & II and Ville de Demain, targeting start-ups in renewable energy, intelligent mobility, green chemistry, circular economy, and sustainable agriculture.

Sweden - Almi Invest Green Tech Fund: Established in 2018, it invests in renewable energy, smart grids, biogas, and agri-tech.

Source: Benchmarking government support for venture capital, OECD, 2025.

More recently, government venture capital is being harnessed to support investment in defence technology. This trend is most notable in Europe, which in 2024 experienced an unprecedented 24% year-on-year growth in VC (public and private) allocated to deep-tech defence, security and resilience (close to a fivefold growth over the past six years). This growth is driven by geopolitical developments and a growing demand from governments for these technologies (Dealroom and NATO Innovation Fund, 2025^[62]).

In the UK, the BBB manages investments for the National Security Strategic Investment Fund (NSSIF), which co-invests in dual-use technologies²¹. The NSSIF was created in 2018 and operates through both fund-of-funds and direct co-investments via British Patient Capital and British Technology Investments Ltd. The Fund complements broader government efforts to align VC capital with national security priorities (British Business Bank, 2018^[63]) (British Business Bank, 2022^[64]).

In France, Bpifrance support companies in the defence and security sectors through two main vehicles. The Fonds Definvest, launched in 2018, is a EUR 100 million equity fund that provides ticket sizes ranging from EUR 500 000 to EUR 10 million for strategic companies within the defence industrial base. The second vehicle is the Fonds Innovation Défense, launched in 2021 with a target size of EUR 400 million. It focuses on scale-ups developing technologies in the defence sector. In July 2025, Bpifrance introduced the European Defence Bond Framework to further expand support for defence-oriented companies, but mainly through debt finance (Bpifrance, 2025^[65]).

At the European level, the EU launched a EUR 175 million Defence Equity Facility in 2024, backed by the European Defence Fund. It is implemented by the European Investment Fund, with initial investments already made in VC funds specialising in defence-related technologies. In addition, the EIF signed a Memorandum of Understanding with the NATO Innovation Fund, aimed at broadening the base of private capital actively investing in dual-use and security-relevant technologies (EIF, 2025^[66]).

Conclusions

Venture capital plays a critical role in the funding mix for innovative SMEs and start-ups. It increases their chances of success and contributes to productivity growth by combining the provision of capital with non-financial support. This includes access to managerial expertise as well as to industry networks and strategic guidance, based on investors' deep understanding of the technologies and sectors in which they invest. This combination of financial and non-financial support makes VC especially well-suited to firms pursuing disruptive innovations with uncertain returns, which are often ill-served by traditional debt markets. The OECD Recommendation on SME Financing, the 2022 Updated G20/OECD High-Level Principles on SME Finance (OECD, 2022^[67]) and the G20 Global Partnership on Financial Inclusion Action Plan for MSME Financing all underscore the case for enhanced financing diversification, including through venture capital.

In this context, this chapter examined major developments and trends in the VC industry and government-backed VC programmes. It documented the significant expansion of VC investment volumes over the last 15 years, driven by expansionary monetary policy, increased participation from large institutional investors and a growing number of start-ups built on intangible assets. This growth focused on two types of companies – start-up or late-stage – and by investments in the ICT sector. More recently since the COVID-19 pandemic, VC markets have been highly volatile, first surging to record levels in 2021 due to ample liquidity, before contracting sharply in 2022–2023 and stabilising in late 2024, driven by AI investments.

Despite the stabilisation of VC markets, VC flows remain uneven across sectors, regions and specific groups of entrepreneurs such as women. Well documented market failures such as information asymmetries (exacerbated by a concentration of VC funds in a limited number of locations), high transaction costs in investment processes and mismatches in the expectations between investors and entrepreneurs often result in an inefficient allocation of VC, causing sectoral, spatial and demographical concentration. To mitigate these market failures in the VC industry, governments have played an increasingly active role.

This chapter provided an overview of the main ways in which governments have participated in VC markets, often channelling their support through public development banks or public investment agencies. Over the last decade, indirect investments, whereby governments invest in private VC funds, have taken an increasingly prominent role to leverage private sector expertise and capital. The growth in indirect investments has been accompanied by an increase in late-stage investments to promote business scale-ups and an increase in the number of large mid-sized firms in the ecosystem, acknowledging the important role that these firms have in employment creation, innovation and productivity. Nonetheless, direct investments remain common in many countries.

In an effort to increase the capital available in VC, governments are seeking to expand the investor base, including by engaging with institutional investors. In this regard, PDBs, play an important signalling function by providing capital and acting as anchor investors. In addition, through the establishment of fund-of-funds and management of due diligence, PDBs enable institutional investors to engage in VC at a larger scale, helping them gain the experience and confidence needed to eventually invest directly in VC funds.

Government VC policies are often sector-neutral, reflecting the need for government VC entities to generate returns for the government, while complying with its investment policy. Sector neutrality is also the result of governments investing as minority investors with other private investors. Nonetheless, in recent years, some government VC programmes have also sought to funnel VC resources into strategic sectors and technologies, such as clean-tech and deep-tech, and more recently, defence. Government VC policies are also increasingly aimed at mitigating regional and demographical concentration of VC by establishing local investment funds and providing anchor investments in distant regions. They are also establishing women-focused funds or including specific criteria in fund-of-funds structures to increase the allocation of VC to women entrepreneurs.

Looking ahead, the Scoreboard will continue to monitor developments in venture capital for SMEs, as well as exploring other types of equity and quasi-equity finance.

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Notes

¹ For example, VC-backed companies are less likely to fail in the initial years and tend to scale up more quickly than non-VC backed firms. In addition, receiving VC is positively associated with an increase in total factor productivity (Chemmanur, Krishnan and Nandy, 2011^[15]).

² https://www.oecd.org/en/publications/benchmarking-government-support-for-venture-capital_81e53985-en.html

³ In the US, the median early-stage startup more than doubled its valuation on an annual basis in 2021 and 2022.

⁴ Large average fund sizes are correlated with stronger VC markets with funds having larger capital capabilities to invest.

⁵ In the US, nearly 25% of deals in 2024 were down or flat rounds, which is the greatest percentage in a decade (Pitchbook, 2025^[15]).

⁶ Series B refer to companies fundraising between USD 15 and 40 million, usually intended to fund market expansion and revenue growth.

⁷ Series C include companies fundraising between USD 40 and 100 million, usually intended to fund major growth initiatives.

⁸ The unprecedented VC investment flows into late-stage companies also revealed different trends depending on the macro region. In 2021, the scale-up rounds in Europe and the related funding sources were mainly from non-European investors, in particular the US, with non-European participation increasing with the size of the funding round.

⁹ Patents filed by VC-backed firms are of significantly higher quality and economic importance than those in the broader economy (Howell et al., 2020^[23]).

¹⁰ A significant part of public support in Europe comes from EIF's pan-European level programmes, with many national measures being supported or managed by the EIF.

¹¹ In Germany, government participation in VC fundraising accounted for 16% in 2017–2019 (accounting by the main source of VC fundraising) but declined in 2021–2023 in response to the high liquidity window in 2021. Similarly, in France, public participation stood at 23% in 2017–2019 and declined to 19% in 2021–2023. By contrast, in the United Kingdom the public sector played a much smaller role, accounting for 8% of VC fundraising in 2017–2019 and remaining modest at 6% in 2021–2023, with a greater reliance on institutional investors and family offices (KfW, 2020^[70]) (KfW, 2025^[69]).

¹² The company has participation from the Federal Ministry of Economic Affairs and Climate Action, KfW, VC investors and industrial companies.

¹³ The ERP-EIF Facility is a partnership between the German Federal Government and the EIF, managed by the EIF, providing venture and growth capital financing with a focus on high-tech early and later stage companies in Germany (EIF, 2023^[26]).

¹⁴ In March 2025, British Patient Capital became the investment arm of the British Business Bank.

¹⁵ From the inception of the SBIC program to December 31, 2024, SBICs have invested approximately USD 139.2 billion in approximately 198,199 financings to small businesses. In fiscal year 2024, SBICs invested USD 7.26 billion in 1,014 small businesses (SBIA, 2025^[33]).

¹⁶ The combined assets of the three iterations of the Danish Growth Capital amount to DKK 9.4 billion

¹⁷ Following the Mansion House Accord in May 2025, workplace pension providers will pledge to invest 10% of their workplace portfolios in assets in infrastructure, property and private equity / venture capital by 2030 (UK HM Treasury, 2025^[40]).

¹⁸ ELTIFs were first introduced in 2015 to help facilitate the long-term financing of companies and projects by reducing regulatory obstacles that limited the number of available investors.

¹⁹ This includes VC investors, Funds, universities, industry partners, start-up incubators and accelerators

²⁰ Patient capital refers to investors willing to commit funding over a longer horizon without immediate expectations of financial returns (Bearhurst, 2021^[61]).

²¹ Dual-use items are goods, software and technology that can be used for both civilian and military applications (European Commission, 2024^[68]).

Part II Country snapshots

3 Australia

Key facts on SME financing

According to the Australian Bureau of Statistics (ABS), there were 2 657 809 SMEs in Australia in 2023-24. SMEs accounted for 99.8% of all enterprises in Australia and employed more than 8.5 million people in 2023-24, which equates to around 64.7% of employment in the private sector.

The Australian economy is emerging from a period of high inflation and is gradually gaining momentum. Headline inflation has moderated significantly from its peak. The unemployment rate remains low, and wages growth is forecast to remain above the pre-pandemic average rate. Real GDP grew by 1.4% in 2024-25 and according to economic forecasts produced by the Australian Department of the Treasury, reported in the 2025-26 Budget in March 2025, is expected to strengthen to 2.25% in 2025–26.

Interest rates for both SMEs and large businesses remain above pre-pandemic levels. Interest rates on outstanding SME loans in Australia increased slightly from 6.5% in 2023 to 6.6% in 2024, while interest rates on new loans stayed steady at 6.5% in 2023 and 2024. The interest rate spread between SME loans and large enterprise loans widened slightly in 2024 relative to 2023 but remained narrow at 76 basis points in 2024. In the decade prior to 2022, the spread typically ranged between 160 and 190 basis points. In the first half of 2025, interest rates on SME and large business loans declined alongside declines in the cash rate and bank bill swap rates.

New lending to SMEs increased from AUD 122.5 billion in 2023 to AUD 153.7 billion in 2024.¹ In 2024, the share of SME outstanding loans stood at 52.7% of total outstanding business loans.

The total amount of venture capital invested by registered Early-Stage Venture Capital Limited Partnerships (ESVCLPs) and Venture Capital Limited Partnerships (VCLPs) decreased in 2022 by 14.27%, totalling AUD 1.83 billion, increasing in 2023 by 7.33% to AUD 1.96 billion, before rising to a record high of AUD 2.2 billion in 2024, an increase of 12.18%.

Leasing and hire purchase volumes increased by 6.7% through the year to AUD 13.1 billion in 2024. This compares to an increase of 25.9% in 2023 and a decrease of 5.4% in 2022.

There are two types of business insolvencies in Australia, corporate insolvencies and unincorporated insolvencies. The number of unincorporated insolvencies per 10 000 businesses increased from 19 in 2023 to 22 in 2024. The number of corporate insolvencies per 10 000 registered companies increased to 40 in December 2024 from historically low levels during the pandemic (which stood at around 15 on average between April 2020 and June 2022). This increase reflects a catch-up effect following suppressed insolvency activity during the pandemic and more challenging trading and economic conditions. Additionally, 18% of corporate insolvencies in 2024 were small business restructuring (SBR) appointments.

The SBR process is a simplified debt restructuring process designed to help eligible small businesses to successfully restructure its debts and remain in business. This process became available for eligible companies from 1 January 2021 and is one of the insolvency reforms, initially implemented to manage the potential impacts for firms from the pandemic and now permanently available. In its review of the SBR process for the period from July 2022 to December 2024, the Australian Securities and Investments

Commission (ASIC) observed that the large majority of companies that completed an SBR plan remain registered.

The Australian Government has a comprehensive SME agenda aimed at making it easier for small businesses to do business, innovate, thrive and continue contributing to the Australian economy and communities. Its policies to promote SMEs focus on easing the pressure on small businesses, supporting small businesses to grow, and levelling the playing field for small businesses. Government policies on finance, taxation, competition and productivity aim to increase long-term opportunities for SMEs.

Table 3.1. Scoreboard for Australia

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	AUD billion													502.6	493.3	506.4	547.1	588.2	649.0
Outstanding business loans, total	AUD billion	628.8	690.8	653.3	636.4	665.5	685.8	694.5	723.5	764.1	800.5	820.2	861.5	871.2	878.0	942.1	1 057	1 120	1 233
Share of SME outstanding loans	% of total outstanding business loans													57.69	56.18	53.76	51.75	52.52	52.66
New business lending, SMEs	AUD billion														80.2	104.4	116.2	122.5	153.7
Government loan guarantees, SMEs	AUD million															5 622	8 373	8 159	8 000
Government guaranteed loans, SMEs	AUD million															9 539	16 494	16 050	15 749
Non-performing loans, total	% of all business loans	0.64	2.33	4.68	4.74	4.18	3.21	2.47	1.71	1.24	1.37	0.95	0.99	1.11	1.27	1.14	1.12	1.23	1.40
Interest rate, SMEs	%	8.66	8.04	7.60	8.40	8.02	7.13	6.54	6.27	5.63	5.36	5.28	5.33	4.18	3.40	3.10	5.48	6.49	6.57
Interest rate, large firms	%	7.95	6.34	5.94	7.02	6.74	5.50	4.77	4.60	3.90	3.49	3.43	3.72	2.48	1.63	1.50	4.49	5.78	5.81
Interest rate spread	Percentage points	0.71	1.70	1.66	1.38	1.28	1.62	1.77	1.67	1.73	1.86	1.85	1.61	1.70	1.77	1.60	0.98	0.72	0.76
Non-bank finance																			
Venture and growth capital	AUD billion	0.46	0.37	0.13	0.28	0.36	0.26	0.23	0.41	0.67	1.13	0.80	1.30	1.34	1.32	2.14	1.83	1.96	2.20
Venture and growth capital (growth rate)	%, Year-on-year growth rate		-19.44	-64.31	114.42	28.27	-27.45	-13.31	79.48	62.48	68.61	-28.71	62.16	3.13	-1.32	61.25	-14.27	7.33	12.18
Leasing and hire purchases	AUD billion	9.25	9.28	6.73	6.55	6.90	8.75	7.34	8.77	9.86	8.89	10.14	9.71	10.04	10.53	10.33	9.78	12.31	13.14
Factoring and invoicing	AUD billion	54.76	64.99	63.10	58.66	61.42	63.36	63.27	62.39	64.40									
Other indicators																			
Payment delays, B2B	Number of days					22	20	20	15	13	14	12	11	10	11	11			
Bankruptcies, Unincorporated	Number	5 045	4 427	4 426	5 616	5 266	5 858	4 761	4 007	4 088	4 350	4 168	4 291	3 815	3 846	2 546	2 196	2 798	3 312
Bankruptcies, Unincorporated	Per 10 000 enterprises	42	36	36	45	43	50	42	35	34	36	34	36	26	28	18	15	19	22
Bankruptcies, Corporates	Number	7 521	9 113	9 437	9 601	10 481	10 632	10 821	8 794	10 164	8 505	7 811	8 044	8 324	4 943	4 511	6 446	9 227	13 451
Bankruptcies, Corporates	Per 10 000 companies	48	55	55	54	57	55	54	42	45	36	31	31	31	18	15	21	29	40
Bankruptcies, Total	Number	12 566	13 540	13 863	15 217	15 747	16 490	15 582	12 801	14 252	12 855	11 979	12 335	12 139	8 789	7 057	8 642	12 025	16 763
Bankruptcies, Total	Per 10 000 businesses	45	47	47	50	51	53	49	39	41	36	32	32	29	21	16	19	25	34
Invoice payment days, average	Number of days	53	56	54	53	54	53	54	53	47									
Outstanding business credit, Unincorporated business	AUD billion	111.1	117.4	118.7	121.9	124.8	131.2	136.4	141.9	149.6	156.8	164.1	165.1	244.9	246.9	265.7	281.4	302.7	
Outstanding business credit, Private trading corporations	AUD billion	499.8	555.1	514.3	500.1	514.5	523.8	530.6	556.1	591.8	625.8	635.9	662.5	618.0	619.5	663.7	687.8	733.2	

Notes: The SME definition was revised in 2023 and 2024, so caution is necessary when conducting any comparison across time. Venture capital data corresponds to calendar years. Venture capital data in previous Scoreboards used Australian financial years and is now updated to ensure consistent timeframes.

Note

¹ Definitions of SME lending changed in April 2023 resulting in a slightly higher share of loans being classified as SME loans. From 2019 to April 2023, businesses with turnover of less than AUD 50 million were considered as SMEs. From April 2023 to May 2024, for internal ratings-based lenders, businesses with turnover of less than AUD 75 million were considered as SME. For other lenders, and SME was still a business with less than AUD 50 million in turnover.

4 Austria

Key facts on SME financing

SMEs continue to play a central role in Austria's economy, accounting for 99.8% of all enterprises and employing nearly two-thirds of the total workforce. Their contribution to gross value added remains significant, at around 63%, underpinning the country's industrial and service-oriented base. In 2024, SME performance diverged across sectors. Manufacturing and construction experienced mild contractions due to weaker demand and higher input costs, while the hospitality and business service sectors showed stronger growth, supported by increased domestic consumption and tourism recovery. Labor shortages remained a key constraint, particularly in technical and skilled professions.

Austria's macroeconomic environment in 2024 was characterised by a slow recovery after two years of stagnation. Real GDP grew by approximately 0.7%, while inflation declined from its 2023 peak but remained elevated at around 4.2%, driven largely by energy and housing costs. Monetary conditions began to ease from mid-2024 following the European Central Bank's first rate cuts since 2022, and lending rates started to decline gradually in the third quarter. Nevertheless, financing costs remained above pre-pandemic averages.

Against this backdrop, SME lending stabilised in 2024 after two years of contraction. The total volume of new SME loans reached around EUR 6.6 billion and the share of SME loans in total new corporate lending stood at around 12%. In 2024, outstanding business loans to non-financial corporations increased marginally to EUR 210 billion, continuing the gradual upward trend observed in recent years. SME lending volumes remained broadly stable at around EUR 93.7 billion, representing 44.7% of the total corporate loan stock. Although lending to SMEs did not expand significantly, stability in credit availability was an encouraging sign given the tighter monetary environment and persistent cost pressures.

Credit conditions improved slightly toward the end of the year but remained tighter than before the monetary tightening cycle. The average interest rate for SME loans eased slightly to 4.5% in 2024, following a peak of 5.0% in 2023, as financial markets began to anticipate further monetary easing by the European Central Bank. Credit spreads between SMEs and large firms narrowed modestly to 0.2 percentage points, reflecting continued risk differentiation but also competitive lending conditions in Austria's banking sector.

Non-bank finance remains underdeveloped relative to Austria's bank-based system but is gradually expanding. Venture and growth capital investment rose to EUR 135 million in 2024 after a sharp decline in 2023, supported by later-stage funding rounds. Leasing and factoring also expanded steadily, with factoring volumes exceeding EUR 36 billion and leasing transactions rising to over EUR 6.5 billion.

Non-performing loans (NPLs) remained at historically low levels, 3.1% for SMEs and 2.9% for total business loans. Public support measures introduced during the pandemic were largely phased out, yet SME credit quality remained stable.

Table 4.1. Scoreboard for Austria

Indicator	Unit	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																
Outstanding business loans, SMEs	EUR billion													92	93	94
Outstanding business loans, total	EUR billion	135.5	138.8	140.4	140.3	136.6	137.2	135.6	143.8	153.0	162.9	169.8	184.6	201.4	206.0	209.4
Share of SME outstanding loans	EUR million													46	47	45
New business lending, total	% of total outstanding business loans	74 896	73 041	80 867	73 460	73 126	61 711	55 543	64 418	64 438	71 266	60 096	61 035	62 139	61 538	51 635
New business lending, SMEs	EUR million	9 414	9 476	9 347	8 884	8 237	8 116	7 499	8 304	8 182	8 639	9 214	8 282	7 283	6 581	6 492
Share of new SME lending	% of total business loans	12.57	12.97	11.56	12.09	11.26	13.15	13.50	12.89	12.70	12.12	15.33	13.57	11.72	10.69	12.57
Short-term loans, SMEs	EUR million	5 139	4 944	4 901	4 536	4 016	3 345	3 010	2 539	1 998	1 969	1 640	1 691	1 464	1 464	1 433
Long-term loans, SMEs	EUR million	4 275	4 532	4 446	4 348	4 221	4 771	4 489	5 765	6 184	6 670	7 574	6 591	5 819	5 117	5 059
Share of short-term SME lending	%	54.59	52.17	52.43	51.06	48.76	41.21	40.14	30.58	24.42	22.79	17.80	20.42	20.10	22.25	22.07
Government loan guarantees, SMEs	EUR million	173	143	158	167	172	204	192	321	346	366	4 898	2 115	344	233	1 503
Government guaranteed loans, SMEs	EUR million	226	185	207	211	225	258	282	456	441	568	5 508	2 492	514	357	70
Direct government loans, SMEs	EUR million								744	690	749	793	874	700	606	43
Non-performing loans, total	% of all business loans		2.71	2.81	2.87	3.74	3.39	2.67	2.37	1.88	1.77	1.58	1.46	1.39	2.48	2.90
Non-performing loans, SMEs	% of all SME loans													3.31	4.81	7.80
Interest rate, SMEs (loans up to EUR 1 million)	%	2.43	2.92	2.46	2.28	2.27	2.02	1.92	1.80	1.82	1.80	1.59	1.63	2.08	4.74	4.96
Interest rate, large firms (loans over EUR 1 million)	%	1.96	2.55	1.98	1.77	1.74	1.61	1.54	1.45	1.38	1.32	1.36	1.34	1.82	4.51	4.77
Interest rate spread	Percentage points	0.47	0.37	0.48	0.51	0.53	0.41	0.38	0.35	0.44	0.48	0.23	0.29	0.26	0.23	0.19
Percentage of SME loan applications	SME loan applications/ total number of SMEs	27.53	25.50	28.32	27.64	25.70	28.66	21.53	26.85	22.79	19.97	33.45	21.69	18.15	20.00	18.00
Rejection rate	1-(SME loans authorised/ requested)	2.60	0.78	0.41	2.67	6.02	5.52	2.81	3.17	1.55	2.40	3.85	1.38	0.00	2.00	9.00
Utilisation rate	SME loans used/ authorised	38.93	35.69	31.60	38.02	17.62	23.07	15.30	16.99	17.76	15.44	17.79	14.85	13.68	13.00	13.00
Non-bank finance																
Venture and growth capital (seed, start-up, later stage)	EUR million	43	97	44	59	60	112	57	108	86	81	105	701	182	62	135
Venture and growth capital (growth capital)	EUR million	34	118	29	26	45	85	29	179	49	88	146	156	117	0	118
Venture and growth capital (total)	EUR million	75	209	73	86	105	197	85	287	135	169	251	857	299	62	253
Venture and growth capital (growth rate)	%	-33.44	177.17	-65.19	17.76	22.56	87.97	-56.63	235.47	-52.96	24.98	49.11	240.86	-65.12	-79.70	308.06
Leasing and hire purchases	EUR	3 841	4 023	3 617	3 556	3 779	4 143	4 619	4 828	5 315	5 509	5 209	5 594	6 087	6 504	
Factoring and invoicing	EUR	8 307	8 870	10 969	14 110	16 411	18 264	19 621	21 070	24 108	27 220	26 762	30 459	35 884	36 463	36 244
Other indicators																
Payment delays, B2B	Days	11	12	11	12	13	4	4	2	1	1	14	12	14	15	17
Payment delays, B2C	Days	11	11	9	9	9	1	4	1	1	5	9	10	6	9	11
Bankruptcies, total	Number	6 657	6 194	6 266	5 626	5 600	5 422	5 534	5 318	5 224	5 235	3 106	3 076	4 913	5 490	6 693
Bankruptcies, per 1 000 firms	Number	18	17	17	15	15	11	12	11	11	11	7	6	10	11	14

5 Belgium

Key facts on SME financing

In 2024, Belgium's real GDP grew by 1.0%, reflecting moderate economic momentum in a context of persistent geopolitical and monetary uncertainty. Credit conditions for SMEs in Belgium exhibited tentative signs of improvement relative to the previous year. The average interest rate on SME loans stood at 5.08%, marginally higher than the 4.93% recorded in 2023. However, this annual figure masks a gradual easing of borrowing costs observed during the second half of the year, in line with broader euro area monetary developments.

In this context, the total outstanding volume of SME loans reached a high of EUR 187.3 billion, representing 69.6% of all business loans. While this constitutes a modest annual increase of 1.6%, it reflects a continued expansion trend, albeit at a slower pace than in 2021–2022. Long-term loans now account for nearly three-quarters of outstanding SME credit (EUR 139.6 billion), with short-term credit rising slightly to 30.3% of total business loans in 2024.

Credit access conditions remain broadly stable, with a loan rejection rate of 5.6% and a utilization rate of 77.25%.

On the non-bank financing side, venture and growth capital investments declined sharply to EUR 516.9 million in 2024, down by 37.5% year-on-year.

Payment delays in business-to-business transactions increased further, reaching 18 days on average in 2024, the highest level since 2012. Finally, the number of registered bankruptcies rose again in 2024 to 11 067, a year-on-year increase of 8%, returning to levels close to those observed before 2020. SMEs account for the overwhelming majority of cases.

From a policy perspective, the Walloon Region introduced two complementary financial instruments in February 2024, Garantie Online and Prêt Online, to enhance access to finance for SMEs and self-employed individuals.

Garantie Online offers partial guarantees covering up to 75% of eligible bank loans (max EUR 75 000), targeting projects related to business creation, growth, innovation, transfer, or energy transition. It is backed by the regional budget and the European Investment Fund under InvestEU, with guarantees issued via SOCAMUT through an automated online platform.

Prêt Online, on the other hand, provides subordinated loans of up to EUR 75 000 at favorable rates (bank rate minus 2%, with a 2.5% minimum), repayable over up to 15 years and requiring no personal guarantees. It supports similar business objectives and is co-financed by Wallonie Entreprendre and the EU's ERDF program. Both programs are accessible to financially sound SMEs and self-employed individuals in eligible sectors.

In 2024, nearly 850 guarantees (EUR 33.5 million) and 700 loans (EUR 36 million) were granted. The two instruments can be combined to enhance financing conditions and risk coverage. Their fully digital application process ensures rapid approval and disbursement. Together, they represent a significant step toward easing credit access and fostering entrepreneurship in Wallonia.

Table 5.1. Scoreboard for Belgium

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion	82.8	89.1	88.9	93.9	100.0	109.6	109.5	100.7	104.4	108.0	115.7	123.9	130.9	136.8	171.4	179.8	184.4	187.3
Outstanding business loans, total	EUR billion	134.2	149.4	141.8	150.6	153.7	167.6	162.0	151.7	164.6	163.4	173.6	184.1	193.0	200.0	242.3	247.1	258.8	269.0
Share of SME outstanding loans	% of total outstanding business loans	61.72	59.62	62.73	62.35	65.07	65.43	67.60	66.39	63.44	66.12	66.66	67.31	67.8	68.39	70.76	72.77	71.25	69.6
Outstanding short-term loans, SME	EUR billion	37.4	40.4	34.1	35.4	36.5	34.5	33.8	31.4	30.9	32.0	33.6	36.7	36.7	34.7	35.1	39.6	40.7	42.3
Outstanding long-term loans, SME	EUR billion	59.7	66.1	72.2	77.2	79.3	82.5	83.9	80.3	84.8	90.8	97.8	103.4	109.6	115.5	124.4	129.6	134.3	139.6
Share of short-term lending, total	% of total business lending	45.14	45.31	38.37	37.71	36.46	31.45	30.90	31.13	29.58	29.62	29.05	29.60	28.07	25.39	25.44	21.2	20.77	30.34
Government loan guarantees, SMEs	EUR million		156.5	411.9	553.9	317.5	266.0	480.2	265.6	448.2	398.3	458.4	612.2	520	777	1 022	569.4		
Government guaranteed loans, SMEs	EUR million		312.7	832.7	888.4	561.7	484.3	826.1	476.7	805.6	735.9	828.3	1 130	993	1 318	2 087	1 106		
Direct government loans, SMEs	EUR million		113.7	142.2	141.9	148.3	170.5	235.6											
Non-performing loans, total	% of all business loans								5.25	5.35	4.53	3.98	3.50	3.35	3.55	3.63	2.88	2.85	3.18
Non-performing loans, SMEs	% of all SME loans								5.65	5.70	5.18	4.38	3.55	3.35	3.48	3.35	3.08	3.00	3.35
Interest rate, SMEs	%	5.45	5.70	3.01	2.51	2.88	2.32	2.06	2.09	1.83	1.72	1.66	1.60	1.58	1.55	1.57	2.06	4.93	5.08
Interest rate, large firms	%	4.72	5.05	2.09	1.70	2.22	1.74	1.76	1.77	1.60	1.34	1.40	1.35	1.31	1.40	1.44	1.91	4.84	5
Interest rate spread	Percentage points	0.73	0.65	0.92	0.81	0.66	0.58	0.30	0.32	0.23	0.38	0.26	0.25	0.27	0.15	0.13	0.15	0.09	0.08
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending				74.30	71.90	78.60												
Percentage of SME loan applications	SME loan applications/ total number of SMEs			22.22	26.46	30.20	29.33	29.36	39.33	36.61	36.71	37.18	35.38	33.87	33.07	35.09	33.21	31.6	25.32
Rejection rate	(SME loans authorised/ requested)			0.52	5.13	6.44	10.40	10.91	5.88	5.71	6.13	5.07	2.75	3.39	7.62	5.59	6.77	7.10	5.6
Utilisation rate	SME loans used/ authorised	77.80	79.05	80.69	80.07	80.16	77.45	77.79	79.76	79.62	80.01	79.86	80.39	80.64	80.58	80.33	81.57	78.42	77.25
Non-bank finance																			
Venture and growth capital	EUR million	227.50	316.05	377.16	181.90	238.20	288.68	264.04	399.67	379.78	605.45	460.42	351.05	542.28	454.28	1 211	947.26	827.25	516.85
Venture and growth capital (growth rate)	%, year-on-year growth rate		38.9	19.3	-51.8	31	21.2	-8.5	51.4	-5	59.4	-24	-23.8	54.5	-16.2	166.5	-21.8	-12.7	-37.5
Leasing and hire purchases	EUR million	4 406	4 856	3 756	4 005	4 439	4 450	4 121	4 357	4 801	6 010	5 800	668.4	6 382	5 863	6 628	7 549	8 635	8 787
Factoring and invoicing	EUR million	19.2	22.5	23.9	32.2	36.9	42.4	47.7	55.4	61.2	62.8	69.6	76.3	84.8	81.7	99.4	124.2	135.7	138.6
Other indicators																			
Payment delays, B2B	Number of days			17	17	15	19	18	19	13	10	8	9	7	3	12	11	16	18
Bankruptcies, total	Number	7 680	8 476	9 420	9 570	10 224	10 587	11 740	10 736	9 762	9 170	9 968	9 878	10 598	7 203	6 533	9 265	10 243	11 067
Bankruptcies, total (growth rate)	%, year-on-year growth rate		10.36	11.14	1.59	6.83	3.55	10.89	-8.55	-9.07	-6.06	8.77	-0.90	7.29	-32.03	-9.30	41.82	10.56	8.04
Bankruptcies, SMEs	Number	7 679	8 476	9 418	9 570	10 222	10 583	11 739	10 736	9 760	9 168	9 967	9 878	10 596	7 197	6 532	9 265	10 242	11 063
Bankruptcies, SMEs (growth rate)	%, year-on-year growth rate		10.39	11.21	1.44	6.94	3.45	10.96	-8.62	-8.90	-6.11	8.77	-0.75	7.17	-32.09	-9.24	41.84	10.55	8.02

Note: due to a change in methodology by the National Bank of Belgium, there is a break in the loan statistics series from 2021 onwards.

6 Canada

Key facts on SME financing

In 2024, Canadian small businesses establishments (1-99 employees) constituted 98% of all businesses. Small businesses employed 5.8 million individuals at the enterprise level, or 46.6% of the private sector labour force.

Supply-side survey data show that outstanding debt held by all businesses increased in 2024 to CAD 1 363 billion. Lending to small businesses increased to CAD 160.1 billion (from CAD 134.8 billion in 2023). As a result, small businesses' share of total outstanding business loans in 2024 was 11.7%.

Small business credit conditions eased by the end of 2024. The average interest rate charged to small businesses decreased from 9.0% in 2023 to 7.3% in 2024, with an average prime rate (the rate charged to the most creditworthy borrowers) of 6.8% (from 6.9% in 2023). The business risk premium (measured as the difference between the average small business interest rate and the business prime rate) declined to 0.5%, reflecting an easing in access to financing for small businesses and large businesses in Canada. Bank of Canada survey results indicate that lenders reported that overall business lending conditions eased towards the end of the second half of 2024. Borrowers also reported easing of credit conditions during the same period.

In 2024, the small business 90-day delinquency rate rose to 0.86% after reaching 0.25% in 2023 and 0.26% in 2022.

Total venture capital (VC) investment levels in Canada were CAD 7.9 billion in 2024, up from CAD 7.1 billion in 2023.

The Business Development Bank of Canada (BDC), a crown corporation with the mandate to support Canadian entrepreneurship, had CAD 48.1 billion in financing and investments, as of 31 December 2024, committed to 109 000 clients operating across Canada. As the most active VC investor in Canada, the BDC invests both directly into firms and indirectly through external VC funds, with the objective of making Canadian VC a financially viable and attractive asset class for private sector investors and institutional investors.

The Government of Canada has further supported the development Canada's VC ecosystem by convening public, private, and institutional sources of financing through its Venture Capital Action Plan (VCAP) and Venture Capital Catalyst Initiative (VCCI). Taken together, the Government of Canada has invested CAD 1.2 billion, resulting in a combined total of over CAD 3 billion in capital raised from public and private sources to help Canadian companies start up and grow.

The Government of Canada has established a number of programmes to provide support targeted to entrepreneurs from underrepresented groups. The Government has made total investments of nearly CAD 7 billion in the Women Entrepreneurship Strategy (WES); of CAD 189 million in the Black Entrepreneurship Program (BEP); of CAD 60 million for Futurpreneur, a programme to support youth entrepreneurs; and of CAD 25 million to Canada's 2SLGBTQI+ Chamber of Commerce to deliver a program aims to address the unique challenges faced by 2SLGBTQI+ entrepreneurs to help start and grow businesses. The Aboriginal

Entrepreneurship Programme also provides access to capital and business opportunities to First Nations, Inuit and Métis Nation entrepreneurs.

The Government of Canada offers a wide range of initiatives and programs to help businesses capitalize on opportunities, diversify markets, and grow globally. Global Affairs Canada's (GAC) Trade Commissioner Service (TCS) helps Canadian businesses grow by connecting them with government funding and support programs, international opportunities, and a network of employees in nearly 150 international locations. The TCS offers the CanExport Program, which consists of four sub-programs: CanExport SMEs, CanExport Innovation, CanExport Associations and CanExport Community.

Export Development Canada (EDC) is Canada's official export credit agency, with a mandate to support and develop Canada's export trade and Canadian capacity to engage in that trade and respond to international business opportunities. To fulfill its mandate, EDC offers a range of services including insurance, financing, bonding, and equity investments as well as trade knowledge. In 2024, EDC facilitated over CAD 46 billion for SMEs.

Canada's seven regional development agencies (RDAs) are the federal government's front line for regional economic development with points of service in communities of all sizes and are often called upon to deliver targeted programs tailored to the respective region. They play a critical role in supporting regional innovation ecosystems and helping businesses grow. While nationally co-ordinated, their programs are tailored to reflect the unique needs and opportunities of each region. RDAs deliver two nationally standardized programs; first the Regional Economic Growth through Innovation (REGI) supports small and medium-sized enterprises (SMEs) and strengthens regional innovation ecosystems and second, the Community Futures Program (CFP) fosters economic development, primarily in rural communities, through a network of Community Futures Organizations (CFOs) that offer business support and improved access to capital. Together, these programs help build strong, resilient regional economies.

Table 6.1. Scoreboard for Canada

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	CAD billion	83.4	83.4	86.4	85.7	90.1	87.7	92.2	93.5	97.4	99.6	104	106	109.8	117.9	127.5	140.4	134.8	160.1
Outstanding business loans, total	CAD billion	480	534	482	490	514	557	602	659	739	775	834	918	984.9	10 007	1 097	1 236	1 346	1 363
Share of SME outstanding loans	% of total outstanding business loans	17.4	15.6	17.9	17.5	17.5	15.8	15.3	14.2	13.2	12.9	12.5	11.5	11.15	11.71	11.63	11.36	10.0	11.8
New business lending, total	CAD billion					126	142	151	169	188	204	234	270	285.7	287.7	317.8	361.3	370.8	402.8
New business lending, SMEs	CAD billion					20.2	21.7	22.8	23.2	24.0	22.8	25.2	27.2	26.8	26.7	28.9	31.1	30.1	23.4
Share of new SME lending	% of total new lending					16	15.3	15.1	13.7	12.7	11.2	10.8	10.1	9.39	9.30	9.11	8.60	8.12	5.81
Outstanding short-term loans, SMEs	CAD billion	15.1				6.9			15.6			24.2			15.6			38.6	
Outstanding long-term loans, SMEs	CAD billion	21.1				12.8			12.4			32.4			23.8			42.6	
Share of short-term SME lending	% of total SME lending	41.6		43.4	36.3	35.1	39.0	46.0	55.7	47.2	36.2	42.8	30.1	19.50	39.62	31.52	19.66	47.6	27.1
Government loan guarantees, SMEs	CAD billion	1.20	1.30	1.20	1.30	1.30	1.08	1.06	1.01	1.11	1.30	1.54	1.75	1.89	3.27	3.91	3.97	4.29	4.69
Direct government loans, SMEs	CAD billion	4.40	4.10	5.50	4.70	6.00	5.80	4.60	6.50	6.70	7.9	8.0	8.4	8.10	9.92	11.35	13.18	12.01	14.55
Interest rate, SMEs	%	7.50		6.20	5.80	5.30	5.40	5.60	5.10	5.10	5.30	5.20	5.70	5.30	4.80	4.09	6.21	9.00	7.28
Interest rate, large firms	%	6.10		3.10	2.60	3.00	3.00	3.00	3.00	2.80	2.70	2.90	3.64	3.60	2.77	2.45	4.11	6.94	6.77
Interest rate spread	Percentage points	1.40		3.10	3.20	2.30	2.40	2.60	2.10	2.30	2.60	2.30	2.06	1.70	2.03	1.64	2.10	2.06	0.51
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending	47.7		56.1	66.7	64.8	76.0	56.0	66.6	80.0	74.0	64.1	70.0	72.73	61.10	57.77	62.02	46.70	65.25
Percentage of SME loan applications	SME loan applications/ total number of SMEs	17.0		14.0	18.0	24.0	26.0	30.0	27.0	23.0	26.0	26.0	27.0	26.71	16.10	16.70	17.69	25.40	9.04
Rejection rate	Percentage of businesses' debt financing requests that were rejected.				9.0	8.0	7.0	9.0	12.8	7.0	9.0	9.5	9.0	8.3	8.4	5.5	7.1	8.00	7.57

7 Chile

Key facts on SME financing

Chile's GDP grew by 2.6% in 2024, mainly driven by an increase in mining exports, while investment declined by 1.4%, and consumption grew moderately by 1.0%.

MSMEs accounted for 98.6% of the firms for the tax year 2024¹, but only represented 12.6% of total annual sales, according to the Internal Revenue Service² (SII) which provides a size classification based on firms' total annual sales.

In terms of MSME access to credit, results from the "Banking Credit Survey" of the Central Bank of Chile³ (BCCh), show that in Q4 2024, conditions for the supply and demand of credit remained limited, although they were moderately less restrictive than in Q4 of 2023.

The outstanding debt of SMEs and the share of the outstanding stock of SME loans to the total loans increased between 2023 and 2024. Specifically, SME loans increased from CLP 26.2 billion in 2023 to CLP 26.9 billion in 2024, and the share of stock increased from 19.6% to 20.7% during the period.

Meanwhile, other financing alternatives for firms like factoring and invoice discounting were stable between 2022 and 2024, reaching around CLP 5.4 billion in the stock of factoring operations.

New developments on policies to support MSMEs and particularly the financing of MSMEs, through the Production Development Corporation⁴ (Corfo) and the Technical Cooperation Service⁵ (Sercotec) included the expansion of social programs, and promotion of instruments related to formalization and financing. Through Sercotec, instruments related to foster formalization and support for micro and small firms in different areas, benefited more than 9 000 firms and cooperatives from all regions of the country, for more than USD 40 million in 2024⁶. For MSME financing, Corfo supported more than 23 000 companies, granting credits for more than USD 1.3 million.⁷

Instruments focusing on formalization include *Capital Abeja*, *Capital Semilla* and *Creación y Fortalecimiento de Cooperativas*. Financing initiatives include *Fogape Chile Apoya*, and venture capital funds supported by Corfo⁸. Some financing measures are implemented jointly with *BancoEstado*⁹.

Finally, discussions in congress are advancing for the creation of an agency focusing exclusively on financing investment projects -*Agencia de Financiamiento e Inversión para el Desarrollo* (AFIDE). It is expected to be approved in the following years.

Table 7.1. Scoreboard for Chile

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans. SMEs	CLP billion	6.8	7.6	8.1	9.3	10.1	11.5	11.8	13.8	15.8	17.3	18.7	19.8	20.8	23.9	25.3	25.8	26.2	26.9
Outstanding business loans. total	CLP billion	40.9	49.9	46.3	48.1	57.2	64.6	69.8	76.4	84.9	88.8	90.3	99.5	108.5	111.8	126.0	133.9	133.9	130.3
Share of SME outstanding loans	% of total outstanding business loans	16.7	15.2	17.5	19.3	17.7	17.9	16.9	18.0	18.6	19.5	20.7	19.9	19.2	21.4	20.1	19.3	19.6	20.7
New business lending. total	CLP billion				53.3	58.0	58.0	58.1	63.9	67.8	67.4	67.7	71.4	77.1	70.8	70.4	85.8	92.0	104.3
New business lending. SMEs	CLP billion				2.6	3.1	3.8	3.8	4.4	5.1	5.1	5.6	5.6	5.8	8.7	6.5	4.2	3.7	6.2
Share of new SME lending	% of total new lending				4.9	5.3	6.5	6.6	6.8	7.5	7.6	8.2	7.8	7.5	12.3	9.2	4.9	4.0	5.9
Outstanding Short-term loans. SMEs	CLP billion				1.6	2.0	2.3	1.8	1.8	1.9	1.8	1.8	1.9	1.8	1.1	0.9	1.1	0.9	1.3
Outstanding Long-term loans. SMEs	CLP billion				1.0	1.1	1.5	2.0	2.5	3.2	3.3	3.8	3.8	4.0	7.6	5.6	3.2	2.8	4.8
Share of short-term SME lending	% of total SME lending				60.2	63.3	60.3	47.8	41.9	36.9	35.8	32.8	33.3	31.0	12.6	13.2	24.9	25.1	21.7
Government loan guarantees. SMEs	CLP billion	0.2	0.3	0.8	1.1	1.3	1.9	1.9	1.6	1.7	1.8	1.7	1.7	1.7	7.7	6.1	2.2	4.0	0.8
Government guaranteed loans. SME	CLP billion	0.3	0.5	1.3	1.8	2.0	2.9	3.2	2.3	2.5	2.6	2.6	2.5	2.6	10.4	8.4	3.4	4.9	1.4
Non-performing loans. total	% of all business loans			2.5	2.2	2.1	2.2	2.4	2.6	2.4	2.1	2.3	2.5	2.4	2.1	1.9	4.4	4.6	2.6
Non-performing loans. SMEs	% of all SME loans			5.9	6.1	5.5	5.4	6.1	6.1	5.9	5.3	5.2	5.9	5.9	4.7	4.1	2.2	2.4	4.7
Interest rate. SMEs	%							11.8	10.3	9.3	9.3	8.4	8.3	7.7	5.4	6.4	11.2	10.8	11.0
Interest rate. large firms	%							4.7	4.0	3.8	4.0	3.7	3.8	3.7	3.1	2.9	7.2	9.4	6.8
Interest rate spread	Percentage points							7.1	6.3	5.5	5.3	4.7	2.1	4.0	2.3	3.6	4.0	1.4	4.2
Collateral. SMEs	% of SMEs needing collateral to obtain bank lending	44.0		49.8				72.8		68.1		65.4		68.4			71.9		
Percentage of SME loan applications	SME loan applications/ total number of SMEs	32.9		32.4				26.4		24.6		22.6		20.8			15.9		
Rejection rate	1-(SME loans authorised/ requested)	29.3		13.0				11.0		12.8		13.0		14.1			15.3		
Utilization rate	SME loans used/ authorised	86.6		91.0				87.9		96.7		96.0		95.9			97.9		
Non-bank finance																			
Venture and growth capital	CLP billion	0.03	0.02	0.02	0.03	0.04	0.04	0.03	0.04	0.04	0.05	0.02	0.05	0.06	0.05	0.06	0.08	0.06	0.04
Venture and growth capital (growth rate)	% Year-on-year growth rate		-27.4	1.1	21.6	42.8	12.7	-25.4	35.9	-5.2	29.5	-58.0	121	21.1	-13.8	29.6	22.5	-23.7	-39.0
Leasing and hire purchases	CLP billion	3.0	3.6	3.5	3.8	4.5	5.0	5.6	6.2	6.6	6.7	7.8	8.2	8.7	8.4	8.8	8.8	9.2	9.7
Factoring and invoicing	CLP billion	2.0	2.0	1.4	1.9	2.4	2.6	2.6	2.6	2.9	3.0	3.8	4.4	4.7	4.4	4.7	5.4	5.4	5.4
Other indicators																			
Payment delays. B2B	Number of days				75.8	74.9	56.7	52.7	55.2	58.0	55.0	58.3	52.0	60.5	53.3	48.5	47.8	42.8	42.8
Bankruptcies. SMEs	Number	122	127	125	136	146	146	164	6	133	215	231	319	368	368	354	314	284	292
Bankruptcies. SMEs (growth rate)	% Year-on-year growth rate		4.1	-1.6	8.8	7.4	0.0	12.3	-96.3	2117	61.7	7.4	38.1	15.4	0.0	-3.8	-11.3	-0.1	2.8

Notes

¹ This indicator excludes firms with no information about sales from the universe of firms (it also excludes informal entities).

² [Servicio de Impuestos Internos.](#)

³ [Banco Central de Chile.](#)

⁴ [Corporación de Fomento a la Producción.](#)

⁵ [Servicio de Cooperación Técnica.](#)

⁶ Information from administrative data of Sercotec.

⁷ Information from administrative data of Corfo.

⁸ Please refer to the following link for further information: <https://chileemprende.economia.gob.cl/>

⁹ BancoEstado is a public entity (bank) that works with autonomy, legal personality, and its own assets. It operates on a permanent basis and is subject to the exclusive supervision of the Financial Market Commission (CMF)

8 Colombia

Key facts on SME financing

SMEs faced a complex environment marked by national and international uncertainty. Although there was a slight recovery toward the end of the year, growth remained below its potential. Inflation fell to 5%, and investment stopped declining, but economic volatility remained high.

In this context, SMEs play a vital role in Colombia's economic recovery and sustainable development. Their involvement is key to the reindustrialization strategy, particularly in sectors such as agribusiness, tourism, light manufacturing, and the circular economy.

Statistics support this role, as SMEs are the key economic driver in Colombia, currently accounting for 99.5% of all formal businesses, generating 79% of employment, and contributing approximately 40% of the annual GDP.

In 2024, a total of 339 412 new businesses were registered, of which 98.9% were microenterprises, 0.16% were small enterprises, and 0.04% were medium-sized. Additionally, 45% of these new business units created at least one job (Confecámaras, 2025^[1]).

The results of the Business Opinion Survey conducted by Fedesarrollo and released in December 2024 showed an increase in business confidence, reaching 20.6% compared to 17.6% in November, its highest level since July 2023 (21.7%). This rise is mainly due to greater optimism regarding the current economic situation.

However, a high level of business informality persists in Colombia. According to a recent study by the Banco de la República (Tobar Cruz and Ruiz Martínez, 2025^[2]), between 2019 and 2022, 77% of microbusinesses operated informally. This is closely linked to credit access: only 15.3% of microenterprises had access to credit, compared to 74.8% of medium-sized enterprises.

Access to financing is essential for SME enterprises in Colombia, as it enables them to obtain the resources needed to invest in technology, expand production capacity, innovate, and enhance competitiveness. It also facilitates formalization, promotes financial inclusion, and reduces social and regional inequalities, particularly in vulnerable areas or among traditionally excluded populations such as women entrepreneurs and rural communities.

Nonetheless, according to the 2022–2023 SME Survey by the National Association of Financial Institutions ANIF¹ 2022–2023, gaps in access to the financial system still persist, especially in credit. The survey reports that 40% of companies did not apply for a loan. Among micro and small enterprises, this figure averages 28%.

In 2023, the National Development Plan (PND) 2022–2026 titled "Colombia: World Power for Life" was approved by the new National Government. The plan includes financial inclusion as a fundamental pillar for the country's development, within the transformation axis known as "Human Security and Social Justice." One of its main objectives is to ensure access to financial services for everyone, with a special focus on productive units within the popular economy² and the most vulnerable groups. This plan serves as the main roadmap for legislative initiatives aimed at improving financing conditions for MSMEs developed during this period. This includes Instruments for Financial and Credit Inclusion of the Popular Economy, an Open Data Scheme for Financial Inclusion and Interoperability in Immediate Low-Value Payment Systems.

Table 8.1. Scoreboard for Colombia

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	COP billion	25.61	28.59	26.58	29.12	39.97	46.76	51.6	55.23	58.17	62.09	64.88	68.50	63.9	68.0	77.6	83.01	83.1	85.5
Outstanding business loans, total	COP billion	78.4	94.7	95.9	113.8	134.8	152.8	171.3	197.2	226.3	243.2	251.8	253.6	261.2	272.4	294.8	345.04	353.3	381
Share of SME outstanding loans	% of total outstanding business loans	32.67	30.19	27.70	25.58	29.66	30.61	30.11	28.01	25.70	25.53	25.77	27.01	24.48	25	26.3	24.1	23.5	22.5
New business lending, total	COP billion	67.7	76.0	77.2	79.0	77.7	95.4	104.0	117.0	117.7	117.3	153.3	160.1	118.6	112.5	138.7	146	142.7	178.5
New business lending, SMEs	COP billion	13.2	13.5	15.22	16.91	21.09	23.53	23.57	24.69	25.53	25.3	34.11	35.48	29.68	25.44	29.4	39.07	36.3	40.3
Share of new SME lending	% of total new lending	19.50	17.76	19.71	21.39	27.13	24.67	22.65	21.10	21.70	21.57	22.25	22.05	25.03	22.6	21.2	26.8	25.5	22.6
Outstanding short-term loans, SMEs	COP billion	4.98	7.52	6.14	6.41	10	11.55	12.36	12.93	13.8	13.59	14.44	12.86	11.39	11.26	13.28	16.2	17.2	17.3
Outstanding long-term loans, SMEs	COP billion	20.63	21.07	20.44	22.71	29.97	35.22	39.24	42.3	44.37	48.5	50.44	55.63	52.62	56.77	64.3	66.7	66.0	68.2
Share of short-term SME lending	% of total SME lending	19.45	26.30	23.10	22.01	25.02	24.70	23.95	23.41	23.72	21.89	22.26	18.78	17.69	16.6	17.1	19.6	20.7	20.3
Government loan guarantees, SMEs	COP billion	0.56	1.39	1.82	1.94	5.46	6.19	7.14	7.51	7.72	10.52	11.53	9.40	11.48	15.20	18.1	17.2	16.0	18.4
Government guaranteed loans, SMEs	COP billion	2.23	2.59	2.98	3.16	7.26	9.12	10.81	11.96	12.69	15.37	16.51	15.22	16.27	23.66	27.1	26.9	26.5	28.0
Non-performing loans, total	% of all business loans	0.95	1.27	1.59	1.07	1.00	1.03	1.08	1.33	1.34	1.51	2.36	2.61	2.51	3.1	2.4	1.6	2.2	3.5
Non-performing loans, SMEs	% of all SME loans	2.52	3.66	5.05	3.68	1.76	1.81	1.99	2.45	2.25	3.12	3.71	3.84	3.44	3.6	3.3	2.6	3.5	5.0
Interest rate, SMEs	%	20.09	23.13	20.43	18.66	14.34	14.68	13.24	13.54	14.69	16.87	15.37	13.03	13.34	12.3	12.4	21.8	23.3	20.3
Interest rate, large firms	%	12.61	14.74	9.41	7.16	8.90	8.61	7.54	8.02	8.66	11.02	9.16	6.32	6.05	5.3	5.2	13.9	16.2	11.8
Interest rate spread	Percentage points	5.13	5.43	5.45	5.06	5.64	6.24	5.77	6.02	6.92	7.20	6.21	6.71	7.30	7.0	7.1	7.9	7.0	8.6
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending	79.25	87.54	86.28	87.31	90.04	90.12	90.02	89.30	91.04	91.71	92.15	91.75	91.92	93.3	93.3	91.7	90.9	91.0
Percentage of SME loan applications	SME loan applications/ total number of SMEs	49	53	44.6	49.6	47	44	43.3	39.6	42.6	34	40	40	25	35	27.7	39.7	23.99	
Rejection rate	1-(SME loans authorised/ requested)	2	4	9	5	3	4	7	3	7.5	4	8	7	26	30	29.2		26.28	
Utilisation rate	SME loans used/ authorised	98	96	91	95	97	96	93	97	92.5	96	92	93	88	70				
Non-bank finance																			
Venture and growth capital	COP billion									5.0	8.8	12.4	16.5	18.7	16.1	8.5	14.6	17.5	18.9
Venture and growth capital (growth rate)	%, Year-on-year growth rate										77.14	40.7	32.74	12.9	-13.8	-46.8	70	20.19	8.0
Leasing and hire purchases	COP billion									33.34	39.45	41.98	50.17	29.4	31.3	31.0	32.7	73.1	72.0
Factoring and invoice discounting	COP billion	5.77	6.04	7.15	7.01	12.85	10.55	17.56	23.75	31.47	25.77	25.53	26.58	28.2	23.0	22.8	11.0	43.2	41.0
Other indicators																			
Payment delays, B2B	Number of days	49	50	61	62	59	55	56	65	66	85	95	101	80.01	103.55	112.86	97.24	91.53	161.3
Bankruptcies, SMEs	Number		1	12	18	40	59	76	83	85	131	193	443	608	661	691	1 008	1 231	1 201
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate			1 100	50	122.2	47.50	28.81	9.21	2.41	54.12	47.33	129.5	37.25	8.72	4.54	45.87	22.12	-2.44

References

- Confecámaras (2025), *Dinámica de creación de empresas en Colombia 2024*, Confecámaras. [1]
- Tobar Cruz, J. and C. Ruiz Martínez (2025), *Formalización y crecimiento de micronegocios en Colombia: relación con el acceso al crédito desde una perspectiva formal/informal, de género y regional*, Banco de la República. [2]

Notes

¹ Non-profit Economic Research Center dedicated to the study of economic and social policy issues.

² According to Decree 2185 of 2023, "the Popular Economy refers to commercial occupations and trades (production, distribution, and marketing of goods and services) as well as non-commercial ones (domestic or community-based), carried out by small-scale economic units (individual, family-run, microbusinesses, or microenterprises) in any economic sector."

9 Croatia

Key facts on SME financing

Although individually, small and medium-sized enterprises (SMEs) are an important element of the Croatian corporate sector and the overall economy, they collectively shape Croatia's economic structure, not just through their numbers, but by their significant contributions across employment and economic activity.

Over the past 20 years, Croatia has experienced two phases of corporate financing. A period of financial deepening, that is, the growth in bank financing, until the global financial crisis, followed by a decline in bank financing after 2013. The decline in bank financing for SMEs was even more pronounced than for large companies; however, a modest rebound was recorded in 2024. More precisely, credit growth to enterprises in 2024 and the beginning of 2025 was largely driven by lending to SMEs, which recorded an annual increase of 9.6% in 2024 and 11.8% in the first quarter of 2025. The strongest growth was recorded in investment loans to companies in real estate activities, accommodation, food services, and construction, as well as working capital loans to companies in the trade and manufacturing sectors.

To finance their operations, enterprises most commonly rely on deferred payments to suppliers and leasing, while bank loans declined in importance in 2024, with only 28% of SMEs using this source of financing, around 10 percentage points less than in 2016 and 2020. However, in 2024, full approval of the requested loan amounts was more common than in earlier rounds. The main reasons cited for not using bank loans are the sufficiency of own funds and the availability of alternative external financing sources.

The easing of the restrictive European Central Bank (ECB) monetary policy in the second half of 2024 was reflected in more favorable financing conditions for corporates. Average interest rates on newly approved loans to SMEs continued the downward trend that began in early 2024, reaching 4.2% in March 2025. This represents a decrease of 54 basis points compared to the end of last year and 149 basis points compared to the beginning of 2024, when rates peaked during the most recent cycle of ECB key interest rate hikes.

Over the past few years, the COVID-19 pandemic and Russia's large-scale aggression against Ukraine have led SMEs to face higher energy costs, supply chain disruptions, geopolitical tensions, and monetary policy adjustments. Therefore, SMEs are forced to optimise their operations and costs, and access to finance is even more important for them, especially start-ups and scale-ups.

Croatia has continued to strategically use European Union funds to develop financial instruments to enhance the competitiveness of SMEs. This initiative builds on the successful implementation of similar programs in the previous programming period and aligns with the overarching objective of fostering sustainable growth and employment.

One of the primary challenges facing Croatian SMEs is limited access to financing. Insufficient investment and constrained access to financial resources compel small entrepreneurs to rely on costly short-term borrowing, such as overdrafts and credit cards. Additionally, microfinancing is generally overlooked by traditional financial institutions due to high administrative costs and perceived risks associated with smaller or start-up enterprises.

To address these challenges, the Ministry of Regional Development and EU Funds issued a decision on 4 September 2023, that assigns the implementation of financial instruments, including 'Small Loans,' 'Portfolio Guarantees,' and 'Individual Guarantees,' to HAMAG-BICRO. This strategic framework is expected to enhance the financial stability and growth potential of Croatian SMEs in the context of the broader EU funding landscape. In addition to HAMAG-BICRO activities, significant financial support for MSMEs can also be obtained through the products and services of the HBOR.

Table 9.1. Scoreboard for Croatia

Indicator	Unit	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																
Outstanding business loans, SMEs	EUR Billion ('000 000 000)	9.01	9.77	9.08	8.88	8.65	8.17	7.80	7.10	7.45	7.41	7.31	7.37	7.89	8.24	9.01
Outstanding business loans, total	EUR Billion ('000 000 000)	13.71	14.85	12.84	12.70	12.23	11.60	11.31	11.10	10.97	10.87	11.46	11.43	13.79	14.63	15.50
Share of SME outstanding loans	% of total outstanding business loans	65.7	65.8	70.7	69.9	70.7	70.4	68.9	64.0	67.9	68.1	63.9	64.5	57.3	56.3	58.1
New business lending, total	EUR Billion ('000 000 000)			8.00	7.39	7.03	7.49	8.54	7.49	8.97	9.16	11.73	10.49	12.11	9.72	12.27
New business lending, SMEs	EUR Billion ('000 000 000)			4.59	4.41	4.61	4.57	4.70	4.04	5.23	5.28	6.26	5.28	5.48	4.84	5.85
Share of new SME lending	% of total new lending			57.5	59.6	65.6	61.1	55.1	53.9	58.3	57.7	53.3	50.3	45.3	49.8	47.7
Outstanding short-term loans, SMEs	EUR Billion ('000 000 000)	2.18	2.27	1.95	1.86	2.02	1.90	1.89	1.52	1.55	1.34	1.01	0.95	1.03	1.03	1.19
Outstanding long-term loans, SMEs	EUR Billion ('000 000 000)	6.84	7.49	7.13	7.02	6.62	6.27	5.90	5.57	5.89	6.07	6.30	6.42	6.87	7.21	7.82
Share of short-term SME lending	% of total SME lending	24.2	23.3	21.5	20.9	23.4	23.2	24.3	21.5	20.9	18.1	13.9	12.9	13.0	12.5	13.2
Government loan guarantees, SMEs	EUR Million ('000 000)	59	16	23			40	39	46	120	78	104	166	60	143	
Government guaranteed loans, SMEs	EUR Billion ('000 000 000)	0.04	0.06	0.07	0.15	0.09	0.09	0.10	0.09	0.13	0.16	0.20	0.27	0.25	0.23	0.19
Non-performing loans, total	% of all business loans	19.42	22.03	27.38	31.58	34.53	34.43	27.77	21.85	20.10	13.42	12.76	10.07	6.67	5.21	4.64
Non-performing loans, SMEs	% of all SME loans	24.61	29.07	32.38	36.17	40.45	39.88	33.30	24.39	21.96	15.35	16.09	13.78	10.39	8.34	6.49
Interest rate, SMEs	%			6.06	5.35	4.47	4.21	4.10	3.67	2.83	2.44	2.73	2.34	2.63	5.04	5.17
Interest rate, large firms	%			6.13	5.00	5.18	4.37	3.45	3.18	2.21	1.66	1.54	1.20	1.68	4.39	4.49
Interest rate spread	% points			-0.07	0.35	-0.71	-0.16	0.64	0.49	0.62	0.78	1.19	1.14	0.95	0.65	0.68
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending			46.11	53.48	53.82	48.95	49.75	48.98	49.30	48.73	44.69	50.89	46.57	49.92	53.56
Percentage of SME loan applications	SME loan applications/ total number of SMEs		24.80		19.80	36.88	25.00	24.76	25.19	28.45	23.47	22.70	26.17	23.57	35.88	22.99
Rejection rate	1-(SME loans authorised/ requested)					13.91	1.58	8.24		5.00	6.29	6.45	2.69	1.55	6.69	
Non-bank finance																
Venture and growth capital	EUR Million ('000 000)		45	65	64	99	135	125	155	129	127	70	27	14	47	48
Venture and growth capital (growth rate)	%, Year-on-year growth rate			44.43	-1.20	52.92	36.78	-7.05	23.39	-16.7	-1.49	-44.8	-61.3	-47.79	234.61	1.74
Leasing and hire purchases	EUR Million ('000)							5 911	6 585	8 973	10 047	6 119	7 789	10 296	12 696	14 004
Factoring and invoice discounting	EUR Million ('000)								2 886	2 933	2 581	956	1 024	649	925	747
Other indicators																
Payment delays, B2B	Number of days											70.34	62.74	55.45	55.08	54.77
Bankruptcies, SMEs	Number							5.47	4.94	4.06	3.08	2.32	3.18	3.45	2.66	
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate								-9.64	-17.9	-24.10	-24.8	37.03	8.66	-22.78	

10

Czechia

Key facts on SME financing

In 2024, there were roughly 1.14 million active enterprises in the Czech Republic (Czechia). 99.9% of these firms were SMEs with less than 250 employees each. Micro-firms dominated the business landscape, comprising 96% of all SMEs in 2024. The total number of SME employees has been continuously slightly increasing since 2021, reaching 2.66 million in 2024. The unemployment rate remained the lowest in the European union at 2.6%.

In 2024, SME investment can be still assessed as favorable for established companies due to high bank liquidity. Banking and non-banking institutions offer a wide portfolio of financial products. The year 2024 marked a turn from the sharp decline in new business loans compared to previous years. The ECB's SAFE Survey 2024 stated that 68% of SMEs that applied for a bank loan obtained the whole requested amount in Czechia, which is in line with EU-wide estimates. This is a decline from 2022, when the reported level was at 80%. SME interest rates in 2024 declined to reach 2022 levels; however, rates are still high in comparison to the pre-COVID period, reflecting the unstable geopolitical and economic situation.

SMEs are more vulnerable in terms of financing than large firms and banks have a higher perception of financial risk towards them which explains more frequent rejections of loan applications. Although the situation in this area was improving until 2021, it reversed in 2022 in reaction to geopolitical and economic turmoil. According to the SAFE Survey by ECB, the share of SMEs in Czechia which mention the access to finance being number one obstacle, decreased from 10% in 2020 to 5% in 2024. In terms of access to common methods of financing, Czechia is above average in several indicators showing the quality of SMEs' access to finance. The most important direct sources of external financing for SMEs are credit lines or overdrafts (50%), bank loans (45%) and leasing (56%). So far, equity financing remains used by only 2% of SMEs. In terms of the use of financing between 2022 and 2024, investment in the development of new products or services has slightly increased from 22% to 24%. Most sources of finance are intended to finance either fixed investments or inventories and working capital.

Alternative sources of financing include venture capital, angel investments, bond issuance, crowdfunding and state support. However, Czechia is characterized by a weaker investment environment, which undermines the establishment of new companies and the financing of new SME projects. While crowdfunding has become a popular tool for obtaining the necessary financial resources, capital financing was underdeveloped compared to similarly sized EU economies for a long time. There has been a lack of willingness to invest in the early stages of business development (pre-seed, seed, start-up and later stage venture), as investments in these entities are high risk for investors and banks. This is mainly due to the absence of relevant corporate history, lack of collateral or lack of information to assess their credit risk or valuation of their intangible assets. The situation had changed drastically after three venture capital funds with public investments were established between 2018-2021, and the venture capital supply in the Czech market was comparable to that of the other similarly sized EU economies. Unfortunately, two of these funds were closely linked to the 2014-2020 programming period and their operation ceased. That manifested already in 2022, with a 60% drop in venture and growth capital supply, which was further exacerbated in 2023, when capital investments decreased by 80%. The market for angel investments is

small and fragmented, and the situation for innovators in the idea or start-up phase is still complicated. Consequently, the Czech government established one of the 3 planned pre-seed and spin-off co-investment funds in 2024.

The SME Support Strategy in Czechia for the period 2021-2027 (SME 2021+) aims to increase the productivity and competitiveness of SMEs and, at the same time, to strengthen their international position, inter alia in research and innovation and the use of advanced technologies and skills. The Strategy represents the key strategic document for the preparation of the European Union (EU) cohesion policies over the 2021–27 programming period in the area of enterprise development. The Strategy recently underwent a thorough mid-term evaluation in co-operation with the OECD. Based on the results, a revision of the Strategy will be carried out to have it adapted to the current geopolitical and economic environment. The Strategy is implemented mainly through two financial arms: the Operational Programme Technologies and Applications for Competitiveness (OP TAC), with a total allocation of CZK 77 billion, and the National Recovery Plan (NRP), established in 2021, which draws on the Recovery and Resilience Facility. The NRP offering originally CZK 191 billion to finance post-pandemic recovery was lately topped up with further CZK 30 billion. Government support for SMEs and entrepreneurs primarily consists of measures in the areas of research and innovation support, green and digital transition, export support, and collaboration with research institutions.

Table 10.1. Scoreboard for Czechia

Indicator	Unit	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																
Outstanding business loans, SMEs	CZK billion	550 072	587 908	589 675	610 789	621 385	652 590	702 814	725 635	762 997	794 715	829 784	837 160	879 420	934 497	1 022 284
Outstanding business loans, total	CZK billion	783 538	831 206	840 593	871 578	890 229	935 364	994 855	1 036 131	1 097 391	1 133 113	1 135 210	1 199 839	1 244 497	1 364 774	1 432 691
Share of SME outstanding loans	% of total outstanding business loans	70.20	70.73	70.15	70.08	69.80	69.77	70.64	70.03	69.53	70.14	73.10	69.77	70.66	68.47	71.35
New business lending, total	CZK billion	667 977	599 089	694 944	500 502	544 725	607 585	510 582	457 935	461 843	521 126	590 211	715 792	469 222	342 207	439 820
New business lending, SMEs	CZK billion	123 398	124 117	129 830	86 660	97 764	118 217	100 464	101 243	97 925	92 274	119 821	87 351	70 095	72 925	87 417
Share of new SME lending	% of total new lending	18.47	20.72	18.68	17.31	17.95	19.46	19.68	22.11	21.20	17.71	20.30	12.20	14.94	21.31	19.88
Outstanding short-term loans, SMEs	CZK million	73 626	72 433	77 853	45 531	40 360	41 742	36 974	33 874	29 835	22 107	20 917	18 246	11 747	12 875	11 365
Outstanding long-term loans, SMEs	CZK million	49 772	51 684	51 977	41 129	57 404	76 475	63 490	67 369	68 090	70 167	98 904	69 105	58 348	60 050	76 052
Share of short-term SME lending	% of total SME lending	37.37	36.85	37.49	34.44	29.22	26.10	26.90	25.07	30.47	23.96	21.15	26.40	20.13	21.44	14.94
Government loan guarantees, SMEs	CZK million	6 593	472	1 534	3 251	4 010	6 913	3 530	4 014	6 485	9 786	22 423	9 676	14 005	8 343	6 747
Government guaranteed loans, SMEs	CZK million	10 070	630	2 215	4 616	5 771	9 947	5 055	5 758	9 287	13 534	30 431	13 876	19 562	11 885	9 656
Direct government loans, SMEs	CZK million	629	1 090	782	101	86	65	7	291	1 440	2 407	2 627	3 979	3 816	1 346	919
Non-performing loans, total	CZK million	70 166	67 876	61 480	62 032	58 694	52 677	50 307	43 225	38 596.9	35 871.3	46 614.5	45 599.6	4 464.2	34 459.4	36 104.5
Interest rate, SMEs	%	4.01	3.73	3.48	3.13	3.76	2.70	2.50	2.50	3.14	3.80	3.26	3.23	6.96	8.07	6.59
Interest rate, large firms	%	3.34	2.63	2.43	1.89	2.00	1.80	1.80	1.90	2.62	3.10	2.13	2.12	7.69	8.71	6.59
Interest rate spread	Percentage points	0.67	1.10	1.05	1.24	1.76	0.90	0.70	0.60	0.52	0.70	1.13	1.11	-0.73	-0.64	0.01
Non-bank finance																
Venture and growth capital	EUR million	153 843	18 284	9 492	23 298	34 557	12 433	9 378	16 306	18 722	149 803	41 776	750 698	302 485	61 409	133 130
Venture and growth capital (growth rate)	%, Year-on-year growth rate	-29.96	-88.12	-48.09	145.45	48.33	-64.02	-24.57	73.88	14.82	700.14	-72.11	1 696.96	-59.71	-79.70	116.79
Leasing and hire purchases	CZK billion							124 010	139 090	132 180	129 620	107 880	127 280	135 830	158 870	168 070
Factoring and invoice discounting	CZK billion	111 900	128 200	130 600	145 400	163 900	136 900	130 988	156 326	174 352	183 981	183 456	234 411	285 955	288 485	296 800
Other indicators																
Payment delays, B2B	Number of days	14	14	23	25	21	19	18	16	15	9	38	28	44	44	
Bankruptcies, SMEs	Number	1 739	2 590	3 843	6 052	9 101	9 077	8 040	7 202	6 052	8 521	7 911	7 079	5 860	5 602	6 017
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate	56.10	48.94	48.38	57.48	50.38	-0.26	-11.42	-10.42	-15.97	40.80	-7.16	-10.52	-17.22	-4.40	6.61

11 Denmark

Key facts on SME financing

In 2024, not counting non-employer enterprises, SMEs accounted for 99.5% of all enterprises and 47.3% of all full-time employees in Denmark.

New lending to SMEs from financial institutions decreased from DKK 46 billion to 42 billion between 2023 and 2024, representing an 8% decrease. The 2024 level was slightly lower than the average in the period 2014-2023. The share of new SME lending compared to total new lending was 6.38% in 2024, which is below the average of 10.11% in the period 2014-2023.

Interest rates for SMEs as well as for large firms were steadily declining between 2008 and 2018. Starting in 2019, the interest rates for SMEs started increasing with only a small decrease in 2022, followed by a fast increase to 8.97% in 2023, rapidly decreasing again in 2024 to 4.91%. This also resulted in a widening interest rate spread during overall increasing rates. In 2024 however, the notable decline in interest rates overall also led to reduced interest spread at 0.34 percentage-points difference between SMEs and large firms' rates.

Venture and growth capital financing from Danish private equity firms decreased slightly in 2023 and 2024 but remains at an overall high level of EUR 1 117 million in 2024. The overall decrease stems largely from a slowdown in growth capital which dropped 25% by volume. The 2024 level of venture and growth capital remains higher than any year between 2011 and 2021.

The average payment delays have increased from 11 days in 2022 to 16 days in 2023. The number of bankruptcies among SMEs decreased from 2 448 in 2023 to 1 999 in 2024.

Government loan guarantees decreased slightly from DKK 1 349 million in 2023 to 1 329 million in 2024. Government guaranteed loans increased slightly from DKK 1 044 in 2023 million to 1 112 million in 2024.

On 1 January 2023 the Export and Investment Fund of Denmark (EIFO) was established through a merger of three previous state funds: The Growth Fund, Denmark's Green Investment Fund and EKF Denmark's Export Credit Agency. EIFO provides a single point of access for Danish companies requiring government financing and aims to improve growth in a green way.

Table 11.1. Scoreboard for Denmark

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, total	DKK billion	732	809	814	812	809	830	884	1 042	1 062	1 095	1 128	1 163	1 207	1 250	1 302	1 444	1 526	1 590
New business lending, total	DKK billion	332	385	318	313	292	241	303	474	519	508	521	570	597	507	518	783	629	656
New business lending, SMEs	DKK billion	41	35	28	35	34	39	37	55	73	51	52	49	68	56	50	57	46	42
Share of new SME lending	% of total new lending	12.29	9.15	8.96	11.21	11.70	16.25	12.07	11.51	14.10	10.12	10.08	8.60	11.36	11.03	9.70	7.34	7.24	6.38
New short-term loans, SMEs	DKK billion	26	26	22	23	24	20	22	34	35	31	29	27	24	26	25	39	35	28
New long-term loans, SMEs	DKK billion	14	9	6	23	10	19	15	21	38	21	23	22	44	30	25	19	11	14
Share of short-term SME lending	% of total SME lending	64.70	74.57	78.79	50.00	70.53	51.49	60.25	62.38	48.48	60.00	55.63	55.09	35.66	46.04	50.09	67.28	76.18	67.30
Government loan guarantees, SMEs	DKK million	210	178	242	1 180	1 707	1 552	1 492	1 478	1 459	1 745	1 535	1 312	1 423	3 109	2 636	2 007	1 349	1 329
Government guaranteed loans, SMEs	DKK million					17	61	251	699	1 040	1 213	1 377	1 255	1 246	2 934	2 478	1 663	1 044	1 112
Interest rate, SMEs	%	5.97	6.59	5.33	4.39	4.38	3.91	3.78	3.82	3.60	3.14	2.70	2.58	2.73	3.28	4.92	4.52	8.97	4.91
Interest rate, large firms	%	5.23	5.68	3.63	2.49	2.40	2.14	1.73	0.96	0.80	0.88	0.81	0.60	0.58	0.78	0.65	1.28	4.30	4.57
Interest rate spread	Percentage points	0.75	0.91	1.70	1.90	1.97	1.77	2.04	2.86	2.80	2.26	1.89	1.98	2.15	2.51	4.27	3.24	4.66	0.34
Non-bank finance																			
Venture and growth capital	EUR million	263	205	159	280	186	270	241	230	339	554	532	699	475	430	1 089	1 224	1 179	1 117
Venture and growth capital (growth rate)	%. Year-on-year growth rate		-22.3	-22.5	76.57	-33.5	45.13	-10.8	-4.73	47.66	63.33	-4.03	31.47	-32	-9.57	153.35	12.40	-3.68	-5.26
Other indicators																			
Payment delays, B2B	Number of days	7.2	6.1	12	12	13	12	10	9	4	4	2	3	3	20	12	11	16	
Bankruptcies, SMEs	Number			2 563	2 583	1 938	1 958	1 698	1 328	1 584	1 853	1 888	2 013	2 153	1 841	1 768	2 351	2 448	1 999
Bankruptcies, SMEs (growth rate)	%. Year-on-year growth rate				0.78	-25	1.03	-13.3	-21.8	19.28	16.98	1.89	6.62	6.95	-14.5	-3.97	32.98	4.13	-18.3

12 Estonia

Key facts on SME financing

In 2023, Estonian SMEs employed 83% of the workforce and accounted for 79% of total value added. Micro-enterprises, defined as firms with fewer than 10 employees, made up 95% of all enterprises, employing 41% of the workforce and contributing 31% of the total value added.

SME interest rates rose from 4.08% in 2022 to 6.76% in 2023 and 6.92% in 2024, which in part explains a relatively modest demand for credit. Interest rates for large firms peaked at 6.49% in 2023, declining to 6.03% in 2024. The interest rate spread between SMEs and large firms widened to 0.9 percentage points in 2024, tripling compared to the previous year.

Despite the increase in SME interest rates, new SME lending reached EUR 2.46 billion in 2024, up EUR 67 million from the previous year. This increase ended a two-year decline. Nevertheless, SMEs accounted for only 23% of the total new business lending, a figure that has steadily fallen since 2019.

In 2024, outstanding business loans to Estonian SMEs totaled EUR 1.79 billion, continuing a gradual upward trend that began in 2019. However, the SME share of total outstanding loans declined to 17.1%, extending a downward trajectory observed since 2021.

Venture and growth capital rose steadily until peaking at EUR 1.35 billion in 2022 but has since declined significantly – falling to EUR 451.6 million in 2023 (a 67.4% decrease) and to EUR 332.8 million in 2024 (a further 26.3% decrease year-on-year). The decline in venture and growth capital has coincided with the rise of interest rates and geopolitical uncertainty.

Leasing and hire purchase turnover remained relatively stable, fluctuating within a $\pm$ EUR 50 million range over the past seven years, except for the 2020 COVID-era. It may indicate that consumer demand is consistent; however, growth might be constrained by lending conditions. Leasing and hire purchases increased by EUR 7 million in 2024 compared to 2023, reaching a total of EUR 769 million.

Table 12.1. Scoreboard for Estonia

Indicator	Unit	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																	
Outstanding business loans, SMEs	EUR billion	2.13	1.90	1.68	1.61	1.65	1.70	1.67	1.71	1.81	1.70	1.56	1.51	1.66	1.68	1.73	1.79
Outstanding business loans, total	EUR billion	6.86	6.46	5.95	6.15	6.25	6.44	6.80	7.34	6.93	7.17	7.18	7.52	8.18	8.99	9.47	10.46
Share of SME outstanding loans	% of total outstanding business loans	31.01	29.37	28.28	26.24	26.45	26.40	24.56	23.23	26.1	23.7	21.7	20.06	20.31	18.70	18.28	17.1
New business lending, total	EUR billion	4.46	4.26	5.06	5.61	6.17	6.41	6.68	6.99	7.19	7.92	8.15	7.37	8.81	9.58	9.76	10.54
New business lending, SMEs	EUR billion	2.13	1.87	1.96	2.12	2.37	2.46	2.25	2.37	2.55	2.63	2.91	2.59	3.01	2.65	2.39	2.46
Share of new SME lending	% of total new lending	47.70	43.82	38.63	37.80	38.43	38.42	33.73	33.84	35.5	33.26	35.65	35.11	34.17	27.67	24.52	23
Short-term loans, SMEs	EUR million	377.1	317.8	325.9	302.3	317.4	333.4	300.8	314.8	320.1	299	263	199	187	211	192	211
Long-term loans, SMEs	EUR billion	1.75	1.58	1.36	1.31	1.34	1.37	1.37	1.39	1.49	1.40	1.30	1.31	1.47	1.47	1.54	1.58
Share of short-term SME lending	% of total SME lending	17.74	16.76	19.39	18.74	19.20	19.62	18.00	18.46	17.7	17.63	16.86	13.22	11.25	12.57	11.09	11.8
Government loan guarantees, SMEs	EUR million	52	66	53	60	52	66	66	93	61	72	75	112.6	94	100.56	68.37	91.3
Government guaranteed loans, SMEs	EUR million	86	122	116	122	100	111	112	171	100	118	145	188.13	140.1	153.72	112.27	144.67
Direct Government loans, SMEs	EUR million												85.1	10	3.79	3.22	4.04
Non-performing loans, total	% of all business loans	8.76	8.53	5.91	3.79	2.01	1.97	1.56	1.62	1.35	0.81	0.70	0.59	0.29	0.23	0.25	0.43
Non-performing loans, SMEs	% of all SME loans	7.36	8.17	6.31	5.18	3.27	2.96	2.79	2.88	1.94	1.99	2.19	2.09	0.84	0.56	0.77	1.05
Interest rate, SMEs	%	5.34	5.06	4.92	4.02	3.41	3.36	3.04	2.96	2.99	3.28	3.85	4.08	3.75	4.08	6.76	6.92
Interest rate, large firms	%	4.21	3.90	3.76	3.05	2.86	2.68	2.05	2.08	2.12	2.13	2.56	2.77	2.81	3.44	6.49	6.03
Interest rate spread	Percentage points	1.14	1.16	1.16	0.98	0.56	0.68	0.99	0.88	0.87	1.15	1.29	1.31	0.93	0.65	0.28	0.9
Non-bank finance																	
Venture and growth capital	EUR million	4.51	17.8	5.53	16.6	10.9	68.7	103.3	106.1	288.8	325.6	265.3	458.6	996.9	1 385	451.6	332.8
Venture and growth capital (growth rate)	%, Year-on-year growth rate	- 5.0	293.7	- 69	200.2	- 34	530	40.6	2.67	172.2	12.74	-18.53	72.89	112.48	35.38	-67.4	-26.29
Leasing and hire purchases	EUR million	222.8	281.3	519.4	649.6	545.7	537.2	543	676	718	811	729	545	775	805	762	769
Factoring and invoicing	EUR billion	0.99	0.91	1.13	1.92	1.98	2.09	2.24	2.09	2.29	3. 03	3.45	2.58	2.99	3.76	2.86	2.51
Other indicators																	
Payment delays, B2B	Number of days	12.7	12.8	10.2	10.1	9.4	7	6.9	6	5.5		6.4				5.9	
Bankruptcies, SMEs	Number	1 055	1 028	623	495	459	428	376	335	343	273	271	341	103	98	139	157
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate	149	-2.56	-39.4	-20.5	-7.27	-6.75	-12.1	-10.9	2.39	-20.4	-1	25.8	-69.79	-4.85	42.84	12.95

13 Finland

Key facts on SME financing

The Finnish economy is recovering from a recession, and economic growth is expected to be modest in the near future. The Finnish economy has undergone several major changes and challenges in the 2020s, and the long-heralded growth has yet to materialise. The recovery was rapid after the COVID-19 pandemic, but in 2022, GDP growth slowed to a mere 0.8% as inflation, rising interest rates, and Russia's large-scale aggression against Ukraine weakened the economic outlook. As the economy went into recession, GDP contracted by 0.9% in 2023 and by 0.1% in 2024.

According to most forecasts, the Finnish economy is expected to resume growth: the latest projection by the Ministry of Finance forecasts GDP growth of 1% in 2025, 1.5% in 2026, and 1.7% in 2027. A significant slowdown in inflation and falling interest rates are boosting growth, even as continuing economic uncertainty is hampering growth. At the same time, investments are expected to grow more rapidly with the recovery of the construction sector, along with energy transition and defence projects estimated to provide a significant boost to investments in the period 2025–2027.

Both employment and unemployment figures in Finland were a source of concern during 2025 as unemployment reached record levels.

According to the Bank of Finland, Finland's financial system has remained stable despite increasing international uncertainty.

SMEs are now significantly more optimistic about their growth prospects than at the start of 2025 compared to the same period last year. Low inflation, falling interest rates and successful severing of trade links with Russia turned negative expectations into optimism during 2024.

Despite improving growth prospects, SMEs expect to cut investments substantially in the short term. After years of uncertainty and weak economic growth, companies reducing their investments outnumber those expecting to increase them and this applies to all main sectors.

The business loan stock varied between about EUR 10 billion and almost EUR 15 billion in the period 2020–2024. Due to changes in the Bank of Finland's statistical sources, the statistics compiled after 2020 are no longer comparable to earlier figures. New loans granted to SMEs peaked at EUR 14.7 billion in 2021 and were at their lowest levels in 2023 at EUR 10.6 billion. In 2024, new loans granted to SMEs totalled EUR 12.7 billion, which was about two billion euros more than in 2023. New loans accounted for between 53% and 56% of all loans granted to SMEs in the period 2020–2024.

The average interest paid by SMEs stood at 4.54% in 2024, compared with 3.87% in 2022 and 5.8% in 2023. The interest paid by large firms also reached record levels in 2023, at 4.89%. The interest on the loans granted in 2024 averaged 3.98%. In 2023 and 2025, interest rates were at the same level as after the financial crisis; the interest paid by SMEs was slightly higher. The credit spread between small and large business loans has narrowed in recent years as the peak occurred in 2022 at 1.1% and has decreased since then to 0.56% in 2024.

The structure of business financing is changing extremely slowly. Bank-centric financing is a common feature of SME financing which has remained a large share of total financing. Business financing was gradually becoming more diverse before the COVID-19 pandemic, but the trend has been reversed since then. It seems that entrepreneurs are largely dependent on the financial services offered by banks, while at the same time, traditional bank financing has become less accessible to enterprises and the situation is expected to become even more problematic.

Financing by public sector actors, such as Finnvera, Business Finland and ELY Centres, is still the most important alternative to bank loans. One enterprise in five planning to seek financing reported that they are seeking funding from Finnvera, and Finnvera's guarantees are a requirement for bank financing for an increasing number of enterprises. Nearly one third of all enterprises seeking bank financing reported that Finnvera's guarantees were a condition for funding. Finnvera's guarantees are particularly important to strongly growth-oriented enterprises. About 75% of them reported that financing was conditional on guarantees. Guarantees are also important to small enterprises; 44% of all enterprises with 10–19 employees seeking bank financing reported that funding was conditional on Finnvera's guarantees.

The average length of B2B payment delays has been on the increase for several years. In 2024, the average was 17 days. The previous peak (17 days) for payment delays was recorded in 2020, in the aftermath of the COVID-19 pandemic. After that, there was a marked improvement in the situation and payment delays decreased in 2021 and 2022, before increasing again in 2023. Payment periods are also significantly longer than before the year 2020.

The number of bankruptcies totalled 3 488 in 2024, which was the highest figure in the review period 2008–2024. Since 2021, the number of bankruptcies has increased for four successive years. The biggest rise was recorded in 2023 when bankruptcies increased by almost 25%. Since then, the rate of growth has slowed, reaching 5.2% in 2024. The number of bankruptcies continued to grow during the early months of 2025, with the total potentially expected to reach record levels.

Financing collected by Finnish start-ups decreased substantially in 2023, with start-ups collecting only half (EUR 896 million) of the amounts they accumulated in the record year of 2022. Unlike in other countries, financing quickly returned closer to record levels, totalling about EUR 1.4 billion in 2024 (EUR 1.7 billion in 2022). Financing by private venture capital (VC) investors has been on the decline since 2022, when it totalled EUR 1.15 billion. In 2023, investments by VC investors amounted to about EUR 980 million (-15%) and almost EUR 700 million in 2024 (-29%). As a whole, the financing of Finnish start-ups has significantly grown compared to ten years ago. The aim of the new investment strategy of Finnish Industry Investment Ltd (Tesi) for the period 2025–2029 is to significantly ease growth companies' access to venture capital financing, especially where private financing has been less extensively available.

Table 13.1. Scoreboard for Finland

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR million														54 998	57 176	61 105	59 854	58 210
Outstanding business loans, total	EUR billion														92 157	94 115	100 138	101 718	103 223
Share of SME outstanding loans	% of total outstanding business loans														59.68	60.75	61.02	58.84	56.39
New business lending, total	EUR billion														26 200	28 385	23 787	20 112	22 590
New business lending, SMEs	EUR billion														13 777	14 776	13 103	10 619	12 675
Share of new SME lending	% of total new lending														52.58	52.06	55.08	52.80	56.11
Short-term loans, SMEs	EUR million														3 002	3 070	3 327	3 233	3 231
Long-term loans, SMEs	EUR million														51 995	54 106	57 778	56 620	54 979
Share of short-term SME lending	% of total SME lending														5.46	5.37	5.44	5.40	5.55
Government loan guarantees, SMEs	EUR million	416	438	474	447	497	408	379	476	522	570	540	563	611	1 100	839	702	671	685
Direct government loans, SMEs	EUR million	385	468	593	397	369	342	284	287	385	275	241	203	183	105	148	119	136	143
Non-performing loans, total	% of all business loans									1.96	1.47	1.27	3.72	3.75	2.65	2.08	1.79	2.09	2.36
Non-performing loans, SMEs	% of all SME loans														3	3	3	3	4
Interest rate, SMEs	%														2.03	2.23	3.87	5.80	4.54
Interest rate, large firms	%														1.49	0.83	2.77	4.89	3.98
Interest rate spread	Percentage points														0.54	1.40	1.10	0.91	0.56
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending														27	28	29	30	31
Percentage of SME loan applications	SME loan applications/ total number of SMEs			13.85	18.42	20.79	21.5	21.85	27.7	21.97	23.89	19.99	20.35	21.31	20.83	20.35	19.87	19.39	18.91
Rejection rate	1-(SME loans authorised/ requested)			6.98	4.92	3.12	8.08	7.06	6.71	6.24	5.59	6.76	4.15	6.11	8.74	11.37	14.00	16.63	19.26
Non-bank finance																			
Venture and growth capital	EUR million	189	218	146	351	148	185	173	168	190	219	203	338	640	714	1 029	1 152	979	694
Venture and growth capital (growth rate)	%, Year-on-year growth rate		15.34	-33.03	140.4	-57.83	25.00	-6.49	-2.89	13.10	15.26	-7.31	66.50	89.35	5.78	44.12	11.95	-15.02	-29.11
Leasing and hire purchases	EUR million			1 067	1 361	1 658	1 765	1 658	1 858										
Other indicators																			
Payment delays, B2B	Number of days	6	5	7	7	7	7	6	6	5	5	5	5	2	17	11	10	14	17
Bankruptcies, SMEs	Number	2 254	2 612	3 275	2 864	2 947	2 961	3 131	2 986	2 574	2 408	2 168	2 546	2 623	2 135	2 473	2 656	3 315	3 488
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		15.88	25.38	-12.55	2.90	0.48	5.74	-4.63	-13.80	-6.45	-9.97	17.44	3.02	-18.60	15.83	7.40	24.81	5.22

14 France

Key facts on SME financing

France has approximately 4.9 million small and medium-sized enterprises (SMEs), which account for 99.8% of the total business population.

The stock of outstanding business loans to SMEs stood at 674 343 million in 2024, a decline of 2.22% compared to 2023, but an increase of 30% relative to 2019. As a result, the share of SME outstanding loans in total business loans has fallen slightly, below the pre-crisis average by 3.1 percentage points.

The proportion of non-performing loans (NPLs) increased between 2023 and 2025 in line with the number of insolvencies (+6% year on year, reaching 68 000 insolvencies in 2025), but NPLs remain at historically low levels (2.1% in 2025, of which 2.3% for households and 3.7% for Non Financial Corporations, compared with an average of 3.5% between 2014 and 2020).

Interest rates for SMEs and large companies were stable around 4.3% in 2023 and 2024, following an increase in 2021 and 2022 from historical lows in 2020. The interest rate gap between SMEs and large companies narrowed in 2024, and access to financing for SMEs has become slightly more difficult as indicated by the rising rejection rate exceeding pre-crisis levels (1.6% of rejection rate against 1.2% for 2015-2019).

In 2024, private equity investments increased by 38%, following a strong decline in 2023. Nonetheless, the number of companies funded through private equity continues to grow, marking a 4% increase compared to 2023 despite the high-rate environment and exceeding by far the average level observed between 2016 and 2021 (941 vs an average of 635). Investments in venture and growth capital in 2024 stood at EUR 4.9 billion, an increase of 38% vs. 2023, while expansion capital stood at EUR 3.9 billion invested in 2024, a decline of 14% vs. 2023. The sub-total of venture capital, growth capital and expansion capital investments has doubled in 8 years.

Crowdfunding declined for the first time in 2023 due to a deteriorated environment and rising interest rates. But, since 2015, annual volume of equity crowdfunding provided through the platforms grew 12.5 times.

Factoring volumes decreased by 12% in 2024, as did the number of ongoing operations (-4.3%). Activity development has been important since the pandemic crisis, with a 30% increase of volumes compared to 2020.

With a budget of EUR 54 billion, the France 2030 plan seeks to position France as a global leader in future innovations. Having moved past the post-COVID recovery phase, the initiative has accelerated significantly: as of the 2024 activity report, EUR40 billion have already been committed across more than 7 400 projects. Today, strategic investments are primarily focused on artificial intelligence, quantum computing, space, and industrial decarbonization, aiming to build lasting technological sovereignty.

Table 14.1. Scoreboard for France

Indicator	Unit	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																		
Outstanding business loans, SMEs	EUR billion					423.7	429.9	435.4	443.7	457.4	476.4	496.8	516.7	599.6	674.1	686.5	689.6	674.3
Outstanding business loans, total	EUR billion					1 010	1 027	1 037	1 080	1 132	1 196	1 263	1 342	1 515	1 542	1 666	1 681	1 712
Share of SME outstanding loans	% of total outstanding business loans					41.94	41.88	41.98	41.08	40.41	39.82	39.32	38.50	39.59	43.73	41.20	41.04	39.40
New business lending, total	EUR million	293.9	232.1	235.1	248.0	238.6	208.1	184.5	239.6	267.6	315.7	314.7	330.2	436.7	321.6	373.3	314.6	
Government loan guarantees, SMEs	EUR million	3 219	5 752	5 326	4 231	4 157	4 394	4 783	4 984	5 229	5 103	5 095	4 805	5 873	5 315	6 366		
Government guaranteed loans, SMEs	EUR billion	6.86	11.27	11.88	9.83	8.47	8.93	7.80	8.00	8.40	8.90	8.70	8.50	116.80	21.00	13.81		
Non-performing loans, total	% of all business loans	3.66	4.71	4.56	3.96	4.06	4.25	4.13	4.04	3.90	3.61	3.27	2.54	2.22	1.92	1.90	1.99	2.06
Non-performing loans, SMEs	% of all SME loans	5.42	2.86	2.48	3.11	2.43	2.16	2.08	1.78	1.50	1.40	1.48	1.40	1.00	1.26	1.90	4.20	4.26
Interest rate, SMEs	%	4.76	1.96	1.57	2.23	1.72	1.46	1.30	1.19	1.14	1.10	1.03	0.90	0.73	1.10	1.32	3.50	4.03
Interest rate, large firms	%	0.66	0.90	0.91	0.89	0.71	0.70	0.78	0.59	0.35	0.30	0.45	0.50	0.27	0.16	0.58	0.70	0.30
Interest rate spread	Percentage points	5.42	2.86	2.48	3.11	2.43	2.16	2.08	1.78	1.50	1.40	1.48	1.40	1.00	1.26	1.90	4.20	4.26
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending					9.42	8.52	7.28	6.33	5.17	4.34	4.22	3.83	3.61	2.84	4.80	6.50	6.41
Percentage of SME loan applications	SME loan applications/ total number of SMEs					38.41	35.65	35.73	37.87	37.90	37.17	36.72	36.35	39.25	31.70	33.44	33.75	32.99
Rejection rate	1-(SME loans authorised/ requested)					7.00	6.20	5.30	5.20	3.90	3.10	2.90	2.10	2.60	3.20	3.50	3.80	4.10
Utilisation rate	SME loans used/ authorised	87.77	87.18	86.39	87.03	87.64	87.32	87.50	87.20	87.02	86.80	86.84	87.05	88.71	89.10	88.50	88.77	89.07
Non-bank finance																		
Venture and growth capital	EUR million	2 411	2 385	2 915	3 537	2 389	2 469	3 234	4 610	4 727	4 378	5 073	6 240	6 425	4 600	5 111	3 609	4 965
Venture and growth capital (growth rate)	%, Year-on-year growth rate	21.34	-1.08	22.22	21.34	-32.46	3.35	30.98	42.55	2.54	-7.38	15.87	23.00	3.00	-28.40	11.11	-29.39	37.57
Leasing and hire purchases	EUR million	9 532	9 018	8 472	8 125	6 591	6 086	5 713	7 122	7 654	7 827	8 361	8 665	9 028	10 020	10 205	11 812	12 303
Factoring and invoicing	EUR billion	22.46	18.84	20.65	22.46	22.60	24.80	25.57	27.97	31.04	36.10	37.56	39.81	35.02	38.98	41.84	44.75	39.12
Other indicators																		
Payment delays, B2B	Number of days	11.90	11.80	11.98	12.18	11.82	12.08	12.21	13.30	11.90	11.12	10.90	11.29	12.80	12.51	11.88	12.20	13.00
Bankruptcies, SMEs	Number	55 596	63 228	60 351	59 550	61 179	62 637	62 534	63 085	58 130	54 529	54 017	51 119	31 184	27 240	41 253	56 046	66 262
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate	8.37	13.73	-4.55	-1.33	2.74	2.38	-0.16	0.88	-7.85	-6.19	-0.94	-5.36	-39.00	-12.65	51.44	35.86	17.67

15 Georgia

Key facts on SME financing

As of October 2025, 99.7% of active enterprises in Georgia were SMEs. In 2024, SMEs accounted for 60.6% of business sector employment, 32.3% of business sector turnover and 53.2% of output in the business sector, and the share of the value added created by SMEs in the business sector amounted to 52.3%.

In recent years, credit to SMEs rose significantly. In 2024, SME loans increased by 12.6%¹. In nominal terms, outstanding SME loans amounted to 23.9 billion GEL. Total business loans grew by more than 16.8%, and the proportion of SME loans as a percentage of total business loans amounted to 66%.

The average interest rate charged to SMEs in Georgia is high by OECD standards, but it has significantly declined over the last decade, from 17.5% in 2010 to 10.8% in 2024. In 2024, the interest rate spread between SMEs and large firms amounted to 0.3 percentage points.

Total non-performing loans in 2024 amounted to 2.5%, while the share of non-performing loans in SMEs equalled 5.2%.

The Georgian government supports SMEs through loan guarantees. The state program – Credit Guarantee Scheme was developed to improve access to finance for SMEs that are unable to meet existing collateral requirements for loans. Under the program, a credit guarantee is issued for each loan provided by a commercial bank, covering up to 80% of the loan principal. Additionally, for each commercial bank, the guarantee can cover no more than 35% of the program's total loan portfolio. In 2024, guaranteed loan volumes increased from GEL 210 million to GEL 259 million, and total guarantees from GEL 151 million to GEL 185 million. This reflects strengthened state efforts to improve SME access to finance.

The government of Georgia has prioritised SME development as the main driver of private-sector growth, job creation and innovation. For instance, the Innovation and Entrepreneurship Policy is one of the successful reforms the Georgian Government has conducted. Through budgetary support, in 2014, the Ministry of Economy and Sustainable Development of Georgia established two sister agencies, Georgia's Innovation and Technology Agency (GITA) and Enterprise Georgia, with the main objective of promoting SME development and strengthening SME competitiveness. Both agencies provide financial support to SMEs, as well as a broader range of services, including access to specialised infrastructure, mentoring, training, and various advisory services. In addition to establishing these two agencies, the Government of Georgia has introduced several private-sector development programmes that include financial and technical assistance components to support SMEs at different stages of development.

Table 15.1. Scoreboard for Georgia

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	GEL million				1 400	1 548	1 738	2 051	2 422	3 612	4 451	5 266	6 006	7 062	7 788	8 516	18 193	21 024	23 941
Outstanding business loans, total	GEL million	2 984	3 458	3 097	4 145	4 821	5 344	6 080	7 268	9 243	10 693	12 269	14 687	19 037	23 224	25 828	25 791	30 726	36 280
Share of SME outstanding loans	% of total outstanding business loans				33.77	32.10	32.52	33.74	33.32	39.07	41.63	42.93	40.89	37.10	33.54	32.97	70.54	68.42	65.99
Short-term loans, SMEs	GEL million									330	552	553	515	444	648	781	1 923	1 576	2 098
Long-term loans, SMEs	GEL million									3 282	3 899	4 714	5 491	6 619	7 141	7 734	16 270	19 448	21 843
Share of short-term SME lending	% of total SME lending									9.14	12.40	10.49	8.58	6.28	8.32	9.18	10.57	7.50	8.76
Government loan guarantees, SMEs	GEL million														112	132	164	151	185
Government guaranteed loans, SMEs	GEL million														135	165	248	210	259
Non-performing loans, total	% of all business loans				16.10	11.00	12.00	10.70	10.60	9.80	10.10	7.70	6.60	4.90	8.40	5.20	4.10	2.60	1.86
Non-performing loans, SMEs	% of all SME loans				10.30	8.70	6.40	5.00	4.20	4.40	5.20	4.30	6.10	4.90	9.80	6.51	5.32	4.50	5.19
Interest rate, SMEs	%				17.48	15.63	15.05	12.91	11.60	12.63	12.32	12.52	12.27	11.18	10.63	10.85	11.06	11.10	10.84
Interest rate, large firms	%				14.90	14.62	12.79	11.40	10.23	10.26	9.71	9.25	9.26	8.62	8.53	9.21	11.49	11.18	10.58
Interest rate spread	Percentage points				2.58	1.01	2.27	1.51	1.37	2.37	2.61	3.27	3.01	2.56	2.10	1.63	-0.44	-0.08	0.26
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending							96											
Rejection rate	1-(SME loans authorised/ requested)						16.13	29.18	17.31	13.20	12.11	15.54	19.84	18.67	18.18	14.38	17.60	12.06	10.10
Other indicators																			
Bankruptcies, SMEs	Number				2 094	3 176	2 524	1 775	1 785	1 560	229	293	153	208	147				
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate					51.67	-20.53	-29.68	0.56	-12.6	-85.32	27.95	-47.78	35.95	-29.33				

Note

¹ Growth rate figures are inflation adjusted.

16 Germany

Key facts on SME financing

The 3.84 million small and medium-sized enterprises with an annual turnover of up to EUR 500 million are the backbone of the German economy. The SME sector accounts for 99.95% of all companies in the country.

The credit conditions in 2025 for German SMEs improved slightly thanks to falling interest rates relative to 2024, but credit standards for SMEs remain extraordinarily high. The uncertain economic and geopolitical outlook is likely to impede a substantial recovery of credit conditions.

At the start of 2025, only one in five companies reported participating in bank loan negotiations. Since SMEs remain reluctant to borrow, partly due to other sources of funding, the high bank credit restrictions may be influenced by SMEs in challenging financial situations seeking additional loans but facing denials from banks due to their low credit standing. The downward trend in interest rates for non-financial corporations since summer 2024 offered hope for a slightly more attractive uptake of bank loan demand of SME in the course of 2025 to meet financing requirements for investments and other expenditures, thereby potentially improving credit constraint indicator.

In 2024, SMEs borrowed a total of EUR 89 billion from savings banks and banks to finance their investments. The average volume of new bank loans taken out in 2023 to finance investments amounted to EUR 152 000 per company. In terms of their share of the total number of loans realized microloans dominate: 69% of all investment loans taken out in 2023 were for a maximum of EUR 50 000, and 79% of all investment loans taken out had a maximum amount of EUR 100 000.

To finance their business activities SMEs generally have a variety of different financing instruments at their disposal. In addition to bank loans, the choice between forms of equity financing (e.g. internal financing or external equity financing) and other forms of debt financing (e.g. bonds), companies can also utilize other financing instruments such as factoring or mezzanine capital. The choice of financing instruments is influenced by company-specific factors, but also by external framework conditions that determine the availability and costs of the various financing instruments.

To finance their investment projects, SMEs in Germany mainly rely on internal financing sources, followed by external borrowing from financial intermediaries. Capital market financing is rarely used and generally only an option for larger SMEs. Internal financing from profits, depreciation, amortization and provisions accounted for around 51% of total investment financing in 2023. Around a third (32%) of the financing requirements for investment projects of SMEs in Germany were covered by loans from banks and savings banks. Loans are therefore the most important external source of financing for German SMEs. The second key component of external financing for SME investment projects is public funding. The share of subsidies in the financing of the total investment volume amounted to 13% in 2023. Alternative forms of financing, such as mezzanine or equity financing, on the other hand, are still only of secondary relevance for investment financing in the German SME sector. Newer financing instruments, such as loans from credit funds and crowdfunding have also not yet been able to gain widespread acceptance. Other sources of financing accounted for only 4% of the total financing volume of investments in the German SME sector in 2023.

Table 16.1. Scoreboard for Germany

Indicator	Unit	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																		
Outstanding business loans, SMEs	EUR billion											417	463	521	558	587	626	652
Outstanding business loans, total	EUR billion											882	852	873	914	972	972	963
Share of SME outstanding loans	% of total outstanding business loans											47.23	54.36	59.73	61.12	60.44	64.41	67.68
New business lending, total	EUR billion											188	158	160	166	176	147	148
New business lending, SMEs	EUR billion											100	91	102	101	100	89	89
Share of new SME lending	% of total new lending											53.29	57.47	64	60.61	56	60.55	60
Outstanding short-term loans, SMEs	EUR billion											13	13	12	14	16	15	17
Outstanding long-term loans, SMEs	EUR billion											356	398	457	488	511	548	567
Share of short-term SME lending	% of total SME lending											3.70	3.16	3	2.79	3	2.80	3
Government loan guarantees, SMEs	EUR billion											20	23	33	31	30	27	20
Government guaranteed loans, SMEs	EUR billion											13 708	15 867	45 440	56 782	57 296	54 890	51 827
Non-performing loans, total	EUR billion											2.1	2.1	2.0	1.8	1.8	2.7	3.6
Non-performing loans, SMEs	% of all SME loans											2.3	2.3	2.0	1.8	1.7	2.8	3.8
Interest rate, SMEs	%												2.3	2.1	2.0	3.8	5.4	5.3
Interest rate, large firms	%												2.2	1.5	1.2	3.2	5.5	4.5
Interest rate spread	Percentage points												0.1	0.6	0.8	0.6	-0.1	0.8
Non-bank finance																		
Venture and growth capital	EUR million						1.5	2.6	2.8	2.3	3.4	5.2	7.8	5.7	18.7	107	7.3	7.4
Venture and growth capital (growth rate)	%, Year-on-year growth rate							73.3	7.7	-17.9	47.8	52.9	50.0	-26.9	228.1	-42.8	-31.8	1.4
Leasing and hire purchases	EUR billion	59	47	50	54	54	52	57	59	63	67	70	77	70	70	70	86	80
Factoring and invoice discounting	EUR billion	106	96	130	158	157	171	190	209	217	232	244	275	275	309	373	384	399
Other indicators																		
Payment delays, B2B	Number of days									10.23	10.34	10.64	10.74	10.30	10.10	10.73	9.62	8.60
Bankruptcies, SMEs	Number												1 168	1 580	1 180	1 467	2 224	3 394
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate													35.27	-25.32	24.32	51.60	52.61

17

Greece

Key facts on SME financing

In 2023 and 2024, the Greek economy maintained its positive momentum, solidifying the recovery that began in the aftermath of the COVID-19 pandemic. Real GDP increased by 2.3% in 2024, supported by private consumption, investment co-financed through the Recovery and Resilience Facility (RRF), and strong performance in exports and tourism. This macroeconomic context contributed to favorable conditions for business activity across various sectors, reinforcing investor confidence and market dynamism.

This economic upturn coincided with renewed business lending activity. In 2024, total new business lending reached EUR 23.97 billion, the highest since the pandemic. SME lending rose to EUR 5.94 billion, up 25.15% from 2023. However, this increase was lower than that for larger firms, resulting in an SME share of 24.8% in total new loans - higher than in 2022 (20.5%) but still below 2021 (28.4%). This reflects the uneven pace of credit recovery among different enterprise sizes, with small businesses still facing notable hurdles in accessing finance.

Despite higher loan flows, total outstanding business credit remained below pre-pandemic levels. At the end of 2024, it stood at EUR 74.3 billion. This reflects banks' cautious lending practices and still-modest demand from smaller firms. Lending institutions remained prudent, assessing credit risk more conservatively and prioritizing clients with stronger balance sheets or stable cash flow histories. Microenterprises, in particular, often refrained from borrowing due to high interest costs and uncertain business conditions.

Non-performing loans (NPLs) for SMEs dropped to 3.98% in 2024, from 7.65% in 2023, signifying an improvement in the quality of SME loans. and over 40% since 2015. The "Hercules" asset protection schemes played a key role in this clean-up. These initiatives allowed banks to securitize and offload problematic exposures, thus freeing up capital and improving financial system resilience. Overall, business NPLs also declined, supporting the stability of the banking sector and enabling more targeted lending.

Meanwhile, interest rates remained high and well above historical norms. The average rate for SME loans fell slightly to 5.7% in 2024, from 5.96% in 2023, while large firms borrowed at 5.44%. Tight monetary policy from the European Central Bank, in response to inflationary pressures, contributed to persistently elevated borrowing costs. These conditions continued to restrict the affordability of credit, particularly for firms in sectors with lower profit margins.

According to the ECB SAFE survey, SME access to finance improved modestly. Only 9.86% of SMEs were asked to provide collateral in 2024, down from 22.56% in 2023. The loan rejection rate fell to 15.79%, from 19.24% the previous year. Still, challenges persisted, especially for micro and young firms, due to procedural complexity and limited negotiation power. Some SMEs reported difficulty navigating the application process, while others lacked the documentation or financial statements typically required by lenders.

Public support continued to play a vital role. Government guarantees for SME loans reached EUR 4.16 billion in 2024, focusing on small enterprises and investments in digitalization and green transition. These

guarantees, often co-financed by the RRF, reduced credit risk and improved access. Concurrently, programs administered by the Hellenic Development Bank targeted key priority areas such as energy efficiency, digital upgrades, and regional entrepreneurship. The evolution from emergency COVID-19 support to more structured investment incentives marked a shift in national SME finance policy.

Alternative finance sources gained limited but notable ground. Venture capital investment rose to EUR 555 million (+21.98% from 2023). Factoring volumes reached EUR 3.716 billion, up from EUR 3.225 billion, while leasing and hire purchase activity hit EUR 2.744 billion. However, non-bank finance remains underdeveloped in Greece compared to EU averages. The market for equity-based and hybrid instruments is relatively small, and awareness among SMEs of available alternatives remains low. Encouraging broader diversification of funding sources remains a long-term policy goal.

In the post-pandemic period, Greek authorities continued to support SMEs through a combination of national tools and EU-backed financial instruments. The RRF played a key role in boosting liquidity and offering guarantees to SMEs, particularly in areas such as green transition, digitalization, and innovation. Through partnerships with the Hellenic Development Bank and the European Investment Fund (EIF), public guarantee schemes were reinforced and adapted to the needs of micro and small enterprises. Regulatory reforms were also introduced to simplify credit access and reduce administrative burdens, though SMEs continue to face barriers such as high collateral requirements and increased borrowing costs.

Table 17.1. Scoreboard for Greece

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion				44.9	41.6	39.1	48.1	48.1	46.9	48.4	44.7	41.1	35.2	32.0	25.5			
Outstanding business loans, total	EUR billion	102	124	124	117	113	101	97	95	89	88	82	76.4	67.3	66.6	57.9	64	67.43	74.3
Share of SME outstanding loans	% of total outstanding business loans				38.5	36.8	38.8	49.7	50.6	52.6	55.3	54.4	53.8	52.3	48.1	43.99			
New business lending, total	EUR billion		36.5	36.3	20.7	29.4	21.8	24.3	14.9	6.9	5.8	7.3	11.4	7.9	16.2	11.85	22.19	16.95	23.97
New business lending, SMEs	EUR billion		12.5	13.0	4.4	5.2	4.1	3.7	2.3	3.2	2.8	3.1	3.3	3.2	6.0	3.4	4.54	4.75	5.94
Share of new SME lending	% of total new lending		34.2	35.6	21.4	17.8	18.9	15.0	15.6	17.0	18.4	15.5	10.18	16.05	31.8	28.39	20.46	28.01	24.79
Outstanding short-term loans, SMEs	EUR billion								18.1	17.6	18.8	17.0	15.1	13.4	9.5	6.93			
Outstanding long-term loans, SMEs	EUR billion								30.1	29.3	29.6	27.7	25.9	21.7	22.5	18.56			
Share of short-term SME lending	% of total SME lending								37.6	37.6	38.9	38.0	58.4	61.6	42.3	37.37			
Government loan guarantees, SMEs	EUR billion							0.37	0.31	0.24	0.56	1.08	1.2	1.3	3.9	3.97	4.05	4.23	4.16
Non-performing loans, total	% of all business loans	4.60	4.30	6.70	8.70	14.2	23.4	31.8	29.4	31.0	30.3	30.5	28.6	25.5	19.1	8.8	5.63	4.27	1.91
Non-performing loans, SMEs	% of all SME loans								41.2	44.1	43.2	42.5	38.1	36.1	28.5	16.4	9.18	7.65	3.98
Interest rate, SMEs	%	6.57	6.82	4.62	5.53	6.77	6.87	6.51	5.80	5.38	5.32	4.91	4.66	4.31	3.9	3.79	4.28	5.96	5.7
Interest rate, large firms	%	5.32	5.71	3.52	4.27	5.74	5.92	5.77	5.55	4.82	4.61	4.20	3.81	3.64	2.8	2.7	3.23	5.76	5.44
Interest rate spread	Percentage points	1.25	1.11	1.10	1.26	1.03	0.95	0.74	0.25	0.56	0.71	0.71	0.85	0.67	1.1	1.09	1.05	0.2	0.26
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending			51.4	40.5	49.4	46.7	45.9	46.2	49.2	39.8	25.7	20.7	18.5	18.4	13.72	28.5	22.56	9.86
Percentage of SME loan applications	SME loan applications/ total number of SMEs			37.9	39.6	30.8	29.9	21.4	25.5	18.8	21.5	17.5	23.0	23.9	31.3	21.93	23.23	14.15	24.15
Rejection rate	1- (SME loans authorised/ requested)			25.8	24.5	33.8	28.3	26.0	21.5	19.9	18.2	16.2	20.5	11.4	12.3	10.35	14.96	19.24	15.79
Non-bank finance																			
Venture and growth capital	EUR million	19.0	32.7	16.7	25.0	10.1		4.8	12.6	36.8	38.0	44.5	84.1	147.1	150	500	325	455	555
Venture and growth capital (growth rate)	%, Year-on-year growth rate		72	-49	50	-60			160	193	3	17	88.8	74.87	1.99	233.3	-35	5.32	21.98
Leasing and hire purchases	EUR billion	7.28	7.87	7.50	7.28	6.85	6.22	3.36	4.08	4.72	4.40	4.25	3.96	3.39	3.32	2.52	2.69	2.63	2.74
Factoring and invoice discounting	EUR billion	1.28	1.73	1.77	1.73	1.49	1.53	1.41	1.69	1.69	1.72	1.74	1.93	1.96	1.89	2.37	2.98	3.22	3.71
Other indicators																			
Payment delays, B2B	Number of days		25	34	30	35	40	43	41	36	47	47.	33	17		50	36	32	
Bankruptcies, SMEs	Number	513	359	355	355	445	415	392	330	189	108	123	114	63	57	53	23	13	
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		-30	-1	0	25	-7	-6	-16	-43	-43	14	-7	-23.17	-9.52	-7.02	-56.6	-43.48	

18 Hungary

Key facts on SME financing

The volume of GDP increased by 0.5% in 2024. Based on data adjusted for calendar effects, the economic performance increased by 0.6% compared to the previous year.

In the first quarter of 2025, the Hungarian economy contracted slightly, by 0.4% on an annual basis and by 0.2% compared to the previous quarter, dragged down by weak external demand and industrial exports, and by still sluggish investment performance.

The average annual inflation rate was 3.7% in 2024. The decline in global inflation came to a halt in the autumn of 2024, with consumer price inflation starting to accelerate again in several countries, including Hungary.

Although the investment rate has declined in recent years, it remains high, and Hungary remains an attractive investment destination. The investment rate has stabilised at a high level because of recent time's high-volume investments, reaching around 24% in 2024, one of the highest in the EU.

However, investment in several sectors is being held back by weak demand, particularly in manufacturing and construction, which is not yet being offset by the huge amount of working capital investment. Nevertheless, the Demjén Sándor Programme for SMEs may improve the investment climate for businesses.

At the end of 2024, 707 329 enterprises operated in Hungary, 99.9% of which (706 380 enterprises) qualified as SMEs. Hungarian SMEs are responsible for 70.1% of the total employment and 56.8 % of the value added.

The total corporate loan portfolio of credit institutions increased by 1.6%, and the SME loan portfolio increased by 1.9% in 2024. This shows a continued slowdown in the portfolio growth rate. Corporate lending is currently subdued, primarily due to insufficient demand factors.

Although the total loans outstanding remained nearly unchanged, the portfolio of foreign currency loans continued to grow in 2024.

2024 brought a seemingly strong recovery for the Hungarian venture capital and private equity market, especially when compared to the low baseline of 2023. While the top-line numbers for 2024 suggest a return to growth, the underlying data, especially the reliance on one large buyout, indicates that it is not yet in full recovery. Rather, 2024 may mark the first signs of stabilisation and renewed investor interest. It was expected that 2025 would bring more broad-based growth and consistent capital flows across all stages and sectors of the Hungarian VC and PE ecosystem.

The focus of the new economic policy announced by the Government through Government Resolution 1311/2024. (X. 21.) aims to put the economy on a higher growth path in 2025. According to the government decision, in order to dynamize the economy, the performance of Hungarian-owned SMEs must be further strengthened so that they contribute more to growth.

In order to achieve this, the Government is supporting the development of domestic SMEs with a total of nearly HUF 2 000 billion through the Demjén Sándor Program, which consists of 8+1 measures implemented as part of the New Economic Policy Action Plan.

Table 18.1. Scoreboard for Hungary

Indicator	Unit	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																	
Outstanding business loans, SMEs	HUF billion	5 379.3	4 782.7	4 797	5 013.9	5 063.8	4 831.2	4 942.4	4 411.6	4 674.2	4 691.6	5 122.2	5 626.4	6 199.2	7 175.2	7 079	7 253.6
Outstanding business loans, total	HUF billion	8 958.6	8 769.6	8 825.2	7 892.3	7 648.2	7 761.1	7 355.1	7 072.9	7 881	8 562.3	8 715.8	9 836.5	10 853	12 540	13 049	13 642.9
Share of SME outstanding loans	% of total outstanding business loans	60.05	54.54	54.36	63.53	66.21	62.25	67.20	62.37	59.31	54.79	58.77	57.20	57.12	57.22	54.25	53.17
New business lending, SMEs	HUF billion	3 660.4	3 530.8	3 585.1	3 869.8	4 662.3	4 301.9	3 665.5	4 186.7	4 354.6	3 743.2	4 670.1	4 738.8	5 568.5	5 430.2	5 258.3	5 114
Short-term loans, SMEs	HUF billion	2 832	2 774.7	2 767.1	3 051.6	2 654.2	2 570.3	2 424.2	2 708.5	2 797.9	2 001.8	2 417.9	2 113.9	2 509.3	2 313.1	2 450.9	1 927.5
Long-term loans, SMEs	HUF billion	828.4	756.	818.	818.2	2 008.	1 731.6	1 241.3	1 478.2	1 556.7	1 741.4	2 252.2	2 624.9	3 059.2	3 117.	2 807.4	3 186.5
Share of short-term SME lending	% of total SME lending	77.37	78.59	77.18	78.86	56.93	59.75	66.14	64.69	64.25	53.48	51.77	44.61	54.94	42.60	46.61	37.69
Government loan guarantees, SMEs	HUF billion	409.2	377.1	343.4	251.9	350	346.2	348.7	469.3	601.2	725.5	707.1	1 193.3	1 412.6	1 526.2	1 428.1	1 019.5
Government guaranteed loans, SMEs	HUF billion	600.3	472	437.2	314.8	458	433.8	429.4	568.6	731	894.2	934.9	1 561.9	1 726.3	1 908	1 833.3	1 327.1
Non-performing loans, total	% of all business loans	10.10	12.80	17.40	17.70	16.10	13.70	9.60	5.40	3.30	5.52	3.83	3.42	3.60	3.96	3.83	3.78
Non-performing loans, SMEs	% of all SME loans	8.90	12.80	15.90	20.50	18.60	20.70	13.70	6.30	4.40	3.82	6.18	1.39	1.14	1.60	1.90	0.98
Interest rate, SMEs	%	12.31	8.99	9.38	9.70	7.40	5.10	4.70	4.20	3.30	2.44	2.97	1.88	3.53	10.99	15.33	10.24
Interest rate, large firms	%	11.07			8.90	5.90	4.10	2.40	2.80	1.80	2.00	1.30	1.58	2.77	11.18	16.59	9.32
Interest rate spread	Percentage points	1.24			0.80	1.50	1.00	2.30	1.40	1.50	0.44	1.67	0.30	0.76	-0.19	-1.26	0.92
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending						71.00	64.50	60.10	53.40							
Rejection rate	1-(SME loans authorised/ requested)					14.30	19.06	9.66	4.79	12.67	11.69	9.97	5.95	11.94	13.56	13.00	4.58
Utilisation rate	SME loans used/ authorised					81.50											
Non-bank finance																	
Venture and growth capital	HUF million	720	6 982	11 308	19 361	15 880	18 759	27 742	12 070	11 470	28 661	28 803	125 532	126 928	88 912	50 517	30 575
Venture and growth capital (growth rate)	%, Year-on-year growth rate	-94.78	869.72	61.96	71.22	-17.98	18.13	47.89	-56.49	-4.97	149.88	0.50	335.83	1.11	-29.95	-43.18	-39.48
Leasing and hire purchases	HUF billion								490.5	483.3	538.4	677.4	734.3	749.8	845.8	937.5	1 053.8
Factoring and invoicing	HUF billion								46.5	107.9	66.7	55.2	41.4	32.4	49.3	38.	21.4
Other indicators																	
Payment delays, B2B	Number of days	19	15	22	20		17.40	17.40	4	-1	5	1	18	12	11	14	15
Bankruptcies, total	Number per 100 firms	2.12	2.32	2.79	3.01	3.76	6.44	4.88	3.77	3.22	4.01	3.70	2.25	2.28	3.84	4.24	3.72
Bankruptcies, total (growth rate)	%, Year-on-year growth rate	25.65	9.50	20.40	7.90	24.70	71.30	-24.20	-22.90	-14.44	24.34	-7.73	-39.04	1.15	68.60	10.35	-12.30

19 Indonesia

Key facts on SME financing

Based on National Labor Force Survey (Sakernas), published by the Ministry of Micro, Small, and Medium Enterprises (MSMEs) of the Republic of Indonesia, the number of MSMEs reached 56 142 687 units in 2024, representing 99.90% of the total business population. MSMEs contributed 59.64% to the national Gross Domestic Product (GDP) in 2024, underscoring their significant and strategic role in Indonesia's economic development.

Outstanding loans to MSMEs recorded a slight decline of 0.30% y-o-y in 2025, decreasing from IDR 1 506.29 trillion in 2024 to IDR 1 501.73 trillion in 2025. Furthermore, the share of MSME loans in total outstanding loans has shown a declining trend over the past five years, falling from 22.02% in 2021 to 17.49% in 2025, with an average yearly share of approximately 20.06%.

Over the last three years (2023 – 2025), non-performing loans (NPLs) for total businesses have declined from 2.19% to 2.05%. In contrast, NPLs from MSMEs have increased from 3.71% to 4.33%.

Outstanding loans granted by finance companies to all businesses increased slightly, by 0.61% in 2025. However, financing to MSMEs declined significantly, by 17.64%, falling from IDR 180.48 trillion in 2024 to IDR 148.65 trillion in 2025. Consequently, the MSME share of total financing decreased from 34.09% to 27.90%. The proportion of short-term MSME financing in total outstanding MSME financing by finance companies also declined sharply, from 16.23% in 2024 to 2.40% in 2025.

Interest rates on loans provided by finance companies to MSMEs increased from 20.35% in 2024 to 20.53% in 2025. In contrast, the financing rates to large firms declined from 14.45% to 13.67%. Consequently, the interest rate spread widened from 5.90% to 6.87%.

As an alternative source of MSME financing, apart from finance companies, venture capital companies can also play an important role in the growth and development of MSMEs. However, in Indonesia, venture and growth capital financing remained relatively stagnant over the past three years, with fluctuating amounts of IDR 17.03 trillion in 2023, IDR 16.48 trillion in 2024, then IDR 16.58 trillion in 2025, representing a decrease of 2.64% during those years.

Other non-bank finance indicators recorded a modest decline in 2025 compared to 2023. Leasing and hire purchases financing contracted by 1.49% over the period, while factoring activities also exhibited a similar trend, declining by 3.16%.

Access to finance remains a challenge for many SMEs in Indonesia. To address this issue, the Government of Indonesia continues to support SME financing through the People's Business Credit Programme (Kredit Usaha Rakyat – KUR) and other financing schemes aimed at improving access to affordable credit and supporting SME growth.

Table 19.1. Scoreboard for Indonesia

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Debt																				
Outstanding business loans, MSMEs	IDR trillion	110.1	127	127	389	477	551	637	733	792	952	1 059	1 168	1 262	1 240	1 394	1 349	1 457	1 506	1 502
Outstanding business loans, total	IDR trillion	1 002	1 308	1 308	1 778	2 217	2 727	3 321	3 708	4 094	4 908	5 320	5 932	6 270	6 069	6 330	6 424	7 090	7 827	8 586
Share of MSME outstanding loans	% of total outstanding business loans	10.99	9.71	10.20	21.86	21.46	20.19	19.15	19.74	19.32	19.40	19.90	19.68	20.12	20.43	22.02	21.00	20.55	19.24	17.49
Outstanding short-term loans, MSMEs	IDR trillion	..	..	..	102.6	120.8	141.7	195.0	215.4	100.1	115.0	94.3	101.1	106.3	131.7	123.1	295.7	326	332.8	326.1
Outstanding long-term loans, MSMEs	IDR trillion	..	..	..	286.1	354.9	408.7	440.9	516.5	623.8	729.0	901.0	1 038	1 120	1 084	1 179	1 349	1 457	1 506	1 502
Share of short-term MSME lending	% of total MSME lending	..	..	..	26.40	25.39	25.74	30.67	29.43	13.83	13.63	9.47	8.88	8.67	8.96	9.45	28.1	28.8	28.4	27.7
Government guaranteed loans, MSMEs	IDR trillion	..	..	..	17.23	29	34.23	40.9	40.3	22.75	94.4	96.71	123.8	139.9	198.5	..	..	..	..	..
Direct government loans, MSMEs	IDR trillion	..	0.04	0.41	1.07	1.15	1.25	1.43	1.15	1.56	1.25	0.41	0.04	1.72	1.99	3.78	..	..	..	..
Non-performing loans, total	% of all business loans	4.08	3.20	3.35	2.55	2.16	1.87	1.77	2.16	2.49	2.96	2.63	2.40	2.51	3.03	2.98	2.44	2.19	2.08	2.05
Non-performing loans, MSMEs	% of all MSME loans	4.80	3.87	4.22	3.97	3.43	3.23	3.19	4.00	4.20	4.05	3.89	3.35	3.36	3.95	3.82	3.41	3.71	3.76	4.33
Interest rate, MSMEs	%	16.30	16.79	16.60	14.89	14.53	13.99	14.14	14.54	13.99	13.59	13.06	12.69	12.57	10.69	10.34	10.11	10.97	10.76	10.52
Interest rate, large firms	%	12	13	13	12.73	12.28	11.60	11.88	12.48	12.51	12.16	11.39	11.01	10.62	9.36	8.80	8.09	8.34	8.27	7.88
Interest rate spread	% points	4.14	3.30	3.79	2.16	2.25	2.39	2.26	2.06	1.48	1.43	1.67	1.68	1.95	1.32	1.53	2.02	2.63	2.50	2.64
Non-bank finance																				
Venture and growth capital	IDR trillion	..	..	..	..	..	4.3	6.0	6.9	7.2	8.5	7.1	8.46	12.72	13.40	16.59	17.68	17.03	16.48	16.58
Venture and growth capital (growth rate)	%, Year-on-year growth rate	..	..	..	..	..	..	38.70	14.68	4.38	17.69	-16.3	18.93	50.40	5.29	23.84	6.56	-3.69	-3.18	0.06
Leasing and hire purchases	IDR trillion	36.5	50.7	46.5	53.7	76.6	105.1	117.4	111.0	105.4	97.7	104.8	112.2	106.9	92.64	89.91	46.25	49.37	48.23	48.63
Factoring and invoice discounting	IDR trillion	2.2	2.2	2.0	2.3	3.9	5.1	7.7	9.4	10.7	11.5	13.3	15.48	16.17	12.28	10.74	2.55	4.27	5.20	4.14

Note: This table contains data from both bank and non-bank sources. Due to availability, post-2016 data includes non-bank data. Another table that includes only non-bank data can be found in the "Non-bank sources of SME financing" part of the full profile

20 Ireland

Key facts on SME financing

According to the Central Statistics Office (CSO), SMEs accounted for 99.8% of all active enterprises in Ireland in 2023. They also accounted for 66.9% of the total persons employed. Over half of all SMEs (54.8%) in the Irish business economy in 2023 were in the services sector.

The Central Bank of Ireland reported that the total SME bank debt fell from EUR 18.4 billion in Q1 2023 to EUR 17.7 billion in Q1 2025. Much of the decline can be attributed to repayments exceeding new lending figures: annual repayments were estimated to be EUR 1.7 billion at the end Q4 2024, while gross new lending for the same period was EUR 1.2 billion.

Gross new lending to core SMEs (all non-financial and non-property related sectors) stood at EUR 4.4 billion in 2024. This reflected a year-on-year increase of EUR 320 million, the largest in several years. Survey data from the SME Credit Demand Survey show that demand for bank credit for SMEs in Ireland has shown a slight but steady increase over the last 2 years. However, many SMEs in Ireland remain hesitant to seek external funding for investments, with 74% of the SMEs that did not apply for credit stating that having sufficient internal funds was the reason.

Loan approval rates have increased slightly, with 92% of all applications for 2024 (excluding “still pending”) either fully or partially approved.

The interest rate on new SME loan drawdowns decreased by 11 basis points over the quarter and stood at 5.14% for Q4 2024. This follows a fluctuation in rates, with the cost of credit on new SME loans peaking in Q4 2023 at 5.62% and then experiencing a steady decline in H2 of 2024.

The Government of Ireland implemented a range of measures to assist SMEs, including primary producers, in dealing with the rising costs of energy, together with an increased inflationary environment, as a consequence of the large-scale aggression of Russia against Ukraine. In July 2024, the Irish government launched the National Enterprise Hub with the view to streamline access to over 250 government supports for SMEs. In January 2023, the Ukraine Credit Guarantee Scheme worth EUR 1.2 billion was launched. This was aimed at providing low-cost working capital to SMEs, primary producers, and small mid-caps, and was available through several lenders from the bank, non-bank and credit union sectors. This scheme closed on 31 December 2024.

Since March 2015, Ireland’s national promotional bank, the Strategic Banking Corporation of Ireland (SBCI) is working closely with the Department of Enterprise, Tourism and Employment, the Department of Agriculture, Food and the Marine and the Department of Finance in the design and implementation of a number of SME credit-related support and investment schemes. One key programme being deployed is the Growth and Sustainability Loan Scheme. In September 2023, this EUR 500 million scheme was launched, with the aim of providing longer-term lending. Loans under these schemes have been made available through the three main banks, together with other lenders from the non-bank and credit union sectors. The Scheme will operate until 30 June 2026 or until the scheme has been fully subscribed (whichever is earlier). Up to 31 March 2025 1 651 loans were approved, to the value of EUR 367.4 million. Following approval, 1 448 loans were drawn down, to the value of EUR 278.1 million. The Growth and Sustainability Loan Scheme is achieving a high take up, with the full lending capacity anticipated to be

utilised in advance of the end date. The overriding objective of these schemes was to provide flexible funding for those firms that require it. More details on these schemes are provided in the full country profile.

Credit Review was established in 2010 to assist SMEs and farm borrowers who have been refused bank credit, including an SBCI product. It helps SMEs whose applications for credit of up to EUR 3 million have been declined or reduced by the participating banks, and who feel they have a viable business proposition. This is a strictly confidential process between the business, Credit Review, and the bank. Credit Review received 1 425 formal applications by the end of 2024. Of these, 1 014 have reached a conclusion, with Credit Review upholding appeals in favour of 597 borrowers. More details on these schemes are provided in the full country profile.

Table 20.1. Scoreboard for Ireland

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion				27.1	27.34	25.7	24.52	21.4	19.31	16.11	15.82	15.06	14.25	12.79	12.66	12.54	11.6	11.4
Outstanding business loans, total	EUR billion	56.08	59.57	52.5	42.42	40.31	38.06	36.65	31.79	29.82	28	27.74	29.55	28.80	25.58	24.63	25.24	23.97	24.08
Share of SME outstanding loans	% of total outstanding				63.89	67.82	67.51	66.89	67.32	64.78	57.54	57.04	50.96	49.47	50.02	51.43	49.67	48.44	47.31
New business lending, SMEs	EUR million				2 284	2 211	1 990	1 905	2 401	2 646	3 235	3 682	3 468	3 618	2 914	2 905	3 007	2 989	3 329
Outstanding short-term loans, SMEs	EUR billion	17.26	15.02	10.93	6.05	3.81	3.06	3.02	2.39	1.79	2.03	2.52	2.45	2.52	2.43	4.78	4.36	4.69	2.79
Outstanding long-term loans, SMEs	EUR billion	2.12	1.93	1.34	0.93	0.58	0.54	0.6	0.78	1.09	1	0.73	0.81	0.69	0.46	7.88	6.97	6.51	7.57
Share of short-term SME lending	% of total SME lending	89	88	89	86	87	85	83	75	61	67	77	75	80	84	38	39	42	27
Non-performing loans, total	% of all business loans											14	7.4	4.7	5.4	6.9	6.5	4.7	3.9
Non-performing loans, SMEs	% of all SME loans						41	41	27	26	18.7	22.6	11.1	6.8	8	9.8	8.1	5.1	4.8
Interest rate, SMEs	%	6.23	6.67	3.98	3.88	4.68	4.34	4.3	4.78	4.77	4.65	4.28	4.3	4.2	4.17	3.88	4.2	5.4	5.3
Interest rate, large firms	%	5.95	6.19	3.22	2.86	3.33	2.81	2.76	2.96	2.37	2.18	2.24	2.15	2.47	2.23	1.99	3.29	5.5	5.6
Interest rate spread	Percentage points	0.28	0.5	0.76	1.03	1.36	1.54	1.6	1.8	2.63	2.25	1.98	2.21	1.75	1.94	1.89	0.91	-0.09	-0.35
Collateral, SMEs	% of SMEs needing collateral								41	40	46	41	39	42	34	42	53	36	40
Percentage of SME loan applications	SME loan applications/ total SMEs					36	39	36	31	30	23	21	20	20	18	17	17	18	20
Rejection rate	1-(SME loans authorised/ requested)					30	24	20	14	15	16	15	14	14	15	9	10	11	8
Utilisation rate	SME loans used/ authorised							81	82	84	75	75	83	76					
Non-bank finance																			
Venture and growth capital	EUR million	226	243	288	310	274	269	285	401	522	888	994	738	820	925	1 330	1 331	1 358	1 480
Venture and growth capital (growth rate)	%, Year-on-year growth rate		7.53	18.61	7.67	-11.54	-2	5.95	40.65	30.3	70.1	11.92	-25.75	11.1	12.8	44.00	0.08	2.03	9.00
Other indicators																			
Bankruptcies, SMEs	Number	344	613	1 245	1 386	1 410	1 317	1 119	1 007	816	642	720	543	678	492	345	462	636	746
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		78.2	103.1	11.33	1.73	-6.6	-15.03	-10.01	-18.97	-21.32	12.15	-24.58	24.86	-27.43	-29.88	33.91	38	17.29

21 Israel

Key facts on SME financing

As of 2024, there were 685 thousand businesses in Israel, 99.5% of which were SMEs (i.e., companies employing up to 100 workers). In an average year, 55 000-60 000 businesses are registered and about 40 000 closed down formally. In 2024, 61 000 new companies were established and 48 000 were closed. Removal of government support measures might result in many enterprises shutting down in the post-crisis period.

From 2023 to 2024, interest rates for SMEs decreased, while the interest rate for large firms increased. The average interest rate for SMEs decreased from 7.31% to 7.1%, while the interest rates for large firms rose from 5.81% to 6.09%. Furthermore, the interest rate spread narrowed from 1.5% to 1.01%.

In 2024, Israeli banks provided NIS 365.96 billion in credit to SMEs, an increase of 6.04% compared to 2023 (NIS 345.1 billion). The share of SMEs in the credit granted by the banks was 44.21% of total business credit, representing a decrease compared to the previous year which registered a share of 45.89%. This is an even further decline compared to 2022, when it stood at 49.45%. This continues an ongoing decline that has persisted since 2017, when the share peaked at 59.88%. In total, between 2010 and 2024, nominal bank credit to SMEs grew by 74%.

In 2024, total venture capital investment in Israel reached USD 9.6 billion, representing a 39% increase over the USD 6.9 billion raised in 2023, and a 15% rise in the number of reported deals to 453. The total number of known deals for 2024 was 694, but IVC estimates that between 1 000 and 1 100 transactions were completed during the year. Despite the backdrop of war and global macroeconomic challenges, the Israeli high-tech sector saw renewed momentum, with Q4 2024 marking the strongest quarter of the year with 122 reported rounds, including five mega deals that accounted for 36% of the capital raised that quarter.

SME and entrepreneurship policies in Israel are primarily designed by the Ministry of Economy and Industry and implemented by the Israel Innovation Authority (IIA) and the Small and Medium Business Agency (SMBA). While the IIA (formerly known as the Chief Science Office) focuses on leading technology-based start-ups and SMEs, the SMBA caters to all SMEs in Israel's main economic sectors through business management training and coaching, subsidized access to finance (for example, through the national loan guarantee program) and the work of the business development centres (MAOF centres).

Table 21.1. Scoreboard for Israel

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	ILS billion	169.3	171.2	161.6	173.8	177.7	187.0	186.7	211.9	244.6	256.6	266.1	281.8	273.7	280.1	314.2	344.6	345.1	366.0
Outstanding business loans, total	ILS billion	425.2	438.9	458.6	450.4	445.7	447.9	415.6	422.8	415.6	435.5	444.4	476.9	488.2	512.4	591.9	696.9	752.0	827.8
Share of SME outstanding loans	% of total outstanding	40.90	37.14	38.01	39.60	38.75	41.52	41.89	47.31	58.86	59.61	59.88	59.09	56.07	54.67	53.09	49.45	45.89	44.21
Outstanding short-term loans, SMEs	ILS billion													147	148	168	189	201	213
Outstanding long-term loans, SMEs	ILS billion													131	133	146	156	144	153
Share of short-term SME lending	% of total SME lending													53.62	52.66	53.41	54.73	58.38	58.16
Government loan guarantees, SMEs	ILS billion	0.03	0.02	0.12	0.16	0.12	0.12	0.22	0.23	0.26	0.18	0.14	0.17	0.22	4.17	0.36	0.12	0.50	
Government guaranteed loans, SMEs	ILS billion	0.17	0.11	0.76	1.03	0.89	1.06	1.95	2.11	2.34	1.84	1.62	1.62	1.78	21.95	2.63	0.92	4.45	
Non-performing loans, total	% of all business loans									2.77	2.20	1.57	1.25	1.55	1.76	1.21	0.83	1.19	0.71
Non-performing loans, SMEs	% of all SME loans									2.13	1.77	1.50	1.31	1.52	1.77	1.33	1.03	1.43	1.19
Interest rate, SMEs	%									3.96	3.84	4.02	4.06	4.02	3.81	3.69	4.80	7.31	6.97
Interest rate, large firms	%									2.95	2.89	3.05	2.98	3.54	3.20	3.16	3.86	6.51	6.39
Interest rate spread	Percentage points									1.02	0.95	0.97	1.08	0.48	0.61	0.53	0.94	0.80	0.58
Non-bank finance																			
Venture and growth capital	USD billion	1.76	2.08	1.12	2.10	2.41	1.51	2.19	3.05	3.32	4.30	4.50	5.86	7.86	10.40	25.60	15.74	6.90	9.60
Venture and growth capital (growth rate)	%, Year-on-year growth rate		18.02	-46.05	87.50	14.76	-37.34	45.03	39.27	8.89	29.63	4.65	30.19	34.00	32.29	146.23	-38.52	-56.16	39.10
Other indicators																			
Payment delays, B2B	Number of days										57.20	53.00	28.00	28.00					
Bankruptcies, SMEs	Number			2 061	2 834	3 737	5 000	5 610	5 322	5 175	7 900								
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate				37.51	31.86	33.80	12.20	-5.13	-2.76	52.66								

22 Italy

Key facts on SME financing

Small and medium-sized enterprises (SMEs) form the backbone of the business community, accounting for a large share of value added and employment.

The Italian economy experienced modest growth in 2023, marking a significant slowdown compared to the previous year, partly due to the waning recovery in activities most impacted by the pandemic and the tightening of monetary conditions. GDP growth remained moderate throughout 2024 and into the first months of 2025, supported by the continued positive trend in consumption and construction spending.

Financial market conditions were mainly affected by the gradual easing of monetary policy tightening throughout 2024; since the autumn, they were also impacted by geopolitical and trade tensions, heightening uncertainty regarding the macroeconomic outlook.

The decline in bank lending to SMEs deepened during 2023 and 2024, amid sluggish credit demand. The drop was much more moderate for large firms, nearly coming to a halt in the early months of 2025.

Lending standards continued to tighten in 2023 and much of 2024, reflecting lower risk tolerance and heightened risk perception. The easing of credit supply policies, primarily observed from the final quarter of 2024, mainly benefited large firms. After the spike in 2023, business borrowing rates edged down in the following year; collateral requirements held stable and low by historical standards.

Credit quality remained good. The ratio of SME new non-performing loans to outstanding loans rose slightly in 2024, but the overall quality of the assets held by banks remained virtually unchanged. The stock of non-performing loans declined further.

Early-stage financing for SMEs experienced a modest rise in 2024, following the steep drop of the previous year. Conversely, the upswing in expansion capital observed in 2023 was replaced by a moderate decline, affecting both SMEs and, to a greater extent, large enterprises.

Business-to-business payment delays, which had been declining after the increase recorded during the pandemic, reached a new low in 2024. The decrease was more pronounced for micro firms than for large enterprises, while remaining virtually unchanged for SMEs.

After the decline observed in 2022, the number of judicial liquidations rose in the following two years, reaching a level still significantly lower than that recorded in the ten years preceding the pandemic. This trend may have been driven by the increased use of debt restructuring tools, encouraged by some provisions of the new Business Crisis and Insolvency Code.

Financial support measures continued to help small businesses face the challenges caused by the increased volatility surrounding macroeconomic trends.

Credit guarantee schemes have traditionally played a key role in easing SME access to finance. A temporary framework for loans backed by the Central Guarantee Fund was introduced for 2024, based on more favourable conditions than those in place before the pandemic, but less advantageous than those implemented after the outbreak of the conflict in Ukraine.

Table 22.1. Scoreboard for Italy

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion	187	191	193	210	206	204	196	192	188	175	170	166	161	167	166	164	153	142
Outstanding business loans, total	EUR billion	998	1 067	1 057	1 124	1 135	1 119	1 061	1 026	1 016	985	961	962	937	991	1 000	996	956	919
Share of SME outstanding loans	% of total business loans	18.7	17.9	18.3	18.7	18.2	18.2	18.5	18.7	18.5	17.8	17.6	17.2	17.2	16.8	16.6	16.4	16.0	15.4
Short-term loans, SMEs	EUR billion	59	56	52	50	48	47	42	39	35	31	28	27	26	19	17	17	16	16
Long-term loans, SMEs	EUR billion	115	120	125	135	132	128	122	115	112	103	101	100	97	111	114	110	100	91
Total short and long-term loans, SMEs	EUR billion	174	177	177	185	180	175	164	154	147	134	129	127	123	130	132	127	116	107
Share of short-term loans, SMEs	% of total short and long-term SME loans	34.0	31.9	29.3	27.0	26.5	26.7	25.7	25.4	23.8	22.9	21.8	21.3	20.8	14.6	13.2	13.6	13.9	14.6
Direct government loans, SMEs	EUR million	337	373	255	276	273	252	390	597	392	418	431	428	621	1 567	3 081	1 753	1 752	1 663
Government guaranteed loans, SMEs	EUR billion	2.30	2.35	4.91	9.12	8.38	8.19	10.81	12.94	15.07	16.70	17.46	19.31	19.38	124.39	93.56	53.86	46.24	42.53
Government loan guarantees, SMEs	EUR billion	1.15	1.16	2.76	5.23	4.44	4.04	6.41	8.39	10.22	11.57	12.26	13.73	13.34	105.9	67.64	42.14	34.80	29.90
Non-performing loans, SMEs	EUR billion		22.9	27.9	30.5	33.3	38.6	43.5	47.5	49.5	47.4	38.8	26.3	22.5	18.3	15.4	11.9	12.3	11.3
Non-performing loans, SMEs	% of total SME loans		12.0	14.5	14.5	16.1	19.0	22.1	24.8	26.4	27.0	22.8	15.8	13.9	11.0	9.3	7.3	8.0	8.0
Interest rate, SMEs	%	6.3	6.7	3.8	4.0	5.2	6.0	5.7	4.8	4.2	3.5	3.3	3.4	3.4	2.3	2.8	5.3	7.0	5.9
Interest rate, large firms	%	5.7	5.7	2.4	2.4	3.6	4.0	3.8	2.9	2.2	2.1	2.1	2.1	1.7	1.5	1.6	3.3	5.7	4.7
Interest rate spread	Percentage points	0.6	1.0	1.4	1.6	1.6	2.0	2.0	1.9	1.9	1.5	1.2	1.3	1.7	0.8	1.2	2.0	1.3	1.3
Collateral, SMEs	%	54	54	52	53	55	55	56	56	57	58	58	58	58	54	52	53	53	53
Rejection rate	% of firms reporting that they had not obtained some or all of the credit requested	3.1	8.2	6.9	5.7	11.3	12.0	8.9	8.4	6.0	4.0	4.2	4.6	4.1	5.8	2.8	2.6	2.2	1.8
Utilisation rate	SME loans used / authorised	79.7	80.7	80.7	82.8	84.5	86.6	87.2	87.8	87.5	85.5	85.1	85.5	84.9	83.5	84.3	84.6	84.4	84.1
Non-bank finance																			
Venture capital investments (early stage), SMEs	EUR million	66	115	98	89	82	135	82	43	74	103	133	324	270	355	587	1 179	752	785
Growth capital investments (expansion), SMEs	EUR million	295	440	260	263	500	504	438	230	170	155	161	125	143	133	325	204	366	307
Growth capital investments (expansion), total	EUR million	641	796	371	583	674	926	914	1 179	333	710	337	816	896	354	858	483	941	695
Other indicators																			
Payment delays, B2B (all firms)	Average number of days		20.4	21.3	17.3	16.2	17.5	17.3	16.1	15.0	13.4	12.3	12.2	12.4	13.4	10.8	9.5	9.5	8.8
Bankruptcies, total	Number	6 168	7 510	9 373	11 241	12 163	12 549	14 133	15 690	14 745	13 535	12 081	11 258	11 162	7 650	9 037	7 207	7 887	9 194
Bankruptcies, total	%, Year-on-year growth rate		21.8	24.8	19.9	8.2	3.2	12.6	11.0	-6.0	-8.2	-10.7	-6.8	-0.9	-31.5	18.1	-20.3	9.4	16.6
Incidence of insolvency, total	per 10 000 enterprises	10.8	13.1	16.4	19.7	21.3	22.0	24.7	27.5	25.8	23.7	21.1	19.7	19.5	13.4	15.8	12.8	13.4	16.5

23 Japan

Key facts on SME financing

The Japanese economy showed positive signs in spring 2024, with nominal GDP exceeding JPY 600 trillion on an annualized basis for the first time, and capital investment reaching a 33-year record high. A virtuous cycle of wages and prices is being realized, as seen in the labour-management wage negotiations in spring 2024, which lead to a high wage increase for the first time in 33 years, contributing to household demand. However, although the corporate sector has remained firm, wage and income growth has not been able to consistently exceed inflation, and personal consumption continues to be weak. For this reason, the Japanese economy is currently at a crossroads.

Lending to SMEs declined continuously between 2007 and 2012. In 2013, the volume of outstanding SME loans shifted upward and has increased consistently since then to reach JPY 356.2 trillion in 2024.

Average interest rates on new short-term loans in Japan have been very low and further declined between 2007 and 2023, falling from 1.64% to nearly a quarter of that amount (0.42%) due to policy of monetary easing. However, in 2024, after the monetary policy meeting in March 2024, the rates increased to 0.51 % in 2024. Long-term interest rates on new loans followed a broadly similar pattern, more than halving from 1.73% in 2007 to 0.78% in 2022. At the bottom of 2019, the rates are slightly increased to 1.07% in 2024.

Since 2015, VC investments have been rising rapidly, with the exception of a sharp drop amid the disruption of the COVID-19 pandemic in 2020, and reached their highest value of JPY 341 billion in FY2021. However, they declined to JPY 293 billion in FY2024.

In regard to leasing, after an upward trend in 2019 pre-COVID, volumes decreased to JPY 2.1 trillion in 2021. More recently volumes have risen to reach JPY 2.7 trillion in 2024.

SME bankruptcies, which account for more than 99% of all bankruptcies in Japan, decreased from 15 500 in 2008 to 6 000 in 2021. With COVID-19 financing support measures, the number of SME bankruptcies was curbed at lowest level over the last 57 years. However, since then, the number of SME bankruptcies has started to increase, and the number of SME bankruptcies reached 10 004 in 2024.

Total non-performing business loans (NPLs) have declined continuously since FY2013, after having experienced erratic movement over the FY2007-12 period. In FY2019, total NPLs decreased to JPY 10.3 trillion, followed by increases to JPY 13.5 trillion in FY2024.

Table 23.1. Scoreboard for Japan

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	JPY trillion	260.8	259.1	253.1	248.3	245.6	243.6	247.2	251.7	258.4	265.6	275.4	281.4	286.6	314.9	323.6	335.9	346.9	356.2
Outstanding business loans, total	JPY trillion	358.2	369.2	360.7	346.9	346.8	349.6	356.5	365.3	376.2	388.5	400.3	415.0	424.7	459.3	460.0	480.1	499.3	519.2
Share of SME outstanding loans	% of total outstanding business loans	72.81	70.18	70.17	71.58	70.82	69.68	69.34	68.90	68.69	68.37	68.80	67.81	67.48	68.56	70.35	69.96	69.48	68.6
Value of CGCs loan guarantees (Government loan guarantees, SMEs)	JPY trillion	29.4	33.9	35.9	35.1	34.4	32.1	29.8	27.7	25.8	23.9	22.2	21.08	20.8	40.5	41.9	40.4	36.4	34.2
Non-performing loans, total (amount)	JPY trillion	17.1	17.1	16.8	16.6	17.2	17.3	15.3	13.9	12.8	11.8	10.5	10.3	10.3	11.5	12.6	12.6	13.5	
Non-performing loans, total	% of all business loans	4.77	4.63	4.66	4.79	4.96	4.95	4.29	3.81	3.40	3.04	2.62	2.48	2.43	2.50	2.74	2.63	2.70	
Prime lending rate for short-term loans	%	1.88	1.68	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.48	1.88
Prime lending rate for long-term loans	%	2.30	2.40	1.65	1.60	1.40	1.20	1.20	1.10	1.10	0.95	1.00	1.00	1.05	1.00	1.10	1.40	1.70	2.05
New short-term interest rate*	%	1.64	1.53	1.23	1.10	1.04	1.02	0.91	0.88	0.80	0.67	0.61	0.60	0.60	0.47	0.44	0.42	0.43	0.51
New long-term interest rate*	%	1.73	1.67	1.46	1.29	1.21	1.16	1.10	1.00	0.94	0.80	0.80	0.76	0.72	0.76	0.73	0.78	0.87	1.07
Outstanding short-term interest rate*	%	1.67	1.49	1.26	1.19	1.10	1.03	0.88	0.85	0.78	0.62	0.58	0.60	0.60	0.48	0.46	0.44	0.45	0.56
Outstanding long-term interest rate*	%	2.05	1.99	1.76	1.65	1.54	1.42	1.30	1.19	1.10	0.97	0.90	0.85	0.85	0.78	0.76	0.75	0.75	0.90
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending												29.4	28.2	26.8	26.0	23.8		
Non-bank finance																			
Venture capital investments (all stages total)	JPY billion	193	136	87	113	124	102	181	117	130	152	197	277	289	224	341	327	293	
Venture capital investments (all stages total)	%, Year-on-year growth rate		-29.5	-36	29.9	9.7	-17.7	77.45	-35.4	11.11	16.92	29.61	40.61	4.33	22.49	52.23	-4.11	-10.11	
Venture capital (seed and early stage)	% (share of all stages)			36.80	32.50	44.30	57.80	64.50	57.20	62.80	68.30	67.80	71.40	73.7	72.1	70.0	72.9	67.94	
Venture capital (expansion and later stage)	% (share of all stages)			63.20	67.50	55.70	42.20	35.50	42.80	37.20	31.70	32.20	28.60	26.3	27.9	30.0	27.1	32.06	
Leasing, SMEs	JPY billion	3 471	2 822	2 100	2 139	2 231	2 284	2 645	2 363	2 604	2 566	2 570	2 664	2 700	2 329	2 129	2 230	2 495	2 719
Other indicators																			
Bankruptcies, SMEs	Thousands	14.0	15.5	15.4	13.2	12.7	12.1	10.8	9.7	8.8	8.4	8.4	8.2	8.4	7.8	6.0	6.4	8.6	10.0
Bankruptcies, SMEs	%, Year-on-year growth rate		10.76	-0.82	-14	-4.22	-4.81	-10.2	-10.4	-9.4	-4.2	-0.5	-1.9	1.7	-7.3	-22.4	6.6	35.1	15.1
Bankruptcies, total	Thousands	14.1	15.6	15.5	13.3	12.7	12.1	10.9	9.7	8.8	8.4	8.4	8.2	8.4	7.8	6.0	6.4	8.6	10.0
Bankruptcies, total	%, Year-on-year growth rate		11	-1.1	-14	-4.4	-4.8	-10.5	-10.4	-9.4	-4.2	-0.5	-2	1.8	-7.3	-22.4	6.6	35.2	15.1

Note: *Not only for businesses.

24 Kazakhstan

Key facts on SME financing

In 2024, small and medium-sized enterprises (SMEs) accounted for 96.2% of all enterprises in Kazakhstan. The share of employed in SMEs was 48.0% of the total employed population. The share of small and medium-sized businesses in the country's GDP in 2024 was 39.3%.

In 2017–2019, the outstanding SME loan portfolio decreased from KZT 2 789 billion (2017) to KZT 2 109 billion (2019). After 2019, outstanding SME loans grew strongly, reaching KZT 7 796 billion in 2023 and KZT 9 343 billion in 2024. This corresponds to a 19.8% growth in the outstanding SME loan portfolio between 2023 and 2024. Over the same period, new SME lending increased from KZT 8 919 billion (2023) to KZT 10 837 billion (2024) (about +21.5% year-on-year). The share of SME outstanding loans in total outstanding business loans increased from 59.43% (2023) to 61.14% (2024). The share of new SME lending in total new business lending increased from 55.85% (2023) to 57.27% (2024). This positive development is largely due to significant improvements in the operating environment, new product offerings, as well as the development of digital channels and ecosystems.

The interest rate on loans for SMEs fluctuated during the reporting period, gradually increasing from a record low of 11.5% in 2014 to 14.0% in 2016. In 2024, the rate was 20.0%, while the rate on loans to large enterprises was 17.4%. This increase is due to an increase in the base rate by the National Bank of the Republic of Kazakhstan.

Among non-bank sources of financing, leasing and hire purchases occupied the largest place in the market and gradually increased. In 2024, the volume of leasing increased by 18% compared to 2023. The development of leasing and the growth of its indicators are due to several reasons. Firstly, many industrial, transport, and especially agricultural enterprises have a growing need to upgrade and expand their fleet of machinery and equipment. Secondly, due to the inability of a significant part of industrial enterprises to accumulate their own funds. Thirdly, due to the lack of collateral in many enterprises. In addition, to reduce the risk of loan non-repayment, banks are tightening loan issuance procedures. The procedure for making lease payments is one of the advantages of leasing transactions. The contract can optimally take into account the interests of all parties to the transaction, since the amount and timing of payments are determined on the basis of a joint agreement.

The share of overdue loans with a maturity of more than 90 days (NPL) in bank portfolios of business loans and loans for SMEs decreased in 2024 from 3.3% to 2.8%. Commercial banks comply with the requirements of the National Bank of Kazakhstan regarding the maximum allowable level of problem loans, which should not exceed more than 10% of the loan portfolio.

The government plays an important role in ensuring access to loans for small and medium-sized businesses, placing funds in commercial banks to provide preferential loans to SMEs during a period of liquidity shortage in the market. The largest amount of funds provided by the government for SMEs occurred in 2018. The main part of the loans are funds allocated in 2014–2016 to support SMEs in the manufacturing industry at a rate of 6% per annum, which are issued by banks on a renewable basis.

Since 2010, the state, with the help of the Damu Entrepreneurship Development Fund, has been providing subsidized interest rates and loan guarantees for SMEs under a single comprehensive program (previously the state program "Business Roadmap 2025", the National Entrepreneurship Development Project for 2021–2025). Loan guarantees gained popularity very quickly. At the same time, as of 01.01.2011, 3 surety agreements were concluded, whereas as of 01.01.2025, 71 262 agreements were concluded.

Table 24.1. Scoreboard for Kazakhstan

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	KZT billion	1 508	1 571	1 708	1 389	1 341	1 412	1 283	1 788	2 060	3 105	2 789	2 364	2 109	2 515	3 772	6 530	7 796	9 343
Outstanding business loans, total	KZT billion	5 220	5 605	5 879	5 892	6 849	7 534	8 110	8 533	9 027	9 234	8 568	8 348	7 771	7 742	8 857	11 599	13 118	15 281
Share of SME outstanding loans	% of total outstanding business loans	28.89	28.02	29.06	23.58	19.58	18.74	15.83	20.95	22.83	33.62	32.55	28.32	27.14	32.49	42.59	56.30	59.43	61.14
New business lending, total	KZT billion	7 764	5 373	3 742	3 291	4 795	5 774	6 109	8 044	7 345	7 724	7 615	9 412	9 720	9 757	12 345	13 072	15 972	18 922
New business lending, SMEs	KZT billion	1 870	1 273	753	690	794	1 050	890	1 198	1 279	1 984	1 524	1 737	1 670	2 439	3 727	6 273	8 919	10 837
Share of new SME lending	% of total new lending	24.08	23.70	20.13	20.97	16.57	18.18	14.56	14.90	17.41	25.68	20.02	18.46	17.18	25.00	30.19	47.99	55.85	57.27
Short-term loans, SMEs	KZT billion	297	298	236	206	219	277	199	392	390	826	411	388	335	345	1 923	1 681	1 302	2 193
Long-term loans, SMEs	KZT billion	1 212	1 273	1 472	1 183	1 122	1 135	1 084	1 395	1 670	2 279	2 377	1 976	1 774	1 780	1 804	4 849	6 493	7 150
Share of short-term SME lending	% of total SME lending	19.7	19.0	13.8	14.8	16.3	19.6	15.5	22.0	18.9	26.6	14.8	16.4	15.9	13.7	51.0	25.7	16.7	23.5
Government loan guarantees, SMEs	KZT billion				0.3	2.1	3.9	3.3	7.3	11.0	12.0	17.0	21.7	33.8	103.1	171.1	202.3	164.0	154.4
Government guaranteed loans, SMEs	KZT billion				0.7	4.2	11.0	7.1	15.4	27.0	26.9	42.8	51.2	89.1	265.8	349.0	366.3	338.7	310.6
Direct government loans, SMEs	KZT billion	5.5	125.2	257.4	132.9	82.7	78.2	85.8	188.4	236.9	247.3	230.5	272.9	239.5	207.6	213.3	184.0	197.9	253.6
Non-performing loans, total	% of all business loans						29.80	31.15	23.55	7.95	6.72	9.31	7.38	8.13	7.55	3.30	3.40	2.89	3.05
Non-performing loans, SMEs	% of all SME loans						22.33	22.40	11.74	12.69	8.79	9.58	9.33	14.58	11.90	4.40	3.90	3.20	2.80
Interest rate, SMEs	%	14.28	15.67	14.01	13.34	12.49	12.10	12.46	11.48	12.95	14.01	13.66	12.71	12.66	12.72	12.92	10.20	12.60	20.04
Interest rate, large firms	%	12.77	14.88	14.04	12.72	11.08	10.58	10.07	10.01	13.47	14.49	12.39	11.22	11.32	11.17	11.99	11.10	13.60	17.36
Interest rate spread	Percentage points	1.51	0.79	-0.03	0.62	1.41	1.52	2.39	1.47	-0.52	-0.48	1.27	1.49	1.34	1.54	0.93	-0.90	-1.00	2.68
Non-bank finance																			
Leasing and hire purchases	KZT billion				60.4	80.1	84.5	106.8	129.0	126.6	167.0	176.5	277.6	347.4	479.3	491.6	653.8	593.7	701.8
Factoring and invoicing	KZT billion						7.9	15.1	33.2	37.7									
Other indicators																			
Bankruptcies, total	Number	0	2	3	8	36	77	125	143	257	516	1 978	3 493	3 129	2 763	3 028	3 029	3 325	2 559
Bankruptcies, total (growth rate)	%, Year-on-year growth rate			50	166.67	350	113.89	62.34	14.4	79.72	100.78	283.33	76.59	-10.42	-11.7	9.59	0.03	9.77	-23.04

25 Korea

Key facts on SME financing

In 2024, the South Korean economy showed a modest recovery following two years of subdued growth. Real GDP expanded by 2.0%, driven mainly by an export rebound in semiconductors and automobiles, while domestic demand remained weak due to persistently high interest rates and subdued household spending. Corporate debt continued to rise steadily, reaching KRW 1 350 trillion by the end of 2024, as firms, particularly large enterprises, relied more heavily on bank loans amid tighter bond-market conditions and elevated funding costs.

Despite monetary tightening, SMEs maintained positive loan growth. Outstanding SME loans increased from KRW 993 trillion in 2022 to about KRW 1 086 trillion in 2024, supported by policy-based financing and credit guarantees. However, the higher interest-rate environment constrained profitability and borrowing capacity, especially for domestic-oriented firms. The average lending rate for SMEs rose to 5.0% in 2024, compared to 4.1% in 2022, while the spread with large-corporate loan rates narrowed to around 0.1 percentage points, indicating a near convergence in borrowing costs.

Venture investment, after peaking at KRW 7.68 trillion in 2021, contracted to KRW 6.76 trillion in 2022 and KRW 5.40 trillion in 2023 before recovering slightly to KRW 6.63 trillion in 2024. Early-stage companies continued to attract the largest share of new investment, supported by government-backed funds targeting AI, green technologies and mobility sectors.

After nearly a decade of steady improvement, credit quality showed mild deterioration as policy forbearance measures wound down. The SME non-performing loan (NPL) ratio, which fell from 1.8% in 2015 to 0.56% in 2022, increased to 0.83% in 2024, while the average payment delay on short-term SME loans lengthened to about 9.8 days, reflecting persistent liquidity pressures.

Since April 2020, the government's Loan Maturity Extension and Repayment Deferral Program has remained the central support mechanism for SMEs and self-employed businesses. As of late 2024, the outstanding balance of extended or deferred loans had declined to KRW 53 trillion, with repayment schedules allowed until September 2028. Complementary measures, including the Soft-Landing Debt Adjustment Program, Hope Loan Step-Up, and special guarantees for low- to medium-credit borrowers, continued to provide targeted relief and refinancing options for viable but financially strained firms.

Table 25.1. Scoreboard for Korea

Indicators	Units	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt															
Outstanding business loans, SMEs	KRW trillion	455	462	489	522	561	610	655	696	747	836	922	993	1 041	1 086
Outstanding business loans, total	KRW trillion	586	618	654	706	756	776	817	857	906	1 020	1 114	1 222	1 305	1 381
Share of SME outstanding loans	% of total business loans	77.7	74.7	74.7	74.0	74.2	78.6	80.2	81.2	82.4	82.0	82.8	81.3	79.8	78.6
Outstanding Short-term loans, total; loans for operation	KRW trillion	388	395	405	419	426	414	419	429	462	528	558	611	649	677
Outstanding Long-term loans, total; loans for equipment	KRW trillion	197	223	249	287	330	362	398	428	444	492	555	610	657	704
Share of short-term loans; loans for operation	KRW trillion	66.3	63.9	61.9	59.3	56.3	53.4	51.3	50.1	51.0	51.8	50.1	50.1	49.7	49.0
Government loan guarantees, SMEs	KRW trillion	55	57	59	60	61	63	66	67	69	80	85	87	89	90
Government guaranteed loans, SMEs	% of SME business loans	12.2	12.3	12.2	11.5	10.9	10.3	10.0	9.7	9.2	9.6	9.2	8.8	8.6	8.3
Direct government loans, SMEs	KRW billion	2 957	3 149	3 715	3 270	3 902	4 551	4 666	4 415	4 358	6 290	6 010	5 440	4 547	4 566
Non-performing loans, total	% of all business loans	1.73	1.66	2.39	2.09	2.56	2.06	1.76	1.88	1.45	1.17	0.91	0.68	0.75	0.85
Non-performing loans, SMEs	% of all SME loans	2.17	1.96	2.11	1.94	1.64	1.3	1.11	1.10	0.94	0.79	0.60	0.56	0.67	0.83
Interest rate, SMEs	%	6.36	5.93	5.11	4.69	3.95	3.63	3.62	3.82	3.71	3.06	2.92	4.13	5.31	4.99
Interest rate, large firms	%	5.81	5.50	4.87	4.51	3.79	3.40	3.31	3.45	3.38	2.83	2.74	3.84	5.04	4.90
Interest rate spread	Percentage points	0.55	0.43	0.24	0.18	0.16	0.24	0.31	0.37	0.33	0.23	0.19	0.29	0.27	0.09
Rejection rate	%, 1 – (SME loans authorised/ requested)				6.9	3.7	12.2	12.9	15.5	10.4	16.1	19.1	16.6	2.4	
Utilisation rate	SME loans used/ authorised, %	91.14	82.31	82.65	90.70	88.17	94.15	88.93	91.36	93.12	95.08	97.91	95.04	95.11	94.66
Non-bank finance															
Venture and growth capital	KRW billions	1 261	1 233	1 385	1 639	2 086	2 150	2 380	3 425	4 278	4 305	7 680	6 764	5 398	6 632
Venture and growth capital (growth rate)	%	15.6	-2.2	12.3	18.4	27.2	3.1	10.7	43.9	24.9	0.63	78.4	-11.9	-20.2	22.9
Leasing and hire purchases	KRW trillions	21.6	20.6	22.6	25.5	28.3	29.5	32.9	34.7	36.1	39.0	39.3	42.5	41.5	41.0
Other indicators															
Payment delays, SMEs	Number of days past due date	11.7	9.1	9.7	10.0	9.2	13.3	8.9	7.4	8.4	8.5	8.6	9.2	10.1	9.8

26

Latvia

Key facts on SME financing

Latvia's economy has weathered recent shocks and is regaining growth momentum. In 2023, geopolitical uncertainty, high prices and rising interest rates led to a 0.9% GDP contraction, with declines in private consumption, exports and imports offset by rises in government spending and investment. Inflation eased in 2024, but the economy contracted in H1 before expanding in H2, resulting in flat annual GDP. Private consumption and exports grew modestly; government consumption and investment fell.

In Latvia 99.8% of all individual merchants and commercial companies are SMEs and 94.1% of SMEs were micro-sized. In the Latvian 'non-financial business economy', SMEs account for 69.8% of value-added and 76.2% of employment, significantly higher than the respective EU averages of 53.1% and 65%.

In 2024, the interest rate for SMEs stood at 7.46%, approximately 20% higher than in 2023, when the rate was 6.21%. In contrast, the interest rate for large firms in 2024 was 6.05%, reflecting a 3.6% increase compared to 2023, when it stood at 5.84%. The interest rate spread in 2024 was 1.41 percentage points, compared to 0.37 percentage points in 2023. Consequently, the spread widened by 281.08%. This increase in interest rates for SMEs is primarily attributable to the active participation in lending by medium- and large-sized domestic banks, which typically apply higher rates than their major international counterparts. Overall, the situation should be regarded positively, as the involvement of these mid-tier and smaller banks has significantly enhanced access to financing for small and medium-sized enterprises, thereby supporting their growth and competitiveness.

The number of SME insolvencies has fallen sharply since 2009 – from 2 202 cases to 242 in 2024, showing improved financial discipline and effective state support.

The establishment of Altum in 2014 as a national development finance institution has significantly enhanced SME access to a comprehensive range of financial instruments, including loans, guarantees, and equity, thereby addressing market failures through the effective utilisation of EU Structural Funds. Key initiatives include:

- Altum's credit guarantee programme, operational since 2016 and backed by over 80 million EUR in EU funding, has issued 440 guarantees worth 24.7 million EUR by October 2025, enabling SMEs with limited collateral to secure up to 80% of loan principal.
- Energy efficiency loans with capital rebate for businesses: Under the Recovery and Resilience Facility, 53 million EUR has been deployed by Q3 2025 to 487 firms, facilitating energy upgrades and renewable adoption projected to cut CO₂ emissions by 14 527 tonnes annually.
- SME Growth Loans: Continued across EU programming periods, SME growth loans have approved 54.1 million EUR for 209 projects by September 2023, with an additional 12.62 million EUR contracted for 37 firms in 2021–2027, leveraging 6.8 million EUR in private funds.
- Start-up and microloans, loans for micro companies: The start-up loan programme, active since 2016, has disbursed 18.3 million EUR across 750 loans and 3.1 million EUR in 227 microloans by

September 2023; the 2021–2027 measure has supported 515 firms with 24.78 million EUR, including 299 new enterprises.

In line with its 2023 initiative to create and fund the Baltic SME IPO Fund, the Latvian government announced on 29 September 2025 that ALTUM, partnering with Lithuania's ILTE, has launched the Baltic Capital Markets Acceleration Fund "1 Asset Management" – the region's first such initiative. Valued at over 50 million EUR, the fund will support Baltic firms preparing for IPOs, accelerate local capital market growth, and benefit from private investments by "1 Asset Management" and "Baltic Partners".

Table 26.1. Scoreboard for Latvia

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR million	7 727	8 672	8 376	7 764	7 035	6 154	5 404	4 939	4 771	4 942	4 482	4 110	3 922	3 648	3598	4 119	4 398	4 620
Outstanding business loans, total	EUR million	8 865	10 359	9 681	8 888	8 212	7 474	7 058	6 379	6 274	6 373	5 887	5 591	5 481	5 017	4 961	5 418	5 350	5 629
Share of SME outstanding loans	% of total outstanding business loans	87.16	83.71	86.52	87.34	85.67	82.34	76.57	77.43	76.05	77.55	76.1	73.52	71.57	72.71	72.52	76.03	82.21	82.07
New business lending, total	EUR million					1 708	1 914	1 965	1 268	1 346	1 795	1 347	1 312	1 558	1 650	1 825	2 533	1 868	2 245
New business lending, SMEs	EUR million					1 506	1 625	1 613	1 020	947	1 399	974	1 012	1 075	855	1 113	1 573	1 473	1 690
Share of new SME lending	% of total new lending					88.20	84.90	82.08	80.47	70.39	77.95	72.3	77.19	69.01	51.81	61.0	62.1	78.86	75.28
Outstanding short-term loans, SMEs	EUR million	2 653	3 203	3 262	3 009	2 682	2 349	1 852	1 570	1 672	1 371	1 287	1 229	1 179	975	764	968	877	984
Outstanding long-term loans, SMEs	EUR million	5 048	5 409	4 912	4 701	4 353	3 805	3 552	3 369	3 099	3 571	3 195	2 894	2 743	2 673	2 834	3 151	3 521	3 636
Share of short-term SME lending	% of total SME lending	34.4	37.2	39.9	39	38.1	38.2	34.3	31.8	35.1	27.7	28.7	29.8	30.1	26.7	21.2	23.5	19.9	21.3
Non-performing loans, total	% of all business loans	0.7	3.2	20.2	20.8	16.4	9.7	6.9	5.9	4.4	2.7	3.1	2.5	4.4	2.5	1.3	0.6	0.44	0.42
Non-performing loans, SMEs	% of all SME loans	0.8	3.7	22.4	23.4	18.8	11.7	8.4	7.2	5.7	3.3	3.8	3.3	3.8	2.3	1.8	0.9	0.54	0.51
Interest rate, SMEs	%	8.3	8.9	7.9	7.1	5.8	4.5	4.5	4.7	4.5	4.4	3.8	3.8	4.0	4.4	4.2	4.0	6.21	7.46
Interest rate, large firms	%	6.6	7.1	5.2	4.3	4	3.6	3.8	3.3	3.1	2.5	2.6	2.7	2.9	2.9	2.7	3.1	5.84	6.05
Interest rate spread	Percentage points	1.7	1.8	2.7	2.8	1.8	0.9	0.7	1.4	1.4	1.9	1.2	1.1	1.1	1.5	1.5	0.85	0.37	1.41
Non-bank finance																			
Venture and growth capital	EUR million									37.95	51.98	79.37	101	118	157.5	147.6	211.6	248.9	256.8
Venture and growth capital (growth rate)	%, Year-on-year growth rate									36.97	52.69	27.76	16.45	33.38	-6.29	43.36	17.63	3.17	8.41
Leasing and hire purchases	EUR million	1 576	1 594	1 145	841	810	867	875	864	932	939	1 034	1 103	1 075	944	874	959	1 050	1 122
Factoring and invoice discounting	EUR million	227.2	301.9	149.1	60.7	90.96	96.15	108	114.5	151.8	166	152.6	173.4	161.8	137	167.3	142.8	184.9	194
Other indicators																			
Bankruptcies, SMEs	Number		1 292	2 202	2 714	898	884	820	959	803	731	590	592	580	375	242	302	242	265*
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate			70.43	23.25	-66.9	-1.56	-7.24	16.95	-16.4	-8.85	-19.3	0.34	-2.03	-35.3	-35.5	24.79	-19.9	9.5*

Note: * The most recent available data on bankruptcies pertain to 2023 and encompass all enterprises, without separately distinguishing SMEs.

27 Lithuania

Key facts on SME financing

After two years of stagnation, Lithuania's economy showed resilience in 2024, with GDP growth of 2.7%. This economic recovery was broad-based, with value added increasing across many economic activities. As debt-servicing costs declined amid falling interest rates, financial liabilities of businesses increased rapidly; however, due to strong growth in financial assets, net financial assets of Lithuanian Non Financial Corporations (NFCs) rose.

SMEs account for 99.6% of all enterprises operating in Lithuania, the majority of them (86.8%) being micro-enterprises. Most SMEs are primarily engaged in wholesale or retail trade activities (more than one-fourth of all SMEs). SMEs account for around 68% of total employment, while their share of gross value-added is close to 54%.

Driven by rising demand for loans amid decreasing interest rates, NFCs borrowing in Lithuania began gaining momentum in 2024, with banks expecting a further increase in demand for corporate loans. The loan portfolio of firms grew at an annual rate of 19.5% at the end of the second quarter of 2025, driven by lending to real estate and manufacturing companies and accompanied by a recovery in lending to the transport sector. Business indebtedness increased slightly from the low reached in 2023, but the MFI credit-to-GDP ratio remained one of the lowest in the Euro Area. The number of companies with loans from credit institutions remained largely unchanged, as companies continue to face structural difficulties when seeking to borrow from credit institutions. As a result, internal resources remain their main source of funding.

The Bank Lending Survey of Lietuvos bankas indicates that although the share of rejected or partially granted corporate loan applications increased slightly in the first half of 2025, the same period recorded the first overall easing of lending standards in more than three years, albeit modest. Overall, banks currently view the financial situation of companies as stable or improving.

In 2024, companies increased their short-term financing mainly through accounts payable and trade credits, while their long-term financing needs were met by increased MFI lending and loans from other NFCs. Companies are increasingly turning to alternative sources of financing, the range and demand for which have expanded in recent years, with bond issuance and crowdfunding platforms playing a more prominent role. For example, in 2024, Lithuanian NFCs raised nearly EUR 460 million through bond issuance and EUR 280 million through crowdfunding platforms. This amount accounted for nearly 21% of the financing provided by credit institutions to companies.

The government supports SMEs by ensuring favourable conditions for obtaining the financing needed to start and develop their businesses. When a company does not have sufficient collateral, it can apply to the national development bank ILTE (formerly INVEGA), which provides various options, including loan guarantees, factoring, leasing, and export credit guarantees. ILTE also offers preferential loans through alternative financing instruments, including crowdfunding, as well as loans at preferential rates via venture capital-related funding schemes. In addition, municipalities provide various support schemes for SMEs; for example, when starting a business, entrepreneurs can receive support to cover set-up costs, part of interest payments, and other expenses. To mitigate the impact of the crisis caused by Russia's large-scale aggression against Ukraine, direct loans to business entities affected by the war have been introduced.

Table 27.1. Scoreboard for Lithuania

Indicator	Unit	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																		
Outstanding business loans, SMEs	EUR billion							3.14	3.23	3.40	3.72	3.92	3.67	4.39	4.79	5.79	6.16	6.69
Outstanding business loans, total	EUR billion	9.86	7.98	6.82	6.91	7.05	6.83	7.53	7.61	8.31	8.83	9.25	8.70	7.40	8.40	9.87	10.26	11.51
Share of SME outstanding loans	% of total outstanding business loans							41.74	42.44	40.91	42.13	42.38	42.18	59.41	57.02	58.66	60.02	58.12
New business lending, total	EUR billion	6.40	2.08	2.76	3.76	4.56	4.74	4.80	3.99	3.97	4.84	4.44	3.78	3.00	4.80	5.33	5.11	5.48
New business lending, SMEs	EUR billion	4.34	1.33	1.89	2.45	2.95	3.21	3.08	2.40	2.73	2.95	2.63	2.28	2.02	3.36	3.48	3.64	3.89
Share of new SME lending	% of total new lending	67.80	63.84	68.46	65.19	64.65	67.56	64.07	60.05	68.85	60.97	59.16	60.48	67.40	69.87	65.36	71.18	70.89
Share of short-term SME lending	% of total SME lending												22.44	22.45	19.87	19.15		
Government guaranteed loans, SMEs	EUR billion								0.15	0.22	0.24	0.22	0.19	0.26	0.32	0.36	0.37	0.35
Non-performing loans, total (NFCs)	% of all business loans							10.31	8.39	6.25	5.04	4.05	2.95	3.52	1.74	1.48	1.45	1.38
Non-performing loans, SMEs	% of all SME loans							17.54	14.11	11.18	8.59	6.60	4.83	4.88	2.16	1.87	1.64	1.79
Interest rate, SMEs	%	6.72	5.06	4.64	5.04	4.04	3.45	3.27	3.13	2.76	2.80	3.29	3.30	3.17	2.89	3.50	6.03	5.99
Interest rate, large firms	%	6.27	4.32	3.90	4.17	3.24	2.74	2.66	2.35	2.18	2.16	2.56	2.91	2.81	2.60	3.40	6.12	6.13
Interest rate spread	Percentage points	0.45	0.74	0.74	0.87	0.80	0.71	0.61	0.78	0.58	0.64	0.73	0.39	0.36	0.29	0.10	-0.09	-0.14
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending						69.80	62.10	69.00	64.50	64.40	67.70	69.90	61.20	38.90	67.30	78.49	96.00
Percentage of SME loan applications	SME loan applications/ total number of SMEs										36.33	27.10	27.70	26.72	41.67	42.12	26.48	45.10
Rejection rate	1-(SME loans authorised/ requested)				15.40	30.80	11.34	11.23	24.28	11.94	3.33	23.48	27.94	32.53	9.00	8.00	21.70	34.10
Non-bank finance																		
Venture and growth capital	EUR million											219	173	94.7	474	411	297	128
Venture and growth capital (growth rate)	%, Year-on-year growth rate												-21	-45.3	400.5	-13.3	-27.7	-56.9
Leasing and hire purchases	EUR million			1.76	1.55	1.45	1.53	1.52	1.66	2.11	2.46	2.95	3.00	2.81	3.00	3.41	3.69	3.92
Factoring and invoice discounting	EUR million			150.8	200.4	231.5	348.0	358.8	406.6	434.3	517.2	464.0	453.1	220.4	337.7	428.6	380.1	409.0
Other indicators																		
Payment delays, B2B	Number of days										3	3	2	16	12	12	13	
Bankruptcies, SMEs	Number	957	1 844	1 637	1 274	1 401	1 554	1 686	1 983	2 741	2 979	2 091	1 609	790	808	1 193	1 018	1 144
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate	57.92	92.69	-11.2	-22.2	9.97	10.92	8.49	17.62	38.22	8.68	-29.8	-23.1	-50.9	2.28	47.65	-14.7	12.38

28 Luxembourg

Key facts on SME financing

According to the latest available data, SMEs (firms that employ less than 250 employees) accounted for 99.5% of all non-financial firms in Luxembourg in 2022. SMEs employed approximately 65.3% of the labour force and generated 62% of the economy's total value added.

New lending to all enterprises amounted to EUR 46.4 billion in 2024, of which EUR 11.4 billion went to SMEs. As a result, SME lending accounted for 24.5% of total new lending in 2024. It should be noted that the analysis relies on a new and more accurate dataset, AnaCredit, that provides a clearer picture of credit conditions in Luxembourg.

According to AnaCredit data, SME interest rates fell from 6.92% in 2023 to 5.80% in 2024, reflecting the easing of ECB policy rates.

Over 2007–2024, interest rates for SMEs remained consistently above those for large firms. Lending conditions improved in 2024, with the SME rate declining to 5.80% from 6.92% in 2023, and the rate for large firms falling to 4.64% from 4.88%. As a result, the interest rate spread between SMEs and large firms narrowed accordingly, decreasing from 2.04 percentage points in 2023 to 1.15 percentage points in 2024.

Alternative forms of financing, such as venture capital, may be important for SMEs seeking finance. In 2024, nearly EUR 60.8 million of venture capital was invested in Luxembourg's firms. The largest portion of all venture capital funding was invested in firms active in ICT (EUR 30.6 million).

Several measures have been implemented to facilitate SME financing. On 24 March 2025 the Minister of the Economy and the Minister of Finance presented an action plan entitled “10 Action Points for Start-ups.” It introduces tax incentives to stimulate private investment in young innovative firms, expands support for deep-tech and sector-specific incubators, and develops new financial instruments to strengthen venture-capital funding. Additional measures include the creation of an AI Experience Centre and an AI Factory to accelerate the development and adoption of advanced technologies.

According to the AnaCredit dataset, government-guaranteed loans amounted to EUR 0.8 billion in 2024. This is a gradual decrease from EUR 1 billion in 2023, EUR 1.6 billion in 2022 and EUR 1 billion in 2021. During the same period, government loan guarantees to SMEs totalled EUR 0.9 billion in 2024, compared to EUR 0.7 billion in 2023, EUR 1.3 billion in 2022, and EUR 0.8 billion in 2021. These figures emphasize the countercyclical nature of these loans and highlight the government's commitment to supporting SME financing during the COVID-19 pandemic.

The government has also emphasised innovation within SMEs. In 2024, SMEs accounted for 73% of Research, Development, and Innovation (RDI) projects financed by the Ministry of the Economy.

The number of bankruptcies among all firms in Luxembourg stood at 1 163 cases in 2024, marking a 26.7% increase from the 918 reported in 2023.

Table 28.1. Scoreboard for Luxembourg

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion															13.9	15.6	16.5	17.5
Outstanding business loans, total	EUR billion															38.0	42.2	43.0	60.6
Share of SME outstanding loans	% of total outstanding business loans															36.5	36.8	38.3	29.0
New business lending, total	EUR billion															7.6	7.7	8.7	11.4
New business lending, SMEs	EUR billion															20.1	24.2	22.7	46.4
Share of new SME lending	% of total new lending															37.6	31.7	38.2	24.5
Outstanding short-term loans, SMEs	EUR billion															1.3	1.6	1.8	1.9
Outstanding long-term loans, SMEs	EUR billion															12.6	13.9	14.7	15.7
Share of short-term SME lending	% of total SME lending															9.14	10.38	10.93	10.58
Government loan guarantees, SMEs	EUR billion															0.81	1.28	0.75	0.95
Government guaranteed loans, SMEs	EUR billion															0.98	1.55	1.02	0.82
Non-performing loans, total (NFCs)	% of all business loans																0.60	0.67	0.78
Interest rate, SMEs	%														3.74	3.78	6.92	5.80	3.74
Interest rate, large firms	%														1.61	2.20	4.88	4.65	1.61
Interest rate spread	Percentage points														2.13	1.58	2.04	1.15	2.13
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending													0.54	0.55	0.55	0.48	0.47	
Percentage of SME loan applications	SME loan applications/ total number of SMEs					18.20		25.80	16.40	23.00	26.15	18.94	32.28	27.02	22.68	27.77	17.20	14.16	21.35
Non-bank finance																			
Venture and growth capital	EUR million	102.8	303.6	57.3	130.1	218.8	85.7	31.1	34.2	90.5	168.2	42.2	136.7	93.5	189.7	57.0	239.3	123.9	60.8
Venture and growth capital (growth rate)	%, Year-on-year growth rate		195.26	-81.12	126.91	68.18	-60.84	-63.72	9.87	164.97	85.84	-74.93	224.27	57.27	7.81	-69.96	319.84	-48.24	-50.94
Factoring and invoice discounting	EUR million					349	321	180	299	407	339								
Other indicators																			
Payment delays, B2B	Number of days																		
Bankruptcies, SMEs	Number	659	553	664	869	916	978	967	827	854	943	887	1 159	1 232	1 173	1 158	1 001	918	1 163
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		-16.1	20.07	30.87	5.41	6.77	-1.12	-14.5	3.26	10.42	-5.94	30.67	6.30	-4.79	-1.28	-13.6	-8.29	20.69

29 Malaysia

Key facts on SME financing

According to the latest official data published by the Department of Statistics, Malaysia (DOSM), MSMEs accounted for 96.1% (1 086 386 firms) of all business establishments in Malaysia in 2024. This marks an increase of nearly 180 000 firms compared to 907 065 in 2015, reflecting an average annual growth rate of 2.0% over the period.

Credit conditions remained supportive of businesses' financing needs, as financing to businesses grew by 5.1% in 2024 (2023: 3.7%). Of this, outstanding SME financing growth continued to remain strong at 8.1% in 2024 (2023: 8.7%), supported by continued disbursements mainly for working capital purposes. MSME financing approvals also recorded higher approval rate of 81.5% as compared to 2023 with 80.9%.

The total value of SME outstanding stock of loans has more than tripled in the last decade and a half, surging from MYR 141 billion in 2010 to MYR 418 billion in 2024 (2023: MYR 386 billion). The share of MSME financing within total business loans has expanded markedly from 38% in 2010 to 51% in 2024, indicating that MSMEs now account for more than half of all business lending, a notable increase from the pre-pandemic level of below 45%.

In 2024, Malaysia's central bank, Bank Negara Malaysia (BNM) prioritised initiatives which assisted businesses, especially MSMEs to build business resilience, improve access to finance and transition to green practices. BNM also directed efforts at raising financial literacy levels and understanding on-the-ground financial inclusion challenges to ensure effective interventions. The year 2024 recorded sustained momentum in MSME financing approvals, with over MYR 193 billion approved, an increase from MYR 187 billion in 2023, which reflects the continued confidence of financial institutions in supporting MSME growth and expansion.

Efforts to promote alternative financing to provide options and diversification to MSMEs have been amplified. The Securities Commission Malaysia (SC) continued to put efforts in spurring the growth of alternative financing as well as shoring confidence in this area. For the year 2024, a total of MYR 4.1 billion was raised via peer-to-peer (P2P) financing, equity crowdfunding (ECF) and venture capital/private equity (VC/PE), reflecting growing interest in supporting small businesses.

Among key market development initiatives introduced by SC in 2024 was the 'Catalysing MSME and MTC Access to the Capital Market: 5-Year Roadmap (2024-2028)' aimed to intensify efforts to advance this segment.

Table 29.1. Scoreboard for Malaysia

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, MSMEs	MYR billion	128.0	138.9	141.6	141.2	165.3	187.0	211.0	243.7	274.4	299.7	315.7	297.6	303.0	329.3	336.0	355.2	386.1	418.2
Outstanding business loans, total	MYR billion	290.7	328.3	343.1	375.3	422.0	461.6	499.8	545.9	588.1	615.9	623.8	658.9	688.8	691.3	723.4	748.2	776.1	817.5
Share of MSME outstanding loans	% of total outstanding business loans	44.0	42.3	41.3	37.6	39.2	40.5	42.2	44.6	46.7	48.7	50.6	45.2	44.0	47.6	46.5	47.5	49.7	51.2
New business lending, total	MYR billion	164.0	129.5	105.2	141.4	171.7	166.1	140.8	148.6	156.6	145.8	159.5	159.0	271.1	234.7	265.7	338.7	380.2	397.3
New business lending, MSMEs	MYR billion	63.2	58.9	50.9	62.2	75.2	82.9	78.3	77.7	72.0	74.6	70.7	69.6	131.1	111.4	126.1	154.3	187.2	193.2
Share of new MSME lending	% of total new lending	38.6	45.5	48.4	44.0	43.8	49.9	55.6	52.3	45.9	51.2	44.3	43.8	48.3	47.5	47.5	45.6	49.2	48.6
Share of short-term MSME loans outstanding	% of total MSME lending													22.84	22.76	23.28	23.76	24.45	24.46
Guarantee and Financing Schemes	No. of accounts (in thousands)	13.00	10.37	14.07	7.67	7.50	2.15	2.37	6.84	8.23	7.57	8.64	8.99	10.83	13.43	21.74	13.16	10.25	6.57
Guarantee and Financing Schemes	MYR million	4 567	3 014	3 112	2 495	2 861	1 066	1 546	3 175	3 356	4 224	3 380	3 682	3 968	5 922	6 078	3 549	5 129	4 016
Impaired financing, total (amount)	MYR billion	24.2	20.3	18.2	23.6	21.4	18.5	17.8	17.9	18.9	20.5	20.8	21.3	23.9	24.3	25.9	27.0	27.1	25.6
Impaired financing, total	% of all business loans	8.3	6.2	5.3	6.3	5.1	4.0	3.6	3.3	3.2	3.3	3.3	3.2	3.5	3.5	3.6	3.6	3.5	3.1
Impaired financing, MSMEs (amount)	MYR billion	12.1	9.9	8.9	10.6	9.6	8.6	8.2	8.6	8.9	8.9	10.1	10.2	10.1	10.3	10.7	12.8	14.7	14.7
Impaired financing, MSMEs	% of all MSME loans	9.4	7.1	6.3	7.5	5.8	4.6	3.9	3.5	3.2	3.0	3.2	3.4	3.3	3.1	3.2	3.6	3.8	3.5
Interest rate, MSMEs	%	6.06	6.39	5.50	5.69	5.74	5.72	5.53	5.77	5.99	6.01	5.82	6.06	6.05	4.91	4.68	4.98	5.78	5.64
Collateral, MSMEs	% of MSMEs accounts with newly approved loans with collateral pledged															54.5	50.2	53.6	51.3
Non-bank finance																			
Total investment as at end of the period	MYR billion	1.78	1.93	2.59	3.39	3.59	2.76	3.43	3.25	2.22	2.92	2.45	3.12	2.96					
Total investment as at end of the period	%, Year-on-year growth rate	53.90	8.13	34.06	31.05	5.81	-23.1	24.52	-5.45	-31.6	31.61	-16.1	26.99	-4.98					
Total investment during the year by VC/PE firms	MYR million	479	477	597	453	253	230	264	318	365	569	418	613	566	334	1 063	1 275	1 617	1 512
Leasing and Factoring	MYR million					721	918	1 099	1 170	1 086	834	1 280							

30 Mexico

Key facts on SME financing

Mexico has 5.4 million micro, small, and medium enterprises (MSMEs), of which 95.5% are micro, 3.8% are small, and 0.7% are medium-sized. In 2023, only 10.7% of MSMEs had access to financing from any source, according to the 2024 Economic Censuses conducted by the National Institute of Statistics and Geography (INEGI).

In 2024, the average interest rate for MSME loans was 15.59%, representing a decrease of 0.1 percentage points compared to the previous year, in line with the Bank of Mexico's monetary policy of reducing basis points in the interbank interest rate, which translated into improved credit conditions for MSMEs. Among firms, the interest rate varied depending on the loan amounts and the size of the borrowing company. For large enterprises, the average interest rate was 10.71%, meaning that the interest rate differential for MSME loans was 4.88 percentage points.

By the end of 2024, the banking loan portfolio for MSMEs reached 565.4 billion Mexican pesos, equivalent to 13.04% of outstanding commercial loans. This portfolio increased by 40.660 billion pesos between 2023 and 2024. On the demand side, 10.7% of MSMEs obtained financing in 2023. Among the main barriers to accessing commercial bank credit, 27% of MSMEs that did not secure a loan reported the high cost of credit as the primary obstacle, according to the 2024 Economic Census.

Regarding MSME non-performing loans, the rate stood at 3.4% in both 2023 and 2024, the lowest level since data collection began, indicating an improvement in the financial stability of MSMEs.

With the change of government in October 2024, the Mexican Government began implementing various strategies to boost financing, including the "Plan México," a strategy that sets a goal of providing financing to 30% of SMEs by 2030. To achieve this goal, the plan proposes agreements between the Government of Mexico, the Bank of Mexico, and the Mexican Banking Association (ABM) to increase SME financing through preferential interest rates.

Also, the institutional framework on the domestic financial market has allowed the entrance of several Fintech institutions¹, not only as payment aggregators but as non-banking lenders. This phenomenon has contributed to increasing competition and generating a market environment that eases access to funding, particularly in areas where private banking has no coverage. However, there is still room for these entities to improve the credit conditions for MSMEs in particular in the offer of longer loan maturities and lower interest spreads.

Table 30.1. Scoreboard for Mexico

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, MSMEs	MXN billion			178.1	198.8	230.2	275.3	321.0	359.3	401.3	459.4	501.0	506.4	492.3	462.2	460.7	491.7	524.7	565.4
Outstanding business loans, total	MXN billion			890.7	968.4	1 135.2	1 219.4	1 336.7	1 445.3	1 681.5	2 386.8	2 835.7	3 106.0	3 157	3 112	3 179	3 531	3 766	4 334.7
Share of MSME outstanding loans	% of total outstanding business loans			20.0	20.5	20.3	22.6	24.0	24.9	23.9	19.2	17.7	16.3	15.6	14.8	14.5	13.9	13.9	13.0
New business lending, total	MXN billion				1 311	1 625	1 806	1 950	2 010	2 254	2 622	4 605	5 195	5 602	6 003	5 723	10 263	16 235	19 405
New business lending, MSMEs	MXN billion				250	305	368	426	468	517	544	911	826	796	658	740	1 043	996	1 170
Share of new MSME lending	% of total new lending				19.1	18.7	20.4	21.9	23.3	23.0	20.8	19.8	15.9	14.2	11.0	12.9	10.1	6.13	6.03
Outstanding short-term loans, MSMEs	MXN billion	11.1	41.3	39.1	30.8	30.0	36.9	34.3	12.5	17.7	21.7	32.1	23.8						
Outstanding long-term loans, MSMEs	MXN billion	10.8	22.4	38.5	36.6	44.2	60.1	80.9	89.0	90.1	107.1	99.1	115.3						
Share of short-term MSME lending	% of total MSME lending	50.6	64.8	50.4	45.7	40.4	38.0	29.8	12.3	16.4	16.8	24.5	17.1						
Government loan guarantees, MSMEs	MXN billion	0.8	1.1	1.9	2.3	3.0	3.0	3.7	4.3	3.2	2.7	1.9	4.0	0.8	1.4				
Government guaranteed loans, SMEs	MXN billion	21.9	63.8	77.7	67.4	74.3	96.9	115.1	101.6	107.8	128.8	131.2	139.1	34.0	39.7				
Direct government loans, SMEs	MXN billion			29.5	30.8	53.3	63.0	88.1	135.4	183.8	6.5	6.5	6.8	5.7	5.3	4.3	1.2	1.2	0.9
Non-performing loans, total	% of all business loans			2.0	1.9	2.2	2.0	3.5	3.1	2.6	1.8	1.7	1.7	1.8	1.9	1.7	1.9	1.7	1.6
Non-performing loans, MSMEs	% of MSME loans			4.6	4.5	4.2	3.8	3.9	4.3	4.0	4.1	4.5	5.0	5.8	5.9	4.6	3.7	3.4	3.4
Interest rate, MSMEs	%	19.9	16.2	12.1	11.9	11.4	11.2	9.9	9.2	9.1	11.0	17.0	17.7	13.9	11.7	11.9	14.3	15.7	15.6
Interest rate, large firms	%	7.4	8.0	8.1	7.9	7.7	7.6	6.6	6.0	6.0	8.1	10.6	11.8	8.3	6.3	6.7	10.7	11.7	10.7
Interest rate spread	Percentage points	12.4	8.3	3.9	4.0	3.8	3.6	3.4	3.2	3.1	2.9	6.4	5.9	5.5	5.5	5.2	3.6	4.0	4.9
Non-bank finance																			
Venture and growth capital	USD billion	4.1	2.1			2.1	4.7	2.1	7.2	13.2	5.2	4.6	3.6	0.7	1.3	0.3			
Venture and growth capital (growth rate)	%, Year-on-year growth rate		-49.6				128.1	-54.5	238.4	83.2	-60.9	-11.6	-21.8	-80.6	94.3	-77.5			

Note

¹ According to Finnovista (2025), by the end of 2024 there were 803 Fintech companies operating in the Mexican ecosystem, a 4% increase compared to 2023 (773 institutions). Additionally, 174 of these institutions in 2024 were engaged in the lending segment, representing a 5% increase compared to 2023 (166 institutions).

31 Netherlands

Key facts on SME financing

After the shocks caused by the COVID-19 crisis and the large-scale aggression of Russia against Ukraine, which led to high energy prices and inflation, the Dutch economy grew slightly in 2024 following a contraction in 2023. Inflation remains higher than the Eurozone average. Dutch companies reported a higher operating profit in the first quarter of 2025 compared to the first quarter of 2023 and 2024. At the same time, the debt ratio has also decreased. The need for external finance increased slightly from 13% in 2023 to 14% in 2024, but remains relatively low compared to earlier years.

New lending by the three major banks to SMEs stood at approximately EUR 13.7 billion in 2024. These three banks provide the vast majority of SME loans. As new lending in 2023 stood at EUR 10.8 billion, this represents an increase after several years of decline. The total outstanding business loans to SMEs decreased slightly, from EUR 113.6 billion in 2023 to EUR 113 billion in 2024 (DNB). It should be noted that not all banks active in SME finance are included in these figures.

Bank loans continue to be the main source of external financing for SMEs in the Netherlands, although alternative sources of finance are becoming increasingly important for SMEs. According to the latest Financing Monitor, 49% of financing applications in 2024 were submitted to an alternative financier¹ and 5% were submitted to both an alternative and a bank financier. Only 46% of the applications were submitted exclusively to a bank. Financing needs smaller than EUR 1 million are more often directed to an alternative financier. Alternative financiers provide debt, equity or asset-based finance, such as leasing, factoring or crowdfunding.

Total venture and growth capital investments in the Netherlands continued to decline in 2024 after an all-time high of EUR 4.4 billion in 2021. In 2024, a total of EUR 1.9 billion was invested compared to EUR 2.2 billion in 2023. The total number of investments also decreased in 2024 (743) and 2023 (866) compared to 2022 (1019).

Total government investments in start-ups and scale-ups also declined from 539 direct investments in 2022 to 341 in 2023 and 269 in 2024. Although the total capital invested by government institutions is much smaller, they account for almost half of the total number of investments. In total, they invested EUR 219 million in 2024 compared to EUR 334 million in 2023 and EUR 330 million in 2022. This may partly be explained by the fact that most investments by government institutions require private co-investments. The regional development agencies and Invest-NL are the main government investors.

The number of SME bankruptcies increased in 2024, with a year-on-year increase of 32%. This amounted to 3 494 bankruptcies, which is in line with pre-COVID-19 pandemic levels. In 2021, the lowest number of bankruptcies in two decades was recorded, with 1 440 bankruptcies filed. The number of voluntary business terminations increased after the COVID-19 pandemic and remained high.

Table 31.1. Scoreboard for the Netherlands

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion							143.3	136.0	130.4	124.1	125.9	127.1	124.5	121.0	122.4	121.7	113.7	113.1
Outstanding business loans, total	EUR billion	258.0	304.8	313.5	313.9	342.1	349.1	346.5	330.5	370.2	349.1	328.3	325.3	320.5	308.9	311.6	322.9	344.8	353.4
Share of SME outstanding loans	% of total outstanding business loans							41.4	41.1	35.2	35.6	38.3	39.1	38.8	39.2	39.3	37.7	33.0	32.0
New business lending, total	EUR billion				123.0	124.9	110.0	97.3	83.7	146.7	122.7	129.8	130.6	122.8	119.4	144.9	146.3	148.2	156.2
New business lending, SMEs	EUR billion				10.2	19.5	18.7	18.8	18.0	18.2	16.0	20.9	18.2	17.06	18.1	15.5	12.7	10.8	13.7
Share of new SME lending	% of total new lending				8.3	15.6	17.0	19.3	21.5	12.4	13.0	16.1	13.9	13.8	15.2	10.7	8.66	7.3	8.8
Outstanding short-term loans, SMEs	EUR billion							30.1	26.8	23.1	19.8	17.9	16.6	15.2	11.5	10.4	10.8	9.4	8.7
Outstanding long-term loans, SMEs	EUR billion							113.3	108.2	107.3	104.3	107.9	110.0	109.3	109.4	98.8	110.8	104.3	104.4
Share of short-term SME lending	% of total SME lending							21.0	19.8	17.7	15.9	14.3	13.1	12.2	9.5	9.55	8.93	8.3	7.7
Government loan guarantees, SMEs	EUR million		400.0	370.0	945.0	1040	590.0	415.0	473.0	523.0	710.0	646.0	643.0	586	1 485	618.1	348.3	357.8	329.3
Non-performing loans, SMEs	% of all SME loans							10.0	10.8	9.5	8.1	8.8	9.2	7.7	7.2	6	4.79	4.8	4.4
Interest rate, SMEs	%	5.4	5.7	4.5	6.0	6.4	5.1	4.3	4.1	4.4	3.7	2.9	4.1	3.7	3.3	3.1	3.8	5.1	5.9
Interest rate, large firms	%					3.5	3.6	3.4	2.8	2.4	3.2	2.5	2.1	2.9	1.7	1.7	2.9	4.8	5.0
Interest rate spread	Percentage points					2.9	1.5	0.9	1.3	2.0	0.5	0.4	2.0	0.8	1.6	1.4	0.9	0.3	0.9
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending			47	45	44	47	50	43	29	34	40	59	55	54	41	50	52	40
Percentage of SME loan applications	SME loan applications/ total number of SMEs			29	22	18	22	21	21	16	14	18	12.8	11.4	10.4	8.5	7.9	6.7	8.7
Rejection rate	1-(SME loans authorised/ requested)			31	10	13	28	28	27	7	18	17	7.4	9.4	7.8	14.3	4.7	6.2	6.2
Utilisation rate	SME loans used/ authorised			72	75	70	50	54	44	89	73	83	84	84	79	77	91	86	91
Non-bank finance																			
Venture and growth capital	EUR million	498.0	691.0	526.5	291.2	612.8	417.5	398.6	681.1	788.3	727.7	930.2	1 093	1 224	1 704	4 396	2 565	2 245	1 893
Venture and growth capital (growth rate)	%. Year-on-year growth rate		38.7	-23.8	-44.7	110.4	-31.8	-4.53	70.86	15.7	-7.68	27.8	17.52	11.98	39.25	157.9	-41.6	-17.7	-15.7
Leasing and hire purchases	% of SMEs						3.9	4.2	4.3	5.2	5.6	6.0	7.2	7.7	6.6	6.9	6.9	7.2	8.0
Factoring and invoice discounting	% of SMEs												5.8	6.5	5.2	5.5	7.7	8.0	7.7
Other indicators																			
Payment delays. B2B	Number of days	13.2	13.9	16	17	18	18	17	16	6	5	5	1	20	-2	11	13	15	17
Bankruptcies, SMEs	Number	3 589	3 842	6 942	6 162	5 741	6 870	7 825	5 889	4 485	3 730	3 018	2 818	2 986	2 521	1 440	1 705	2 652	3 494
Bankruptcies, SMEs (growth rate)	%. Year-on-year growth rate		7.0	80.7	-11.2	-6.8	19.7	13.9	24.7	-23.8	-16.8	-19.1	-6.63	6.07	-15.7	-42.9	18.4	55.5	31.7

Note

¹ All financiers except for banks are considered alternative financiers.

32 Norway

Key facts on SME financing

In 2023, nearly 97% of employer firms in Norway had between 1 and 49 employees, with those employing 1 to 9 people accounting for about 80%. The definition of small and medium-sized enterprises (SMEs) in Norway differs from that used in most EU countries. To enable cross-country comparison and ensure that the Scoreboard indicators are also relevant to Norway, Statistics Norway analysed the Norwegian SME population using two thresholds: firms with fewer than 250 employees and those with fewer than 50 employees, in line with the indicators covered in the OECD Scoreboard.

The outstanding stock of SME loans in Norway increased by around 31% over the past five years, from NOK 652 billion in 2020 to NOK 856 billion in 2024. In 2024, SMEs accounted for nearly 39% of total business lending. More than 82% of SME loans in Norway are long-term, indicating a strong focus on investment and growth financing rather than short-term liquidity.

As with SME loans, venture and growth capital investments also recorded a strong increase over the same period, rising from NOK 102 billion in 2020 to NOK 179 billion in 2024 - an increase of approximately 75%. However, compared to the previous year, this represented a decline of around 10%.

Newly established enterprises are defined as those founded within the past two years. Between 2016 and 2024, the share of venture and growth capital allocated to new SMEs remained within the range of 16% to 21%.

Bankruptcies averaged 1 931 per year during the 2020–2024 period, with the highest number recorded in 2024 (2 622) and the lowest in 2021 (1 449).

In the fall of 2024, The Government launched the first Norwegian white paper on entrepreneurs and start-ups. The white paper provides an update on the status of entrepreneurship in Norway and addresses policy areas and framework conditions relevant to entrepreneurs. These areas include the capital market, skills, social security schemes, competition policy, EU policy tools and the design of the policy instrument system. The white paper lists over 50 policy measures to improve further the conditions that help start-ups succeed.

Table 32.1. Scoreboard for Norway

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	NOK billion	359	451.1	416.4	433.8	454.	452.8	433.1	474.9	550	530.3	509.3	561.5	618.3	652.3	678.4	796.6	830.8	855.8
Outstanding business loans, total	NOK billion	837.2	1 033.5	1 030.8	1 057.3	1 125.2	1 131.	1 195.2	1 289.2	1 409	1 412.6	1 483.8	1 517.1	1 678.2	1 716.7	1 738.3	1 880.6	2 009.9	2 198
Share of SME outstanding loans	% of total outstanding business loans	42.88	43.65	40.40	41.03	40.35	40.04	36.23	36.84	39.04	37.54	34.33	37.01	36.84	38.00	39.02	42.36	41.34	38.94
Outstanding short-term loans, SMEs	NOK billion	69.1	83.9	69.9	73.0	75.9	85.4	81.1	90.5	100.2	85.3	87.1	100.6	107.2	89.0	102.2	120.5	126.1	151.8
Outstanding long-term loans, SMEs	NOK billion	289.8	367.2	346.5	360.1	378.1	367.4	351.9	384.4	449.8	445.0	422.3	460.9	511.1	563.3	576.2	676.1	704.7	704.0
Share of short-term SME lending	% of total SME lending	19.3	18.6	16.8	16.9	16.7	18.9	18.7	19.1	18.2	16.1	17.1	17.9	17.3	13.7	15.1	15.1	15.2	17.7
Non-bank finance																			
Venture and growth capital	NOK billion	39.9	29.6	14.6	30.3	39.3	37.7	63.2	74.6	75.1	51.5	52.8	75	99.4	102.4	102.1	144.1	200.2	179.4
Venture and growth capital (growth rate)	%. Year-on-year growth rate		-25.80	-50.75	107.90	29.56	-3.98	67.72	17.91	0.73	-31.40	2.54	42.00	32.50	3.07	-0.28	41.12	38.88	-10.4
Other indicators																			
Bankruptcies, SMEs	Number	952	1 427	2 059	1 804	1 725	1 525	1 774	1 829	1 794	1 781	1 843	2 067	2 105	2 093	1 449	1 713	2 140	2 262
Bankruptcies, SMEs (growth rate)	%. Year-on-year growth rate		49.89	44.29	-12.38	-4.38	-11.59	16.33	3.10	-1.91	-0.72	3.48	12.15	1.84	-0.57	-30.77	18.22	24.93	5.70

Note: Bankruptcy data refers to SMEs excluding sole proprietorships. Figures for 2024 are based on preliminary data, except for the bankruptcy data, which is final.

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People's Republic of China

Key facts on SME financing

In the People's Republic of China (China), SMEs play a key role in maintaining economic dynamism and boosting innovation and entrepreneurship. SMEs contribute approximately 50% of tax revenue, 60% of GDP, 70% of technological innovation, and 80% of urban employment. In 2024, there were about 60 million SMEs in China, and the number of newly registered enterprises reached an average of 24 000 per day.

Outstanding business loans for Micro and Small Enterprises (MSEs) increased to CNY 81.4 trillion in 2024, up 14.8% from 2023. The share of outstanding business loans for MSEs has been relatively stable for the past two years, at 51% in 2023 and 53.66% in 2024, respectively. Over 2022-23, the ratio of short-term loans to total loans for SMEs declined from 43.1% to 42.68%. This ratio dropped to 42.49%, down 0.19 percentage points in 2024.

In 2024, interest rates for SMEs and large firms were 4.18% and 3.78%, down 0.28 and 0.43 percentage points, respectively, compared to 2023. The interest rate spread between SMEs and large enterprises continued to increase, rising from 0.25% to 0.40% in 2023–24. This represents the fifth consecutive year of spread expansion since 2020. In recent years, China has improved and implemented the policy of cutting taxes and fees on debt finance. In 2024, SMEs were on average charged 1.27% of the total value of bank loans in the form of extra loan fees, which have decreased slightly by 0.28 percentage points with respect to the previous year. In 2024, the 1-year interest rate in the shadow banking sector ranged from 9.11% - 13.02%, with a spread of about 4.93% - 8.84% compared to formal bank loans.

In 2024, the rejection rate of SME loan applications was stable at around 4.71%, and the utilisation rate of SME bank loans has remained at a high rate of 85.95%. On average, 57.13% of SMEs tried to apply for a bank loan.

In 2024, newly listed SMEs obtained CNY 13.15 billion from the STAR Market, CNY 22.58 billion from the Shenzhen Venture Board, and CNY 5.02 billion from the Beijing Stock Exchange, down by 90.94%, 81.54%, and 67.47% respectively compared to the previous year. Venture capital, leasing and factoring, online lending and crowdfunding continue to remain important sources of SME financing.

In 2023, the ratio of non-performing loans to total MSE loans was 2.01%, down 0.14 percentage points from 2022. The bankruptcy rate for SMEs was 3.72% in 2024 according to survey data, up 4.79% from the previous year.

In September 2024, the national small and medium-sized enterprise development fund reached CNY 35.7 billion, and a total of 42 sub-funds were set up, covering more than 1,200 growth-oriented enterprises in the seed and start-up stages. In 2024, the annual re-guarantee business scale of the National Financing Guarantee Fund reached CNY 1.41 trillion, an increase of 7.6 % year-on-year. The central government has issued a special fund of CNY 3.059 billion for the development of small and medium-sized enterprises, focusing on supporting 'little giant' enterprises to invest in scientific and technological innovation and industrial chain collaboration.

In 2024, the Chinese government has continued to alleviate financing difficulties and reduce costs for SMEs, including tax and fee reduction, subsidies, financing guarantees, expansion of financing channels, improving financial services, and enhancing the connection between industry and finance. At the same time, China will broaden multiple financing channels and consolidate the economic 'ballast stone' status of small and medium-sized enterprises.

Table 33.1. Scoreboard for the People's Republic of China

Indicator	Unit	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																	
Outstanding business loans, total	RMB billion	24940	30292	35017	39283	44019	52162	53895	62578	71545	78728	86123	97307	107482	121547	139024	151703
Outstanding business loans, Small and Micro Enterprises	RMB billion									30744	33492	36900	42700	50000	59700	70900	81400
Share of outstanding loans, Small and Micro Enterprises	% of total outstanding business loans									42.97	42.54	42.85	43.88	46.52	49.12	51.00	53.66
Share of short-term loans, total	% of total business lending					42.12	43.12	42.4	40.35	38.06	35.77	34.35	32.86	30.61	29.6	28.66	27.98
Share of short-term SME lending	% of total SME lending					56.1	49.24	47.56	54.69	40.97	41.62	39.09	40.76	42.22	43.1	42.68	42.49
Direct government loans, SMEs	RMB billion		1222.6	1550	1813.4	2082.4	2470	2820									
Non-performing loans, total	% of all business loans	2.58	1.76	1.26	1.21	1.25	1.49	2.04	2.07	2.05	2.29	2.24	1.95	1.87	1.64	1.54	
Non-performing loans, SMEs	% of all SME loans	3.83	2.52	1.75	1.65	1.66	1.97	2.59	2.6	2.58							
Non-performing loans, Small and Micro Enterprises	%					2.01	2.2	2.74	2.68	2.74	3.16	3.09	2.81	2.71	2.15	2.01	
Interest rate, SMEs	%					8.39	7.51	5.23	4.77	5.78	5.17	4.86	4.84	4.52	4.45	4.46	4.18
Interest rate, large firms	%					7.72	7.47	5.26	4.89	5.4	5.07	5.11	5.06	4.53	4.29	4.21	3.78
Interest rate spread	Percentage points					0.67	0.04	-0.03	-0.12	0.38	0.1	-0.25	-0.22	-0.01	0.16	0.25	0.4
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending	50.55	51.64	51.59	52.98	54.52	54.76	55.67	52.05	50.28	50.18						
Collateral, Small and Micro Enterprises	% of Small and Micro Enterprises needing collateral to obtain bank lending					55.8	56.96	58	54.2	52.4	52.5	53.2	50.9	48.9	45.3	41.9	
Percentage of SME loan applications	SME loan applications / total number of SMEs							69.88	63.06	53.09	58.36	54.79	57.94	56.67	58.38	58.59	57.13
Rejection rate	1 – (SME loans authorised / requested)					6.19	11.97	11.72	6.13	4.07	3.69	4.05	3.79	3.59	3.61	4.48	4.71
Utilisation rate	SME loans used / authorised	13616	17139	21167	25355	93.51	94.75	94.48	94.03	89.91	86.26	84.32	84.55	87.66	87.69	84.34	85.95
Non-bank finance																	
Venture and growth capital (stock)	RMB billion	160.51	240.66	319.8	331.29	263.9	293.33	336.12	376.52	411.02	476.9	563.6	627.2	728.3	802.8	881.9	
Venture and growth capital (stock), (growth rate)	%, Year-on-year growth rate	10.26	49.93	32.88	3.59	-20.34	11.15	14.59	12.02	9.16	16.03	18.18	11.28	16.12	10.23	9.85	
Venture and growth capital (incremental)	RMB billion				25.11	27.90	37.44	46.56	50.55	84.53	52.72	86.68	63.6	101.1	74.5	79.2	
Venture and growth capital (incremental), (growth rate)	%, Year-on-year growth rate					11.11	34.19	24.36	8.57	67.22	-37.63	64.42	-26.63	58.96	-26.31	6.31	
Leasing and hire purchases	RMB billion	370	700	930	1550	2100	3200	4440	5330	6060	6650	6654	6504	6323	5850	5640	5640
Factoring and invoicing	EUR billion	67300	154550	274870	343759	378128	406102	352879	301635	405537	411573	403504	433162	469575	576885	634574	679000
Other indicators																	
Payment delays, B2B	Number of days					95.91	72.31	64.44	65.21	44	38						
Bankruptcies, SMEs	%					7.57	7.24	5.46	4.73	3.7	2.85	3.09	4.06	3.27	3.48	3.55	3.72
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate						-4.36	24.59	13.37	21.78	-22.97	8.42	31.39	-19.46	6.42	2.01	4.79

34 Peru

Key facts on SME financing

Peru's economy recorded a solid recovery in 2024, expanding by 3.3%, primarily driven by the strengthening of domestic demand. This was reflected in a notable rebound in public investment and the recovery of private investment, both of which contributed to increased employment and household consumption. Additionally, the economy benefited from strong performance in key primary sectors, particularly fishing and agriculture, supported by favourable climatic conditions. This led to an improvement in export supply and further reinforced overall economic growth. In 2025, Peru's economy was expected to consolidate its recovery, with a projected growth rate of 3.5%. This expansion would be driven by stronger domestic demand, supported by increased investment amid improving business expectations, favourable financing conditions, and economic stimulus measures. Additionally, exports are expected to continue contributing to growth, bolstered by higher primary supply despite a persistently uncertain global environment.

SMEs play a pivotal role in the Peruvian economy, contributing over 30.9% to value added and around 5.5% to exports. They have a notable presence in commerce, services and manufacturing sectors. SMEs constitute 99.3% of all enterprises and are vital to employment, accounting for 89.1% of private-sector employment. This underscores the crucial role of fostering their growth, as they are key drivers of Peru's economic development.

In 2024, SMEs represented a substantial portion of all outstanding loans, accounting for 34.0%. From 2010 to 2019, the average SME share of all outstanding loans was about 26%, but since 2020 to 2024, this average increased to 37%. Additionally, the number of SMEs grew at an average annual rate of 7.0%, rising from 1.78 million in 2020 to 2.33 million in 2024.

While banks remained the main lenders, alternative financing methods like factoring and invoice discounting have garnered attention, despite fluctuations in their use in recent years. Additionally, over-indebtedness remains a concern, as most SMEs depend on a single financial institution and small-business loans carry higher interest rates, making them less affordable.

In 2024, the interest rate spread between large companies and SMEs in Peru was 18.4 percentage points. Interest rates for small enterprise loans notably increased from 24.0% in December 2021 to 26.6% in December 2024, indicating a rising cost of borrowing for these enterprises.

The Peruvian government has continued implementing programs such as IMPULSO MYPERÚ to address financing challenges and support businesses during the post-pandemic period. These initiatives aim to provide favourable financing conditions and ensure the sustainability of resilient businesses across various sectors.

Table 34.1. Scoreboard for Peru

Indicator	Unit	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																
Outstanding business loans, SMEs.	PEN Billion	17.18	19.75	23.23	26.62	30.14	32.07	32.84	35.81	37.38	40.58	90.67	91.01	75.03	83.85	72.50
Outstanding business loans, total.	PEN Billion	65.99	75.04	81.49	97.20	112.21	126.99	131.02	137.50	149.79	159.30	223.23	238.71	220.46	226.21	213.12
Share of SME outstanding loans	% of total outstanding business loans	26.04	26.31	28.50	27.39	26.86	25.25	25.07	26.04	24.95	25.48	40.62	38.13	34.04	37.07	34.02
New business lending, total	PEN Billion				264 129	244 850	249 880	226 035	219 435	244 928	241 292	281 590	232 031	246 815	308 730	205 201
New business lending, SMEs	PEN Billion				241 949	224 537	228 624	207 603	201 133	225 421	222 626	263 860	210 906	182 291	190 818	114 020
Share of new SME lending	% of total new lending				91.6	91.7	91.5	91.85	91.66	92.04	92.26	93.70	90.90	73.86	61.81	55.57
Government loan guarantees, SMEs	PEN Billion							400								
Direct government loans, SMEs	PEN Billion	30.98	49.06	59.57	219.92	365.33	271.39	314.74	272.00	289.75	287.95	371.64	373.92	316.37	312.85	311.37
Non-performing loans, total	% of all business loans	2.20	1.78	1.65	1.96	2.14	2.37	2.46	3.33	3.40	3.15	2.93	3.48	5.00	6.09	5.95
Non-performing loans, SMEs	% of all SME loans	7.83	6.33	5.19	6.30	7.11	8.42	9.03	8.69	10.53	10.94	6.63	9.81	16.43	10.30	8.77
Interest rate, SMEs	%	29.71	27.38	26.76	24.45	24.59	26.89	27.49	28.27	26.57	26.11	19.67	24.03	27.05	31.12	26.55
Interest rate, large firms	%	5.85	7.21	7.42	6.99	6.75	7.14	7.57	7.17	6.87	6.40	3.64	3.80	7.20	8.54	8.16
Interest rate spread	Percentage points	22.65	21.06	19.35	17.46	17.84	19.74	19.92	21.10	19.70	19.71	16.04	20.22	19.85	22.58	18.39
Percentage of SME loan applications	SME loan applications/ total number of SMEs					38.52	51.02	43.26	48.39		43.40					
Rejection rate	1-(SME loans authorised/ requested)					5.06	5.77	4.63	5.93		4.00					
Utilisation rate	SME loans used/ authorised					94.94	94.23	95.37	94.07		96.00					
Non-bank finance																
Leasing and hire purchases	PEN Billion	3 374	3 846	4 301	3 978	4 128	3 358	3 088	2 954	2 605	2 480	2 736	2 212	1 605	1 495	1 294
Factoring and invoice discounting	PEN Billion	768.98	754.27	719.99	779.45	809.13	625.78	658.59	666.79	751.55	707.93	565.93	762.88	605.27	737.64	1 032.11
Other indicators																
Bankruptcies, all businesses	Number	162 948	168 261	233 287	152 758	225 384	242 842	259 443	362 091	199 303	183 442	859 595	247 397	218 568	336 771	327 966
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate	10.2	3.3	38.6	-34.5	47.5	7.7	6.8	39.6	-45.0	-8.0	368.6	-71.2	-11.7	54.1	-2.6

35 Poland

Key facts on SME financing

For the last few years, the Polish economy, like the European and global economies, has been strongly affected by the effects of the pandemic and the large-scale Russian aggression against Ukraine. Global turmoil and the energy crisis provoked by Russia have increased inflation around the world, especially in Europe, which had a significant impact on SMEs. Additionally, Polish economic conditions in the first half of 2025 were demanding due to continued high interest rates, high energy prices and further wage increases.

In 2023 SMEs made up 99.8% of all non-financial enterprises in Poland, numbering 2.3 million SMEs in total. As in previous years, microenterprises make up the largest share of non-financial enterprises., which were responsible for 97.1% share in the structure of the entire population in 2023. Among all size classes, the microenterprises recorded the greatest increase in the number of units in the years 2010–2023, among size classes, despite a slight decline in the last year.

In 2024, a slight increase in debt was observed among both large companies and SMEs. The stock of outstanding business loans and SME loans increased in 2024. The share of non-performing loans decreased for SMEs in 2024, however in total they increased slightly. The average interest rate, both for SMEs and large companies, decreased in 2024. Similarly, the interest rate spread decreased to 0.86 percentage points.

According to PFR Ventures, in Q1 2025, PLN 444 million flowed through the Polish VC market. This is the total amount of capital invested by Polish and international funds in 35 transactions involving domestic innovative enterprises. This represents an 11% increase compared to the average quarterly value of investments in 2024. Compared to Q1 2024, the amount of invested capital increased by 155%, with a similar number of transactions and participating funds. Later-stage funding rounds, in which 17 such transactions were recorded, almost half of all transactions, played an important role. The number of transactions has remained relatively low but stable for the past year. PFR Ventures has observed an increase in the number of rounds in the growth phase.

Bank Gospodarstwa Krajowego provided support worth more than PLN 331.9 billion as of April 2025 in the form of accessible guarantees. After the end of the crisis period, from 2024, the BGK's guarantee offer has stabilised and now includes 7 products aimed at entrepreneurs:

- de minimis guarantee for SMEs;
- de minimis guarantee for leasing for SMEs;
- Biznesmax Plus guarantee for SMEs, small mid cap and mid cap companies, as collateral for loans to finance innovation, eco-innovation and digital transformation investments with additional support in the form capital and interest rate subsidies;
- Ekomax guarantee for SMEs, small mid cap and mid cap companies, as collateral for loans to finance energy efficient investments with additional support in the form of capital subsidies;
- Investmax guarantee for SMEs, with special focus on micro-enterprises;

- Agricultural guarantee for farmers and processors of agricultural or non-agricultural products as collateral for working capital loans with additional support in the form of interest rate subsidies;
- Agromax guarantee for farmers and processors of agricultural or non-agricultural products as collateral for investment loans with additional support in the form of interest rate subsidies.

From the above-mentioned guarantee products in 2024, more than 94 000 guarantees were issued in the amount of PLN 33.3 billion, which secured loans worth PLN 58.6 billion. In 2025 (January-April), more than 31 000 guarantees were granted in the amount of PLN 11.7 billion, which secured loans worth PLN 20.5 billion.

Table 35.1. Scoreboard for Poland

Indicator	Unit	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																		
Outstanding business loans, SMEs	PLN Billion	125.3	127.2	127.0	159.0	164.8	163.9	175.6	185.8	193.6	206.6	208.5	208.7	199.9	191.2	210.5	233.4	270.6
Outstanding business loans, total	PLN Billion	233.3	222.1	219.7	264.5	272.2	278.0	300.9	327.3	344.9	366.0	388.2	395.6	376.7	396.5	436.6	423.6	441.1
Share of SME outstanding loans	% of total outstanding business loans	53.72	57.29	57.81	60.12	60.54	58.97	58.36	56.77	56.14	56.44	53.70	52.75	53.07	48.22	48.23	55.10	61.34
Outstanding short-term loans, SMEs	PLN Billion	31.93	31.25	31.52	38.45	39.88	37.37	40.46	41.60	42.81	43.93	39.30	42.20	31.24	33.56	40.66	45.52	48.81
Outstanding long-term loans, SMEs	PLN Billion	90.18	93.24	93.73	116.22	122.23	123.43	130.25	138.33	145.05	156.36	161.89	158.13	160.56	148.83	160.80	178.71	191.79
Share of short-term SME lending	% of total SME lending	26.15	25.10	25.17	24.86	24.60	23.24	23.70	23.12	22.79	28.09	24.27	26.69	16.29	18.40	20.18	20.30	20.28
Government loan guarantees, SMEs	PLN Billion						7.00	9.65	8.90	9.36	9.91	10.17	11.56	23.58	34.17	37.82	42.60	30.36
Government guaranteed loans, SMEs	PLN Billion						12.24	17.43	15.86	16.43	17.80	18.17	20.71	33.70	46.24	51.81	58.30	54.18
Non-performing loans, total	% of all business loans	6.50	11.58	12.40	10.37	11.78	11.61	11.33	10.31	9.11	8.28	8.70	8.43	9.00	7.42	6.45	6.13	6.94
Non-performing loans, SMEs	% of all SME loans	7.46	13.35	14.59	12.33	13.06	12.99	12.75	12.29	10.97	10.04	11.32	11.16	12.18	10.93	9.70	8.18	6.94
Interest rate, SMEs	%	5.37	3.82	4.31	4.57	4.86	3.85	3.52	3.00	2.86	2.95	3.43	3.77	2.98	2.65	6.17	8.26	7.23
Interest rate, large firms	%	5.62	4.28	4.00	4.45	4.74	3.83	3.40	2.90	2.77	2.76	2.92	3.07	2.86	2.88	4.36	4.63	4.46
Interest rate spread	Percentage points	-0.25	-0.46	0.31	0.12	0.12	0.02	0.12	0.10	0.09	0.19	0.51	0.70	0.13	0.24	1.82	3.63	2.77
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending									38.92	30.33							
Percentage of SME loan applications	SME loan applications/ total number of SMEs	86.50	66.70	76.30	83.50	86.60	81.90	91.70	87.50	78.55	80.12	81.00	80.90	82.50	83.70	82.70	86.20	83.85
Rejection rate	1-(SME loans authorised/ requested)									37.20	31.78						20.58	16.15
Utilisation rate	SME loans used/ authorised									66.44	61.83							
Non-bank finance																		
Venture and growth capital	EUR Million	83.4	70.7	112.6	197.0	127.0	198.4	89.4	141.0	227.4	195.2	346.7	193.2	260.7	273.4	315.1	104.1	216.6
Venture and growth capital	%, Year-on-year growth rate	-43.49	-15.23	59.28	75.01	-35.55	56.25	-54.95	57.80	61.22	-14.14	77.62	-44.28	34.95	7.04	10.75	-66.96	88.42
Leasing and hire purchases	PLN Billion	24.09	21.43	23.92	27.79	26.91	30.42	34.29	37.83	51.01	58.19	66.44	61.50	50.19	71.68	68.41	84.22	88.96
Factoring and invoice discounting	PLN Billion	45.51	53.16	88.61	95.33	113.06	129.59	152.68	171.64	192.74	222.49	269.63	315.02	311.34	399.82	476.92	500	523.39
Other indicators																		
Bankruptcies, total	Number										513	588	578	528	376	349	404	391
Bankruptcies, total	%, Year-on-year growth rate											14.62	-1.70	-8.65	-28.79	-7.18	15.76	-3.22

36 Portugal

Key facts on SME financing

In 2023, 512 751 non-financial companies accounted for 99.7% of Portugal's business sector, marking a 4.7% increase compared to 2022. Growth was recorded across several indicators: employment rose by 5.9%, turnover by 3.0%, gross value added (GVA) by 13.6%, and gross operating surplus (GOS) by 13.0%. In 2022, these figures were 5.2%, 24.1%, 18.6% and 24.2% respectively. Large enterprises outperformed SMEs in most economic indicators, except for turnover, where SMEs posted slightly higher growth (4.6% versus 1.1%).

In 2024, the total outstanding value of business loans declined by 1.5% compared to 2023. Nevertheless, the share of SME loans remained at around 80% of all business loans, maintaining the same level as in previous years. The Portuguese financial system experienced an increase in both short-term and long-term loans. Compared to 2023, short-term loans increased by 1.06%, while long-term loans increased by 2.1%. Between 2021 and 2024, the proportion of government-guaranteed loans within the total SME loan portfolio fell from EUR 14.014 billion to EUR 5.88 billion, representing a 58.04% decrease. A further significant 43% decrease occurred between 2023 and 2024. Despite a general upward trend over the past two years, the average interest rate for SME loans fell to 6.8% in 2024, compared to 2023.

Investment in venture and growth capital has been highly volatile over the past 10 years. Investment reached EUR 103 million in 2024, marking a 5.8% increase on the EUR 97 million invested in 2023.

Late payments to SMEs increased by 11.8% in 2024 compared to 2023, rising from an average of 15 days to 17 days. Projections suggest that this trend will continue into 2025. Such delays strain SMEs' cash flow, hindering their growth and sustainability. According to "Intrum's 2025 Report for Portugal", 35% of businesses reported that late payments are as problematic as they were during the pandemic, while 50% expect payment risks to increase. The payment gap widened across all segments: B2C increased from 9 to 12 days, B2B from 15 to 17 days, while the public sector remained at 15 days.

In terms of bankruptcies, 2024 closed with a 4.9% increase compared to 2023, with 2,299 bankruptcies recorded. This followed an increase of 12% in 2023 (rising from 1928 bankruptcies in 2022 to 2191 in 2023).

In 2024, the European Investment Bank (EIB) Group, comprising the EIB and the European Investment Fund (EIF), reaffirmed its commitment to Portugal by providing EUR 2.1 billion in new financing to support the country's sustainable economic development. This financing contributed to the mobilisation of approximately EUR 4.9 billion in total investment, corresponding to around 1.7% of Portugal's GDP. The funds were directed to strategic sectors, particularly to enhance access to finance for SMEs and start-ups. Close to 10 000 Portuguese companies benefited from this support, contributing to the preservation or creation of nearly 230 000 jobs. A significant proportion of the financing was allocated to projects in line with climate action and environmental sustainability goals, as well as to investments in vital public infrastructure, primarily in the health and transport sectors. More than EUR 1.1 billion was dedicated to clean energy initiatives, making a substantial contribution to Portugal's green transition.

Table 36.1. Scoreboard for Portugal

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion			90.3	88.2	87.0	79.7	73.9	70.3	65.9	61.4	57.4	54.0	52.5	58.9	60.8	60.2	57.3	56.5
Outstanding business loans, total	EUR billion	101.6	115.8	117.8	114.6	113.8	105.4	99.4	86.5	82.2	77.3	73.1	69.6	67.0	74.0	75.6	75.2	73.3	72.5
Share of SME outstanding loans	% of total outstanding business loans			76.61	76.96	76.45	75.68	74.41	81.30	80.13	79.36	78.53	77.63	78.41	79.58	80.41	80	78.27	77.92
New business lending, total	EUR billion	64.3	61.8	46.3	45.6	45.0	45.6	49.1	41.2	33.8	29.8	28.8	31.6	27.4	26.3	20.4	24.5	24.0	26.3
New business lending, SMEs	EUR billion	28.9	26.4	23.1	22.5	14.2	12.5	11.9	11.9	11.9	11.3	10.9	11.2	21.2	21.2	16.5	19.1	18.6	21.2
Share of new SME lending	% of total new lending	44.9	42.78	49.97	49.42	31.63	27.52	24.16	28.79	35.2	37.88	37.74	35.55	36.11	35.28	36.5	33.78	32.19	80.88
Short-term loans, SMEs	EUR billion			24.7	22.7	21.3	15.3	13.4	11.5	9.6	9.5	8.9	12.6	11.7	9.0	9.3	10.1	11.1	11.2
Long-term loans, SMEs	EUR billion			65.6	65.5	65.7	64.4	60.5	58.8	56.3	51.9	48.5	41.5	40.9	49.9	51.5	50.1	46.2	45.3
Share of short-term SME lending	% of total SME lending			27.34	25.77	24.47	19.21	18.13	16.37	14.51	15.43	15.53	23.24	22.23	15.24	15.35	16.8	19.38	19.88
Government guaranteed loans, SMEs	EUR million			4 961	6 825	6 147	5 968	5 802	5 461	5 595	5 712	6 068	6 183	6 290	13 580	14 014	11 555	8 413	5 880
Non-performing loans, total	% of all business loans	1.5	2.20	3.9	4.10	6	9.40	11.8	14.20	15.2	15.00	12.7	7.79	4.63	3.32	2.3	2.05	2.01	1.85
Non-performing loans, SMEs	% of all SME loans			4.67	5.00	7.33	11.76	14.82	16.50	17.89	17.62	14.65	8.80	5.16	3.9	2.68	2.47	2.47	2.32
Interest rate, SMEs	%	7.05	7.64	5.72	5.45	7.41	7.59	6.82	5.97	4.6	3.83	3.42	3.13	2.42	2.02	2.04	2.92	5.49	5.14
Interest rate, large firms	%	5.29	5.92	3.88	3.78	5.4	5.43	4.97	4.37	3.25	2.69	2.14	1.93	1.61	1.57	1.77	2.14	4.89	4.94
Interest rate spread	Percentage points	1.76	1.72	1.84	1.67	2.01	2.16	1.85	1.60	1.35	1.14	1.28	1.20	0.81	0.45	0.27	0.78	0.6	0.2
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending			76.25	81.16	82.63	82.15	83.09	80.14	81.84	79.60	80.98	83.13	86.95	89.88	89.6	88.69	88.34	77.18
Non-bank finance																			
Venture and growth capital	EUR million		84	70	35	22	53	106	100	88	17	27	30	69	43	67	77	97	103
Venture and growth capital	%, Year-on-year growth rate		-34.9	-16.7	-50	-37.1	140.9	100	-5.7	-12	-80.7	58.8	11.1	130	-37.7	55.8	14.9	26	5.8
Leasing and hire purchases	EUR million			5 324	5 242	3 442	3 037	2 666	2 425	2 345	2 295	2 175	2 204	1 879	1 866	467	497	506	504
Factoring and invoice discounting	EUR million			621	733	402	338	376	476	547	441	418	930	855	513	99	113	190	185
Other indicators																			
Payment delays, B2B	Number of days		33	35	37	41	40	35	33	21	20	20	12	18	12	12	13	15	17
Bankruptcies, total	Number		3 528	3 815	4 091	4 746	6 688	6 030	4 019	4 683	3 582	3 008	2 610	2 493	2 464	2 195	1 928	2 191	2 299
Bankruptcies, total	%, Year-on-year growth rate		35.07	8.13	7.23	16.01	40.92	-9.84	-33.35	16.52	-23.51	-16.02	-13.23	-4.48	-1.16	-10.92	-12.16	13.64	4.9

37 Serbia

Key facts on SME financing

SMEs dominate the Serbian business economy, accounting for 99% of all enterprises. In 2024, SMEs employed more than 64% of the labour force and accounted for 56.9% of total gross value added and for 63.7% of turn over. Sector-specific data indicates that most SMEs belonged to the trade sector (20.1%), followed by the professional, scientific and innovative activities (16.2%), manufacturing sector (13.7%), and transportation and storage (8.0%).

According to the preliminary results from the 2024 SME lending conditions survey conducted by the National Bank of Serbia in 2025, the stock of SMEs loans in 2024 increased by 7.3% year-on-year to EUR 9.3 billion.

New bank lending to SMEs in 2024 amounted EUR 6.4 billion (increase of 17.7% compared to the previous year). The share of new SMEs loans among total corporate loans decreased by 3.7 percentage points to 31.9% in 2024. The share of outstanding SME loans in total corporate loans decreased to 26.1% (from 27.1% in 2023). Long-term loans decreased as well and amounted to 86.4% of total SMEs loans.

Interest rates for SME loans in/or indexed to foreign currencies stayed at 6.7% in 2024, maintaining the same level as in 2023. However, the interest rate spread between large companies and SMEs increased to 1.7 percentage points (from 0.5 percentage points in 2024). On Serbian dinar-denominated loans interest rates were 1.0 percentage points lower compared to the previous year (8.0% vs. 9.0%) and the spread between large companies and SME was 1.4 percentage points.

The rejection rate (the percentage of SME loan applications that are rejected considering the amounts of loans) was 9.7% in 2024 (19.2% in 2023), while the utilization rate (the percentage of used SME loans among all SME loans that were approved) was 95.9% in 2024 (99.5% in 2023). At the same time, the share of loans requiring collateral (excluding bills of exchange) was 43.2% in 2024 (41.2% in 2023).

The share of NPLs in total SMEs loans decreased to 3.0% (compared to 3.1% in 2023), while NPLs for the whole corporate sector decreased to 1.7% in 2024 from 2.0% in 2023.

Table 37.1. Scoreboard for Serbia

Indicator	Unit	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt														
Outstanding business loans, SMEs	EUR million	4.35	4.06	4.78	5.34	5.55	5.80	6.49	7.14	8.19	9.04	8.48	8.65	9.28
Outstanding business loans, total	EUR million	20 460	19 154	18 724	18 677	18 362	19 150	20 847	22 394	24 622	27 273	30 251	31 920	35 600
Share of SME outstanding loans	% of total outstanding business loans	21.27	21.20	25.52	28.59	30.24	30.3	31.1	31.9	33.3	33.2	28.0	27.1	26.1
New business lending, total	EUR million	9 043	7 093	6 765	8 461	10 130	10 966	12 339	13 629	11 424	13 944	15 012	15 143	19 897
New business lending, SMEs	EUR million	2 771	2 302	2 717	3 332	4 038	4 688	5 478	6 087	4 927	5 170	5 210	5 386	6 338
Share of new SME lending	% of total new lending	30.64	32.45	40.16	39.38	39.86	42.7	44.4	44.7	43.1	37.1	34.7	35.6	31.9
Outstanding short-term loans, SMEs	EUR million	1 257	1 386	1 405	1 348	1 380	1 451	1 480	1 347	1 013	1 199	1 184	1 150	1 261
Outstanding long-term loans, SMEs	EUR million	3 096	2 675	3 374	3 993	4 172	4 350	5 008	5 793	7 181	7 844	7 292	7 500	8 019
Share of short-term SME lending	% of total SME lending	28.87	34.13	29.40	25.24	24.86	25.0	22.8	18.9	12.4	13.3	14.0	13.3	13.6
Government guaranteed loans, SMEs	EUR million	569	342	750	117	13	14	15	14	357	349	206	99	78
Non-performing loans, total	% of all business loans	19.2	24.5	24.6	21.71	17.22	10.41	5.05	3.17	2.82	2.64	1.94	1.97	1.65
Non-performing loans, SMEs	% of all SME loans	26.1	28.0	27.1	26.69	20.16	9.91	6.93	4.66	4.62	3.57	3.88	3.11	2.98
Interest rate, SMEs	%	7.6	7.5	7.0	5.62	4.35	3.28	3.17	3.14	3.06	3.04	3.93	6.68	6.68
Interest rate, large firms	%	6.8	7.2	5.9	3.86	3.07	2.66	2.18	2.42	2.18	2.29	3.46	6.16	5.04
Interest rate spread	Percentage points	0.8	0.3	1.0	1.76	1.28	0.62	0.99	0.72	0.88	0.75	0.46	0.52	1.71
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending	53	55	53	53.79	42.70	53.85	50.69	50.64	50.53	43.33	43.42	41.21	43.19
Percentage of SME loan applications	SME loan applications/ total number of SMEs				14.94	16.46	16.89	15.46						
Rejection rate	1-(SME loans authorised/ requested)	32	32	25	24.52	28.18	28.32	17.23	6.52	19.27	20.49	16.77	19.24	9.71
Utilisation rate	SME loans used/ authorised	86	88	86	87.86	88.05	90.58	94.97	98.25	96.08	97.00	96.47	99.50	95.86

38

Slovak Republic

Key facts on SME financing

The Slovak Republic's economic growth remained close to 2% in 2024. SMEs dominate the Slovak economy, accounting for 99.6% of the business population with at least one employee. The number of SMEs did not change significantly compared to 2023. The majority of SMEs (90.6%) were micro-enterprises in 2024, employing up to nine people.

Outstanding business loans to SMEs grew annually from 2013 to 2023, but in 2024 they declined by 3.9% year-on-year, from EUR 20 358 million to EUR 19 573 million. Long-term loans accounted for 60.6% of total outstanding SME loans, while short-term loans made up the remaining 39.4%.

New business loans to SMEs also recorded a decline, falling by 3.0% year-on-year, from EUR 6 299 million in 2023 to EUR 6 111 million in 2024. This development is consistent with the overall drop in outstanding business loans, mainly driven by lower demand from businesses, high interest rates, and an uncertain economic outlook in the domestic economy and among the Slovak Republic's main trading partners.

The share of non-performing SME loans remained higher (3.7%) than the overall share of non-performing loans (2.92%), but decreased by 0.6 percentage points year-on-year, indicating a positive trend.

Following the ECB's rate hikes, SME loan rates rose from 2.9% in 2022 to 5.8% in 2024. Interest rates remain significantly higher than they were before the period of key interest rate increases, which continues to have a substantial impact on businesses' appetite for bank financing. This upward trend in interest rates was reflected in a slight decline in the volume of the new business SME loans.

The average business-to-business (B2B) payment delay in the Slovak Republic reached 13 days, representing an improvement of 2 days compared to the previous year. This is among the lowest levels in the long-term series, reflecting an improvement in overall payment discipline.

The volume of SME government loan guarantees fell sharply from EUR 182 million in 2023 to EUR 21 million in 2024, mainly due to the closure of previous programmes at the end of the structural funds programming period. The total volume of SME government direct loans provided by the state banks and the Slovak Business Agency remained unchanged year-on-year, at EUR 182 million.

Table 38.1. Scoreboard for the Slovak Republic

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion	9.1	12.1	12	12	10.6	11	10.7	11.9	13.2	13.5	14.6	15.1	15.3	16.2	17.3	19.5	20.4	19.6
Outstanding business loans, total	EUR billion	13.9	15.7	15.2	15.2	16.1	15.5	15.1	14.8	16.1	16.9	18.1	18.9	19.6	20.0	20.8	23.3	23.8	23.4
Share of SME outstanding loans	% of total outstanding business loans	65.7	77.12	79.39	79.39	65.77	71.11	71.07	80.22	81.7	79.81	80.46	79.81	77.77	80.95	83.42	83.95	85.67	83.8
New business lending, total	EUR billion	8.49	9.44	7.56	9.12	10.69	11.69	11.88	12.5	11.78	8.67	9.50	10.72	9.31	11.26	11.12	13.26	11.75	11.60
New business lending, SMEs	EUR billion						2.36	2.63	2.6	3.09	3.13	3.17	3.46	3.22	4.20	4.34	5.72	6.30	6.11
Share of new SME lending	% of total new lending						20.2	22.16	20.83	26.2	36.14	33.37	32.29	34.54	37.30	39.02	43.13	53.6	52.7
Outstanding short-term loans, SMEs	EUR million	4 609	4 797	4 981	4 987	4 188	4 481	4 532	5 385	5 766	5 394	5 695	5 683	5 926	6 547	6 445	7 451	7 692	7 716
Outstanding long-term loans, SMEs	EUR million	4 527	7 295	7 051	7 059	6 412	6 557	6 202	6 517	7 404	8 129	8 832	9 437	9 329	9 661	10 899	12 132	12 666	11 857
Share of short-term SME lending	% of total SME lending	50.45	39.67	41.4	41.4	39.51	40.6	42.22	45.24	43.78	39.89	39.21	37.59	38.84	40.39	37.16	38.05	37.8	39.4
Government loan guarantees, SMEs	EUR million	82	99	81	70	84	87	38	26	60	46	32	39	32	407	294	95	182	21
Government guaranteed loans, SMEs	EUR million	115	157	143	139	167	136	157	186	244	184	88	145	153	774	553	361	475	127
Direct government loans, SMEs	EUR million	117	160	139	146	168	209	152	159	172	177	120	132	204	245	213	186	182	182
Non-performing loans, total	% of all business loans			6.8	8.4	8.3	7.9	8.3	8.6	7.4	6.5	5	4.12	3.70	3.44	3.16	2.73	2.98	2.92
Non-performing loans, SME	% of all SME loans						10.4	9.9	10.3	9	8.1	6.65	5.68	4.55	4.60	3.86	3.21	4.27	3.7
Interest rate, SMEs	%	5.5	4.6	3	3.2	3.2	3.8	3.6	3.8	3.4	3.1	3.0	3.0	2.9	2.6	2.4	2.92	5.40	5.8
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100
Percentage of SME loan applications	SME loan applications/ total number of SMEs					17		16		23	18	22	17	22	28	23	21	22	11
Rejection rate	1-(SME loans authorised/ requested)					20		15		13	5	13	10	12	8	26	11	4	3
Non-bank finance																			
Venture and growth capital	EUR million	7	8	14.4	11.4	11.5	7	9	9	12.7	17.1	2.9	5.4	30.65	37.85	28.06	36.05	52.64	34.74
Venture and growth capital (growth rate)	%, Year-on-year growth rate		14.3	80	-20.8	0.9	-39.1	28.6	-0.3	41.7	34.4	-83	85.57	467.6	23.49	-25.9	28.47	44.60	-34.00
Other indicators																			
Payment delays, B2B	Number of days	20	8	13	17	20	21	19	17	4	2	6	0	2	14	13	12	15	13
Bankruptcies, SMEs	Number	169	251	276	344	363	339	377	409	350	273	285	252	241	177	268	290	310	319
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		48.5	10	24.6	5.5	-6.6	11.2	8.5	-14.4	-22	4.4	-11.6	-4.37	-26.6	51.41	8.21	6.9	2.9

39 Slovenia

Key facts on SME financing

Small and medium-sized enterprises (SMEs) accounted for 99.6% of all companies in Slovenia in 2024. As the backbone of the national economy, they generated 61.3% of total turnover and employed 65.7% of the workforce.

Following a period of strong economic growth and intensified borrowing, financing via loans slowed considerably. The outstanding stock of SME loans declined by 7.2% over 2023 and 2024, driven by reduced demand and a drop in new loan issuance.

By the end of 2022, financing conditions for the non-banking sector had deteriorated significantly. Interest rates for SMEs rose from 2.3% in 2021 to 5.2% in 2024, although they began to decline in the second half of 2024 as monetary policy eased.

According to the Bank of Slovenia's annual survey on access to finance, firms reported improved access for the second consecutive year in 2024, though conditions remained less favourable than in 2021. While financing continued to pose challenges for the business sector amid the ongoing economic uncertainty and limited availability of government incentives, firms observed some improvements in the availability of finance, alongside declining inflation and financing costs. Nevertheless, many remained cautious, with fewer firms applying for external funding.

The government policy response has been primarily through the SID Bank and the Slovene Enterprise Fund. The SID bank, the national development bank, acts as a (1) fund of funds manager for European cohesion funds (ERDF) and manages the EU funds directly or indirectly through the commercial banks or Slovene Enterprise Fund and (2), implements several loan funds. Additionally, the Slovene Enterprise Fund acts as a public fund and a financial institution of the Ministry of Economy, Tourism and Sports, offering favourable financial resources; grants (for innovative startups, for digital transformation of SMEs, etc.); seed capital; guarantees for bank loans with subsidised interest rates; and microloans.

In addition to bank lending from commercial banks and the SID Bank, the government of the Republic of Slovenia has also implemented a range of measures to fill the gaps in SME access to finance and complement other financial measures. These policies include:

- Blended finance for innovative startups (EUR 2.1 million per year for 40 innovative startups). The government provide grants blended with mentoring and training.
- Blended finance for early-stage start-ups. The government provide seed capital in the form of convertible loans and equity capital blended with mentoring and training.

Table 39.1. Scoreboard for Slovenia

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion	7.30	8.12	7.86	9.67	9.79	9.53	5.70	4.31	4.12	4.35	4.61	4.71	4.80	4.74	4.94	5.57	5.41	5.17
Outstanding business loans, total	EUR billion	16.80	19.94	19.86	20.83	20.09	18.64	14.14	11.21	10.04	9.31	9.31	9.18	9.29	9.09	9.57	10.76	10.19	10.02
Share of SME outstanding loans	% of total outstanding business loans	43.45	40.71	39.59	46.43	48.75	51.14	40.29	38.47	41.01	46.79	49.52	51.33	51.69	52.13	51.62	51.75	53.05	51.57
New business lending, total	EUR billion				15.29	18.57	13.71	9.42	8.60	6.98	6.07	5.22	5.65	5.32	6.25	5.53	5.27	4.42	5.35
New business lending, SMEs	EUR billion				5.89	7.21	5.79	3.64	3.61	2.86	2.86	2.91	2.94	2.26	3.16	2.38	2.41	2.28	2.25
Share of new SME lending	% of total new lending				59.36	57.93	63.06	56.34	54.99	58.07	56.90	63.55	58.54	53.16	51.91	43.05	45.82	51.64	42.17
Outstanding short-term loans, SMEs	EUR billion	2.09	2.53	2.15	2.76	3.09	3.19	1.74	0.79	0.61	0.78	0.80	0.83	0.72	0.63	0.62	0.83	0.78	0.77
Outstanding long-term loans, SMEs	EUR billion	5.21	5.59	5.71	6.91	6.70	6.34	3.96	3.53	3.51	3.58	3.82	3.88	4.08	4.11	4.32	4.73	4.63	4.40
Share of short-term SME lending	% of total SME lending	28.62	31.19	27.33	28.54	31.55	33.47	30.51	18.22	14.70	17.87	17.26	17.72	14.94	13.37	12.55	14.96	14.36	14.83
Government loan guarantees, SMEs	EUR million	3.28	22.22	45.20	32.93	19.15	3.07	1012	552.1		520	710			155.9	12.86			250
Non-performing loans, total	% of all business loans	2.52	3.60	6.66	11.16	17.44	22.86	20.31	17.51	15.24	16.82	12.91	8.41	4.46	3.85	2.29	1.82	1.75	1.75
Non-performing loans, SMEs	% of SME loans	3.77	5.68	8.93	14.68	22.25	28.37	27.57	25.88	24.48	22.92	16.77	10.42	5.98	4.99	3.77	3.17	2.54	2.80
Interest rate, SMEs	%	7.07	7.46	6.95	5.82	6.01	5.89	5.84	5.19	3.73	3.00	2.77	2.60	2.48	2.53	2.3	2.82	5.27	5.16
Interest rate, large firms	%	5.55	6.07	4.61	5.02	5.17	4.87	4.52	4.19	2.92	2.19	2.26	2.05	1.64	1.79	1.52	1.92	4.89	4.80
Interest rate spread	Percentage points	1.52	1.39	2.33	0.79	0.83	1.02	1.32	1.00	0.81	0.81	0.51	0.55	0.84	0.73	0.78	0.9	0.38	0.36

40 South Africa

Key facts on SME financing

In 2024 and 2025, South Africa's economy shifted from continued weakness toward gradual stabilisation, with several developments improving the outlook even as growth remained low. Real GDP growth slowed to 0.5% in 2024, weighed down by summer drought conditions, port congestion, and elevated uncertainty. However, as confidence improves with the easing of power cuts and the formation of the Government of National Unity (GNU), the National Treasury projects a gradual recovery, with growth of about 1.2% in 2025 and an average of 1.8% over 2025–2027.

Macroeconomic conditions also improved materially on the price and interest rate front during this period. By March 2025, headline CPI had fallen to 2.7% and core inflation to around 3%, reflecting lower international fuel prices and weak domestic demand after inflation had been persistently high earlier in the cycle. As inflation pressures receded, the South African Reserve Bank moved from tightening to easing: after having reached a repo rate of 8.25% in May 2023, it began cutting rates from late 2024 and reduced the repo rate stepwise to 7.0% by September 2025.

South Africa's micro, small and medium enterprises (MSMEs) continue to be dominated by micro, informal and early-stage to growth-phase businesses that started with personal or social capital.¹ Many of these businesses are unregistered (56%) and therefore rely on the bankability of the entrepreneur to access financial products and services. Business start-up funding comes mainly from savings (37%) or salary (14%), and from social capital (41%, for example friends and family)). Only 7% of MSMEs used a business loan from a formal FSP to start a business, while 5% used a personal loan, and 3% refinanced a home loan. The last two depend on the owner's bankability. The MSME sector plays a major role in employment, with about 80% of the workforce employed in MSMEs, yet they face a significant financing gap of ZAR 350 billion. This gap does not arise from a lack of capital. The number of MSME funders increased from 148 to more than 300 between 2018 and 2025².

Credit dynamics in 2024 and 2025 closely reflected macroeconomic shifts. From 2023 through mid-2024, tight monetary policy and intensified structural constraints and stalled lending: corporate loan growth fell to 2.6% year-on-year by January 2024.

Corporate loan increases remained modest through 2024. In early 2025, however, conditions began to turn. Lower inflation, successive repo rate cuts, supported a cautious improvement in business sentiment and helped trigger a rebound in corporate lending. Loans to companies rose by about ZAR 75 billion in the first quarter of 2025, and by July 2025, year-on-year growth in corporate loans had accelerated to around 9.9%.

The SME outstanding stock of loans grew in 2024, showing a year-on-year increase of 9.6%. The broader stock of loans outpaced this growth, as total outstanding loans surged by 12.8% compared to 2023.

Most business owners are digitally literate and digital payment use is growing, yet digital tools for business operations remain underused. Only 50% of MSMEs have access to the internet, 49% have a social media presence and 32% have a website. However, digital payments are widely used, with close to 80% using digital financial services. Cash may still dominate in value, as only 28% own a point-of-sale (POS) device.

Government funding for MSMEs occurs mainly through development finance institutions (DFIs). Due to data gaps, National Treasury has only been able to collect consistent data from two DFIs over the last three years (2023–2025), the Small Enterprise Development and Finance Agency (Sedfa³), and the Industrial Development Corporation (IDC). These DFIs provide direct funding, grants and credit guarantees to expand MSME finance. Sedfa has provided close to ZAR 2 billion in direct loans between 2022 and 2024⁴, with women-owned MSMEs receiving 22% of this amount. Over the same period, Sedfa provided ZAR 195 million in grants, 41% of which went to women-owned MSMEs. Sedfa's Khula Credit Guarantee (KCG) has helped unlock private sector funding from FSPs. Between the 2022/23 and 2024/25 financial years, KCG grew from around ZAR 449 million in 2022/23 to about ZAR 1.39 billion in 2024/25.⁵ The guarantee supported finance from FSPs to more than 2 900 MSMEs. In addition, the Development Bank of Southern Africa (DBSA), provided MSME's and sub-contractors with ZAR 2.3 billion between 2022 and 2024.⁶ Over 470 start-ups received part of the ZAR 102m innovation grant disbursed.

Table 40.1. Scoreboard for South Africa

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	ZAR billion		423.7	411.2	388.1	411.3	454.0	512.5	545.3	579.8	637.7	616.7	645.8	611.1	630.7	666.7	690.4	717.3	786.5
Outstanding business loans, total	ZAR billion		1 441	1 276	1 373	1 481	1 648	1 791	1 965	2 323	2 376	2 459	2 709	2 840	2 972	3 043	3 363	3 633	4 099
Share of SME outstanding loans	% of total outstanding business loans		29.39	32.23	28.26	27.76	27.55	28.61	27.75	24.96	26.84	25.07	23.84	21.52	21.22	21.91	20.53	19.74	19.19
Government loan guarantees, SMEs	ZAR million						9.5	4.5	2.9	0.4		153.0	135.2	149.1	203.7	265.3	439.1	836.1	
Direct government loans, SMEs	ZAR million						120.8	499.3	650.4	621.6	507	345.9	382.2	550.4	1 041	1 444	1 195	711.9	
Non-performing loans, total	% of all business loans		1.40	2.96	2.91	2.11	1.97	1.83	1.53	1.59	1.44	1.30	1.58	1.42	2.25	1.81	2.14	2.28	1.96
Non-performing loans, SMEs	% of all SME loans		2.89	5.23	5.20	4.07	3.36	3.02	3.25	2.76	2.65	2.60	2.97	3.21	5.12	4.43	4.35	4.98	5.09
Non-bank finance																			
Venture and growth capital	ZAR million	468	551	242	194	211	288	183	273	372	933	968	1 067	1 230	1 387	1 306	1 117	3 279	2 618
Venture and growth capital (growth rate)	%, Year-on-year growth rate		17.74	-56.08	-19.83	8.76	36.49	-36.46	49.18	36.26	150.81	3.75	10.23	15.28	12.76	-5.84	-14.47	193.5	-20.16
Other indicators																			
Bankruptcies, total	Number	3 151	3 300	4 133	3 992	3 559	2 716	2 374	2 064	1 962	1 934	1 868	1 845	2 042	2 035	1 932	1 907	1 657	
Bankruptcies, total (growth rate)	%, Year-on-year growth rate		4.73	25.24	-3.41	-10.85	-23.69	-12.59	-13.06	-4.94	-1.43	-3.41	-1.23	10.68	-0.34	-5.06	-1.29	-13.11	

Notes

¹ FinMark Trust, [FinScope MSME Survey South Africa 2024](#), 2024

² [Ibid.](#); FinFind, [Inaugural South African SMME Access to Finance Report](#), 2018

³ “On 1 October 2024, agencies – Small Enterprise Finance Agency (sefa) and Small Enterprise Development Agency (Seda) under the Department of Small Business Development, and the Cooperative Banking Development Agency (CBDA) from National Treasury – officially came together to form the Small Enterprise Development and Finance Agency, better known as Sedfa.”

⁴ Excluding 2024/25 financial year.

⁵ Sedfa, Data submission, 2025.

⁶ DBSA, [2024 Integrated Annual Report](#), 2024.

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Spain

Key facts on SME financing

According to the Survey on the Access to Finance of Enterprises in the Euro Area (SAFE), between 2023 and 2025 Spanish SMEs perceived an improvement in the availability of bank credit, in contrast to the situation in the euro area, where companies experienced a slight deterioration during the same period. However, the latest available data, corresponding to the fourth quarter of 2025, indicates that this improvement has been taking place at an increasingly slower pace. The SAFE also reports that, in the last two years, there has been a decrease in the loan rejection rate, dropping from 6.8% in 2023 to 3.6% in the fourth quarter of 2025. Credit demand, measured by loan applications, remained weak in both 2024 and 2025.

The increase of the ECB's key interest rates raised the cost of new financing for non-financial corporations (NFCs), including SMEs¹, between 2022 and 2023, although these cost increases tapered off in the second half of the latter year. In addition, the normalisation of ECB's monetary policy that started in June 2024 led to a gradual decline in the interest rates on loans to SMEs. As a result, new lending to SMEs² increased by 11.6% between 2022 and 2023 and by 16.1% between 2023 and 2024.

By contrast, mainly due to large repayments, outstanding SME loans (excluding credit to sole proprietorships) decreased by 8.8% between 2022 and 2023 and by 1.9% between 2023 and 2024, reaching EUR 204 billion in the latter year. Total outstanding business loans declined by 4.7% between 2022 and 2023 but increased slightly by 0.4% in 2024, amounting to EUR 450 billion in the latter year. As a result, SME loans accounted for 45.3% of total loans to non-financial corporations (NFCs) in 2024, 1.1 percentage points (pp.) less than in the previous year and 3.2 pp. less than in 2022.

The share of non-performing loans (NPLs) for productive activity (which includes loans to individual entrepreneurs) kept decreasing and stood at 3.9% at the end of 2024, 0.21 pp. lower than in December 2023, and 0.36 pp. lower than in 2022. This decline, which was maintained throughout 2025, is mainly explained by a fall in NPLs (the numerator).

The economic policy measures have been important in maintaining the repayment capacity of companies in a context of rising interest rates and global economic uncertainty. The credit guarantee programme "Response plan to Russia's war in Ukraine", endowed with a maximum amount of EUR 10 billion, of which EUR 9 billion are directly managed by ICO³, has enabled banks to grant credit under advantageous conditions to companies (mainly SMEs) and self-employed, thereby reducing impairments. The Spanish government also approved the Recovery, Transformation and Resilience Plan to receive the financial aid from the EU's Mechanism for the Recovery and Resilience⁴, with a total financial envelope of EUR 163 billion (EUR 79 billion in direct grants and EUR 84 billion in loans) for the period 2021-2026. The plan, which has a detailed agenda of investment projects and reforms, hinges upon four pillars: green transition, digital transformation, social and territorial cohesion, and gender equality. Finally, in response to the tariff measures announced by the US Administration on 2 April 2025, on 8 April the Spanish Government rolled out the Trade Response and Relaunch Plan. With funds close to 0.9% of GDP, the plan has been designed to provide financing to firms that are more exposed or vulnerable to the US tariff hikes. Specifically, it provides a credit guarantee facility through the ICO to boost the activity of firms hit by the tariffs and extends

the coverage offered by the Spanish official export credit company (*Compañía Española de Seguros de Crédito a la Exportación*, CESCE) for export risks. The plan also redirects some pre-existing instruments (mainly loans associated with the Recovery and Resilience Facility) to provide financial support to those firms.

Regarding non-bank funding, the volume of venture capital investment in Spanish SMEs amounted to EUR 6.0 billion in 2024, which represented an 8.89% decline relative to the level reported in 2023 (EUR 6.6 billion), but was still well above the levels in 2022 (EUR 5 billion).

Table 41.1. Scoreboard for Spain

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	EUR billion	394	357	263	210	174	146	134	147	165	170	184	175	174	173	151	173	193	224
Outstanding business loans, total	EUR billion	893	952	915	896	840	708	609	545	518	493	477	446	435	471	473	470	448	450
Share of SME outstanding loans	% of total outstanding business loans	44.12	37.50	28.74	23.44	20.70	20.62	22.01	26.99	31.88	34.48	38.57	39.24	50.34	51.17	31.92	36.81	46.43	45.33
New business lending, total	EUR billion	991	929	868	665	527	485	393	357	393	323	339	347	348	357	299	359	347	402
New business lending, SMEs	EUR billion								293	258	247	246	229	219	241	237	228	208	204
Share of new SME lending	% of total new lending								82.07	65.65	76.47	72.57	65.99	50.00	48.46	79.26	63.51	55.62	55.72
Outstanding short-term loans, SMEs	EUR billion	379	346	246	196	166	139	126	135	154	153	163	157	156	129	132	161	211	185
Outstanding long-term loans, SMEs	EUR billion	15	11	17	14	8	7	9	11	12	17	21	18	17	44	20	11	8	12
Share of short-term SME lending	% of total SME lending	96.19	96.92	93.54	93.33	95.40	95.21	93.33	92.47	92.77	90.00	88.59	89.71	90.17	74.57	86.84	93.60	96.35	93.91
Government loan guarantees, SMEs	EUR billion	5.6	7.70	11.00	10.10	12.00	11.00	13.00	9.10	7.60	6.50	3.11							
Government guaranteed loans, SMEs	EUR billion	5.2	7.05	5.91	7.24	7.50	4.97	2.06	0.94	0.27	0.11	0.04	0.03						
Direct government loans, SMEs	EUR billion	10.6	13.13	20.83	24.93	27.67	53.52	63.11	56.16	51.40	46.07	41.27	37.48	32.72	30.79	27.91	24.36	22.12	20.80
Non-performing loans, total	% of all business loans	1	3.66	6.19	7.87	11.32	15.48	20.31	18.49	14.62	13.10	10.26	6.87	5.41	4.98	4.76	4.21	4.06	3.85
Interest rate, SMEs	%	5.96	5.51	3.63	3.78	4.95	4.91	4.79	3.86	3.01	2.44	2.15	1.89	1.71	1.71	1.56	3.44	5.27	4.07
Interest rate, large firms	%	5.33	4.30	2.16	2.57	3.36	2.61	2.69	1.99	1.97	1.56	1.56	1.69	1.15	1.39	1.04	3.23	5.04	4.03
Interest rate spread	Percentage points	0.63	1.21	1.47	1.21	1.59	2.30	2.10	1.87	1.04	0.88	0.59	0.20	0.56	0.32	0.52	0.20	0.23	0.04
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending				35.19	34.36	31.45	30.00	31.22	28.24	25.89	26.04	24.05	23.39	20.79	19.16	18.85	18.94	19.03
Percentage of SME loan applications	SME loan applications/ total number of SMEs			38.07	36.25	34.67	31.89	31.49	34.36	33.81	32.80	28.14	28.60	33.87	38.26	22.07	21.16	18.34	20.19
Rejection rate	1-(SME loans authorised/ requested)			22.74	15.87	12.83	18.47	12.85	9.77	7.87	6.95	4.75	5.95	4.38	4.05	5.87	6.39	9.50	9.91
Non-bank finance																			
Venture and growth capital	EUR Million		3 336	3 596	3 600	2 675	2 145	1 473	2 247	1 902	1 886	2 446	2 984	4 196	4 165	5 193	5 024	6 595	6 009
Venture and growth capital (growth rate)	%, Year-on-year growth rate			7.79	0.11	-25.69	-19.81	-31.33	52.55	-15.35	-0.84	29.69	22.00	40.62	-0.74	24.68	-3.26	31.26	-8.89
Other indicators																			
Payment delays, B2B	Number of days		5	14	12	6	9	16	11	9	7	5	2	0	3	2	-4	-4	
Bankruptcies, SMEs	Number	1 002	2 761	4 890	4 728	5 666	7 780	8 903	6 378	4 915	4 068	3 981	3 941	4 318	3 993	4 897	6 080	4 963	5 589
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		175.55	77.11	-3.31	19.84	37.31	14.43	-28.36	-22.94	-17.23	-2.14	-1.00	9.57	-7.53	22.64	24.16	-18.37	12.61

Notes

¹ Unless stated otherwise, throughout this report the definition of SMEs excludes sole proprietorships.

² Proxied by loans up to EUR 1 million to NFCs.

³ ICO (Instituto de Crédito Oficial) is Spain's main public bank.

⁴ The two main instruments of the Next Generation EU (NGEU) programme are the Mechanism for the Recovery and Resilience and the Fund REACT-EU.

42 Sweden

Key facts on SME financing

Small and medium-sized enterprises (SMEs) dominate the Swedish business landscape, making up about 99% of all firms. This underscores their central importance to the national economy.

SME lending trends have fluctuated considerably in recent years in Sweden. In 2022, outstanding SME loans declined by approximately 13% to roughly SEK 1.353 trillion, while total business lending rose by over 20% to about SEK 5.134 trillion, reflecting divergent credit trends between smaller and larger firms. This marked a reversal from 2021, when SME debt increased by 5% and total business lending grew by around 7%. In 2023, SME lending rebounded by around 7% to SEK 1.445 trillion, while overall business lending increased modestly by approximately 1% to SEK 5.092 trillion. This volatility in credit volumes mirrors the broader economic swings: the extraordinary conditions of 2022 (with soaring inflation and tight money) were followed by a modest recovery in 2023 as financial conditions stabilised.

Monetary policy, particularly adjustments to the policy rate by the Swedish Central Bank (Sveriges Riksbank), has played a critical role in influencing borrowing costs and managing inflation between 2018 and 2023. From April 2022 to September 2023, the policy rate was raised from 0.00% to 4.00%, marking its highest level in recent years. With inflationary pressures easing, the Swedish Central Bank reversed its course, reducing the policy rate to 2.50% in December 2024 and further to 2.25% in January 2025, indicating a pivot toward supporting economic growth.

SME bankruptcies decreased modestly in 2020 and fell sharply, by 53%, in 2021. Following a slight increase in 2022, SME bankruptcies rose again by approximately 37% in 2023 (to 2 551 cases) and by a further 11% in 2024 (to 2 840 cases). These trends suggest that the government's pandemic-related support measures had only temporary stabilising effects, with financial pressures resurfacing in the subsequent years.

Overall, the current period reflects a complex interplay of post-pandemic recovery, global economic shifts and evolving credit dynamics. Although elevated inflation and tighter financial conditions during 2022–2023 posed significant challenges, Swedish SMEs have demonstrated a noteworthy degree of resilience and adaptability.

Table 42.1. Scoreboard for Sweden

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	SEK billion						930	964	1 003	1 073	1 173	1 290	1 413	1 514	1 492	1 563	1 353	1 445	
Outstanding business loans, total	SEK billion						2 683	2 722	2 812	2 901	2 962	3 189	3 831	3 754	3 868	4 159	51 34	5 092	
Share of SME outstanding loans	% of total outstanding business loans						34.66	35.39	35.67	36.99	39.60	40.46	36.89	40.33	38.57	37.59	28.35	28.38	
Outstanding short-term loans, SMEs	SEK billion						211	217	249	262	316	339	355	397	384	439	404	456	
Outstanding long-term loans, SMEs	SEK billion						719	747	754	811	857	951	1 058	1 177	1 108	1 125	949	989	
Share of short-term SME lending	% of total SME lending						22.71	22.50	24.83	24.44	26.92	26.28	25.12	26.22	25.73	28.06	29.85	31.54	
Direct government loans, SMEs	SEK million	1 422	1 716	3 231	2 112	2 023	2 161	2 200	2 354	3 241	3 324	2 559	1 857	2 292	3 930	2 513	2 851	2 455	2 001
Non-performing loans, total	% of all business loans	0.08	0.46	0.83	0.78	0.65	0.70	0.61	1.24	1.17	1.04	1.12	0.49	0.58	0.51	0.42	0.30		
Interest rate, SMEs	%	4.86	5.66	2.43	2.59	4.17	4.07	3.29	2.71	1.75	1.56	1.50	1.53	1.87	2.08	2.02	2.89	5.39	5.42
Interest rate, large firms	%	3.99	4.84	1.71	1.64	3.01	3.03	2.64	2.15	1.35	1.21	1.14	1.05	1.03	1.29	1.32	2.31	5.10	4.92
Interest rate spread	Percentage points	0.87	0.82	0.72	0.95	1.16	1.04	0.65	0.56	0.40	0.34	0.37	0.48	0.84	0.79	0.70	0.58	0.29	0.51
Non-bank finance																			
Venture and growth capital	EUR million	559.7	492	363.1	698.5	413.4	340.2	355.3	374.8	289.1	266.8	477.3	539.3	588.2	1 824.5	2 125.6	2 176.8	1 869.3	1 421.8
Venture and growth capital (growth rate)	%, Year-on-year growth rate		-12.09	-226.2	92.41	-40.83	-17.7	4.41	5.49	-22.85	-7.7	78.89	12.99	9.07	211.87	15.87	2.41	-14.13	-23.94
Other indicators																			
Payment delays, B2B	Number of days						20.00	24.00	15.00	9.00	9.00	10.00	14	15					
Bankruptcies, SMEs	Number	2 469	3 139	3 913	3 342	3 449	3 808	3 777	3 355	2 998	2 822	3 019	3 392	3 649	3 490	1 652	1 867	2 551	2 840
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		27.14	24.66	-14.59	3.20	10.41	-0.81	-11.17	-10.64	-5.87	6.98	12.36	7.58	-4.36	-52.56	13.01	36.64	11.33

43 Switzerland

Key facts on SME financing

Only 0.3% of all Swiss enterprises are large, and SMEs continue to dominate the enterprise landscape, constituting 99.7% of all firms.

Switzerland exhibited a real GDP growth of 0.9% in 2024, compared with 1.2% in 2023. Total outstanding SME loans rose by 1.8% in 2024, reaching CHF 562 billion, a lower growth rate compared to the 2023 figure of 3.4%. Micro enterprises registered a growth rate of 3%, while small and medium-sized enterprises recorded a decrease rate of 0.8% and 0.5% respectively.

Over the 2007-2024 period, SME loans expanded by 74.1%, while overall corporate lending rose by 80.7%.

Lending standards tightened only slightly in 2024, with robust loan demand by firms throughout the year, while demand for loans by households increased slightly.

Since reaching its lowest point of 1.74% in 2021, the average interest rate charged to SMEs increased between 2022 (2.56%) and in 2023 (3.30%), but fell again in 2024 to 2.39%. Meanwhile the interest rate spread between large and small companies increased to 53 basis points (in 2024), having reached its lowest level since 2009 of 38 basis points in 2023.

Venture and growth capital investments declined sharply by 48.8% in 2020 due to the COVID-19 pandemic. In 2021 and 2022, there was a recovery, with growth of 21.7% and 79.5% respectively. However, after declining by 23.9% in 2023, venture and growth capital investments experienced a further decrease of 16.6% in 2024.

Turning to the developments in online alternative finance, the number of crowdfunding platforms increased to 38 in 2024, compared to 36 in 2023. In 2024, however, only 23 platforms recorded funding campaigns. The largest volume share within the various crowdfunding categories continues to come from crowdlending (74%) followed by crowdfunding (21%). The volume of crowd supporting/crowd donating declined by 7.2% in 2024 compared to the previous year.

Payment delays in the business-to-business sector showed a marginal decrease compared with 2023, with a reduction from 13 to 11 days in 2024. They are still higher than before the COVID-19 pandemic (8 days in 2019). The liquidity problems that have arisen due to the pandemic continue to present a challenge.

In Switzerland, four guarantee cooperatives support SMEs in obtaining bank loans of up to CHF 1 million. Loan guarantee volumes increased steadily over the 2007-2010 period, declined slightly in 2011, and continued to grow from 2012 to 2021. The Parliament has amended the Federal Law on Financial Aid for Loan Guarantee Organisations: since 1 July 2019, the law allows for guarantees up to CHF 1 million (previously, the ceiling was CHF 500 000). Since 2021, there has been a decrease in volume year on year, partly due to a certain amount of cannibalisation by special measures related to the pandemic.

The Swiss Federal Council has adopted three measures in particular to support SME financing during and beyond the pandemic: bridging credits through a guarantee programme, credits through a guarantee programme specific for start-ups and a hardship support programme (mainly non-repayable contributions) for companies which were, due to the nature of their economic activities, particularly affected by the consequences of the COVID-19 crisis. These special COVID-19 guaranteed credit programmes require full repayment of the credit in principle within eight years. By the end of 2024, around 11% of Swiss companies still benefit from these credits.

Table 43.1. Scoreboard for Switzerland

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	CHF billion	323.1	344.8	343.9	363.6	377.6	384.4	404.8	402.3	403.7	412.0	422.1	441.3	463.0	487.6	508.9	534.6	552.5	562.8
Outstanding business loans, total	CHF billion	401.6	426.5	433.5	458.7	480.9	489.1	513.6	526.5	525.0	538.7	550.4	583.9	606.5	648.1	674.0	696.5	716.9	725.9
Share of SME outstanding loans	% of total outstanding business loans	80.44	80.86	79.33	79.26	78.52	78.60	78.81	76.41	76.89	76.48	76.69	75.58	76.33	75.22	75.51	76.74	77.07	77.52
Government loan guarantees, SMEs	CHF million	0.10	0.15	0.19	0.22	0.21	0.22	0.23	0.24	0.24	0.25	0.26	0.26	0.29	15.44	12.29	9.94	7.94	0.29
Interest rate, SMEs	%			2.21	2.11	2.08	2.01	1.99	2.05	2.07	2.04	2.08	1.96	1.83	1.76	1.74	2.56	3.30	2.39
Interest rate, large firms	%			1.35	1.23	1.16	1.11	1.16	1.16	1.30	1.25	1.30	1.33	1.30	1.29	1.15	2.10	2.92	1.86
Interest rate spread	Percentage points			0.86	0.88	0.92	0.90	0.83	0.89	0.78	0.79	0.79	0.63	0.53	0.47	0.59	0.46	0.38	0.53
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending			76.00	75.01	76.56	76.75	74.86	78.78	79.64	79.88	81.85	81.70	82.91	83.93	84.19	84.56	84.18	83.89
Utilisation rate	SME loans used/ authorised	71.00	70.00	71.00	70.00	69.00	71.00	72.00	72.00	71.76	71.68	70.59	70.30	70.13	71.54	71.38	71.76	71.17	71.59
Non-bank finance																			
Venture and growth capital	EUR million	327	300	316	337	231	290	237	234	381	453	1 136	787	1 761	901	1 097	1 769	1 461	1 209
Venture and growth capital (growth rate)	%, Year-on-year growth rate		-8.20	5.40	6.64	-31.68	25.86	-18.44	-1.31	63.25	18.94	150.57	-30.7	123.71	-48.8	21.67	79.48	-23.9	-16.6
Other indicators																			
Payment delays, B2B	Number of days	12	13	13	11	10	9	9	7	7	7	7	6	7	8	13	12	13	11
Bankruptcies, SMEs	Number	4 314	4 221	5 215	6 255	6 661	6 841	6 495	5 867	6 098	6 684	6 710	6 878	6 009	4 893	5 127	6 799	7 335	8 659
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate		-2.16	23.55	19.94	6.49	2.70	-5.06	-9.67	3.94	9.61	0.39	2.50	-12.63	-18.57	4.78	32.61	7.88	18.05

44 Thailand

Key facts on SME financing

SMEs play a significant role in Thailand's economy. In 2024, there were approximately 3.25 million SMEs, accounting for 99.5% of all enterprises, with the majority being micro enterprises. These SMEs are primarily engaged in the wholesale, retail, and service sectors. Moreover, SMEs play a crucial role in economic growth as they are key contributors to employment, accounting for 68.81% of total employment at the end of 2024, and the country's economic growth making up around 35.20% of Thailand's GDP in 2023.

Despite their economic significance, SMEs faced challenges in obtaining financing. Outstanding SME loans from commercial banks declined by 3.11% year-on-year to THB 3.08 trillion at the end of 2024, reflecting banks' cautious lending amid rising credit risks and structural weaknesses due to the uneven economic recovery after COVID-19. The gross NPL ratio for SMEs improved marginally to 7.17%, supported by banks' debt assistance and better repayment capacity among some recovering groups.

SME barriers to financing are due to (i) limited competitiveness and readiness to adapt to global trends (ii) insufficient financial records for evaluating credit risk and repayment capability, such as inadequate bank statement history (iii) high credit risk and a lack of, or insufficient, collateral and (iv) the relatively small size of loan requests which do not cover the costs of credit risk assessment and monitoring by bank.

To address these constraints faced by SMEs, a range of policy measures have been introduced to (1) strengthen SMEs by providing liquidity and debt solutions, as well as (2) enhance credit access through the development of tailored financial services. On debt solutions, the Thai government and the Bank of Thailand (BOT) are placing stronger emphasis on long-term debt relief to reduce burdens and enable more resilient, sustainable growth. This includes comprehensive debt restructuring programs, personalized advisory services like "Doctor Debt," and campaigns promoting responsible borrowing and early intervention.

Moreover, in response to the rapid growth of digital finance, the BOT, in collaboration with relevant agencies, has launched a digital strategy by leveraging technology and data to improve financial inclusion. Central to this initiative are three strategic pillars, known as the "Three Opens" - Open data, Open infrastructure, and Open competition. A key innovation in the Open data pillar is the Your Data Project, which enables SMEs to securely share financial and behavioural data with lenders, improving credit assessments for those lacking traditional records. Under the Open infrastructure pillar, the BOT and the Ministry of Finance (MOF) planned to strengthen the existing credit guarantee system of Thai Credit Guarantee Corporation (TCG) through the establishment of National Credit Guarantee Agency (NaCGA). Planned improvements include (1) the adjustment of a guaranteed fee to be based on each borrower's risk profile. This can be done by improving risk assessment capability through better access to data and (2) expansion of eligible financing products to include non-bank loans and bond instruments. These reforms aim to increase lenders' willingness to lend and broaden financing options for SMEs, especially those with insufficient or no collateral. Lastly, under the Open competition pillar, in addition to earlier efforts of promoting tailored financial services such as nano-finance, pico-finance, and digital personal loans, which lay the foundation of using alternative data to assess creditworthiness for unserved groups, the introduction of virtual banks is expected to transform SME financing by enabling more agile, tech-driven financial services that extensively utilize both financial and alternative data to better meet the evolving needs of small businesses.

Table 44.1. Scoreboard for Thailand

Indicator	Unit	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																		
Outstanding business loans, SMEs	THB billion	2 753	2 565	2 749	3 145	3 481	3 968	4 266	4 511	4 574	4 703	4 893	4 877	3 214	3 384	3 386	3 180	3 081
Outstanding business loans, total	THB billion	5 117	4 863	5 299	6 080	6 723	7 473	7 774	8 022	8 070	8 362	8 727	8 653	9 147	9 863	10 091	9 923	9 969
Share of SME outstanding loans	% of total outstanding business loans	53.81	52.75	51.88	51.74	51.78	53.11	54.88	56.24	56.69	56.25	56.07	56.36	35.14	35.32	34.56	32.05	30.91
Government loan guarantee, SMEs	THB billion			73	113	180	244	270	309	331	354	374	389	451	626	651	625	536
Non-performing loans, total	% of all business loans	5.80	5.42	4.00	3.00	2.40	2.13	2.00	2.55	2.88	3.01	3.05	3.01	3.22	3.07	2.76	2.56	2.45
Non-performing loans, SMEs	% of all SME loans			5.38	3.97	3.46	3.29	3.11	3.50	4.35	4.51	4.56	4.63	7.66	7.45	7.37	7.23	7.17

45 Türkiye

Key facts on SME financing

In 2023, Türkiye's economy remained resilient despite major shocks, including the February 2023 earthquake, global supply disruptions, and geopolitical tensions. GDP grew by 5.1%, supported mainly by strong domestic demand and a solid services sector, especially tourism. On inflation, pressures from energy and core goods eased somewhat in the first half of 2023 as energy price increases slowed and exchange rates stabilised. However, from the second half of 2023, Türkiye began a tight monetary policy stance to fight inflation. In 2024, growth moderated to 3.2% as the disinflation strategy introduced in mid-2023 (including sharp monetary tightening, with the policy rate rising from 8.5% to 50%) reduced domestic demand momentum. Inflation remained high and kept rising until May 2024, mainly due to persistent services inflation, but then peaked and started to decline.

Despite tight credit conditions, new SME lending increased by 33.6% in 2023-2024 period. In the same period, the share of outstanding SME loans in outstanding total business loans decreased to 35.2%. As of April 2025, outstanding SME loans increased by 33.2% compared to same period in 2024, reaching TRY 4917.1 billion. In this period, TRY 1.188 billion of new loans (FX adjusted) were provided to SMEs. The currency distribution reveals that TL loans account for 80.7% of the total SME loans. Moreover, as of April 2025, 57.5% of the total amount of SME loans have medium / long-term maturities.

Venture and private equity investments have increased markedly. After a sharp rise in 2020, (151.38% from 2019) Investments increased again in 2021 (269.06% year-on-year amounting to TRY 5.6 billion). That growth momentum continued into 2023 with an increase of 392.12% year-on-year reaching a record high of TRY 33.9 billion. By the 9-month period of 2024, these investments increased 4.64% year-on-year amounting to TRY 35.5 billion. Such impressive growth in the last years can be explained by the change of the legal framework in order to support entrepreneurship in Türkiye. Similarly, tax incentives for investors who invest in venture capital and private equity funds also supported the growth of the VC industry.

The share of non-performing loans (NPLs) in total business loans decreased to 1.49%, and the share of NPLs of SME loans increased to 1.98% in 2024.

The number of bankruptcies was stable in 2024. Company closures, including sole proprietorships, totalled 55 674 enterprises in 2024, lower than the figure in 2023. KOSGEB is the main body for executing SME policies in Türkiye, with the goal of increasing the productivity of these businesses through various services and programs. The support programs of KOSGEB, which provides direct services and support to SMEs, were restructured in 2024, and the number of programs was reduced and gathered around lean, accessible, digital and global axes.

In addition, a fund of funds platform was established in 2024 with the Ministry of Treasury and Finance and Development and Investment Bank of Türkiye (TKYB) as the main investors. This fund of funds is expected to contribute to increasing technological competence of Türkiye and create a significant multiplier effect in the entrepreneurship ecosystem by deepening capital markets through the leverage effect.

Within the Treasury backed credit guarantee system (system) that plays as a critical role in SME financing, besides the "Credit Guarantee Fund" (CGF), "Export Development Türkiye" (İGE) and "Katılım Finans

Kefalet A.Ş." (KFK) started to their guarantee activities in 2023 and 2025 respectively. Between 2023-2025, with approximately total TRY 285.4 billion credit was utilized by firms and within the system 78% of credits used by SMEs.

In 2024–2025, TÜBİTAK adopted a more SME-friendly approach, improving application processes and shortening evaluation times across its SME and entrepreneurship programs. Under this framework, entrepreneurs receive acceleration and investment support through the BİGG Funds and the BİGG+ Venture Capital Investment Fund, which provides seed finance for scaling. Key SME instruments include, the 1501 Industry R&D Program and the 1507 SME R&D Entry Program, strengthen R&D capacity, widen first-time participation, and support commercial outcomes. The 1507 program provides a dedicated track for SMEs' first five R&D projects. Over the last five years, first-time applicants accounted for 45% of entries to 1507 and over 20% to 1501. A 2025 analysis showed net sales growth of 140.5% above comparable non-supported firms under 1501 and 255.2% under 1507. TÜBİTAK also uses demand-driven innovation including the 1707 Customer-Oriented R&D Call and the 1711 AI Ecosystem Call both of which connect customer organizations with SME technology providers. Over the last two years, as a total of 4 861 projects of 3 562 SMEs and entrepreneurs have been supported with TRY 11.2 billion.

The criteria used to identify SMEs in Türkiye have been updated with the SME Regulation published in the Official Gazette of Türkiye dated 7 August 2025 (Official Gazette of Turkish Republic, 2025). Under this Regulation, the SME definition has changed to include more enterprises within the scope of support. The annual turnover or annual balance sheet limit, which is one of the criteria for becoming an SME was increased from TRY 500 million to TRY 1 billion.

Table 45.1. Scoreboard for Türkiye

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	TRY billion	76.5	84.6	83.3	125.5	162.8	199.7	271.4	333.3	388.8	420.5	513.2	611.3	615.4	848.8	1 074.2	2 026.6	3 199.2	4 274.8
Outstanding business loans, total	TRY billion	190.6	250.3	262.7	353.2	459.0	528.9	715.5	884.7	1 100.1	1 314.4	1 608.9	1 890.2	2 069.9	2 755.7	3 914.1	6 033.9	8 958.0	12 153.6
Share of SME outstanding loans	% of total outstanding business loans	40.14	33.80	31.70	35.52	35.47	37.77	37.94	37.67	35.34	32.00	31.90	32.34	29.73	30.80	27.44	33.59	35.71	35.17
New business lending, total	TRY billion																5 396.7	7 753.4	11 578
New business lending, SMEs	TRY billion																1 954.3	3 342.8	4 788.8
Share of new SME lending	% of total new lending																36.21	43.11	41.36
Outstanding short-term loans, SMEs	TRY billion																846.8	1 030.8	1 457.6
Outstanding long-term loans, SMEs	TRY billion																1 179.7	2 168.5	2 817.2
Share of short-term SME lending	% of total SME lending																41.79	32.22	34.10
Government loan guarantees, SMEs	TRY million	73	236	501	708	902	973	996	1 261	1 950	4 205	142 020	55 796	51 524	124 300	13 836	70 700	149 026	56 497
Government guaranteed loans, SMEs	TRY million	114	341	670	982	1 250	1 312	1 303	1 622	2 513	5 250	157 588	63 810	64 018	155 200	16 813	82 292	179 740	68 147
Direct government loans, SMEs	USD million	552	842	997	855	1 174	928	2 632	1 709	1 764	1 749	285	457	200			674	2 087	3 908
Non-performing loans, total	% of all business loans	3.80	3.70	4.91	3.43	2.61	2.82	2.69	2.64	2.68	2.90	2.81	4.01	5.96	4.69	3.35	2.18	1.62	1.49
Non-performing loans, SMEs	% of all SME loans	3.62	4.79	7.64	4.49	3.10	3.17	3.12	3.27	3.92	4.90	4.71	6.69	9.21	6.44	5.25	2.81	1.75	1.98
Non-bank finance																			
Venture and growth capital*	TRY million	13.7	0.9	6.3	47.6	373.2	110.1	335.6	124.4	135.3	343.2	435.1	903.6	600.4	1 509.4	5 570.5	6 900.5	33 958.3	35 534.4
Venture and growth capital (growth rate)*	%, Year-on-year growth rate		-93.76	639.58	652.90	684.82	-70.50	204.78	-62.93	8.77	153.64	26.79	107.65	-33.55	151.38	269.06	23.87	392.12	4.64
Leasing and hire purchases	TRY million	11 661	14 385	11 066	10 711	15 112	17 154	24 957	29 485	36 718	44 022	52 018	60 707	48 721	57 278	83 203	117 980	189 714	234 275
Factoring and invoice discounting	TRY	6 223	5 610	8 351	12 370	14 213	16 328	20 096	24 715	24 994	31 027	41 599	31 410	34 026	44 565	59 543	127 287	196 910	287 991
Other indicators																			
Bankruptcies, total	Number	52	47	50	68	72	141	69	99	108	222	131	105	97	68	108	109	104	113
Bankruptcies, Total (growth rate)	%, Year-on-year growth rate		-9.62	6.38	36.00	5.88	95.83	-51.06	43.48	9.09	105.56	-40.99	-19.85	-7.62	-29.90	58.82	0.90	-0.45	8.65

46 **Ukraine**

Key facts on SME financing

Despite the devastating impact of the large-scale Russian aggression, the Ukrainian economy continues to demonstrate resilience. The war has led to a range of interconnected problems and challenges faced by businesses, including the destruction of energy, transport, and other critical infrastructure, as well as the production facilities of certain enterprises; the continuous outflow of population from the country, which further destabilizes the labor market and restrains domestic demand; logistical difficulties; and other issues. Taken together, these factors significantly complicate business planning and suppress economic activity.

Nevertheless, thanks to a high level of adaptability to challenging conditions and systematic financial support from international partners, the Ukrainian economy continued to recover in 2024, albeit at a slower pace than in 2023. In 2024, GDP grew by 2.9%, compared to 5.5% in 2023.

2024 saw mounting inflationary pressures, with consumer inflation reaching 12% year-on-year. The main drivers of inflation were high production costs (rising prices for electricity, logistics, and raw materials, along with growing labor costs) and supply constraints (a poor harvest in 2024 due to drought, combined with growing export volumes, reduced the domestic supply of certain agricultural products). Inflation peaked in May 2025, accelerating to 15.9% year-on-year, but has since begun to ease, standing at 14.1% in July 2025. Overall, this downward price trend is expected to continue thanks to the gradual “exhaustion” of excessive cost pressures, along with prudent monetary and fiscal policies.

Public finances remain under severe strain. Since all domestic revenues are fully allocated to defense spending, civil government expenditures remain critically dependent on external financial assistance.

In such extraordinarily difficult conditions, the Government and the National Bank must constantly balance the need to stimulate economic growth, finance the budget deficit, curb inflation, ensure currency stability, and build up reserves.

The lack of sufficient capital continues to be one of the main challenges constraining business development. This is compounded by a relatively weak domestic market and limited opportunities to expand exports. At the same time, lending is becoming an increasingly important source of business financing.

Steady growth in bank lending to SMEs was observed throughout 2024. Currently, business demand for hryvnia-denominated loans is at its highest level since 2021. This trend is supported by improved lending conditions, particularly lower interest rates. The quality of the loan portfolio has also improved, with the share of non-performing loans showing a declining trend.

The revival of bank corporate lending has significantly reduced the need for state-subsidized loans. Nevertheless, the Government continues to implement the preferential business lending program “5-7-9%,” launched in 2020. Currently, lending under this program is carried out in the following priority areas: financing business entities in critical sectors of the economy, particularly manufacturing and agricultural production; reconstruction of fixed assets destroyed as a result of military aggression; support for businesses operating in areas where hostilities are or were taking place; financing of enterprises engaged in energy services and the construction and installation of energy generation facilities, among others. The

practical implementation of the state financial support program is carried out through the integration of its priority conditions into banks' own lending products.

In 2024, within the framework of the “Affordable Loans 5-7-9%” program, more than 25,000 contracts were signed for a total amount of UAH 94.7 billion, of which the largest volumes were issued for: working capital replenishment – UAH 23 billion; manufacturing enterprises – UAH 23.7 billion; loans in areas of military risk – UAH 21.9 billion; investment loans – UAH 20 billion. Thus, although the share of loans provided under the “5-7-9%” preferential business lending program in the total credit portfolio somewhat decreased in 2024, the program nevertheless remains an effective instrument of state financial support for business entities.

Table 46.1. Scoreboard for Ukraine

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs	UAH billion											445	447	435	456	476	462	492	521
Outstanding business loans, total	UAH billion	271	460	482	520	597	626	716	809	807	837	845	874	761	737	774	772	757	820
Share of SME outstanding loans	% of total outstanding business loans											52.65	51.19	57.23	61.83	61.47	59.76	65.02	63.52
New business lending, total	UAH billion	627	724	685	958	1 079	1 121	1 330	1 231	1 213	1 446	1 686	2 283	2 719	2 823	3 247	2 224	1 859	2 003
New business lending, SMEs	UAH billion												687	810	802	1 142	737	761	1 053
Share of new SME lending	% of total new lending												30.07	29.78	28.42	35.18	33.15	46.57	52.58
Outstanding short-term loans, SMEs	UAH billion											201	217	215	244	276	262	264	266
Outstanding long-term loans, SMEs	UAH billion											244	231	220	211	199	200	228	254
Share of short-term SME lending	% of total SME lending											45.23	48.40	49.49	53.61	58.01	56.57	53.62	51.13
Government loan guarantees, SMEs	UAH billion															3.6	28.4	31.4	33.1
Government guaranteed loans, SMEs	Thousands issued															4.2	16.7	18.9	21.8
Interest rate, SMEs	%												17.44	17.65	13.97	11.74	15.20	18.50	17.23
Interest rate, large firms	%												15.54	14.09	8.69	7.39	13.76	16.96	13.11
Interest rate spread	Percentage points												1.90	3.56	5.27	4.35	1.44	1.54	4.12
Non-bank finance																			
Venture and growth capital	UAH billion		61.2	75.9	100.3	121.6	148.7	173.3	202.9	232.2	225.6	257.2	296.2	338.7	407.8	526.8	530.2	590.2	675.5
Venture and growth capital (growth rate)	%			24.01	32.22	21.20	22.34	16.51	17.07	14.43	-2.83	14.01	15.19	14.32	20.40	29.19	0.65	11.32	11.44
Leasing and hire purchases	UAH billion	11.7	7.8	2.2	3.5	8.7	9.4	24.9	6.1	5.0	9.8	13.0	22.2	26.2	26.1	39.8	12.3	21.7	23.6
Factoring and invoice discounting	UAH billion	0.5	1.4	1.5	6.4	6.8	11.7	10.0	23.5	16.6	16.9	31.4	48.1	56.5	84.8	72.4	46.7	67.0	59.3
Other indicators																			
Bankruptcies, all businesses	Number of subjects of entrepreneurial activity						9 540	7 168	6 098	6 292	6 007	4 920	4 075	3 260	3 173	3 319	3 404	3 603	3 652
Bankruptcies, all businesses (growth rate)	%							-24.9	-14.9	3.18	-4.53	-18.1	-17.2	-20	-2.67	4.60	2.56	5.85	1.36

47 United Kingdom

Key facts on SME finance

The developments in the SME finance markets in the United Kingdom in 2024 reflected the high level of uncertainty both domestically and abroad. Political uncertainty in the United Kingdom increased in the lead up to the General Election in July. Similarly, political uncertainty in the United States rose ahead of the Presidential Election in November. Furthermore, evolving conflicts in the Middle East and Russia's war of aggression in Ukraine resulted in uncertainty about the economic outlook.

Gross flows of bank lending (excluding overdrafts), the main component of SME finance markets, rose by 5% in 2024 to GBP 62.1 billion in nominal terms. This was the third highest since records began in 2012 after 2020, which had largely been driven by government-guaranteed Covid-19 loans, and 2022. The rise in 2024 was largely due to increased lending by challenger and specialist banks. However, gross repayments exceeded gross lending for the fourth consecutive year, leading to a net lending that was negative. This is despite a fall in gross repayments of 5% to GBP 65.1 billion, the second consecutive fall from the record high in 2022. Nevertheless, the negative net lending of GBP 3 billion was narrower than in 2023 (GBP 9.3 billion). The outstanding stock of bank lending continued to fall in 2024 but remained relatively high at GBP 179.3 billion.

Among the commonly used forms of alternative finance, the use of asset finance rose modestly in 2024, while that of working capital finance was mixed and equity finance fell. Asset finance new business rose by 0.9% to GBP 23.5 billion, a new record high. This was largely driven by increased new business in the business car finance and commercial vehicle finance sectors. In relation to working capital finance, the use of invoice finance and asset-based lending rose by 5% to GBP 11 billion while the value of overdrafts was down by 2% to GBP 6 billion. The British Business Bank's market intelligence suggests that smaller businesses found it harder to secure new, or increase existing, overdrafts than use other types of working capital finance.

Like overdrafts, the value of SME equity finance declined by 2.5% to GBP 10.8 billion and the number of announced deals was down by 15.1% to 2,048. Following unsustainable increases in valuations during 2021, higher inflation and a tighter monetary environment triggered a downturn in 2022, leading equity investment to revert to lower levels seen prior to the Covid-19 pandemic. The value of alternative finance lending from providers including marketplace, non-bank balance sheet and platform lenders is likely to have risen in 2024. Around GBP 3.4 billion of SME business lending via such providers has been reported. This is up from around GBP 2.5 billion by those providers that the British Business Bank has data for in 2023. The full year results for 2024 of some providers are yet to be published.

The United Kingdom government, the Department for Business and Trade and the British Business Bank will continue to work with a wide range of partners to support businesses across the United Kingdom as they look to invest and grow.

Table 47.1. Scoreboard for the United Kingdom

Indicator	Unit	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																		
Outstanding business loans, SMEs	GBP billion				189	176	166	167	164	166	165	166	168	213	209	197	184	179
Outstanding business loans, total	GBP billion				504	472	448	435	430	449	466	477	490	530	526	540	528	539
Share of SME outstanding loans	% of total outstanding business loans				37.5	37.3	37.1	38.4	38.3	36.9	35.5	34.8	34.2	40.2	39.8	36.6	34.8	33.3
New business lending, total	GBP billion					146	163	190	205	234	259	274	259	329	241	276	258	264
New business lending, SMEs	GBP billion					38	43	53	58	59	57	58	57	105	58	65	59	62
Share of new SME lending	% of total new lending					26.1	26.4	28.2	28.2	25.3	22.2	21.1	22.0	31.9	23.9	23.6	22.9	23.5
Government loan guarantees, SMEs	GBP million		61	51	32	43	50	44	34	31	32	30	30	57 453	11 251	1 811	570	854
Government guaranteed loans, SMEs	GBP million		626	528	324	284	335	297	226	207	216	199	203	61 024	13 279	2 465	814	1 219
Direct government loans, SMEs	GBP million					0.8	61.5	69.8	61.3	82.1	106.6	85.8	88.6	128.3	134.7	121.5	123.3	131.9
Interest rate, SMEs	%	4.54	3.47	3.49	3.52	3.71	3.60	3.43	3.33	3.22	3.16	3.44	3.41	2.15	2.45	3.91	7.01	7.42
Interest rate, large firms / PNFCs *	%	3.49	2.35	2.10	2.25	2.41	2.20	2.45	2.11	2.60	2.43	2.70	2.64	1.87	2.12	3.23	6.35	6.81
Interest rate spread	Percentage points	1.05	1.12	1.39	1.27	1.30	1.40	0.98	1.22	0.62	0.73	0.74	0.77	0.28	0.33	0.68	0.66	0.61
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending				25	31	31	34	40	45	55	41	39	15	14	22	35	41
Percentage of SME loan applications	SME loan applications/ total number of SMEs				7	6	4	5	4	3	2	2	2	6	7	3	2	3
Rejection rate	1-(SME loans authorised/ requested)					31	32	23	18	19	20	24	25	16	15	44	53	52
Non-bank finance																		
Venture and growth capital	GBP billion				1.8	1.9	2.1	3.1	4.5	4.2	7.6	7.4	8.7	11.9	20.6	17.4	11.1	10.8
Venture and growth capital (growth rate)	%, Year-on-year growth rate					7	10	49	44	-5	80	-2	17	37	73	-16	-36	-2
Leasing and hire purchases**	GBP billion				12.0	12.8	13.5	14.8	16.3	17.0	19.3	19.8	20.6	16.0	19.6	21.8	23.3	23.5
Factoring and invoice discounting	GBP billion		8.5	8.6	9.2	9.6	9.8	10.6	10.6	10.8	11.8	12.0	11.8	7.8	8.2	10.7	10.5	11.0
Other indicators																		
Bankruptcies, SMEs	Thousands		25.1	21.4	22.2	21.4	18.9	17.6	15.9	16.1	15.7	17.3	18.5	13.4	14.9	23.4	26.6	25.4
Bankruptcies, SMEs (growth rate)	%, Year-on-year growth rate			-14.7	3.7	-3.6	-11.7	-6.9	-9.7	1.3	-2.5	10.2	6.9	-27.6	11.2	57.0	13.7	-4.5

Note: * Break in data series and definition from 2016. **Most of the leasing and hire purchases reported for the United Kingdom comes from banks.

48 United States

Key facts on SME finance

The United States (US) economy in 2024 demonstrated resilience in the face of ongoing global uncertainties, maintaining moderate output growth alongside a robust labour market and easing inflation. Real GDP expanded by 2.5% in 2024, supported by strong consumer spending and private investment, although growth moderated to 1.6% in the first quarter. The labour market remained strong, with the unemployment rate averaging 4.0% and sustained job creation across sectors.

Inflation, which had peaked in prior years, continued to moderate, with the Consumer Price Index (CPI) rising by 3.5% in April 2024 compared to a year earlier, reflecting the impact of tighter monetary policy and improved supply conditions (US Department of Labor, Bureau of Labor Statistics, 2025). The Federal Reserve reduced the federal funds target range to 4.25%–4.50% by year-end, following cumulative rate cuts intended to support economic momentum while ensuring inflation trends toward the 2% target.

The small business sector continued to contribute significantly to the US economy. As of 2024, there were approximately 33.5 million small businesses, representing 99.9% of all US businesses and employing 61.9 million workers, or 46.5% of the private workforce. Small business formation remained elevated, with sustained high rates of new business applications.

Business borrowing reflected the macroeconomic environment. Commercial and industrial (C&I) loan demand strengthened late in 2024, with net positive demand from small and medium-sized enterprises (SMEs), although early 2025 saw renewed tightening in credit conditions and weakening loan demand amid cautious lender sentiment. Small business loan approvals and utilization rates remained stable, although banks reported higher collateral requirements and tighter covenants.

Venture capital activity remained subdued in 2024, as investors shifted toward lower-risk assets amid rising funding costs and macroeconomic uncertainty. Angel and seed-stage investments showed relative stability, reflecting continued interest in early-stage innovation despite a broader decline in late-stage deal value.

The SBA and Treasury supported SMEs through programs such as the 7(a) and 504 loan programs, as well as the State Small Business Credit Initiative (SSBCI), which had allocated USD 8.4 billion to states, territories, and tribal governments by March 2024.

In 2024, SBA introduced the Agency's first new pilot loan product in over ten years called the Working Capital Pilot (WCP). WCP offers a newly structured line of credit, made by 7(a) lenders and backed by SBA, and is designed to give greater flexibility to SME borrowers than a traditional term loan. WCP loans can be structured as Transition-Based or Asset-Based and provide an innovative fee structure to support growth-oriented businesses that previous SBA loan products could not always support. Additionally, these loans can be utilized for both domestic and international sales, providing a new financing option for US SME exporters.

Table 48.1. Scoreboard for the United States

Indicator	Unit	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt																			
Outstanding business loans, SMEs. As of June 30	USD billion	687	616	604	569	530	523	519	524	534	551	589	626	638	887	800			
Outstanding business loans, total. As of June 30	USD trillion	2.24	2.51	2.45	2.26	2.3	2.48	2.65	2.8	2.97	3.21	3.35	3.5	3.69	4.24	3.93	4.2	4.29	4.33
Share of SME outstanding loans	% of total outstanding business loans	30.61	24.53	24.65	25.22	23.05	21.06	19.60	18.80	17.94	17.17	17.58	17.88	17.30	20.95	20.34			
New business lending, SMEs	USD: Index	118.6	94.7	74.2	80.7	94.6	103.6	111.5	122.7	134.1	130.3	132.5	144.1	146.2	135.8	146.4	143.7	149.1	146.2
Government loan guarantees, SMEs	USD billion	67	71	73	77	84	88	93	98	101	106	113	120	122	639	453	179	152	155
Government guaranteed loans, SMEs	Number of loans (thousands)	375	388	385	366	354	337	323	316	313	316	321	326	322	5 389	6 445	1 425	591	480
Direct Government Loans, SMEs	USD billion														176	240	358	304	280
Non-performing loans, total	% of all business loans	1.22	1.88	3.91	3.46	2.01	1.34	1.00	0.80	0.87	1.57	1.34	1.03	1.11	1.24	1.09	1.06	0.99	1.18
Non-performing loans, SMEs	% of all SME loans	2.14	2.62	3.24	2.62	1.90	1.44	1.21	1.22	1.22	1.28	1.34	1.41	1.55	1.87	1.37	1.29	1.63	1.76
Interest rate, SMEs	%	8.17	6.32	4.1	4.33	4.22	4	3.74	3.59	3.53	3.63	4.28	5.04	5.27	3.29	3.13	4.37	6.06	6.77
Interest rate, all firms*	%	8.05	5.09	3.25	3.25	3.25	3.25	3.25	3.25	3.26	3.51	4.10	4.90	5.28	3.54	3.25	4.85	8.19	8.31
Collateral, SMEs	% of SMEs needing collateral to obtain bank lending											92.9	94.3	92.2	51.1				
Percentage of SME loan applications	Approved SME loan applications/ total number received											55.2	64.7	66.6	62.3	64.1	63.4	62.8	64.8
Rejection rate	1-(SME loans approved/ received)												35.3	33.4	37.7	35.9	36.6	37.2	35.2
Utilisation rate	SME loans used/ authorised												37.8	37.6	31.9	33.3	33.2	43.4	47.5
Non-bank finance																			
Venture and growth capital	USD billion	38	37.2	27.7	31.9	45.3	41.6	49.7	74.1	86.7	84	89.9	145.7	150.3	170.9	346	246.3	170.6	209
Venture and growth capital (growth rate)	%, Year-on-year growth rate		-2.36	-25.5	15.16	42.01	-8.17	19.47	49.09	17.00	-3.11	7.02	62.07	3.16	13.71	102.5	-28.8	-30.7	22.51
Leasing and hire purchases	USD billion	602	608.3	463.6	372.7	375.8	387	401.3	411.5	404.7	388	387.2	397.1	386.7	360.8	323.6	375.4	651.8	702.3
Factoring and invoice discounting	USD billion	105.7	109	96.5	103.6	114.5	84.5	91.3	106.5	103.6	97.5	94.8	95.7	91.3	69.9	102.8	109.8	117.7	113.0
Other Indicators																			
Payment delays, B2B	Percent of Domestic Invoices Overdue								42.5	47.6	48.4	48.8	50	45.1	45.8	50	49	55	50
Bankruptcies, all businesses	Thousand	28.3	43.5	60.8	56.3	47.8	40.1	33.2	27.0	24.7	24.1	23.2	22.2	22.7	21.7	14.3	13.5	18.9	23.1
Bankruptcies, all businesses (growth rate)	%, Year-on-year growth rate		53.8	39.7	-7.5	-15.1	-16.2	-17.1	-18.8	-8.3	-2.5	-4.0	-4.0	2.46	-4.9	-33.8	-6.04	40.4	22.1

Note: Interest rates for all firms refer to the bank prime loan rate, which is the interest rate posted by the majority of the top 25 US chartered commercial banks.

Annex A. Methodology for producing national Scoreboards

Financing SMEs and Entrepreneurs 2026: An OECD Scoreboard provides a framework to monitor trends in SMEs' and entrepreneurs' access to finance and supports the formulation and evaluation of policies in this domain.

The individual country profiles present data on a number of core indicators that measure trends in SME debt, asset-based finance and equity financing, credit conditions, enterprise distress, and policy measures. The set of indicators and policy information provides governments and other stakeholders with a consistent framework to evaluate whether SME financing needs are being met, to support the design and evaluation of policy measures, and to monitor the implications of financial reforms on SME access to finance. Consistent time series for country data enable analysis of national trends across participating countries. It is mainly by comparing trends that insights are drawn about the varying conditions in SME financing across countries.

This Annex describes the methodology for producing the national country profiles, discusses the use of proxies when data are limited or definitions deviate from preferred ones, and addresses the limitations of cross-country comparability.

Scoreboard indicators and their definitions

Core indicators

Trends in financing SMEs and entrepreneurs are monitored using 17 core indicators that address specific questions about access to finance. These core indicators meet the following criteria:

- **Usefulness:** the indicators must be an appropriate instrument to measure how easy or difficult it is for SMEs and entrepreneurs to access finance and to help policymakers formulate or adjust their policies and programmes.
- **Availability:** the data for constructing the indicators should be readily available in order not to impose new burdens on governments or firms.
- **Feasibility:** if the information for constructing the indicator is not publicly available, it should be feasible to make it available at a modest cost, or to collect it during routine data exercises or surveys.
- **Timeliness:** the information should be collected in a timely manner so that the evolving conditions of SME access to finance can be monitored. Annual data may be more easily available, but should be complemented by quarterly data, when possible, to better capture variability in financing indicators and describe turning points.
- **Comparability:** the indicators should be relatively uniform across countries in terms of the population surveyed, content, method of data collection and periodicity or timeliness.

Data sources and preferred definitions

The data in the national Scoreboards are supplied by country experts with access to the information needed from a variety of supply-side and demand-side sources.

Most of the Scoreboard indicators are built on supply-side data, that is, data provided by financial institutions and other government agencies. In addition, there are a number of indicators which are based on demand-side surveys of SMEs. However, not all countries undertake such surveys. Quantitative demand-side data, collected through SME surveys, are used to complement the picture and improve the interpretative power of the OECD Scoreboard, including strengthening the timeliness of the information presented.

To monitor the core indicators, data are collected on 22 variables. Each variable has a preferred definition (see Table A A.1), intended to facilitate temporal consistency and comparability. In a number of cases, however, countries cannot adhere to the “preferred definition” of an indicator due to data limitations or differences in reporting practices, and a proxy is used instead. For this reason, in each country profile, the data are accompanied by a detailed table of definitions and sources for each indicator. To ensure transparency about these limitations and assess how deviations affect comparability, attention is paid to providing more complete and detailed information regarding the definitions and sources of all indicators.

Table A A.1. Preferred definitions for core indicators

Indicator	Definition/ Description	Sources
Outstanding business loans, SMEs	Bank and financial institution loans to SMEs, amount outstanding (stocks) at the end of period; by firm size using the national definition of SME or, if necessary, loan amounts less than EUR 1 million or an equivalent threshold that is deemed appropriate on a case-by-case basis	Supply-side data from financial institutions
Outstanding business loans, total	Bank and financial institution business loans to all non-financial enterprises, outstanding amounts (stocks)	Supply-side data
New business lending, total	Bank and financial institution business loans to all non-financial enterprises over an accounting period (i.e. one year), flows	Supply-side data
New business lending, SMEs	Bank and financial institution loans to SMEs over an accounting period (i.e. one year), flows; by firm size using the national definition of SME or, if necessary, loan amounts less than EUR 1 million or an equivalent threshold that is deemed appropriate on a case-by-case basis	Supply-side data
Short-term loans, SMEs	Loans equal to or less than one year; outstanding amounts or new loans	Supply-side data
Long-term loans, SMEs	Loans for more than one year; outstanding amounts or new loans	Supply-side data
Government loan guarantees, SMEs	Government guarantees available to banks and other financial institutions, stocks or flows	Supply-side data
Government guaranteed loans, SMEs	Loans guaranteed by government, stocks or flows	Supply-side data
Direct government loans, SMEs	Direct loans from government, stocks or flows	Supply-side data
Interest rate, SMEs	Average annual rates for new loans, base rate plus risk premium; for maturity less than one year; and amounts less than EUR 1 million	Supply-side data
Interest rate, large firms	Average annual rates for new loans, base rate for loans equal to or greater than EUR 1 million; for maturity less than one year	Supply-side data
Collateral, SMEs	Percentage of SMEs that were required to provide collateral on latest bank loan	Demand-side survey
Percentage of SME loan applications	SME loan applications divided by the total number of SMEs in the country, in %	Supply-side data or survey
Rejection rate	1-(SME loans authorised/ requested), in %	Supply-side survey
Utilisation rate	SME loans used/ authorised, in %	Supply-side survey

Venture and growth capital investments	Seed, start-up, early stage and expansion capital (excludes buyouts, turnarounds, replacements)	VC association (supply side)
Leasing and hire purchases	New production of hire purchases and leasing, which covers finance leases and operating leases of all asset types (automotive, equipment and real estate) and also includes the rental of cars, vans and trucks.	Business associations (supply side)
Factoring and invoice discounting	Factoring turnover volumes which includes invoice discounting, recourse factoring, non-recourse factoring, collections (domestic factoring), export factoring, import factoring and export invoice discounting (international factoring)	Business associations (supply side)
Non-performing loans, total	% of total business loans	Supply-side data
Non-performing loans, SMEs	% of total SME loans	Supply-side data
Payment delays, B2B	Average number of days delay beyond the contract period for the Business to Business segment (B2B)	Demand-side survey
Bankruptcies, SMEs	Number of enterprises ruled bankrupt; or number bankrupt per 10 000 or 1 000 SMEs	Administrative data

Share of SME loans in total business loans: This ratio captures the allocation of credit by firm size, that is, the relative importance of SME lending in the national credit market. The business loan data used to construct several indicators in the Scoreboard includes overdrafts, lines of credit, short-term and long-term loans, regardless of whether they are performing or non-performing. In principle, this data does not include personal credit card debt and residential mortgages.

Share of SME new lending in total new business lending: This ratio equally captures the allocation of credit by firm size, but for new loans (flows). Flows, which are measured over an accounting period (i.e. one year), are expected to reflect short-term events and are therefore more volatile than stocks, which measure the value of an asset at a given point in time, and thus reflect the latest flows, as well as values that may have cumulated over time, net of depreciation.

Share of short-term loans in SME loans: This ratio reflects SMEs' debt structure, indicating whether loans are used to fund current operations or investment and growth needs. However, caution should be used in interpreting this indicator, because it is affected by the composition of short-term loans versus long-term loans in the SME loan portfolio of banks. For example, the share of short-term loans can increase during periods of strong government intervention to boost SME liquidity. Or on the other hand, the share of long-term loans could also increase during a financial crisis, because it is easier for the banks to shut off short-term credit.

SME government loan guarantees, SME government-guaranteed loans, and SME direct government loans: These indicators reflect the extent of public support for financing SMEs through direct funding or credit guarantees. By comparing government loan guarantees with guaranteed loans, information can be drawn on the take-up of government programmes and on their leverage effect.

SME interest rates and interest rate spreads: These indicators measure market tightness by firm size.

Collateral required: This indicator also shows the tightness of credit conditions. It is based on demand-side surveys in which SMEs report whether they were explicitly required to provide collateral for their last loan. It is not available from supply-side sources, as banks do not generally divulge this information.

SME rejection rate: This indicator shows the degree to which SME credit demand is met. An increase in the ratio indicates a tightening of the credit market, as more credit applications are being turned down. A limitation in this indicator is that it omits the impact of “discouraged” borrowers. However, discouragement and applications are closely correlated, as the number of discouraged borrowers tends to increase when credit conditions become tighter, and applications tend to decline.

SME utilisation rate: This ratio also captures credit conditions, specifically banks' willingness to provide credit, and it is therefore sometimes used in addition to or instead of the rejection rate. An increase in this

ratio indicates that a higher proportion of authorised credit is being used by entrepreneurs and SMEs, typically when credit conditions tighten.

Venture capital and growth capital investments: This indicator shows the ability to access external equity in the form of seed, start-up, early-stage venture capital, as well as expansion capital and is ideally broken down by the investment stage in the country profiles. It excludes buyouts, turnarounds and replacement capital, as these are directed at restructuring and generally concern larger enterprises.

Leasing and hire purchases: This indicator contains information on the use of these instruments. New production of leasing includes finance leases and operating leases of all asset types (automotive, equipment and real estate) as well as the rental of cars, vans and trucks.

Factoring and invoice discounting: This indicator provides information on factoring turnover volumes, including invoice discounting, recourse factoring, non-recourse factoring, collections (domestic factoring), export factoring, import factoring and export invoice discounting (international factoring).

SME non-performing loans/SME loans: This indicator measures the relative performance of SME loans in banks' portfolios, i.e., the riskiness implied by exposure to SME loans. It can be compared with the overall ratio of non-performing loans to all business loans to determine whether SMEs are riskier.

Payment delays: This indicator contributes to assessing SME cash flow problems. Business-to-business (B2B) payment delays reflect supplier credit delays and can provide insights into how SMEs cope with cash flow problems by delaying their payments. B2B payment delays are more relevant to assessing cash flow problems than business-to-consumer or business-to-government data.

SME bankruptcies or bankruptcies per 10 000 or per 1 000 SMEs: This indicator is a proxy for SME survival prospects. Abrupt changes in bankruptcy rates indicate how severely SMEs are affected by economic crises. However, the indicator likely underestimates the number of SME exits, given that many firms may exit the market without filing for bankruptcy. Bankruptcies per 10 000 or per 1 000 SMEs are the preferred measures because this indicator is not affected by the increase or decrease in the total number of enterprises in the economy. This indicator is also affected by significant changes in bankruptcy procedures that can stem from responses to global economic disruptions. Changes in bankruptcy procedures can include raising the threshold limit of unpaid debt to initiate bankruptcy or changes in conditions to initiate bankruptcy procedures (e.g., a request for restructuring before initiating the procedure).

SME target population

The SME target population of the Scoreboard consists of non-financial “employer” firms, that is, firms with at least one employee besides the owner/manager, which operate a non-financial business. This is consistent with the methodology adopted by the OECD-Eurostat Entrepreneurship Indicators Programme for collecting data on business demography. The target group excludes firms with no employees or self-employed individuals, which considerably reduces the number of firms that can be considered SMEs. For most of the countries in the report, data are available for this target population. However, not all countries collect data at the source and compile them in accordance with these criteria. Therefore, in some cases, data includes financial firms and/or self-employed individuals. This is mostly the case in countries reporting financial indicators based on loan size, rather than on the target population, or when sole proprietorships/self-employed cannot be distinguished from the SME population at the supply-side level of reporting.

Timeframe for data collection

The data in the present report cover the period 2007 to 2024, complemented by information available for 2025. In addition, information on government policies to ease SMEs' access to finance is collected and presented up to 2025, whenever possible.

Data adjustments for analysis

Inflation-adjusted data

Differences in inflation levels across countries affect the comparability of trends over time. Considering this, indicators in the trends chapter have been adjusted for inflation since 2016 when appropriate. This adjustment converts nominal (current-price) values into real (constant-price) values, helping to distinguish changes in underlying volumes from those driven by price changes, and improving comparability across countries with divergent inflation paths. For this purpose, the GDP deflator from the OECD Economic Outlook publication is used. The base year used is 2007, as the time-series graphs found predominantly in Chapter 1 compare the median growth rate since 2008.

This deflator is derived by dividing an index of GDP (measured in current prices) by a chain volume index of GDP. It is therefore a weighted average of the price indices of goods and services consumed by households; expenditure by government on goods, services and salaries; fixed capital assets; changes in inventories; and exports of goods and services minus imports of goods and services. It is a very broad indicator of inflation and, given its comprehensiveness, it is thus suitable to deflate current price nominal data into a real terms prices basis for measures of national income, public expenditure and other economic variables with a focus beyond consumer items.

For the evolution of the aggregate outstanding stock of SME loans, the data presented is in nominal terms, given the stock nature of the indicator, and to avoid altering the recorded level through inflation adjustments.

Currency adjustments

Monetary values reported in national currencies are converted into a common currency for the purpose of aggregating country data and analysing cross-country totals. All available series are converted into US dollars (USD) using the annual exchange rate for each reference year in each country, as provided in the OECD Data Explorer exchange rate database and from the World Bank's World Development Indicators for the countries whose data were not available.

Inclusion of median values

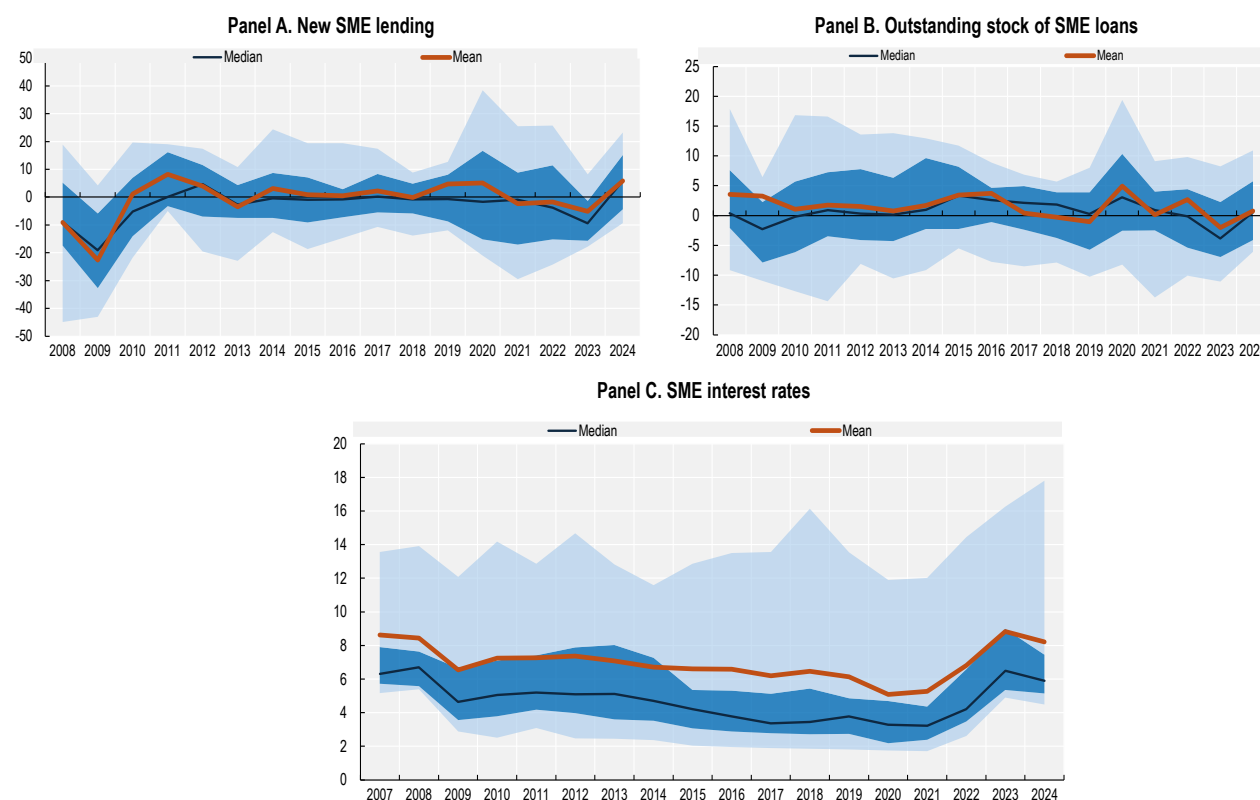
To facilitate interpretation of the data, median values of core indicators are included in Chapter 1 of this publication when appropriate. This enables a better assessment of how participating countries are positioned relative to the assessed core indicators on SME financing. Given the limited comparability of some indicators, this relative position needs to be interpreted carefully and in the country-specific context. Median values rather than average values are displayed because they are less sensitive to outliers in the data and therefore provide a more robust measure of the trend across countries.

The median values are often used when documenting growth rates, mainly for the indicators of new SME lending and the outstanding stock of SME loans. In these cases, both mean and median values are relatively close (Figure A A.1, Panel A and B). This suggests that for documenting year-on-year growth rates, the distribution is not skewed, and most countries display growth rates in a similar range.

However, when documenting the evolution of the cost of credit to SMEs, there is strong heterogeneity across countries as a result of national monetary conditions, financial market structures, the level of competition between financial institutions and the information infrastructure and the institutional environment, which influence the risk perception of SME borrowers by financial institutions. As such, for the SME interest rate indicator in the Scoreboard, the mean and median remain further apart, as shown in the distribution in Figure A A.1, Panel C. For transparency, both mean and median values for this indicator are presented in Chapter 1.

Figure A A.1. Distribution of selected Scoreboard indicators

As a percentage



Note: The dark blue area indicates the 25th and 75th percentiles from the median, and the light blue area shows the 10th and 90th percentiles from the median.

The Scoreboard provides analysis of median values by grouping countries by income using the World Bank Country and Lending classification groups, or by membership in supranational organisations, such as the European Union. Grouping countries by income is used because countries with similar income levels can share economic characteristics, challenges, and opportunities. This can include similar market maturity, market stability and associated risk, and similar dynamics in the demand and supply of finance for SMEs. Table A A.2 provides the groupings of participating Scoreboard countries used to calculate the different medians. However, as mentioned above, the analysis is made with caution, as potential outliers can arise. In such cases, the Scoreboard documents the mean as well as detailed information and a potential explanation for why the value for a specific country and indicator can stand apart.

Table A A.2. Scoreboard countries by groups

EU countries		Non-EU high-income countries	Upper-middle income countries
Austria	Lithuania	Australia	Brazil
Belgium	Luxembourg	Canada	China
Czechia	Netherlands	Chile	Colombia
Denmark	Poland	Israel	Georgia
Estonia	Portugal	Japan	Kazakhstan
Finland	Slovak Republic	Korea	Malaysia
France	Slovenia	New Zealand	Mexico
Germany	Spain	Norway	Peru
Greece	Sweden	Switzerland	Serbia
Hungary		United Kingdom	South Africa
Ireland		United States	Thailand
Italy			Türkiye
Latvia			

Deviations from preferred definitions of indicators

Data limitations and country-level specific reporting practices imply that the national Scoreboards may deviate from the preferred definitions of some core indicators. Some of the main deviations in the definition of variables and data coverage are discussed below.

SME loans

The OECD Scoreboard aims to collect business loan data that include overdrafts, lines of credit, short-term loans, and long-term loans, regardless of whether they are performing or non-performing loans. Additionally, it aims to exclude personal credit card debt and residential mortgages. However, for some countries, significant deviations exist from this preferred SME loan definition. For instance, in some cases, credit card debt is included in SME loans, and it cannot be determined which part corresponds to consumer credit card debt and which part is business credit card debt. In other cases, lines of credit and overdrafts are excluded, while a number of other products are indeed included in SME loans, such as securitised loans, leasing and factoring.

In some countries, central banks do not require any reporting on SME lending. In these cases, the SME loans are estimated from SME financial statements available from tax authorities.

SME loans requested, authorised and used

The indicators on SME loans authorised and SME loans requested, which are used to calculate the rejection rate, are obtained from demand-side surveys. However, not all countries undertake such surveys, or, if they do, the results are not necessarily comparable. This also constitutes an area where substantial data improvements could be made, such as enriching the analysis by the inclusion of an indicator on the level of discouragement to apply for a bank loan. To capture discouragement, this indicator should ideally be analysed in tandem with the number of loan applications. If both loan applications and rejection rates decrease over the same period, this would suggest a higher level of discouragement. As presumably the least credit-worthy firms are deterred from applying for a loan, this could also be indicative of the average riskiness of SME lending.

Another potential improvement concerns the granularity and level of detail of the data; it might be possible to distinguish the rejection rate according to the type of loan (e.g. specific rejection rates on overdrafts,

term loans, credit card loans and so on), to separate partial rejections from full rejections, including more analysis on the (likely) reason(s).

A similar problem holds true for the utilisation rate, which consists of SME loans used divided by SME loans authorised. A decline in this ratio suggests that the credit market is easing, or that banks have been providing more credit than has been used. Again, not every country has reliable survey data on the SME loans used and caution is warranted when making comparisons across countries.

Government loan guarantees and guaranteed loans

The report includes data on government loan guarantees and on the value of loans backed by government guarantees. Supply-side data are the best source of information on loan guarantees. There are many sources for such guarantees: local, regional or central governments. In some countries, an important volume of guarantees is also provided by mutual guarantee schemes. These are private schemes that typically benefit from public support, in the form of direct funding or counter-guarantees. However, the various loan guarantee schemes, public, private and mixed, are not always consolidated to obtain national figures. Therefore, the OECD Scoreboard reports mostly on government loan guarantees which are readily available at central government level. This is also a way to avoid the double-counting of guarantees that have multiple layers, given the existence of counter-guarantees at other levels (regional or supra-national). Still, cross-country differences exist in the degree to which the reported data include all government guarantee programmes, or only large ones.

In some cases, lack of awareness and reporting make it difficult to collect data on guaranteed SME loans. In fact, SMEs are not always aware that their loan is backed by a government guarantee and banks do not usually report this information. When these guaranteed SME loans are reported, they usually represent the full value of the loan and not the portion of the loan that is backed by a public institution guarantee. Nevertheless, this figure has a value of its own when compared to the total amount of SME loans outstanding. Also, it allows the calculation of the leverage effect of government guarantees to SMEs (ratio of guaranteed SME loans to corresponding government guarantees).

SME credit conditions

Significant differences exist across countries in the calculation of SME interest rates. While there is agreement that “fees” should be included in the “cost” of the SME loans, it appears to be particularly difficult to determine which “fees”, among the various charges applied to firms, should be included in the interest rates. In most cases, the interest rate charged on SME loans, net of any fee, is reported. The additional fees, however, represent a rather significant cost for SMEs that is not being captured by the current indicators built on supply-side data, particularly in the case of small SME loans. In this regard, demand-side surveys could be used to collect information on the total cost of funding.

Central banks usually do not collect key pieces of information on SME access to finance, such as the collateral required for SME loans. Banks consider this to be confidential information. A rough approximation can be obtained from demand-side information, that is, the percentage of SMEs required to provide collateral on new loans. This measure is currently used in the OECD Scoreboard, and more transparent reporting by banks on the terms of their SME lending is recommended to improve information on SME credit conditions.

Equity financing

The present report monitors external equity, that is, venture and growth capital. Buyouts, turnarounds and replacement capital are excluded from venture and growth capital. Country classification systems do not always break down private equity data into these categories, and most do not break it down by firm size.

There is also significant heterogeneity in the classification of venture capital stages across countries. While there is a general understanding of the different stages in equity financing, the specific definitions of the types of investments included in different venture capital stages varies across countries and regions. In some cases, differences are purely linguistic; in others, they are more substantive. The OECD has advanced on a harmonised classification across stages, including pre-seed, seed, start-up, and other early-stage and later-stage venture capital which data feature in the [OECD Venture Capital Investments Database](#). This classification is used in Chapter 2 of this publication (Annex B). Similarly, total venture capital figures in Chapter 1 are sourced from the database to aid comparability.

Asset-based finance

Most of the Scoreboard indicators relate to bank finance, although in practice, SMEs and entrepreneurs also rely on other financing options. Including statistics on the use of asset-based finance provides a more comprehensive overview of trends in the diversification of SME financing instruments and sources. Asset-based financing covers a variety of instruments whereby a firm obtains cash based on the value of a particular asset, rather than on credit standing. These instruments include asset-based lending, factoring, and hire purchases.

Asset-based lending is any sort of lending secured by an asset (such as accounts receivable, inventory, real estate, or equipment). As these loans are usually issued by banks, information on asset-based loans is already covered by the SME loans indicator, and a separate indicator on this type of loan is not required. More detailed information on the composition of bank loans would, however, shed light on the importance of asset-based lending and what assets are most often used as security.

The indicator on leasing covers either new production (i.e., a flow indicator) of finance leases and operating leases for all asset types (automotive, equipment, and real estate), and also includes the rental of cars, vans, and trucks. Leasing is an agreement in which the owner of an asset grants the right to use the asset for a specified period in exchange for a series of payments. In some countries, leasing figures may include those from bank sources. Information on hire purchases, which are agreements where the purchaser agrees to pay for the goods in parts or percentages over a number of months and which are very similar to leasing, is also covered. Factoring is a type of supplier financing where firms sell their credit-worthy accounts receivable at a discount and receive immediate cash. Data on factoring turnover volumes includes all turnover covered by invoice discounting, recourse factoring, non-recourse factoring, collections (domestic factoring), export factoring, import factoring, and export invoice discounting (international factoring).

It is important to note that these data usually do not distinguish between SMEs and large corporations, and a breakdown of data according to the size of the lessees does not exist in most countries, although research indicates that leasing and other forms of asset-based finance are very often used by SMEs. Increasing the number of countries providing data and deriving information on the take-up of asset-based finance by firm size, either directly or through a proxy, constitutes an important avenue for future research.

Non-performing loans

There is also a great deal of variation in how banks define non-performing loans. The generally accepted threshold of 90-day arrears, i.e. payments of interest and principal past due by 90 days or more, is indeed used by many of the Scoreboard countries, but not all. Even when the same threshold is adopted, there is substantial variation across countries in the measurement of SME non-performing loans. In some cases, these are measured as a percentage of the entire SME loan portfolio and in other cases, they are not. In addition, it is common practice to classify loans unlikely to be repaid in full as non-performing, even when the 90-day arrears threshold is not met. The circumstances under which loans are considered unlikely to

be repaid, and hence deemed non-performing, vary substantially across countries and financial institutions. Caution is therefore warranted when interpreting this data and comparing it across countries.

When compared with the non-performing loans ratio of large firms, this indicator provides a good description of SME loan performance at the national level, irrespective of the particularities of the national definition. In addition, if changes in the non-performing ratio are analysed over time, the indicator is useful for cross-country comparisons.

Payment delays and bankruptcies

Unlike the preferred definitions, payment delays and bankruptcy data are usually collected for all enterprises and not broken down by firm size. Since SMEs account for more than 97% of the enterprises in the participating countries, the total business figures for payment delays and bankruptcy rates are used as a proxy in this report. However, bankruptcies are hard to compare across countries because of differences in bankruptcy costs, legislation, and behaviour in the face of bankruptcy. In some cases, bankruptcy procedures take a long time, and so bankruptcies only show up in later periods rather than during the crisis period.

Payment delays are reported as delays beyond the contractual date on a B2B or on a broader B2B and B2C basis. Reporting of payment delays is important, given that it captures an additional source of cash flow constraints for SMEs. The reporting of both indicators and the comparison of B2B with B2C delays can also be used to understand whether and how SMEs make use of such payment delays to resolve short-term cash flow issues in lieu of working capital credit facilities.

Differences in definitions of an SME

One of the biggest challenges to comparability is the existing variations in the statistical definition of an SME across banks and national organisations in different countries. Greater harmonisation remains difficult due to the different economic, social and political contexts of individual countries. In addition, within-country differences exist: some banks and financial institutions do not use their national statistical definitions of an SME, but rather use a different definition to collect data on SME financing.

In many cases, authorities collect loan data using the national definition of an SME, based on firm size, usually the number of employees or annual turnover (see Box A A.1).

Box A A.1. What is an SME?

While there is no universal definition of an SME and several criteria can be used in the definition, SMEs are generally considered to be non-subsidary firms which employ less than a given number of employees. The number of employees varies across countries. The most frequent upper limit designation of an SME is 250 employees, as in the European Union. However, some countries set the limit at 200, while the United States considers SMEs to include firms with fewer than 500 employees.

Small firms are mostly considered to be firms with fewer than 50 employees, while micro-enterprises have fewer than 10. Medium-sized firms have between 50 and 249 employees. Turnover and financial assets are also used to define SMEs: in the EU, the turnover of an SME cannot exceed EUR 50 million, and the annual balance sheet should not exceed EUR 43 million.

While these SME thresholds remain in place, the European Commission is introducing a separate category of small mid-cap enterprises (SMCs) to better reflect the situation of firms that have outgrown the SME definition and may face a sharp increase in regulatory obligations. The SMC threshold proposed by the European Parliament includes 1 000 employees, EUR 200 million in turnover or EUR

172 million in total assets. In February 2026, the European Parliament voted to extend various SME regulatory exemptions to SMCs to avoid cliff-edge situations in which a company's obligations drastically increase when it grows beyond the SME threshold.

Source: OECD (2006), The SME Financing Gap (Vol. I): Theory and Evidence, OECD Publishing, Paris. (European Commission, 2026^[11]), (European Parliament, 2026^[21])

In other cases, the SME loan data are based not on firm size but rather on a proxy, that is, loan size.¹ However, the size of the SME loan can differ among countries and sometimes even among banks within the same country.

Several reasons are advanced for not compiling financial statistics based on firm size, including:

- Banks do not collect data by firm size;
- It is too expensive to collect such data;
- Breaking down loan data by firm size would jeopardise confidentiality and are not gathered or communicated as a consequence.

Experience gained from the OECD Scoreboard suggests that loan data broken down by firm size are already in the financial system, but are not extracted unless banks are under a regulatory obligation to provide them. Experience also suggests that the challenges mentioned above could be addressed quite easily. For instance, confidentiality requirements in theory could be met through the use of judicious sub-grouping. In this case, this issue could be resolved if national regulatory authorities were to make the provision of this information mandatory for banks.

Table A A.3. Difference between national statistical and financial definitions of SMEs

Country	National statistical definition of SMEs	Indicator	Definition of SMEs used
Australia	Size of firm: less than 200 employees	Business loans, SMEs	Firm size: enterprises with turnover of less than AUD 75 million.
		Interest rate, SMEs	Firm size: enterprises with turnover of less than AUD 75 million.
Austria	Size of firm: 1 – 249 employees	Business loans, SMEs	Loan size: amounts up to EUR 1 million
		Short- and long-term loans, SMEs	Loan size: amounts up to EUR 1 million
		Government loan guarantees and government guaranteed loans, SMEs	Firm size: enterprises with less than 250 employees
		Direct government loans, SMEs	Firm size: enterprises with less than 250 employees
		Rejection rate	Firm size: enterprises with less than 250 employees
		Interest rate, SMEs	Loan size: amounts up to EUR 1 million
Belgium	Size of firm: less than 250 employees	Business loans, SMEs	Firm size: enterprises with less than 250 employees
		SME loans authorised and used	Firm size: enterprises with less than 250 employees
		Interest rate, SMEs	Loan size: amounts up to EUR 1 million
Brazil	annual turnover of up to BRL 4.8 million	Outstanding business loans, SMEs	Loan size: amounts up to BRL 100 million
			Measured on a client-facility-month basis

Canada	Size of firm: 1-499 employees	Business loans, SMEs	Loan size: amounts up to CAD 1 million
		Short- and long-term loans, small businesses	Firm size: enterprises with 1-99 employees
		Government guaranteed loans, SMEs	Firm size: annual sales (turnover) lower than CAD 5 million
		Direct government loans, SMEs	Firm size: annual sales (turnover) less than CAD 25 million
		Risk premium for small businesses	Firm size: enterprises with 1-99 employees
		Loans authorised and requested, small businesses	Firm size: enterprises with 1-99 employees
		Collateral, small businesses	Firm size: enterprises with 1-99 employees
Chile	Annual sales of firm: up to UF 100 000	Business loans, SMEs	Loan size: amounts up to UF 18 000
		Short- and long-term loans, SMEs	Loan size: amounts up to UF 18 000
		Government guaranteed loans, SMEs	Firm size: annual sales up to UF 100 000 or annual exports up to UF 400 000
		Direct government loans, SMEs	Less than 12 hectares and capital up to UF 3 500
		Loans authorised and requested, SMEs	Firm size: annual sales up to UF 100 000
		Non-performing loans, SMEs	Loan size: amounts up to UF 18 000
		Short-term and long-term interest rate, SMEs	Loan size: amounts up to UF 18 000
		Payment delays, SMEs	Loan size: amounts up to UF 18 000
China	The definition of SMEs differs according to sector.		The definition of SMEs differs according to sector.
		Short- and long-term loans, SMEs	The definition of SMEs differs according to sector.
		Government loan guarantees, SMEs	The definition of SMEs differs according to sector.
		SME government direct loans	The definition of SMEs differs according to sector.
		Non-performing loans, SMEs	The definition of SMEs differs according to sector.
		SME loans requested, authorized and used	The definition of SMEs differs according to sector.
		interest rates, SMEs	The definition of SMEs differs according to sector.
		Collateral, SMEs	The definition of SMEs differs according to sector.
		Loan fees, SMEs	The definition of SMEs differs according to sector.
Colombia	Size of firm: less than 200 employees	Business loans, SMEs	Firm size: enterprises with less than 200 employees
		Non-performing loans, SMEs	Firm size: enterprises with less than 200 employees
		Government guaranteed loans, SMEs	Firm size: enterprises with less than 200 employees
		Interest rate, SMEs	Firm size: enterprises with less than 200 employees
		Collateral, SMEs	Firm size: enterprises with less than 200 employees

Croatia	Size of firm: less than 250 employees	Business loans, SMEs	Firm size: enterprises with less than 250 employees, net income below EUR 50 million and/or total balance sheet assets below EUR 25 million
		Interest rate, SMEs	Firm size: enterprises with less than 250 employees, net income below EUR 50 million and/or total balance sheet assets below EUR 25 million
		Government guaranteed loans, SMEs	Firm size: enterprises with less than 250 employees, net income below EUR 50 million and/or total balance sheet assets below EUR 25 million
		Non-performing loans, SMEs	Firm size: enterprises with less than 250 employees, net income below EUR 50 million and/or total balance sheet assets below EUR 25 million
Czechia	Size of firm: less than 250 employees	Business loans, SMEs	Loan size: amount up to CZK 30 million
		(New business loans, SMEs – flows)	Loan size: amount up to CZK 30 million
		Business loans, SMEs	Firm size: up to 250 employees
		(Outstanding business loans, SMEs – stock)	
		Interest rate, SMEs	Loan size: amount up to CZK 30 million
Denmark	Size of firm: less than 250 employees	Business loans, SMEs	Loan size: amounts up to EUR 1 million
		Short- and long-term loans, SMEs	Loan size: amounts up to EUR 1 million
		Government loan guarantees, SMEs	Firm size: up to 250 employees
		Interest rate, SMEs	Loan size: amounts up to EUR 1 million
Estonia	Size of firm: less than 250 employees	Business loans, SMEs	Loan size: amounts up to EUR 1 million
		Government loan guarantees, SMEs	Loan size: amounts up to EUR 1 million
		Non-performing loans, SMEs	Loan size: amounts up to EUR 1 million
		Interest rate, SMEs	Loan size: amounts up to EUR 1 million
Finland	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Loan size: up to EUR 1 million
		Short- and long-term loans, SMEs	Firm size: less than 250 employees
		Value of government guaranteed loans, SMEs	Firm size: less than 250 employees
		Loans authorised and requested, SMEs	Loan size: up to EUR 1 million
		Interest rate, SMEs	Loan size: up to EUR 1 million
		Collateral, SMEs	Firm size: less than 250 employees
France	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: number of employees (less than 250), turnover (less than EUR 50 million), total assets of legal units (less than EUR 43 million) and independent; bank must inform the Central Credit Register when it grants a loan of more than EUR 25 000
		Short- medium- and long-term loans	Firm size: number of employees (less than 250), turnover (less than EUR 50 million), total assets of legal units (less than EUR 43 million) and independent; bank must inform the Central Credit Register when it grants a loan of more than EUR 25 000

		Share of the outstanding loans of failing companies, SMEs except micro-enterprises	Firm size: number of employees (less than 250), turnover (less than EUR 50 million), total assets of legal units (less than EUR 43 million) and independent; bank must inform the Central Credit Register when it grants a loan of more than EUR 25 000
		Interest rate, SMEs	Loan size: less than EUR 1 million
		Bankruptcies, SMEs	Firm size: number of employees (less than 250), turnover (less than EUR 50 million), total assets of legal units (less than EUR 43 million) and independent
Georgia	Less than 100 employees and turnover below GEL 1.5 million	Business loans, SMEs	Less than 100 employees and turnover below GEL 1.5 million
		Non-performing loans, SMEs	
		Interest rate, SMEs	
		Collateral SMEs	
Germany	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million.
		Interest rate, SMEs	Loan size: less than EUR 1 million
Greece	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: number of employees (less than 250 employees), turnover (less than EUR 50 million) and total assets (less than EUR 10 million)
		Interest rate, SMEs	Loan size: less than EUR 1 million
		Collateral, SMEs	Loan size: less than EUR 1 million
Hungary	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: number of employees (less than 250 employees), turnover (less than EUR 50 million) and total assets (less than EUR 10 million)
		Overdraft loans, SMEs	Firm size: number of employees (less than 250 employees), turnover (less than EUR 50 million) and total assets (less than EUR 10 million)
		Investment loans, SMEs	Firm size: number of employees (less than 250 employees), turnover (less than EUR 50 million) and total assets (less than EUR 10 million)
		Direct government loans, SMEs	Firm size: number of employees (less than 250 employees), turnover (less than EUR 50 million) and total assets (less than EUR 10 million)
		Government guaranteed loans, SMEs	Firm size: number of employees (less than 250 employees), turnover (less than EUR 50 million) and total assets (less than EUR 10 million)
		Non-performing loans, SMEs	Firm size: number of employees (less than 250 employees), turnover (less than EUR 50 million) and total assets (less than EUR 10 million)

		Average interest rate, SMEs	Loan size: amounts up to EUR 1 million
Ireland	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: Less than 250 employees
		Short- and long-term loans, SMEs	Loan size: less than EUR 1 million
		Interest rates, SMEs	Loan size: less than EUR 1 million
Israel[i]	Size of firm: less than 100 employees and annual turnover of up to NIS 100 million	Business loans, SMEs	Loan size: amounts of NIS differ depending on the bank
		Interest rate small firms and medium firms	Loan size: amounts of NIS differ depending on the bank
Indonesia	Maximum turnover of 50 billion rupiah or maximum assets (excluding building land asset) of 10 billion rupiah	Business loans, SMEs	Firm size: Maximum turnover of 50 billion rupiah
Italy	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: less than 20 workers
		Short- and long-term loans, SMEs	Firm size: less than 20 workers
		Government guaranteed loans, SMEs	Firm size: less than 250 employees
		Direct government loans, SMEs	Firm size: less than 250 employees
		Loans authorised and used, SMEs	Firm size: less than 20 workers
		Non-performing loans, SMEs	Firm size: less than 20 workers
		Interest rate, average SME rate	Firm size: less than 20 workers
		Collateral, SMEs	Firm size: less than 20 workers
		Venture and expansion capital, SMEs	Firm size: less than 250 employees
		Payment delays, SMEs	Firm size: turnover of up to EUR 50 million and less than 250 employees
Japan	Varies by sector	Business loans, SMEs	The definition of SMEs differs according to sector.
		Bankruptcies, SMEs	The definition of SMEs differs according to sector. Only enterprises with debts of at least JPY10 million are included.
Kazakhstan	Less than 250 employees in addition to an annual income criterium	Business loans, SMEs	Firm size: less than 250 employees and up to MCI 3 million or KZT 9.54 billion
Korea	Varies by sector	Business loans, SMEs	The definition of SMEs differs according to sector.
		Short- and long-term loans, SMEs	The definition of SMEs differs according to sector.
		Government loan guarantees, SMEs	The definition of SMEs differs according to sector.
		Direct government loans, SMEs	The definition of SMEs differs according to sector.
		Loans authorised and requested, SMEs	The definition of SMEs differs according to sector.
		Non-performing loans, SMEs	The definition of SMEs differs according to sector.
		Interest rate spread, SME and large firm rates	The definition of SMEs differs according to sector.

		Payment delays, SMEs	The definition of SMEs differs according to sector.
Latvia	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Interest rate, SMEs	Loan size: Loans of less than EUR 250000
Lithuania	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: Less than 250 employees and annual turnover below EUR 50 million
Luxembourg	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	SME loans	Firm size: less than 250 employees and either annual turnover below EUR 50 million or annual balance sheet below EUR 43 million.
		SME interest rate	Loan size: Loans of less than EUR 1 million
Malaysia	Manufacturing sector: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200. Services and other sectors: Sales turnover not exceeding RM 20 million or full-time employees not exceeding 75.	SME loans	Firm size: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200 for firms operating in the manufacturing sector and sales turnover not exceeding RM 20 million or full-time employees not exceeding 75 for firms operating in services and other sectors,
		SME short-term loans	Firm size: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200 for firms operating in the manufacturing sector and sales turnover not exceeding RM 20 million or full-time employees not exceeding 75 for firms operating in services and other sectors,
		SME long-term loans	Firm size: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200 for firms operating in the manufacturing sector and sales turnover not exceeding RM 20 million or full-time employees not exceeding 75 for firms operating in services and other sectors,
		SME non-performing loans	Firm size: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200 for firms operating in the manufacturing sector and sales turnover not exceeding RM 20 million or full-time employees not exceeding 75 for firms operating in services and other sectors,

		SME loans authorised	Firm size: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200 for firms operating in the manufacturing sector and sales turnover not exceeding RM 20 million or full-time employees not exceeding 75 for firms operating in services and other sectors,
		SME loans requested	Firm size: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200 for firms operating in the manufacturing sector and sales turnover not exceeding RM 20 million or full-time employees not exceeding 75 for firms operating in services and other sectors,
		SME interest rate	Firm size: Sales turnover not exceeding RM 50 million or full-time employees not exceeding 200 for firms operating in the manufacturing sector and sales turnover not exceeding RM 20 million or full-time employees not exceeding 75 for firms operating in services and other sectors,
Mexico	Firm size: up to 100 or 250 employees, depending on the sector	SME loans	The definition depends on the number of employees and the annual revenues of the borrower
		SME guaranteed loans/direct loans	Firm size: up to 100 or 250 employees, depending on the sector
		SME loans requested and authorized	Firm size: up to 100 or 250 employees, depending on the sector
		SME interest rate	Firm size: up to 100 or 250 employees, depending on the sector
Netherlands	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Loan size: up to EUR 1 million
		Short- and long-term loans, SMEs	Loan size: up to EUR 1 million
		Government loan guarantees, SMEs	Firm size: up to 250 employees
		Loans authorised and requested, SMEs	Firm size: up to 250 employees
		Collateral, SMEs	Size of firm up to 50 employees
New Zealand	No unique national definition.	Interest rates, SMEs	Loan size: up to NZD 1 million
		Loan authorised, SMEs	Firm size: enterprises with 6-19 employees
		Loan requested, SMEs	Firm size: enterprises with 6-19 employees
Norway	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: less than 250 employees
		Venture Capital, SMEs	Firm size: less than 250 employees. Invested equity in the last two years.
		Bankruptcy, SMEs	Firm size: less than 250 employees, excludes non-employer firms and sole proprietorships.

Portugal	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
		Short- and long-term loans, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
		Government guaranteed loans, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
		Loans authorised and requested, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
		Non-performing loans, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
		Interest rates, SMEs	Loan size: up to EUR 1 million (prior to 2010) and loans up to EUR 0.25 million (in 2010)
		Collateral, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
Peru	SMEs are defined by annual turnover	Outstanding business loans, SMEs	Defined by annual sales of the borrower
Serbia	Up to 250 employees, turnover up to EUR 10 million, total assets up to EUR 5 million	Business loans, SMEs	Firm size, in accordance with national statistical definition.
		Interest rate, SMEs	Loan size: up to EUR 1 million.
Slovak Republic	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: less than 250 employees (including natural persons)
		Short- and long-term loans, SMEs	Firm size: less than 250 employees (including natural persons)
		Government loan guarantees, SMEs	Firm size: less than 250 employees (including natural persons)
		Government guaranteed loans, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)

		Direct government loans, SMEs	Firm size: less than 250 employees (including natural persons)
		Direct government loans, SMEs	Firm size: less than 250 employees (including natural persons)
		Collateral, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
		Venture capital, SMEs	Firm size: EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million, Com Recommendation 2003/361/EC)
Slovenia	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Short- and long-term loans, SMEs	Firm size: less than or equal to 250 employees and asset value less than or equal to EUR 17.5 million.
		Direct government loans, SMEs	Firm size: less than or equal to 250 employees and asset value less than or equal to EUR 17.5 million.
		Interest rate, SMEs	Firm and loan size: enterprises with less than 250 employees and amounts less than EUR 1 million.
South Africa	SMEs are defined by annual turnover	Business loans, SMEs	Firm size: Businesses with turnover less than ZAR 400 million
		Non-performing loans	Firm size: Businesses with turnover less than ZAR 400 million where an exposure is overdue for more than 90 days
Spain	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Loan size: less than EUR 1 million
		Short- and long-term loans, SMEs	Loan size: less than EUR 1 million
		Government guaranteed loans, SMEs	Firm size: less than 250 employees
		Interest rate, SMEs	Loan size: less than EUR 1 million
		Venture capital, SMEs	Firm size: less than 250 employees
		Payment delays, SMEs	Firm size: EU definition
		Bankruptcies, SMEs	Firm size: EU definition
Sweden	EU definition (less than 250 employees and annual turnover below EUR 50 million and/ or balance sheet below EUR 43 million)	Business loans, SMEs	Firm size: 1-249 employees
		Short- and long-term loans, SMEs	Firm size: 1-249 employees
		Government guaranteed loans, SMEs	Firm size: 0-249 employees
		Government loan guarantees, SMEs	Firm size: 0-249 employees
		Direct government loans, SMEs	Firm size: 0-249 employees
		Loans authorised, SMEs	Firm size: 0-249 employees
		Interest rates, SMEs	Loan size: up to EUR 1 million
Switzerland	Size of firm: less than 250 employees	Business loans, SMEs	Firm size: less than 250 employees
		Government guaranteed loans, SMEs	Firm size: less than 250 employees
		Loans used, SMEs	Firm size: less than 250 employees
		Collateral, SMEs	Firm size: up to 249 employees
		Interest rates, SMEs	Loan size: less than CHF 1 million
Thailand	Number of employees and revenue according	Business loans, SMEs	Firm size: according to the sector, revenue and number of employees.

	to the industry: firms in manufacturing less than 200 employees and revenue of less than THB 500 million Firms in services: Less than 100 employees and THB 300 in revenue.	Short- and long-term loans, SMEs	Firm size: according to the sector, revenue and number of employees
		Government guaranteed loans, SMEs	Firm size: according to the sector, revenue and number of employees
		Loans authorised and requested, SMEs	Firm size: according to the sector, revenue and number of employees
		Non-performing loans, SMEs	Firm size: according to the sector, revenue and number of employees
		Interest rate, SME average rate	Firm size: according to the sector, revenue and number of employees
		Payment delays, SMEs	The National definition of SMEs differs according to sector.
		Bankruptcies, SMEs	The National definition of SMEs differs according to sector.
Türkiye	Less than 250 employees and TRY 500 million in turnover. The definition changed in August 2025 but data feature in the 2026 edition was reported previous to this date.	Business loans, SMEs	Firm size: less than 250 employees
		SME non-performing loans	Firm size: less than 250 employees
Ukraine	Less than 250 employees and EUR 50 million in turnover	Business loans, SMEs	Firm size: Less than 250 employees and EUR 50 million in turnover
		Interest rates, SMEs	
United Kingdom	Size of firm: less than 250 employees	Business lending, SMEs	Firm size: turnover of up to GBP 25 million
		Interest rates, SMEs	Firm size: turnover up to GBP 25 million
		Collateral, SMEs	Firm size: less than 250 employees, including non-employer enterprises
United States	Size of firm: less than 500 employees	Business loans, SMEs	Loan size: up to USD 1 million.
		Short-term loans, SMEs	Loan size: up to USD 1 million.
		Government guaranteed loans, SMEs	Varies by industry
		Collateral, SMEs	Loan size: up to USD 1 million

Impact of diversity in definitions

The issues in data collection outlined above pose limits to making cross-country comparisons using the raw data. However, it is possible to observe general trends for the indicators, both within and across countries, using growth rates. When analysing trends, differences in the exact composition of the indicators are muted because changes over time are examined rather than levels. On some occasions, levels are analysed using the share of GDP to control for the size of the economy. While caution is required in cross-country comparisons given the diversity of definitions, the analysis of levels provides useful within-country insights. Additionally, if the indicators are analysed as a set, it is possible to form an overview of the country

trends in SME financing. It is precisely by comparing trends that the Scoreboard sheds light on changing market conditions and policies for financing SMEs and entrepreneurs.

However, again, caution is required in cross-country comparisons, especially as concerns the use of flow variables and stock measures. Flows, which are measured over an accounting period (i.e. one year), capture changes of a given variable and are therefore more volatile than stocks, which measure levels, i.e. the value of an asset at a given point in time, and thus reflect the latest flows, as well as values that may have cumulated over time, net of depreciation. The comparison of flows and stock measures can be particularly problematic when growth rates are considered. In fact, a negative growth rate of a flow variable can be compatible with a positive growth rate of the same variable measured in stocks. This would be the case if the stock variables increase over time, but the absolute increase by which the stock variables grow becomes smaller. Similarly, a negative growth rate of a loan stock does not necessarily mean a decline in SME lending but could be attributed to maturing loans exceeding the value of new loans granted. Such difficulties underline the importance of complementing stock data with flows of new loans.

Recommendations for methodological improvements

Strengthening the standardisation of data collection

To enable more timely data collection and better cross-country comparisons, it is necessary to progress in data harmonisation and in standardising data collection methods. The adoption of a standardised table for data collection and submission on SME finance has improved the Scoreboard's data collection process, while allowing some customisation at the country level. The systematic use of a common template for data collection is also intended to facilitate the timely publication of the data on core indicators on the OECD Data Explorer of [Financing SMEs and Entrepreneurs: An OECD Scoreboard](#), from which it can then be customised, manipulated and downloaded.

The long-term objectives of timeliness, comparability, transparency and harmonisation of data should continue to be pursued actively by national authorities. To that end, national authorities should work with financial institutions to improve the collection of data on SME and entrepreneurship finance, by:

- Requiring financial institutions to use the national definition for an SME based on firm size.
- Requiring financial institutions to report on a timely basis to their regulatory authorities SME loans, interest rates, collateral requirements, by firm size, and broken down into the appropriate size subcategories, as well as those SME loans which have government support.
- Working towards international harmonisation of data on non-performing loans.
- Encouraging international, regional and national authorities as well as business associations to work together to harmonise quantitative demand-side surveys in terms of survey population, questions asked, and timeframes; encourage the competent organisations to undertake yearly surveys.

Improving the reporting of core indicators

Since the Scoreboard pilot exercise was launched in 2009-10, important progress has been made in terms of standardisation and comparability of information. As country coverage continues to increase, it is important for good practices in data collection and reporting to be shared among countries, but also for further advancement to be made in the harmonisation of core indicators. A number of areas can be identified to improve the monitoring over time of trends at the country level and across countries.

First, it is of paramount importance to improve the reporting of SME loan variables. Key areas for refinement include:

- **Separate reporting of financial information for non-employer and employer-firms**, so as to harmonise the financial data with the SME definition employed in national statistics. The separation would also allow for a more in-depth evaluation of financing trends at the country level, distinguishing between funding that is directed to businesses that generate employment from that directed to self-employers, which may however represent an important share of the country's business activity.
- **Collection of stock and flow data for SME loans**. These two indicators are complementary and should be jointly analysed in order to draw a comprehensive picture of the evolution of the SME lending portfolio.
- **Information on the composition of lending portfolios, broken down by different products** (overdrafts/ lines of credit/ leases/ business mortgages or credit cards/ securitised loans). Greater granularity in reporting on business loans would enable the identification of the underlying elements of the SME business loan portfolio. This represents a necessary first step towards pursuing greater harmonisation in the definition of SME loans across countries, or at least identifying a common "base composition" for more meaningful cross-country comparisons.

Second, it is also necessary to fill the gaps in available data and work towards more comprehensive information for other core indicators in the Scoreboard:

- **Systematically distinguish between stock and flow data**. Indicators such as government loan guarantees, government-guaranteed loans, and direct government loans can be measured as either stocks or flows. Countries should systematically report whether the reported data corresponds to stocks or flows.
- **Government guarantees**: Provide consolidated figures, which take into account the entire range of public guarantee programmes, while excluding double counting related, for instance, to the counter-guarantee of the same lending portfolio. Include additional information on the scope and coverage of public guarantee schemes, in particular information on the volume of outstanding guarantees, the public contribution to the fund's capitalisation, and the value of the loans supported by public guarantees. The Scoreboard data should be complemented, in the policy section of country profiles, by monitoring the take-up and phasing out of these guarantee schemes.

In the context of specific measures on greening and digitalisation, provide information on new or expanded government schemes, including information on eligibility criteria and duration, and, if possible, the amount of total funding allocated to those schemes. This information could also complement the work of the OECD Platform on Financing SMEs for Sustainability as well as the D4SME initiative.

- **Government guaranteed loans**: Provide the corresponding loans backed by the reported government guarantees so as to allow for the calculation of a leverage ratio. Optimally, the guaranteed portions of these loans should also be reported.
- **Non-performing loans (NPLs)**: Provide the NPL ratio for SME loans, together with the overall NPL ratio of the business loan portfolio or the NPL ratio for large firms. The latter would be used as a benchmark against which the performance and quality of the SME loan portfolio are measured.
- **Asset-based finance**: Obtain data broken down by firm size or a functioning proxy of firm size. Currently, business associations usually do not distinguish by firm size in their use of these instruments, which limits understanding of the importance of these non-bank financial instruments for SMEs.
- **SME loan fees**: Provide information on the standard practice of the commercial banking sector with respect to loan fees charged to SME loans in addition to the interest rate, at a national level.
- **Collateral**: Improve the description of what constitutes collateral and use demand-side survey information to compensate for the lack of supply-side data on collateral.

Third, it is important to improve data collection on online alternative finance to capture their growing role in the SME financing mix. For example, indicators for future consideration in the Scoreboard may include digital lending (e.g. loans issued by Fintech balance-sheet lending platforms, P2P/Market place lending, invoice trading) and digital capital raised by SMEs (e.g. crowdfunding). The Cambridge Centre for Alternative Finance offer specific definitions for the different types of digital lending and digital capital raising (Cambridge Centre for Alternative Finance, 2026^[3]).

Strengthening disaggregated data on SME financing

The collection of disaggregated data under the framework of the SME Financing Scoreboard responds to the need for a more granular assessment of SME financing conditions and access to finance. These efforts are crucial considering the significant heterogeneity of the SME population and its impact on access to finance and financing conditions. The collection of more granular data is also in line with the 2022 Updated High-Level Principles on SME Financing, the [OECD Recommendation on SME Financing](#) and the [G20 Action Plan for MSME Financing](#).

Strengthening data collection at the subnational level

In 2021, the Scoreboard started to collect disaggregated data on SME and entrepreneurship financing along two dimensions: geographical location (TL2 level) and sex of the principal owner. The collection of subnational data on access to finance responds to a growing interest in documenting how financing conditions change across different regions of the same country, and how these variations affect enterprise development and productivity and may justify different or differentiated policies.

At the subnational level, coverage across countries has improved over the years. However, data coverage across Scoreboard indicators is sparse, with 12 countries reporting on five or fewer indicators. Indicators with poor coverage include alternative sources of finance (i.e. leasing and factoring) and indicators measuring demand and supply of debt (i.e. SME loan application rates, SME loan rejection rates and SME loan utilization rates). Payment delays and public grants are also scarce. As a result, cross-country analysis at the subnational level for these indicators is very difficult.

Considering the importance of a diversified offer of financing sources and instruments to SMEs, as well as the documented geographical concentration on some alternative financing instruments, engagement with local leasing and factoring associations through national associations is crucial. These industry associations often rely on local offices for the collection of the data, and it is likely that subnational data on the uptake of these instruments is available. Similarly, countries can leverage local or regional development banks that may collect data on the provision of alternative sources of finance to SMEs.

Fostering the collection of sex-disaggregated data

The collection of sex-disaggregated data is critical for policymakers to target and design policies to address gender disparities in the offer and uptake of finance from SME owners and entrepreneurs.

The results of the Scoreboard data collection reveal a major gap between the political priority attached to addressing gender gaps in SME access to finance and the official data currently collected on this dimension, which is limited. However, the number of countries reporting these data has gradually increased since the first data collection in 2021, when only three countries provided disaggregated data at the gender level, versus eight countries in 2024. Despite these improvements, disaggregated data by sex of the principal owner remain scarce.

Within the Scoreboard framework, the OECD has made important contributions to fostering the collection of sex-disaggregated data on SME financing. In 2024, the OECD partnered with the Women Entrepreneurs Finance Initiative (We-Fi) to act as a global data aggregator of the Women Entrepreneurs Finance Code².

Under this partnership, the OECD Secretariat prepared the [Guidelines for the collection of sex-disaggregated data on MSME Financing](#) to provide both Scoreboard countries and Code signatories a standardized framework for the collection of these data³ building on the experience, methodology and good practices of the Scoreboard exercise. The Guidelines include information on indicators, definitions, and data reporting instructions. As global data aggregator, the OECD ensures quality and transparency in data collection on women entrepreneurs' access to finance. Efforts to improve country and time coverage will continue to be pursued.

Starting with the 2027 Scoreboard interim highlights, the OECD will include selected insights from the Code data in the Scoreboard. Data will also be available on the [OECD Data Explorer](#).

Box A A.2. Fostering the collection of sex-disaggregated data within Scoreboard countries

A number of actions can be taken by countries that do not collect sex-disaggregated data today:

1. Countries can start with an initial assessment of the current state of the collection of sex-disaggregated data, including a mapping of the ecosystem to identify key players, gaps and opportunities for centralization.
2. Countries with no available gender data can raise awareness among both private and public stakeholders about the importance of collecting these data. This can be done by identifying champions across the ecosystem (i.e. regulatory and supervisory authorities or industry associations), leveraging demand-side data, and showing the business case of the collection of these data to have a wider involvement from the private sector.
3. Depending on the assessment of the current state of collection of sex-disaggregated data, systems could be established or refined. This can be done by standardizing definitions of women SMEs at the national level and by selecting indicators that align with policy goals and that can realistically be provided by national stakeholders. The Scoreboard Guidance provides useful information for countries to establish their data systems.

Throughout the process, countries need to look for ways to improve data collection and analysis capabilities both within data-providing and data-aggregating institutions. The We-Fi, together with its implementation partners, provide several tools in this area.

Source: (Data2X; Financial Alliance for Women, 2023^[4]), (WE-Finance Initiative, 2023^[5]).

Boosting the user-friendliness of the Scoreboard database

One of the key outputs of the Scoreboard exercise is its [database](#), which compiles data collected from Scoreboard country experts since 2012. Over the years, this database has been continuously updated to provide users worldwide with the latest available data. Significant enhancements were made to improve the user experience of the Scoreboard database. Previously, the database allowed users to filter data only by country and year. The new version now offers additional filtering options, differentiating between company size (e.g. large, small or total), stock and flow data, and unit of measure (e.g., volumes in local currency, percentage, percentage points). These improvements were made possible by advancements in the data infrastructure supporting all OECD databases. Future updates will further expand the database, incorporating disaggregated data at the subnational level and by sex of the principal owner. As such, countries are strongly encouraged to provide the available disaggregated data.

Using complementary sources of information to enrich the core indicators

Many countries do not collect data on the full range of financing instruments other than straight debt by SMEs, despite the increasing importance of alternative instruments. In recent years, more data from secondary sources, such as research institutes and industry bodies, have been included in the Scoreboard for an increasing number of financial instruments. These include leasing and hire purchases, factoring activities, venture capital and online alternative finance.

The OECD Secretariat will continue to enrich the core indicators with additional complementary sources of information, in line with available resources, and, if judged sufficiently reliable, comparable, and relevant, continue its focus on providing high-quality information on the broad range of financial instruments at the disposal of SMEs and entrepreneurs. For example, the 2026 edition of the Scoreboard includes more granular information on the supply of venture capital investments, including differentiating by type of investor⁴. In fact, findings on venture capital flows by type of investor in Europe were presented for the first time in the [2025 Scoreboard Highlights](#), enabling an assessment of the role of public-sector investors in recent years.

In addition, it would be beneficial to collect information on public support schemes in a more standardised way. Since the 2024 edition, Scoreboard experts are encouraged to provide the information of policy programmes in a standardized way. Some country profiles include a standardised table of government policies, so the same information on recent government programmes is captured across countries. This is important to standardise information on new or expanded government schemes (e.g., government guarantee schemes, new lines of direct lending), including the amount of funding disbursed to SMEs, programme duration, and specific eligibility criteria. Information on the scope and magnitude of SME financing policies aimed at more structural objectives, such as the green and digital transitions, could also be captured through this proposed structure. Reporting this information would also complement the work of the OECD Platform on Financing SMEs for Sustainability, the D4SME initiative, and the CSME Data Lake.

Furthermore, given the growing importance of fintech and online alternative instruments, as well as non-bank finance in financing SMEs, indicators that capture this information have become relevant. A survey assessing the extent to which this information is available across Scoreboard countries could further inform the feasibility of including this data in the Scoreboard framework.

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Notes

¹ Studies by the World Bank provide evidence that loan size is an adequate proxy for size of the firm accessing the loan. See for instance Ardic O.P., Mylenko N., Saltane V. (2012), “Small and medium enterprises: a cross-country analysis with a new data set”, *Pacific Economic Review*, Vol. 17, Issues 4, pp. 491-513.

² The WE Finance Code is a commitment by financial service providers, regulators, development banks, and other financial ecosystem players to work together to increase the funding provided to WMSMEs around the world. The Code uses a data-driven, multi-stakeholder approach that aims to stimulate systemic change in how women entrepreneurs are financed.

³ The WE Finance Code indicators are complementary, though not identical, to the Scoreboard indicators. They capture the volumes and number of loan applications, approvals and loan disbursement, while the Scoreboard indicators capture only volumes. There are also other indicators not included in the Scoreboard core indicators, such as the number of MSME customers and the number and value of MSME deposits.

⁴ This information is increasingly available from industry associations.

Annex B. Differences in the definitions of investment stages in venture capital and private equity

This Annex outlines the differences in the definitions of investment stages in venture capital and private equity, presented in Chapter 2. There is no international standard for breaking down venture capital by stage of development. The OECD has a comprehensive classification based on the purpose of the funding and company development stage.

Table A B.1. presents the different classifications of firm stages used by Pitchbook and Dealroom, which are the sources for the venture capital (VC) and private equity (PE) statistics used in this chapter. The stage categorisation of these two data providers differs from that of the OECD, as they tend to classify stages based on company age and funding size.

Table A B.1. Differences in definitions between the sources used

	Stage	OECD	Pitchbook	Dealroom
Venture Capital	Pre-seed	Not explicitly defined as a separate stage.	Defined as financing for companies less than 2 years old with no prior institutional investor support. Angel deals may be included in this category based on criteria.	Typically very early funding, often before product development, with round sizes up to USD 1 million.
	Seed	Money raised by entrepreneurs to start developing a business product or idea and/or to launch a business.	Companies that do not have prior VC rounds, do not have VC board members, and the round amount ranges between USD/EUR 1–10 million. May include pre-Series A deals under certain conditions.	Seed rounds occur 0–2 years post-founding, with a typical round size of USD 1–4 million.
	Start-up and Other Early Stage	Targets businesses with tested prototypes, refined models, and business plans.	Companies less than 5 years old; includes Series A and B.	Series A and B: Series A (USD 4–15m) marks the beginning of scaling; Series B (USD 15–40M) is used to expand markets and revenue.
Private Equity	Late / Growth Stage	Supports expansion of businesses with functioning models and products.	Late-stage VC: Company $\geq$ 5 years old, or rounds labelled Series C or later. Venture Growth: Series E+, or based on age, investor profile, VC round count.	Series C (USD 40–100M) to fund major growth initiatives. Mega/Mega+ rounds (Series D–I) used for expansion, acquisitions, or IPO preparation.

Note: One major difference between Pitchbook and Dealroom is the data collection method. While Pitchbook collects data from Venture Capital Associations, which collect data from VC funds, Dealroom collects data from news and reports from the start-ups themselves. As such, Dealroom figures may be overestimated.

Source: (OECD, 2025^[1]) (Pitchbook, 2025^[2]) (Dealroom, 2025^[3]).

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Financing SMEs and Entrepreneurs 2026

An OECD Scoreboard

Small and medium-sized enterprises (SMEs) and entrepreneurs have confronted a series of shocks in recent years, impacting their access to finance. While financing conditions have eased in many economies following a period of monetary tightening, borrowing costs for SMEs remain high relative to pre-pandemic levels, and banks continue to apply stringent lending terms amid economic uncertainty.

Financing SMEs and Entrepreneurs 2026: An OECD Scoreboard monitors SME and entrepreneurship financing trends, conditions and policy developments in close to 50 countries. It shows that while new lending to SMEs has begun to recover, the overall stock of SME loans remains broadly stagnant. This sluggish growth in SME credit is weighing on firm liquidity and investment, with implications for competitiveness. Other types of finance, including factoring and leasing, show mixed performance, and the rebound in equity financing has been concentrated in a limited number of large deals in artificial intelligence. In light of these challenges, Fintech-driven and non-bank finance is playing a growing role in the SME financing mix. The Scoreboard showcases a number policy efforts to diversify SME financing, including the implementation of tech models in asset-based financing and support for venture capital markets.



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